بنك الاتحاد
Bank al Etihad

Annual Report 2020

Our profile

Who we are

We are Bank al Etihad, an institution that is proud to be Jordanian. Built on family values, we see every customer as one of our own, and make it our business to help wherever we can.

For us, empowerment is everything. That's why we work with individuals, entrepreneurs, local and global businesses, and the next generation of female leaders, so they can succeed the way they want to.

We believe that digital transformation is a key part of their empowerment. That is why we strive to be the first digital bank in Jordan—an aim that lies at the heart of our vision to become the most preferred bank for customers' daily transactions anytime, anywhere.

Our main priority is to provide you with a unique customer experience, and it will always be our goal to help you shape your future.

Our values



Our purpose: To empower and engage

We believe in you, your dreams and your potential. We're here to help our customers grow and achieve their ambitions by giving them the ability to bank on their terms- anyhow, anywhere, anytime. Whether it's saving for a holiday, buying a house or starting a new business, we're committed to supporting their success through creative and innovative products.

Our promise: Shape your future



We empower our customers to shape their future. By championing innovation, entrepreneurship and new technology, we develop progressive services that help people achieve their needs and ambitions. We always put our customers first and are committed to helping them build a bright future. We're also keen to recruit the best digital talent in Jordan, with a goal of becoming one of the top destinations for digital talent in the Middle East, which is an inseparable part of our promise to you.

Our journey



1978

Our journey began 42 years ago when we established a public shareholding company, known then as the "Arab Financial Corporation", where our focus was on corporate banking and customer relationship management.

1991

We took the decision to convert the corporation into a bank, under the name "Bank al Etihad for Savings and Investment", and continued our journey in serving the corporate sector.

2007

We took a strategic decision to drive growth through diversification. We collaborated with one of the world's leading consulting firms to develop our new expansion strategy.

2011

After 4 years, we had successfully designed our new strategy to expand, serve the retail sector and develop our new corporate brand in collaboration with international experts within the corporate brand development field. We then launched our new brand, "Bank al Etihad," and unveiled our promise, "The bright choice" to our family and customers.

2013

We launched our 'Savings Account Prizes' program, enabling us to gain a sizeable market share in the retail sector.

2017

We embarked on a digital transformation journey by adopting a 3 -year plan that involved developing the technological infrastructure, followed by the automation of banking services and operations. We also acquired 62.4% of Safwa Islamic bank, thus becoming our arm in serving the Islamic banking sector.

2018

We developed our brand in line with the digital transformation journey, in cooperation with a global branding company.

2019

We launched our upgraded mobile app and developed a 5-year strategy and business plan to achieve our vision of becoming the leading digital bank in Jordan. We established the Etihad Financial Technology Company and became the third largest bank in Jordan in terms of assets.

2020

It was a year unlike any other. However, we managed to respond to the COVID-19 pandemic through innovation. We were also awarded the "Best Digital Bank" in Jordan and the "Most Innovative Digital Bank" in Jordan and the Middle East by New York's Global Finance Magazine, in addition to the "Best Socio-Economic Impact Bank" by Business Vision Magazine in London.

2021

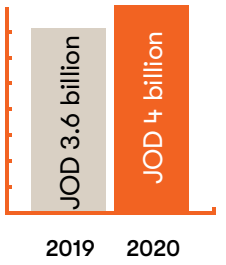
With the beginning of the new year, we renewed and reaffirmed our promise to our customers and will continue our digital development journey for the coming years.

Performance indicators for 2020

Customer deposits

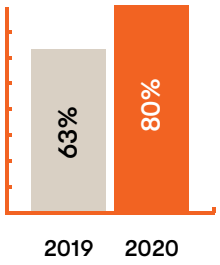
Customer deposits increased by

11.9%



Number of customers registered on the app

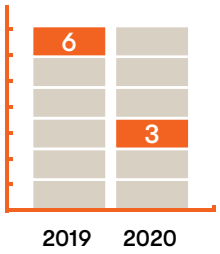
The number of registered retail customers on the mobile app increased



Online payments

Electronic bill payments through the bank ranked

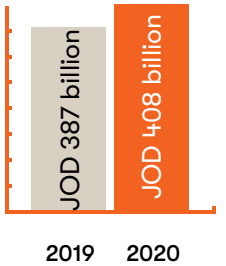
Third



Shareholders' equity

Shareholders' equity increased by

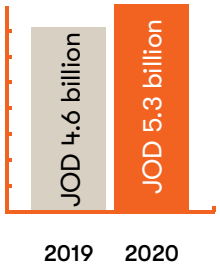
5.3%



Value of assets

Asset value grew by

15.2%



Total credit facilities

Total credit facilities grew by

12.3%

Customer base

Customer base grew by

20%

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Board of directors



Mr. Isam Halim Salfiti

Chairman



Mr. Bassem Isam Salfiti

Vice Chairman



Libyan foreign investment company (LAFICO)

Represented by Mr. Amjad Samir Abu Rawi



Social Security Corporation

Represented by Mr. Jalal Anwar Al-Ajlouni



Imad Abdel-Khaleq



Mr. "Mohammed Nabil" Abdel-Hadi Mohammed Hammoudeh



Mrs. Rana Jamil Said Abbadi



Mr. Riad Abdul-Mohsen Al-Dajani



Mr. Mughith Ghiath Sukhtian



Mr. Jabra "Raja Yaqoub" Ghandour



Auditors

Deloitte & Touche (Middle East) - Jordan



Legal Consultant

Rabah & Sharaiha Legal Consultants



Nadia Helmi Hafez Al-Saeed
Chief Executive Officer



Deema Mefleh Mohammed Akel
Deputy Chief Executive Officer



Tarik "Mohammed Said" Hasan Badawi
Chief Credit and Credit Administration Officer



Zaid Eyad Akram Kamal
Chief Finance Officer



Bashar "Mohammed Khair" Awad Ababneh
Chief Auditor



Fadi "Ahmad Kamal" Marei Marei
Chief Treasury, FI and Investment



Khaled Abdel-Malek Mohamed Abdel-Malek
Chief Risk Officer



Natalie Mazen Yousef Al-Naber
Senior Director, Corporate Communications and Marketing



"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh
Chief Corporate Banking Officer



Mohamed Mahmoud Ahmed Burjak
Chief Operations Officer



Daniel Fawaz Odeh Al-Sharaiha
Chief Human Resources and Customer Experience Officer



Mahmoud Tayseer Ahmad Badwan**
Chief SMEs Officer Acting, Chief Retail Banking Officer



Amer "Mohammad Kheir" Zaki Abu Laila
Chief Technology Officer



Tamer Wasef "Mohamed Moussa" Barakat
Senior Director, Compliance



Last year, I wrote my statement under exceptional and unprecedented circumstances following the outbreak of COVID-19, which had affected our beloved country and the world at large. Now, for the second year in a row I am writing to you under the same exceptional circumstances and amidst greater economic challenges.

I meet you again here to express my pride in our wonderful team, their resilience and commitment despite the challenges they all faced.

Despite the circumstances, today we are stronger than ever as we continue to implement our strategic plan to ensure business continuity and serve our customers anytime, anywhere through our technological infrastructure. We continue to efficiently innovate, develop and provide our customers with financial products and services to achieve our goal in becoming the leading digital bank in Jordan.

New and incredible opportunities can emerge from a crisis. In 2020, we saw an increased acceleration in digital banking services as a result of the pandemic, and were able to reap its fruits, as we had investment in technology and adopted a well-organized plan in the years before. This demonstrated that all our investments in digitization were wise as they were performed at the right time and place. This helped us ensure smooth and uninterrupted operations, which had a positive impact on our customers' experience and business continuity, regardless of the circumstances.

I am thrilled that our efforts have paid off as we were awarded the "Most Innovative Digital Bank" in Jordan and the Middle East, and the "Best Consumer Digital Bank" in Jordan by New York's Global Finance magazine.

We should'nt forget the major role played by the Central bank of Jordan in containing the impacts of the pandemic on the national economy, through a package of precautionary measures, such as allowing banks to restructure loans for individuals and companies that were affected, and delivering financing programs to SMEs.

I am very proud of our teamwork, led by our CEO, and I greatly appreciate the emergency team's efforts as they worked around the clock to come up with solutions that address specific challenges that affect our customers and employees. I would also like to give credit to our entire executive team and all our staff members who were able to face their personal and work-related challenges head on, while meeting their job requirements with excellence.

I wish to thank our board members for their contribution in supporting all our decisions. I sincerely thank you for everything you have done, and I invite you to continue to demonstrate perseverance, leadership, achievement and innovation.

The year 2020 brought with it real experiences and challenges to our customers, employees and beloved country due to the pandemic. We, in turn, will continue to do our best to provide solutions and contribute to containing the economic impacts of the pandemic.

Our customers are the focus of our attention

In 2020, our customers could recognize their value to us, as we used all our efforts to serve them and to keep their business and money safe. Our mobile app enabled them to easily and securely manage their account from anywhere and at any time. Nearly 80% of our retail customers benefited from our services through the app, and the rate of services accessed through it doubled compared to 2019, most especially the e-payment service. We also built partnerships to be able to reach unconventional solutions. An example of this was our contract with ride-hailing company Careem, to deliver money to our customers wherever they were in the event that they could not access an ATM. Not only that but we also sent our mobile branch to all parts of the Kingdom to serve customers in areas without ATMs.

As for our customers that include large companies and SMEs, we were keen to be as close to them as possible. We dedicated innovative solutions to help them face the challenges resulting from the pandemic and ensure the continuity of their businesses. We also acted as their business advisors by understanding and studying their business sectors and the impact the crisis had on them. In this context, we expanded our lending portfolio to finance their fixed operating expenses, including salaries, rents, etc., reduced the interest on their loans, and postponed loan repayments in line with the CBJ's program. In addition, we delivered free counseling workshops on several topics, including legal advice, human resources, business continuity and others, to support the companies affected by the pandemic.

Our staff and family are our strength

The psychological and physical health of our staff was a top priority for us during this time. We constantly communicated with them through all available communication channels, and adopted a remote working policy to ensure their safety. We also launched several programs for direct individual communication with the HR Department. Moreover, we provided all our employees with medical coverage for coronavirus treatments, and reassured them of their job security. Being proud of their performance and skills, we managed in 2020, despite the circumstances, to provide 17,000 training opportunities via online platforms.

I would also like to express my great appreciation to the bank's employees, especially working mothers and those with children in school, who were able to meet their responsibilities that multiplied because of working from home.

I am so proud that the Employee Net Promoter Score (eNPS) has risen to 49, placing the bank among the top performing companies in the world.

Strengthening our presence

After a year full of challenges, we witnessed excellent financial results thanks to the combined efforts of our impressive team, shareholders and customers, improving our total assets (JOD 5.27 billion), paid-up capital (JOD 160 million), shareholders' equity (JOD 408 million), and capital adequacy ratio (14.48%). Our market share of total credit facilities recorded 11.1% in 2020, compared to 10.6% in 2019, with a growth rate of 9.9%, while the total growth of credit facilities in the market was 5.8% in 2020. As for our market share of total deposits, it rose to 11.0% in 2020, compared to 10.2% in 2019, with a growth rate of 11.8%, while the total growth of deposits in the market was 4.2% in 2020. In 2020, we were able to increase the number of our customers in the retail sector by 26% compared to the previous year. We served our customers through a growing network of 52 branches and 123 ATMs distributed throughout Jordan, along with our electronic channels.

Diversified investments and risk management

We are always keen to diversify our investments and manage our risks to reflect positively on the bank and its shareholders, customers and employees. I would like to make a special mention to Safwa Islamic bank, which joined our family in 2017 when we acquired 62.4% of it, thus becoming our investment arm in serving the Islamic banking sector. We are also proud of the great performance of other business units and companies of the bank, including the Etihad Leasing Company, Central Exchange Unit, and Etihad Financial Brokerage Company, in addition to our latest investment that started in 2019, Etihad Financial Technology Company. Outside Jordan, the bank has a 10% stake in the National bank in Palestine.

Our social responsibility

Social responsibility lies at the core of our corporate values and culture. Our customers, employees, shareholders, and all members of our community are part of our family. Therefore, it was necessary for us to join hands with them during the difficult times of COVID-19 pandemic. We stepped up our national efforts and partnered with government agencies and private entities to maximize the societal impact. We proudly donated JOD 2.15 million to the Ministry of Health and the Himmat Watan Fund, in addition to NGOs that supported the efforts of our country. We also donated, in cooperation with the Ministry of Higher Education, 100 laptops for university students to facilitate remote education. We also funded 100 scholarships for students from public and UNRWA schools to help teach children programming from home. Moreover, we launched a campaign to donate food parcels for needy families through Tkiyet Um Ali using the mobile app to allow our customers to participate in charitable work. We did not overlook the importance of the volunteering efforts of our employees, as we partnered with the Nahno Organization, one of the initiatives launched by the Crown Prince Foundation, to provide volunteer opportunities for our employees via the Internet for the benefit of children and youth. Based on our belief in the important role played by music and arts in alleviating the difficulties faced at this time, we also shared our love for music by broadcasting free music performances by the Etihad Chamber Orchestra and Etihad Oriental Music Salon Ensemble via online platforms.

Finally

I believe 2020 taught us invaluable lessons that helped us find deeper meaning in our work, and transformed our perception to be more humane and wise in the decisions we make. It has also instilled important values within our team, combined with hard work and dedication. I am fully confident that we will continue to innovate and quickly respond to the needs of our customers and community.

I pray to God that the coming days will bring a close to the current economic impact and bring prosperity to our beloved Jordan. I, in turn, look forward to sharing our achievements with you in the coming year, God willing.

Isam Salfiti

Chairman of the Board

2020 Achievements and future plans

Our business model and strategy

We live up to our promise to be the leading digital bank in Jordan

In 2020, we saw great acceleration in the adoption of digital banking services as a result of the pandemic, confirming that all of our investments in digitization were made at the right time and place. This helped us ensure uninterrupted operations and enabled us to fully provide our services by focusing on:



Premium customer experience

Providing the best digital solutions to our customers through unique experience and service.



Efficiency

Making use of all available resources to reduce costs and increase efficiency without affecting customer experience.



Productivity

Working effectively to launch services and products that keep up with the developments happening around us, and to serve our customers faster and more dynamically (i.e. time to market).

We are pursuing exceptional ways to continue growing in a thoughtful manner to meet the needs of our customers and remain their preferred digital bank through the following:

Digitization

We strive to fully digitize our products, services and customer experience.

Innovation

We will continue to encourage our team to introduce, implement and experiment with their own innovative ideas to achieve the desired results.

Design thinking

We seek to practice design thinking approach and planning, by exploring available methods, information and processes used to come up with solutions to all challenges.

Continuous learning

We always listen to our customers to better understand and meet their needs, and we learn from them constantly to provide them with the best banking experience.

Keeping up with new developments

We are working to launch services and products that keep up pace with rapid developments to serve our customers faster and more dynamically to better meet the needs of the market (time to market).

Financial inclusion and banking transactions anytime, anywhere

In 2020, we added more distinctive features to our mobile app. There was also a significant increase in the usage of the features launched in 2019, including digital accounts that enabled our customers to open bank accounts through the app without having to physically visit a branch, with no minimum balance, and zero fees. These features would increase the percentage of financial inclusion in the Jordanian market, and help us reach a wide range of customers and provide a unique digital banking experience. As a result, the percentage of new customer accounts opened through the app reached 53.5% of all accounts in 2020.

Our mobile app allows our customers to easily track and control their money, manage their accounts online, postpone their loan repayments, control their cards, constantly monitor and analyze their spending rates and personal expenses, transfer and receive funds locally and internationally at any time, and directly transfer money worldwide via Western Union. Monthly bills can also be paid with the tap of a button. Our customers can get the services they need and communicate with our employees through our chat service via the app around the clock.

80%

of our customers used the mobile app to fulfill their banking needs.

2X

increase in the number of the app's daily active users compared to 2019.

2X

increase in online bill payments compared to 2019.

160%

jump in financial transactions made via the app in 2020.



Innovation and digitization awards

We focused on introducing new concepts of financial services and providing the best banking experience for our customers. In recognition of our efforts, we proudly won three awards from New York's Global Finance magazine 2019:

"Best Digital Bank" in Jordan

"Most Innovative Digital Bank" in Jordan

"Most Innovative Digital Bank" in the Middle East

Working hard to serve our customers with the highest standards and within business continuity controls

Our infrastructure and digital services are designed to enable our customers to easily and securely manage their money and accounts even during the most challenging times. We have also reviewed our branches' operating systems to ensure that they operate efficiently and provide the best services and advice to customers in line with international best practices.

Additionally, we have enhanced digital services and banking solutions, specifically for large companies and SMEs by launching a new online banking platform and making the mobile app available to SMEs with sole proprietorships.

Our response to the COVID-19 pandemic in 2020

Directing all our efforts to mitigate the impact of the pandemic

The COVID-19 pandemic brought with it many challenges. We, therefore, worked to find solutions within a crisis management framework and developed business continuity plans. Throughout times of full lockdown, we were able to serve our customers through our electronic services, directing them to digital payments instead of cash.

Looking after our customers by understanding and meeting their needs

Our main focus over the past year was to support our customers and provide them with solutions under exceptional circumstances. We provided electronic services without interruption and enabled our customers to access cash across the Kingdom through our mobile branch to serve areas near by ATMs. We also collaborated with "Careem" to deliver cash to our customers through the "Careem Cash" service.

In response to the instructions of the Central bank of Jordan, we postponed loan and credit card payments without imposing fines or late fees, and lowered interest rates on credit facilities. In addition, we launched new features through the mobile app, enabling our customers to control their credit facilities, such as postponing or rescheduling payments, and making early repayments based on the extent to which their economic situation was affected by the pandemic.

We did not forget about our SME customers' needs- to retain their employees and continue their work. Through the CBJ's financing program and with the guarantee of the Jordan Loan Guarantee Company (JLGC), we managed to extend loans to many affected SMEs to help them face the COVID-19 pandemic and pay operating expenses such as salaries, rents, etc. We hosted a series of mentoring workshops for SME customers and entrepreneurs, to cover topics with the greatest impact on their business during the pandemic, including human resources, financial issues, institutional flexibility, legal affairs, especially those related to defense laws that were in effect during that period, and the search for new markets in light of these adverse conditions. Around 500 people attended the workshops and 50,000+ viewed the recording of the sessions on YouTube.

As for our corporate customers, we gave them our attention by managing customer relationships in a way that enabled us to act as their business advisors based on our understanding and study of their most affected business sectors.

We launched our blog to provide our retail and SME customers with free financial and non-financial advice through business articles, infographics, and other value information.

Strengthening the importance of women's economic participation during the pandemic

Women play a key role in strengthening the national economy. By equipping them with the appropriate tools and necessary knowledge, we have seen positive impact of women empowerment in society. We are particularly proud of all working women who managed to meet their responsibilities that multiplied while working from home. We understood their challenges and their determination to continue their work, and we did everything we could to support them during the pandemic. As a result:



We achieved 20% growth in the number of women dealing with the bank through the Shorouq program.



By the end of 2020, the percentage of women dealing with the bank constituted 37% of total customers, compared to 23% in 2014. The number of female depositors grew 4 times and female borrowers increased 5 times compared to 2014 when the program was launched.

- By collaborating and partnering with many distinguished local and international bodies and institutions, we succeeded in organizing 55 workshops on SME capacity building during the COVID-19 pandemic, of which 49 were dedicated to women-owned businesses. Around 74,760 women benefited from these workshops. With the aim of providing professional mentorship and support to help women keep their business in light of the pandemic, we provided them with guidance and consultations, by sponsoring programs such as "Meet the Experts" and "Wathba" , led by our partners, Women in Business Arabia (WIBA) and Business and Professional Women Association (BPWA).

Looking after our employees

The psychological and physical health of our staff was a top priority for us. We were keen to constantly communicate with them through all available communication channels. We made sure that all our employees received medical coverage for COVID-19 treatment. To keep them safe, we implemented a work from home policy and adopted flexible arrangements for parents, mothers and pregnant women, so that they could work safely. This contributed to creating a flexible and innovative work environment, where our employees were fully prepared to serve our customers at any time and from anywhere, regardless of circumstances.

Our staff were able to build and enhance their capabilities, which had a clear impact on increasing their productivity. Thanks to our continuous learning and capacity building environment, we succeeded in providing nearly 17,000 training opportunities through digital learning platforms. We also launched an educational app where employees were able to promote their digital and technological literacy.

Despite the difficult circumstances, our team grew by approximately 10%. The new recruits were qualified and able to act in line with our work methodology, aimed at serving all our customers in a dynamic and fast-paced environment.

The bank received a score of 49 on the Employee Net Promoter Score (eNPS), compared to 43.9 in 2019, which placed the bank among the top performing companies in the world, such as LinkedIn and Facebook.



FINANCIAL ALLIANCE FOR WOMEN

According to the Financial Alliance for Women, Bank al Etihad became the Employer of Choice for Women in Jordan, with women constituting 44% of the bank's workforce.

Risk reduction plans

We realized the risks affecting customers, employees and business owners as a result of the pandemic, and we developed plans to reduce such risks. We responded quickly by immediately preparing a crisis management framework fitting the epidemiological situation, with a view to mitigating the impact and repercussions of the crisis on the bank, its employees and customers. We also continued to assess these risks in order to address them successfully. Additionally, we strengthened our cybersecurity programs and financial crime control framework to reduce financial cybercrimes.

Control and oversight environment

- **Cyber security:** Our aim is to be the safest bank for our customers. To ensure that we succeed in this, we implement a special framework to combat and reduce financial crimes, adopting the highest levels of security in line with the CBJ standards and the two international standards: PCIDSS and COBIT5. We also continue to implement the highest cyber security standards adopted by the bank to keep up with the constantly evolving electronic transactions, within the best international best practices, such as NIST.
- **Risk management:** We are constantly working on improving risk management tools and controls. We will continue our path in automating risk models and measurement tools, and developing anti-fraud systems to ensure better risk management in accordance with international best practices.
- **Compliance:** We ensure compliance with laws and regulations, and maintain an environment that understands the importance of compliance.
- **Governance:** We will continue to improve and develop our governance model, with a focus on simplified governance that facilitates quick decision-making and employs transparent mechanisms.

Keeping our promise to support our community

We joined forces with government agencies and private entities to maximize the societal impact

Today, more than ever, social responsibility rests on the shoulders of all institutions and companies that should join hands to maximize their societal impact under exceptional conditions caused by the COVID-19 pandemic. In 2020, we united our efforts and collaborated with government and private agencies in support of our country, through:

- Donating 2.15 million JOD to the Ministry of Health and the Himmat Watan Fund, in addition to NGOs that support our country's efforts in combating the COVID-19 pandemic and mitigating its negative effects and repercussions on Jordan.
- Making a donation of JOD 150,000 to the Ministry of Health to support the national efforts by the health sector.
- Supporting the Ministry of Higher Education and Scientific Research's national campaign "Your University at Home" by donating 100 laptops to university students, to facilitate the process of remote study during the pandemic.
- Funding 100 scholarships for students from government and UNRWA schools to teach them the basics of programming from home, as part of our partnership with the "Hello World Kids" interactive initiative.
- Launching a campaign to donate food parcels to families in need through Tkiyet Um Ali during the blessed month of Ramadan. By using our mobile app, customers and employees can support our community at large. In this context, the bank successfully collected food parcels from customers and donated them by the end of the campaign.
- Sharing our love for music by broadcasting a series of free music performances by the Etihad Chamber Orchestra and Etihad Oriental Music Salon Ensemble via online platforms during the home quarantine period last March. This stems from our belief in the important role music and arts play in alleviating difficulties faced during this time.

Our social responsibility pillars and key achievements in 2020

The bank received the "Best socio-economic impact bank" award by Business Vision magazine in london.



Social responsibility is at the heart of our corporate culture. We consider our customers and society part of our family. We always look forward to helping those around us to thrive and grow. By providing support to our future generation of leaders and entrepreneurs, promoting arts and culture that give Jordan its unique identity, and investing in skills and education, we enable those around us to achieve their goals and shape their future

Through our community and volunteer initiatives, Bank al Etihad adopts a number of global sustainable development goals (SDGs) to reflect our community partnerships, including:



Key initiatives in 2020



Access to knowledge



- Providing 30 scholarships for outstanding students in Jordan and Palestine;
- Sponsoring the 'Celebrations' program in its new electronic format, organized by the Jordan Children's Museum, benefiting 118,628 children. This sponsorship comes within our strategic partnership with the Queen Rania Foundation for Education and Development (QRF);
- Supporting the extracurricular "Masahati" program, implemented within the QRF "Madrasati" initiative, at Al-Zyoud Public School for Boys, which targeted more than 289 students from grades 4-10;
- Funding 100 scholarships for students from government and UNRWA schools to teach them the basics of programming from home, as part of the "Hello World Kids" initiative.
- Supporting the Ministry of Higher Education and Scientific Research's national campaign "Your University at Home" by donating 100 laptops to university students located in impoverished areas across the Kingdom to enable them to continue their education.



Financial inclusion and economic empowerment



As a financial institution, we believe we have a role to play in accelerating financial literacy and inclusion to improve the lives of people, communities and small businesses and startups in Jordan. Some of our most important milestones and strategic initiatives include:

- Continuing to provide support for the Financial Literacy Program implemented by INJAZ and CBJ, with the purpose of incorporating and promoting a financial literacy curriculum into the national curriculum for students in Jordan;
- Presenting specific theatrical plays on financial literacy targeted at children 6-12 years old, to introduce them to the basics of managing their money, making plans and saving; and
- Continuing to provide full support to 3 less fortunate women, as part of the IKEA project in partnership with the Jordan River Foundation. The project targets a number of Syrian and Jordanian refugee women, by employing them in a production line for knitting and embroidery, and selling their products exclusively at IKEA stores locally and worldwide.

Entrepreneurship and creativity



Supporting the youth entrepreneurship program, "Shabbek Wa Ibtaker", in cooperation with Wasel Company, targeting 30 job-seekers from all governorates. The program aims to provide them with necessary training to enable them to start their own projects, in cooperation with business incubators and accelerators, and various financial institutions.

Community wellbeing



- Signing a strategic partnership agreement with the Al-Hussein Society to provide educational and rehabilitation services for people with motor disabilities;
- Supporting 8 online awareness seminars targeting parents of children with mental or developmental challenges, by connecting them with specialists for guidance through the Habaybna.net online hub;
- Launching 3 online campaigns through the bank's social media platforms: the first for the collection of food parcels, the second for the preparation of parcels for winter supplies, and the third for the collection of used or new clothes from our customers and employees, to donate them to families in need, in cooperation with the Jordan Hashemite Charity Organization and the Naua platform. Thanks to the donations made by our customers and employees, we were able to reach more than 10,000 families from all regions of Jordan;
- Partnering with the Accessible Jordan Initiative to implement 4 training programs for 73 employees of the bank, with the aim of familiarizing them with the best way to deal with customers with disabilities;
- Renewing our partnership with the Medical Aid for Palestinians, by supporting their relief project to help families living in Palestinian camps during the COVID-19 pandemic: distributing 500 bags including sterilization materials and masks to 500 families in the camp and supporting the treatment of 333 Palestinian children;
- Signing a 3-year strategic agreement with the King Hussein Cancer Foundation (KHCF), to support the establishment of a new education and training academy, which aims to enhance the knowledge and skills of cancer care workers, build the capacity of the KHCF staff, support the KHCF's development in light of economic challenges, and develop and update oncology-related curricula in medical schools in Jordan; and
- Renewing the strategic agreement with Naua platform, one of the initiatives by the Crown Prince Foundation, to reach out to and support various community institutions.

Environment



- Implementing an integrated recycling project at the bank by involving employees in collecting, reducting and recycling waste of all kinds. This program has contributed to reducing the use of plastics at the bank by nearly 27,000 plastic packages/bottles in 2020;
- Converting all ATMs to environmentally friendly devices by replacing paper receipts with online receipts;
- Launching Plastiqua, a green initiative by Bank al Etihad in collaboration with the Jordanian designer, Petra Orfali. The initiative aims to economically empower 7 less fortunate women from Jabal Al-Nazif, by utilizing their skills in upcycling expired plastic bank cards and handcrafting them into accessories and art pieces that can be sold, providing them with extra income. In 2020, around 15,000 bank cards were upcycled and more than 2,000 art pieces and accessories were created; and
- Achieving the following, through the solar PV systems project, which was implemented at Wadi Al-Eis, Al-Sokhna, and the upper roof of the Head Office building:
  - Saving JOD 1,110,837.2 as cash savings.
  - Reducing carbon dioxide emissions by 2,705,119.0 km.

Volunteering

- We designed and organized a new online volunteering method to suit the social distancing measures due to the pandemic, in partnership with the Nahno Organization, an initiatives by the Crown Prince Foundation. A large number of our employees volunteered online to provide children and youth with skills in several areas, including education, labor market readiness, innovation, financial literacy, and more.
- We launched the “Volunteer of the Year” program, where employees that regularly volunteer would be honored each year, so as to reinforce the principle and importance of volunteering within the bank.



Access to knowledge	JOD 169,938.50
Financial inclusion and economic empowerment	JOD 148,777.93
Entrepreneurship and creativity	JOD 5,000
Community wellbeing	JOD 1,452,986.46
Environment	JOD 30,448,11
Art and culture	JOD 229,529.21
Total	**JOD 2,036,680.21**

Analysis of financial position and operating results of 2020

First: Financial position for 2020

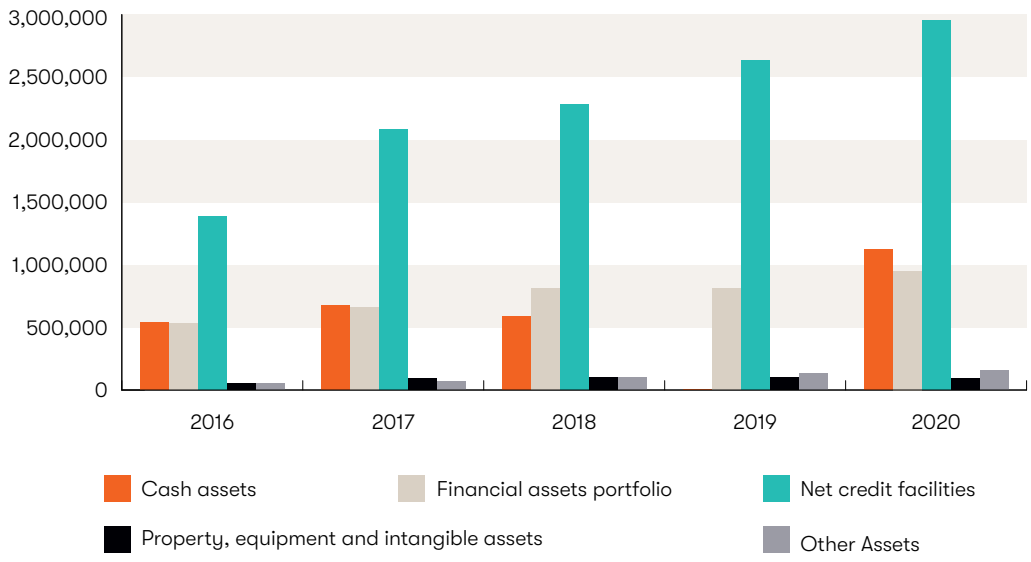
Total assets

The bank continued to achieve positive growth rates in most of its assets. This contributed to an increase of JOD694 million (15.2%) by the end of 2020 in the bank's total assets compared to the end of 2019, reaching JOD5.274 billion. The annual growth rate of total assets over the past five years is 15.6%, with a 0.6% rate of return.

The table and graph below show the changes in the main asset items during the years (2016-2020):

Description	2016	2017	2018	2019	2020	Growth Rate 2020 - 2019
Cash assets	540,734	672,713	585,729	897,673	1,122,593	25.1%
Financial assets portfolio	531,438	656,083	807,702	814,423	950,878	16.8%
Net credit facilities	1,385,666	2,084,328	2,277,918	2,635,851	2,951,628	12.0%
Property, equipment and intangible assets	50,162	91,913	96,672	96,549	95,829	(0.7%)
Other assets	51,740	67,238	100,048	135,180	152,777	13.0%
Total assets	**2,559,740**	**3,572,275**	**3,868,069**	**4,579,676**	**5,273,705**	**15.2%**

(Rounded to JOD 1.000)

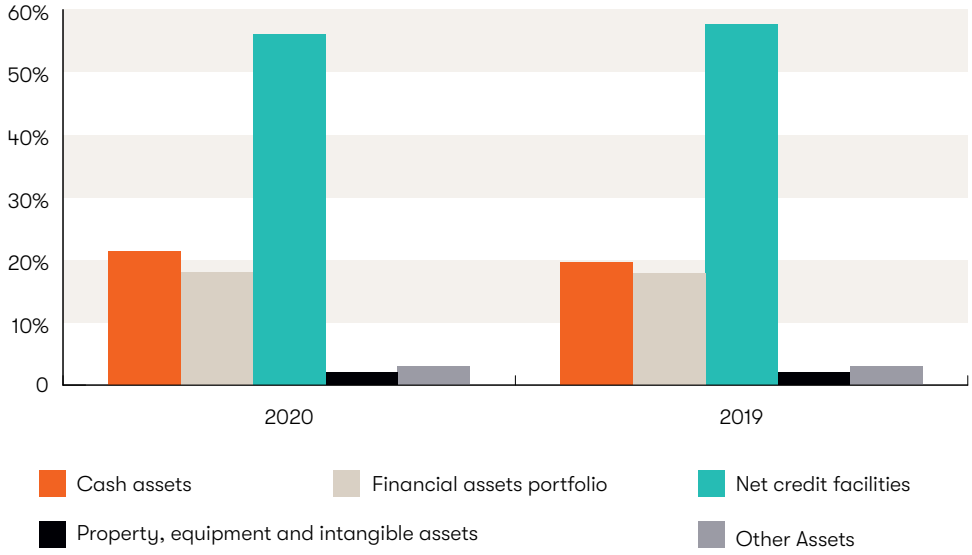


(Rounded to JOD 1,000)

With regard to the relative importance of the bank's assets in 2020, net direct credit facilities are still at the forefront, comprising 56.0% of total assets, compared to 57.6% in 2019, followed by the financial assets portfolio, which comprised 21.3% of total assets, compared to 19.6% in 2016. Cash assets accounted for 18.0%, compared to 17.8% at the end of last year.

An analysis of these income-generating items, taking into account the policies and procedures followed and the risks associated with each of these items, would reflect the bank's ability to optimally manage its assets and utilize its sources of funds in maximizing income.

Relative importance of total assets

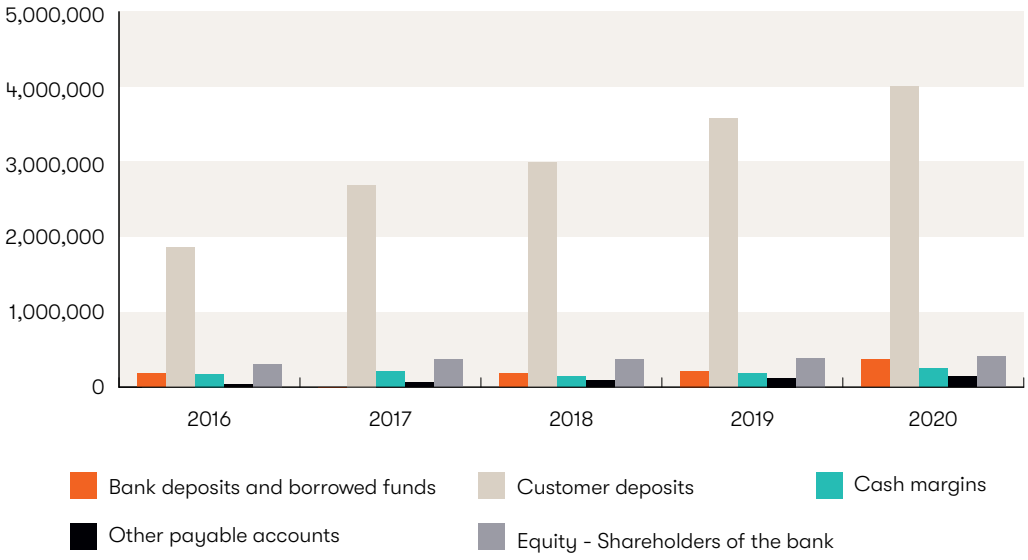


Liabilities and equity

The table and graph below show the changes in the main liability and equity items during the years (2016 - 2020):

Description	2016	2017	2018	2019	2020	Growth Rate 2019 - 2020
Bank deposits and borrowed funds	179,977	147,086	181,924	215,167	370,840	72.3%
Customer Deposits	1,856,774	2,691,336	2,988,950	3,575,967	4,003,011	11.9%
Cash margins	176,163	210,089	141,815	185,698	251,303	35.3%
Other payable accounts	36,622	65,253	88,134	123,599	142,148	15.0%
Shareholders' Equity	310,078	370,623	376,742	387,273	407,956	5.3%

(Rounded to JOD 1.000)

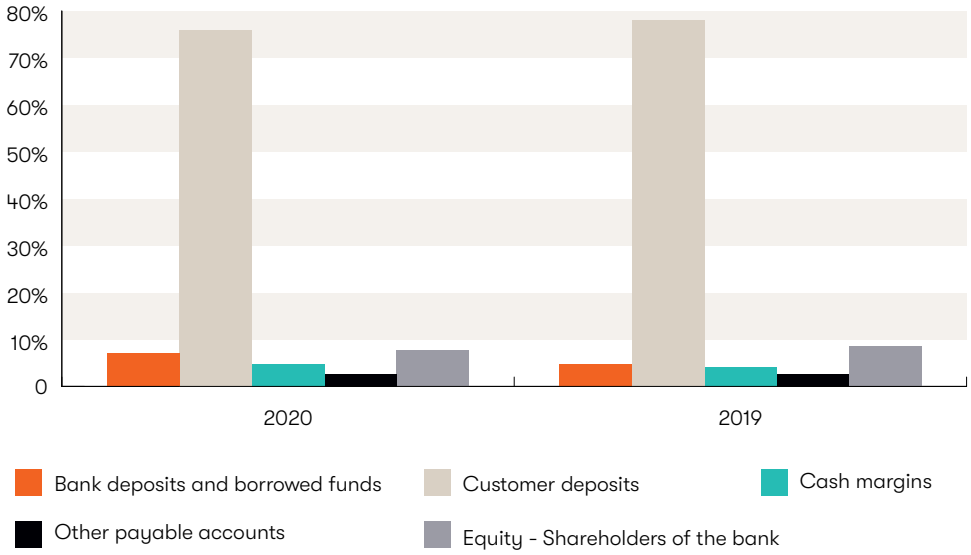


(Rounded to JOD 1.000)

Regarding the relative importance of the bank's liability and equity components as shown in the graph below, customer deposits accounted for 75.9%, compared to 78.1% at the end of

2019. Equity accounted for 7.7% compared to 8.5%, followed by bank deposits and borrowed funds, accounting for 7.0%, compared to 4.7% at the end of previous year. Cash margins and other payable accounts constituted 4.8% and 2.7% of total liabilities and equity, compared to 4.1% and 2.7%, respectively, at the end of last year.

Relative importance of total liabillities and equity



Financial assets portfolio

- **Debentures:** The balance of debentures increased by JOD136 million to reach JOD905 million at the end of 2020, a growth of 17.7% compared to the end of 2019. The increase was due to the growth in debentures in Jordanian dinar by JOD77 million (14.3%), and the growth in foreign currency debentures by JOD59 million, representing a growth rate of 25.7%.
- **Portfolio of Local and International Shares:** The bank maintained its portfolio of local and foreign shares, bringing the total balance of the portfolio to JOD45 million. The equity portfolio is characterized by the strong financial position of the investee companies and acceptable risk levels.

Total direct credit facilities

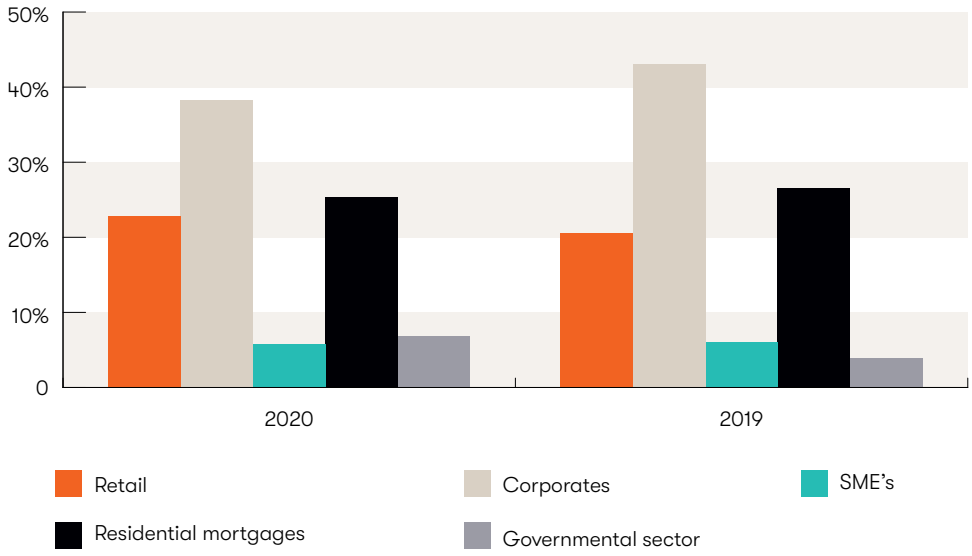
The bank's financial statements for 2020 showed a growth in total direct credit facilities by 12.3% over 2019, reaching JOD3.088 billion. This demonstrated the bank's successful policy aimed at maximizing return on assets. That increase was the result of the rise in the balance of credit facilities in Jordanian dinar with a growth rate of 11.4%, as well as the slight increase in the balance of credit facilities in foreign currencies by 5.5%.

The average annual growth rate of net direct credit facilities during the past five years (2016-2020) recorded 16.2%.

An analysis of the structure of total direct credit facilities by borrowers shows that the bank has achieved its strategic objectives of attracting retail and SME customers. This is demonstrated by a rise in the relative importance of the retail sector to reach 22.9% of total direct credit facilities compared to 20.6% at the end of last year. Also, the relative importance of the SME sector reached 6.0% compared to 5.8%. Credit facilities granted to the government and public sector increased to 6.9% of total credit facilities compared to 3.9% at the end of last year.

With regard to the relative importance of the corporate sector, it dropped slightly to reach 38.3% of total direct credit facilities at the end of 2020 compared to 43.1% at the end of last year. Credit facilities granted to the real estate sector accounted for 25.4% compared to 26.6% at the end of 2019.

Relative importance of total direct facilities by borrower



Provision for impairment of direct credit facilities

In order to strengthen the financial position of the bank and in line with CBJ instructions, international accounting standards and IFRS9 requirements, the bank continued to pursue a strict hedging policy and kept good collaterals to secure facilities granted to customers. It also created a provision for the impairment of non-performing facilities as a means of hedging against any expected losses. The provision for impairment of direct credit facilities amounted to JOD119.5 million compared to JOD97.0 million at the end of 2019. The coverage ratio of the provision for impairment of direct credit facilities to total non- performing facilities net of interest in suspense amounted to 118% at the end of 2020. The ratio of non- performing credit facilities net of interest in suspense to direct credit facilities balance net of interest in suspense amounted to 3.30% compared to 3.65% in 2019.

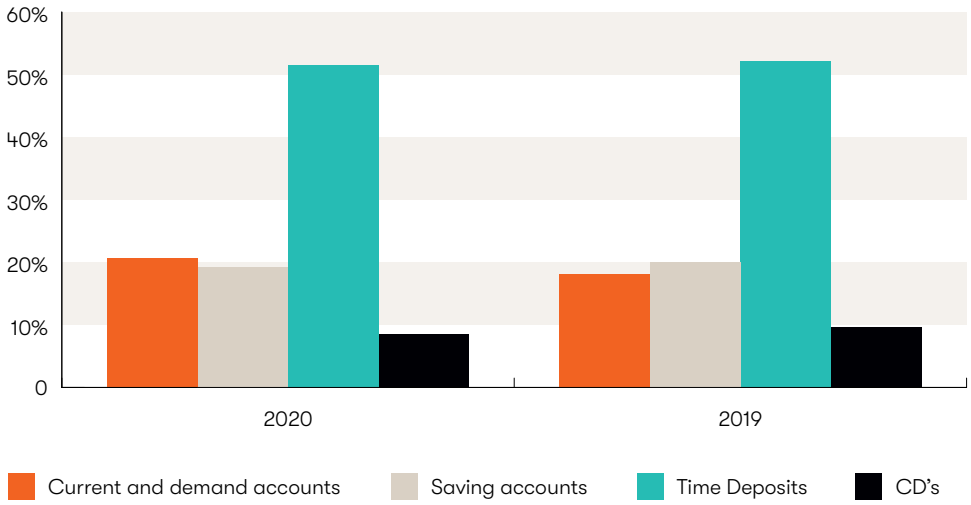
Customer deposits

Despite the COVID-19 pandemic's economic impact on the world in general and Jordan in particular, as well as the competitive environment witnessed within the Jordanian banking sector, the bank has achieved positive growth rates in attracting deposits from different target segments, achieving a 16.6% average annual growth rate of total customer deposits over the past five years. Thanks to the bank's exceptional and competitive programs, the volume of deposits increased by JOD427 million with a growth rate of 11.9% compared to 2019, bringing the total balance of customer deposits to JOD4.003 billion at the end of the year. The bank's market share of total customer deposits in the Kingdom reached 10.9% at the end of 2019.

Regarding the classification of total customer deposits by depositor type, deposits increased in the retail sector by 12.0%, SMEs by 25.0%, and large companies by 5.3%. Meanwhile, government and public sector deposits recorded an increase of 21.9%.

As for the structure of customer deposits by type of deposit, it shows that time and notice deposits accounted for 51.5% of total deposits compared to 52.2% at the end of 2019, while current and demand accounts accounted for 20.6% compared to 18.1% at the end of previous year. Savings deposits accounted for 19.3% compared to 20.0% in 2019, and certificates of deposit accounted for 8.6% compared to 9.6% in 2019. This is shown in the graph below:

Relative importance of total deposits by type



Shareholders' equity

Net shareholders' equity increased by JOD20.7 million with a growth rate of 5.3%, reaching JOD408 million at the end of 2020. The annual growth rate for the past five years was 5.6%. It is worth noting that the return on equity (ROE) was 5.9%, reflecting the outstanding performance of the bank in 2020.

Level of financial solvency and capital adequacy

The capital adequacy ratio reached 14.48% at the end of 2019 compared to 13.99% in 2017, a ratio higher than the minimum required in accordance with Basel III resolutions (8%) and higher than the minimum required under the Central bank's requirements (12%). Also, the ratio of core capital to risk-weighted assets amounted to 12.62% in 2019 compared to 13.04% in 2017, reflecting the bank's ability to address potential banking risks and to expand and grow within capital adequacy limits.

The bank's competitive position

In 2020, the bank was able to achieve growth rates in its total credit facilities and total customer deposits surpassing those achieved within the Jordanian banking sector. This clearly indicates the bank's ability to compete under the regional challenges. The bank was also able to increase its market share of credit facilities to 11.1% as well as its market share of total customer deposits to 10.9%.

According to the CBJ's statistical bulletin (2020), comparing the growth rates achieved by the Jordanian banking sector with those achieved by Bank al Etihad, direct credit facilities granted by the Jordanian banking sector grew by 5.8%, compared to 3.7% in 2019, while customer deposits grew by 4.2% compared to 4.3% at the end of previous year.

As for the direct credit facilities granted by Bank al Etihad, they grew by 9.9% compared to 18.3% in 2019, while customer deposits grew by 11.8% compared to 19.8% at the end of previous year.

The table below compares the growth rates achieved by the Jordanian banking sector with those achieved by Bank al Etihad:

	Growth rate			
	Banking sector		Bank al Etihad	
	2020	2019	2020	2019
Direct credit facilities	5.75%	3.73%	9.93%	18.28%
Customer deposits:	4.20%	4.31%	11.83%	19.77%
Current and demand	10.64%	1.43%	26.78%	20.40%
Savings	6.72%	2.89%	7.68%	24.4%
Time	1.26%	5.58%	10.30%	13.43%
Cash margins	(2.01%)	(1.45%)	35.32%	25.69%

Financial solvency indicators

Description	2016	2017	2018	2019	2020
Return on total average assets	1.2%	1.1%	1.1%	0.9%	0.6%
Return on average equity	9.7%	10.2%	9.6%	8.3%	5.9%
Capital adequacy	14.05%	14.70%	14.12%	13.99%	14.48%
Non-performing facilities/total facilities	6.81%	4.95%	4.93%	4.24%	3.83%
Coverage ratio	69.5%	79.1%	86.5%	97.2%	118.0%
Total statutory liquidity	110.36%	128.56%	118.58%	117.79%	122.77%

Second: The bank's operating results

Interests and commissions received

At the end of 2020, the bank's interests and commissions income recorded a balance of JOD277 million, with an average annual growth of 14.5% over the last five years, demonstrating the bank's ability to manage the sources of funds in an efficient and optimal manner.

Interest earned on direct credit facilities accounted for 83.3% of total interest at the end of 2020, recording JOD211 million.

Interest income from credit facilities granted to the retail sector grew by 16.1%, SMEs by 1% and government and public sector by 25.4%, compared to the same period last year. With regard to corporate facilities and real estate loans, they recorded a decrease of 6.5% and 4.0%, respectively, compared to the same period in 2019.

As for commissions on direct credit facilities, they recorded JOD23.6 million at the end of 2020.

Interests and commissions paid

Interest and commission expenses decreased by 11.5% compared to the last year. This item has increased over the past five years from JOD45.8 million in 2016 to JOD103.8 million at the end of 2020, an annual growth of 17.8%.

Interest paid on customer deposits accounted for the largest share of the total interest and commissions paid at 86.1%. bank deposits, cash margins, borrowed funds and deposit insurance fees accounted for the rest.

Operational expenses

The bank continued to expand its branch network in most parts of the Kingdom with a well- considered plan, bringing the number to 52 branches at the end of 2020 compared to 41 branches by the end of 2016. Additionally, the bank hired new highly qualified and experienced employees, bringing the number of its employees to 1215 employees compared to 1024 employees in 2016. The bank also continued to develop and upgrade its banking programs to keep pace with the best international banking practices, and launched multiple advertising campaigns for new services and products. It consolidated the financial statements with the Islamic Investment Company,

which acquired a controlling interest of the shares of Safwa Islamic bank in 2017.

Consequently, the operational expenses (administrative and general expenses, depreciation and amortization) increased at an annual growth rate of 14.4%, between 2016-2020, from JOD49.6 million to JOD97 million. The details of this item are as follows: Employees' expenses increased during the last five years from JOD25 million to JOD44.2 million; other general and administrative expenses increased to JOD38.7 million at end of the year compared to JOD18.1 million at the end of 2016; and depreciation and amortization expenses increased during the same period from JOD6.5 million to JOD14.2 million.

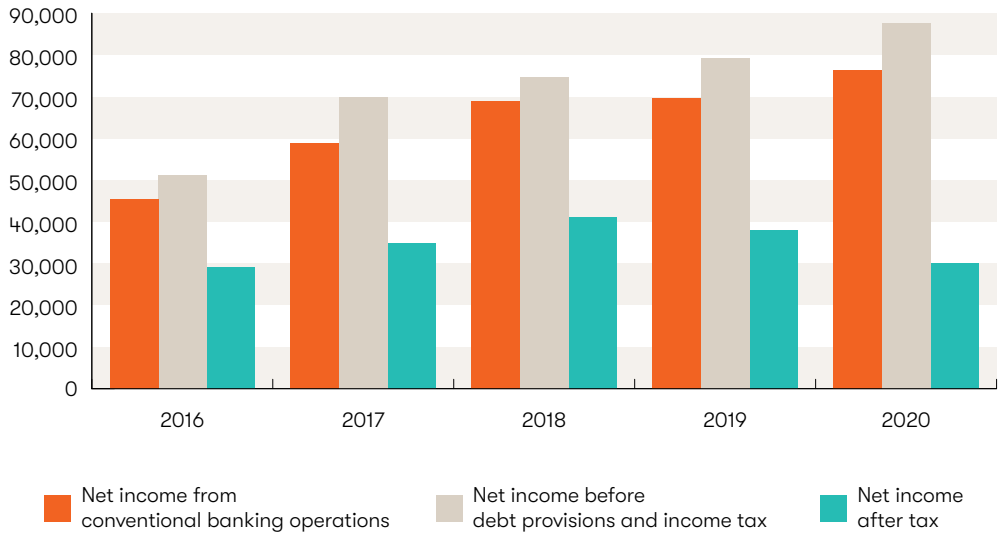
Net income

Net income from conventional banking operations grew by 9.6% to reach JOD76.3 million at the end of 2020, with an annual growth rate of 11.0% during the last five years. Moreover, net income before debt provisions and income tax increased to JOD87.5 million at the end of the year with a growth rate of 10.3%. Accordingly, net income after taxes reached JOD30.0 million as at the end of 2020.

The table and graph below show the changes in income and expenses over the past five years (2016-2020):

Description	2016	2017	2018	2019	2020
Interests and commissions received	140,679	208,999	241,562	279,716	277,050
Interests and commissions paid	45,765	72,910	89,760	117,288	103,803
Net interest and commissions	94,914	136,089	151,802	162,429	173,247
Expenses, depreciation and amortization	49,571	77,348	82,854	92,863	96,987
Net income from conventional banking operations	45,343	58,741	68,948	69,566	76,260
Income from foreign exchange and gold trading	3,243	5,525	5,854	6,965	6,750
Income from investments	1,632	4,297	(1,433)	1,351	3,063
Other revenues	978	1,219	1,346	1,457	1,462
Net income before debt provisions and income tax	51,196	69,782	74,715	79,337	87,535
Provisions	9,468	17,638	12,185	17,991	40,628
Income tax	12,492	17,345	21,444	23,330	16,863
Net income after tax	**29,236**	**34,799**	**41,086**	**38,016**	**30,044**

(Rounded to JOD1,000)



(Rounded to JOD1,000) Corporate Governance Report for Listed Shareholding Companies

Corporate governance report for listed shareholding companies



Bank al Etihad believes in the importance of corporate governance in furthering the principles of safety and security in the banking sector and increasing the confidence of depositors and investors in the bank, bringing about a positive impact on the bank's standing and providing a sound basis for its strategic growth plans. As a result, the Board of Directors (the "Board") has endorsed the Corporate Governance Manual (the "Manual"), incorporating the principles that guide the bank's management and govern the relationships among all relevant stakeholders, including shareholders, depositors, the Board of Directors, executive management, employees and various regulatory authorities.

This report was prepared in line with the requirements of the 2017 Corporate Governance Regulations for Listed Shareholding Companies issued by Jordan Securities Commission, requiring the preparation of a governance report and inclusion thereof in the bank's annual report as well as disclosing the extent of the bank's compliance with the said regulations.

First: Information and details regarding the implementation of the corporate governance regulations for listed shareholding companies

The bank is committed to implementing all the provisions contained in the Corporate Governance Regulations for Listed Shareholding Companies.

Second: information related to the board of directors and board committees

Who's who on the board of directors

1. Isam Halim Jiryes Salfiti
Chairman of the board (non-executive, non-independent director)

Chairman of the credit facilities committee and corporate governance committee

Year of Birth: 1944

Academic Qualifications: BA in Economics, American University of Beirut, 1967

Work Experience:

- Chairman of Bank al Etihad (6/1997 to date)
- General Manager of Bank al Etihad (7/1989-7/2008)
- Chairman of the Board of Directors of Etihad Financial Brokerage Co. (2/2006 to date)
- Deputy General Manager of the Arab Financial Corporation (Jordan) (10/1986-6/1989)
- Former Member of the Board of Trustees of the University of Jordan
- Chairman of the Jordanian Hotels and Tourism Co., PSC
- Former Chairman of Middle East & Commodore Hotels Company, PSC
- Board Member of Zara Investment Co., PSC
- Member of the Board of Trustees, King Hussein Foundation
- Member of the Board of Trustees, Jubilee School
- Member of the Board of Trustees, Baccalaureate School

2. Bassem Isam Halim Salfiti

Vice-Chairman of the Board as of 28/10/2020 (Non-Executive, Non-Independent Director)

Chairman of IT Governance Committee and Member of Management Committee, Credit Facilities Committee and Risk Management Committee

Year of Birth: 1972

Academic Qualifications:

- BA in Electrical Engineering from Brown University, the USA (1993)
- MA in Finance and Corporate Strategic Planning from Columbia University, the USA (2000)

Work Experience:

- Chairman of the Board of Trustees of AlHussein Technical University (HTU)
- Board Member of Petra National Trust (PNT).
- Board Member of the Innovative Startups and SMEs Fund (ISSF).
- Board Member of Delta Insurance Co., PSC
- Representative of the Etihad Islamic Investment Company on the Board of Directors of Safwa Islamic bank, PSC.
- General Partner and Co-Director of Hummingbird Ventures London, UK (2013-2017)
- Head of Investment Banking Unit/European Technology at Perella Weinberg Partners in London, UK (2006 - 2013)
- Executive Manager of the Technological Investment Banking Unit at Morgan Stanley & Co., London, UK (2000 - 2006)
- Chief Executive Officer of Operations at Best Laboratories Inc., Sunnyvale, California (1994 - 1998)

3. "Mohammad Nabil" Abdel-Hadi Mohammad Hammoudeh

Vice-Chairman of the Board until 28/10/2020 (Non-Executive, Non-Independent Director)

Chairman of Management Committee and Member of Nominations & Remuneration Committee and Credit Facilities Committee

Year of Birth: 1949

Academic Qualifications: BA in Business Administration from England, 1974

Work Experience:

- Chairman and General Manager of Hammoudeh Group
- Businessman and investor (1975 to date)
- Grindlays bank (until the end of 1974)
- Board Member at several public and private companies
- Board Member of Middle East Insurance Co., PSC
- Chairman of Jordan Poultry Processing and Marketing Company, PSC

4. Amjad Samir Abu Rawi/LAFICO's Representative (Non-Executive, Non-Independent Director) as of 28/10/2020.

Member of the Audit Committee and Risk Committee

Year of Birth: 1986

Academic Qualifications: Accounting Certificate from the Arab Academy for Banking and Financial Sciences in Jordan, 2008.

Work Experience:

- Investment Director at the Long-Term Investment Portfolio to date.
- Head of Accounting and Budget Department at the Long-Term Investment Portfolio (2013- 2019).
- Accountant at the Long-Term Investment Portfolio (2008-2013).
- Board Member of OLA ENERGY (2017-2020).
- The said member is not a member of the board of any public shareholding company in Jordan.

5. Jalal Anwar Mousa Al-Ajlouni Social Security Corporation's Representative (Non- Executive, Non-Independent Director)

Member of the Audit Committee and Compliance Committee

Year of Birth: 1981

Academic Qualifications:

- MA in Banking and Finance from Yarmouk University (2006)
- BA in Banking and Finance from Yarmouk University (2003)
- Certified Project Manager (CPM) (2011)
- Certified Credit Analyst (CCA) (2008)

Work Experience:

- Head of Treasury of the Social Security Investment Fund (to date)
- Former Vice-Chairman of the Board of Directors of Daman for Financial Leasing.
- Former Board Member of the Jordan Worsted Mills Co. Ltd.

6. Imad Mohammad Abdel Khaleq (Non-Executive, Independent Director)

Chairman of Risk Management Committee and Member of Nominations & Remuneration Committee and Audit Committee

Year of Birth: 1963

Academic Qualifications: BA in Mathematics from the University of Wisconsin, the USA (1987)

Work Experience:

- General Manager of Jordan Insurance Company (since 2005)
- Vice President of the Jordan Insurance Federation (2009-2010)
- Held several positions at the Munich Reinsurance Company, Germany, the last being Senior Regional Manager (1990-2005)
- Board Member of Asia Insurance Company, Kurdistan, Iraq
- Board Member of Al-Watania Insurance Company, Yemen
- Vice Chairman of the Executive Committee, AWRIS/Bahrain
- Member of the MENA Insurance CEO Club (MICC)
- Former Board Member of the Jordan Insurance Federation

7. Mughith Ghiath Muneir Sukhtian
(Non-Executive, Non-Independent Director)

Member of Credit Facilities Committee, IT Governance Committee, Risk Committee, and Management Committee

Year of Birth: 1973

Academic Qualifications:
- BA and MA in Industrial Systems Engineering, Rensselaer Polytechnic Institute - Troy, New York (1994)
- MBA from Columbia University, New York (2001)

Work Experience:
- Managing Director of GMS Specialized Services (2013 to date)
- Deputy Assistant Director at the Mergers and Acquisitions of Financial Institutions Group, JP Morgan USA (2000-2003)

Directorships:
- Board Member of GMS Holdings
- Board Member of Palestine Telecommunications (Paltel).
- Board Member of MSI
- Board Member of VTEL Holdings and subsidiaries
- Member of the Board of Trustees at Columbia University Middle East Research Center
- Member of the Board of Trustees of Jordan Media Institute (JMI)
- The said member is not a member of the board of any public shareholding company in Jordan.

8. Rana Jamil Said Abbadi
(Non-Executive, Independent Director)

Chairperson of Compliance Committee and Member of Audit Committee and Corporate Governance Committee

Year of Birth: 1966

Academic Qualifications: BA in Accounting and Business Administration from the University of Jordan

Work Experience:
- Financial advisor and digital transformation consultant at Ezz Al Arab Group
- Board Member and Chairman of the Audit Committee of Orascom Financial Holding.
- Held several positions at Orascom and Orange Group:
  - VP, Regulatory and Wholesale Affairs
  - VP, Quality and Institutional Support (4/2009-12/2011)
  - o VP, Development (1/2007-4/2009)
  - Chief Financial Officer (6/2002-12/2006)
- Finance Director at Fastlink (1995-1997)
- Senior Auditor at Saba & Co. (1988-1995)
- Board Member of International Company for Leasing (Incolease), Egypt
- Board Member of International Company for Finance, Egypt
- Board Member of the Chamber of Information Technology & Communication - Egyptian Ministry of Industry and Trade
- The said member is not a member of the board of any public shareholding company in Jordan.

9. Riad Abdul Mohsen Taher Al Dajani (Non-Executive, Independent Director)

Chairman of Audit Committee and Member of Corporate Governance Committee

Year of Birth: 1940

Academic Qualifications:

- MA in Accounting from DePaul University in Chicago, USA
- Member of the American Institute of Certified Public Accountants
- Founder and member of the JCPA

Work Experience:

- Managing Partner at Arthur Andersen & Co.
- Managing Partner at Dajani & Alaa Eddine Company, Jordan
- Former Chairman of Al-Mashreq Insurance Company, Ramallah
- Chairman of Jericho Tourist Village Company, Jericho
- Former Trustee at the Saint John Eye Hospital, Jerusalem
- Former Trustee at the St. Joseph's Hospital, Jerusalem
- Former Member of the Palestinian Centre for Microfinance, Jerusalem
- The said member is not a member of the board of any public shareholding company in Jordan.

10. Jabra "Raja Yaqoub" Jabra Ghandour (Non-Executive, Independent Director)

Chairman of the Nominations and Remuneration Committee, and Member of the Compliance Committee and IT Governance Committee

Year of Birth: 1962

Academic Qualifications: MA in Architecture from University of Texas, USA, and BA in Civil Engineering from Arlington University, USA

Work Experience:

- CEO of Boubyan Capital Investment Company (7/2018 to date)
- Board Member of bank of London and the Middle East (2015 to date)
- CEO of bank of London and The Middle East (2015-2016)
- CEO and Board Member of Qatar International bank (2012-2015)
- General Manager of National bank of Kuwait (Jordan) (until 2012)
- The said member is not a member of the board of any public shareholding company in Jordan.

Names of resigned board members in 2020

No members submitted their resignations in 2020. LAFICO's representatives were replaced on 20/02/2020.

The information below is as of December 31, 2019.

Brief profile of Mr. Sami Mohammad Abdullah Al-Mabrouk

LAFICO's Representative (Non-Executive, Non-Independent Director) until 20/02/2020.

Member of the Management Committee and Credit Facilities Committee

Year of Birth: 1970

Academic Qualifications:
- MA in Financial Markets
- BA in Economics

Work Experience:
- Chairman of the Long-Term Investment Portfolio Management Committee
- Director of the Regional Office, Amman

Memberships:
- Member of several boards of directors and management committees at various companies; former member of the Board of Directors of the Libyan Foreign Investment Company and the World Trade Center in Cairo (present); member of the Board of Directors of LAFICO Algeria; and Chairman of the Board of Directors of the Iskan Co. for Tourism & Hotel Investment
- The said member is not a member of the board of any public shareholding company in Jordan.

Brief profile of Mr. Idris Mohammed Al-Warfali

LAFICO's Representative (Non-Executive, Non-Independent Director) until 20/02/2020.

Member of the Audit Committee, Risk Committee and Compliance Committee

Year of Birth: 1963

Academic Qualifications: PhD in Accounting, Banking Risk Assessment

Work Experience:
- Advisor to the Deputy Governor for Risk, to date
- General Director of Banking Supervision at the Central bank of Libya, to date
- Board Member of the Libyan Investment Authority, to date
- Board Member of the Long Term Investment Portfolio, to date
- Adjunct Professor of Credit Management and Banking Risk Management, the Faculty of Economics/Finance Department at the University of Benghazi (present)
- Board Member of Wahda bank (2014)
- Chairman of the Board of Directors of Aman bank (until 2012)
- Chairman of the Liquidity Crisis Management Committee at the Central bank of Libya (until 5/2012)
- Director of the Risk Management Department at Wahda bank (2007-2011)
- Director of the Banks Supervision Department at the Central bank of Libya (until 11/2011)
- Board Member of Eddekhar Bank
- Member of the Banking Risk Management Committee at the Depositors Insurance Fund of Libya

Board committees:

- Audit Committee
- Corporate Governance Committee
- Risk Committee
- Compliance Committee
- Nominations and Remuneration Committee
- IT Governance Committee
- Management Committee
- Credit Facilities Committee

Number of board and board committee meetings:

Board meetings: 11 meetings

Member's name	Attendance Information										
	20/2	30/4	29/7	17/9	28/9	22/10	28/10	26/11	3/12	17/12	21/12
Isam Halim Salfiti	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Bassem Isam Salfiti	Absence	Attended	Attended	Absence	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Mohammad Nabil Abdel-Hadi Hammoudeh	Attended	Attended	Attended	Absence	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Jabra Raja Yaqoub Jabra Ghandour	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Mughith Ghiath Sukhtian	Absence	Attended	Attended	Absence	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Riad Abdul- Mohsen Taher Al-Dajani	Attended	Absence	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Social Security Corporation/ Jalal Al-Ajloun	-	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Rana Jamil Said Abbadi	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Absence	Attended	Absence
Idris Mohammed Al- Warfali/ LAFICO until 20/02/2020	-	-	-	-	-	-	-	-	-	-	-
Amjad Abu Rawi as of 28/10/2020	-	-	-	-	-	-	Attended	Attended	Attended	Attended	Attended
Imad Mohammad Abdel Khaleq	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Absence

1. Audit committee: 10 meetings

Member's name	Attendance Information									
	30/1	20/2	29/4	28/6	28/7	24/9	27/9	29/2	27/10	21/12
Riad Abdul- Mohsen Taher Al-Dajani	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Social Security Corporation/ Jalal Anwar Mousa Al- Ajlouni	Attended	-	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Rana Jamil Said Abbadi	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended
Idris Mohammed Al- Warfali/LAFICO until 20/02/2020	Attended	-	-	-	-	-	-	-	-	-
Amjad Abu Rawi as of 28/10/2020	-	-	-	-	-	-	-	-	-	Absence
Imad Mohammad Abdel Khaleq	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Attended	Absence

2. Corporate governance committee: 2 meetings

Member's name	Attendance Information	
	23/9	29/12
Isam Halim Jiryes Salfiti	Attended	Attended
Riad Abdul-Mohsen Taher Al-Dajani	Attended	Attended
Rana Jamil Said Abbadi	Attended	Attended

3. Risk management committee: 4 meetings

Member's name	Attendance Information			
	15/4	5/6	16/7	19/11
Bassem Isam Halim Salfiti	Attended	Attended	Attended	Attended
Imad Mohammad Abdel Khaleq/ Ithmar Supply Company	Attended	Attended	Attended	Attended
Mughith Sukhtian	Attended	Attended	Attended	Attended
Mr. Amjad Samir Abu Rawi *as of 28/10/2020	-	-	-	Attended

4. Compliance committee: 4 meetings

Member's name	Attendance Information			
	20/2	06/08	09/15	17/11
Rana Jamil Said Abbadi	Attended	Attended	Attended	Attended
Jabra Raja Yaqoub Jabra Ghandour	Attended	Attended	Attended	Attended
Idris Mohammed Al- Warfali/ LAFICO Until 20/02/2020	Excused Absence	-	-	-
Riad Abdul-Mohsen Taher Al-Dajani (20/02/2020 - 28/10/2020)	-	Excused Absence	Excused Absence	-
Social Security Corporation/ Jalal Al-Ajlouni As of 28/02/2020	-	Attended	Attended	Attended

5. Nominations and remuneration committee: 3 meetings

Member's name	Attendance Information		
	23/3	27/6	14/10
Imad Mohammad Abdel Khaleq/Ithmar Supply Company	Attended	Attended	Attended
Mohammad Nabil Abdel- Hadi Hammoudeh	Attended	Attended	Attended
Jabra Raja Yaqoub Jabra Ghandour	Attended	Attended	Attended

6. IT governance committee: 4 meetings

Member's name	Attendance Information			
	16/01	06/28	28/09	01/12
Bassem Salfiti	Attended	Attended	Attended	Attended
Jabra Ghandour	Attended	Attended	Attended	Attended
Mughith Sukhtian	Attended	Attended	Attended	Attended

7. Management committee: 11 meetings

Attendance Information	Member's name			
	Mohammad Nabil Abdel- Hadi Mohammad Hammoudeh	Mughith Ghiath Muneir Sukhtian *as of 20/02/2020	Bassem Isam Halim Salfiti	Sami Mohammad Abdullah Al- Mabrouk
09/01	Attended	-	Attended	Excused Absence
06/02	Attended	-	Excused Absence	Attended
13/02	Attended	-	Attended	Attended
05/03	Attended	Excused Absence	Attended	-
15/03	Attended	Attended	Attended	-
07/05	Attended	Attended	Attended	-
14/05	Attended	Attended	Attended	-
29/06	Attended	Attended	Attended	-
22/10	Attended	Attended	Attended	-
09/11	Attended	Attended	Attended	-
29/11	Attended	Attended	Attended	-

8. Credit facilities committee: 28 meetings

Attendance Information	Member's name				
	Isam Halim Jiryes Salfiti	Mohammad Nabil Abdel- Hadi Mohammad Hammoudeh	Mughith Ghiath Muneir Sukhtian	Bassem Isam Halim Salfiti	Sami Mohammad Abdullah Al- Mabrouk Until 20/02/2020
09/01	Attended	Attended	Attended	Attended	Excused Absence
16/01	Attended	Attended	Attended	Attended	Excused Absence
29/01	Attended	Attended	Attended	Attended	Attended
06/02	Attended	Attended	Attended	Excused Absence	Attended
13/02	Attended	Attended	Excused Absence	Attended	Attended
27/02	Attended	Attended	Attended	Attended	-
03/05	Attended	Attended	Attended	Attended	-
15/03	Attended	Attended	Attended	Attended	-
03/05	Attended	Attended	Attended	Attended	-
07/05	Attended	Attended	Attended	Attended	-
14/05	Attended	Attended	Attended	Attended	-
01/06	Attended	Attended	Attended	Attended	-
11/06	Attended	Attended	Attended	Attended	-
18/06	Attended	Attended	Attended	Attended	-
29/06	Attended	Attended	Attended	Attended	-
09/07	Attended	Attended	Attended	Attended	-
16/07	Attended	Attended	Attended	Attended	-
26/07	Attended	Attended	Attended	Attended	-
16/08	Attended	Attended	Attended	Attended	-
03/09	Attended	Attended	Attended	Attended	-
17/09	Attended	Attended	Attended	Attended	-
04/10	Attended	Attended	Attended	Attended	-
22/10	Attended	Attended	Attended	Attended	-
09/11	Attended	Attended	Attended	Attended	-
19/11	Attended	Attended	Attended	Attended	-
29/11	Attended	Attended	Attended	Attended	-
03/12	Attended	Attended	Attended	Attended	-
10/12	Attended	Attended	Attended	Attended	-

- Number of the meetings held by the Audit Committee with the External Auditor during 2020: 5 meetings.
- The Executive Director of the Compliance Department shall act as the bank's Governance Liaison Officer

Third: names and titles of senior executive management

Executive Title	Name
CEO	Nadia Helmi Hafez Al-Saeed
Deputy CEO	Deema Mefleh Mohammed Akel
Head of Corporate Banking	"Mohammed Ghasseb" Abdullah Abdel- Majeed Hatamleh
Head of Credit & Credit Management	Tarik "Mohammed Said" Hasan Badawi
Head of Central Operations	Mohamed Mahmoud Ahmed Burjak
Head of Finance	Zaid Eyad Akram Kamal
Head of Human Resources and Customer Experience	Daniel Fawaz Odeh Al-Sharaiha
Head of Audit	Bashar "Mohammed Khair" Awad Ababneh
Head of Retail Banking	Mohammed Ragheb Hussein Othman*
Head of SME Department	Mahmoud Tayseer Ahmad Badwan**
Head of Treasury	Fadi "Ahmad Kamal" Marei Marei
Head of Technology	Amer "Mohammad Kheir" Zaki Abu Laila
Head of Risk Management	Khaled Abdel-Malek Mohamed Abdel- Malek
Head of Corporate Communications & Marketing	Natalie Mazen Yousef Al-Naber
Executive Manager of Compliance	Tamer Wasef "Mohamed Moussa" Barakat

*Mr. Mohammed Othman resigned from his position as Head of Retail Banking on 24/06/2020.

**Mr. Mahmoud Badwan has been assigned the position of Head of Retail Banking as of 26/10/2020 in addition to his duties as Head of SMEs.

Isam Halim Salfiti
Chairman

Disclosures required by the Jordan securities commission and corporate governance instructions

Main activities of the bank:

The bank provides all banking, credit and financial services and products for individuals, SMEs and large companies, opens outward and inward documentary LCs and issues local and foreign letters of guarantee to all customers.

The bank also accepts deposits of all types (demand, savings, time and certificates of deposit).

Geographical locations of the bank and the number of employees in each of them:

The number of the bank's branches spread throughout the Kingdom was 52 branches in 2020 in addition to the Central Exchange Unit, Boulevard Exchange Unit, Bonded Warehouses, Etihad Leasing Company, Etihad Financial Brokerage Company, Islamic Investment Company and Etihad Financial Technology Company.

The addresses of each of them are detailed at the end of the report (under the "Network of Branches, Subsidiaries and Exchange Offices in the Hashemite Kingdom of Jordan"):

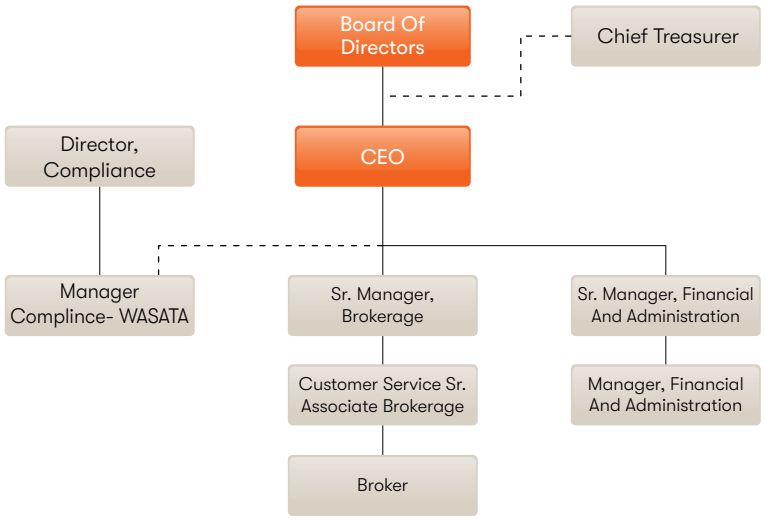
Branch Name/Location	No. of Employees	Branch Name/Location	No. of Employees
Head Office	681	Shmeisani	16
Jabal Amman	5	Dabuq	9
Gardens	10	Sweifieh	8
Mecca Street	10	Jubaiha	7
City Mall	19	Dahiyat al Yasmin	7
Marj Al-Hamam	8	Wasat al-Balad	6
Wihdat	7	Marka Al-Shamaliyeh	8
Taj Mall	15	Abdoun	9
North Abdoun	6	Um Uthaina	6
JoPark	7	Jabal al Hussein	7
Rainbow Street	5	Irbid University	5
Bayader	8	Rabieh	5
Karak	8	Khalda	8
Sahab	6	Tabarbour	7
Al-Hashimi Al-Shamali	5	Madaba	8
Zarqa	8	New Zarqa	8
Ramtha	6	Irbid	9
Huson	5	Aqaba	8
Mahes	5	Abdali Mall	12
Mafreq	7	New Amman Center/Irbid	10
Moqabalein	7	Highway Mall	5
Dahiyat Al-Rasheed	8	Sweileh	5
Abu-Alanda	4	Sports City	6
Business Center	4	Salt	6
Shafa Badran	8	Bonded Warehouses	8
Sweifieh Village	5	Dabuq 2	5
Jerash	5	Zarqa, Free Zone	5
Direct Sales Unit	42	Contact Center	60
Central Exchange Unit/Shmeisani	17	Boulevard Exchange Unit	2
Etihad Financial Brokerage Company	5	Etihad Leasing Company	9
Etihad Financial Technology Co.	5	Islamic Investment Company	-
Total	**1215**		

Capital investment size

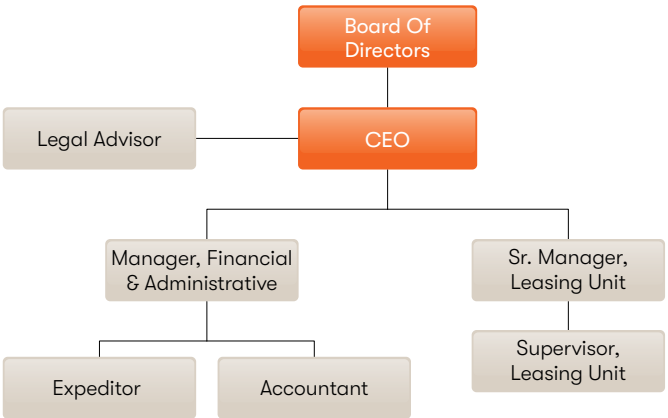
Capital investment as at 31/12/2020 amounted to JOD15.4 million.

Subsidiaries of the bank:

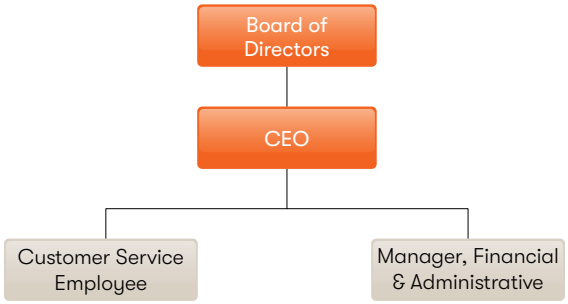
1. **Etihad Financial Brokerage Company:** It is a wholly owned subsidiary established in 2006 and it offers services in financial brokerage, acts as a financial dealer, investment trustee and financial consultant, and engages in investment management and margin trading.



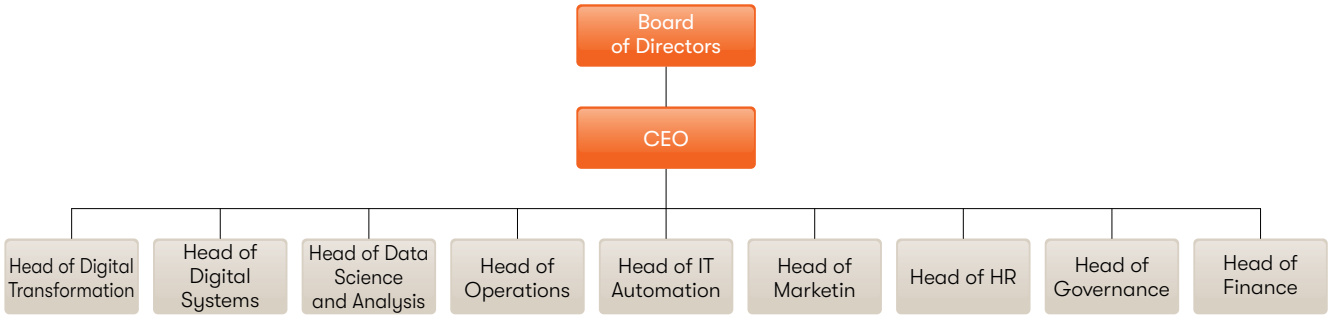
2. **Etihad Leasing Company:** It is a wholly owned subsidiary, established in 2015, and it engages in financing the purchase of vehicles and automobiles; renting and taking possession of movable and immovable property for the purpose of conducting financial leasing; borrowing the necessary funds from banks and mortgaging property for the purpose of conducting financial leasing; buying, selling, trading in, importing and exporting fixed goods including machinery and equipment and selling them in cash or in installments or through financial leasing; opening accounts for the Company at banks and financial companies inside and outside Jordan for the purpose of conducting financial leasing; and partnering with individuals and commercial, industrial and financial companies as well as financial institutions and companies and banks inside and outside Jordan.



3. **Islamic Investment Company:** It was established by the bank on 30 November 2016, and the bank owns 58% of its capital. The Company was primarily founded to acquire a controlling stake (62.4%) in Jordan Dubai Islamic bank (Safwa Islamic Bank).



4. **Etihad Financial Technology Company:** It is a wholly owned subsidiary established in 2019. It engages in investing in the areas of financial technology, financial education and financial inclusion; manufacturing and selling electronic and electrical communication devices related to financial technology; and manufacturing, programming, developing and supplying programs, systems or applications related to financial technology and their supplies.



Names and profiles of former and present board members:

This item was included in detail in the report under the "Corporate Governance Report for Listed Shareholding Companies".

Names and titles of senior executive management:

Nadia Helmi Hafez Al-Saeed

CEO

Year of Birth: 1965

Academic Qualifications:
- MBA in Finance and Management Information Systems from the American University in Cairo, 1992
- BA in Economics and Business Administration from the University of Jordan

Work Experience:
- CEO of Bank al Etihad
- Strategic Development Consultant at Bank al Etihad
- CEO of Dead Sea Development Company
- Minister of Information and Communications Technology
- Secretary General of the Ministry of Information and Communications Technology
- Economic Advisor to Minister of Information and Communications Technology
- 10 years of banking experience at Bank al Etihad, holding several key positions, the last being: Director of the Corporate Banking Department
- Jordanian Group for Technology
- Najjar Group, Cairo

Memberships:
- Vice Chairperson of the Board of Directors of Etihad Financial Brokerage Co.
- Vice Chairperson of the Board of Directors of Etihad Leasing Co.
- Vice Chairperson, Etihad Financial Technology Company
- Board Member, Etihad Islamic Investment Company
- Board Member, Jordan Payment Systems Co.
- Board Member, Jordan Strategy Forum
- Board Member, Endeavor Jordan
- Board Member, Haya Cultural Center

Deema Mefleh Mohammed Akel

Deputy CEO

Year of Birth: 1968

Academic Qualifications:
- MBA from Imperial College London, UK, 2001
- MA in Financial Markets, 1998
- BA in Electrical Engineering, 1990

Work Experience:
- Deputy General Manager at Bank al Etihad (since 1/2012)
- Assistant General Manager of Risk Management and Compliance at Bank al Etihad (until 1/2012.
- Assistant General Manager/Head of Risk Management and Compliance at Ahli bank (2005 - 2007)
- Head of Risk Management and Credit Policy at Housing bank for Trade and Finance (2004 - 2005)
- Credit Risk Manager at Arab bank (1990 - 2004)
- Board Member of Etihad Financial Brokerage Co.
- Board Member of Etihad Leasing Co.
- Board Member of Safwa Islamic Bank

"Mohammed Ghasseb" Abdullah Abdel-Majeed Hatamleh

Head of Corporate Banking

Year of Birth: 1971

Academic Qualifications:
- MBA in Finance from NYIT/Jordan, 2007
- BA in Economics from Damascus University, 1993

Work Experience:
- Bank al Etihad (since 06/1999)
- Cairo Amman bank (1994 - 1999)
- Board Member of Commercial Banks Company
- Board Member of Commercial Banks for Investment Co.
- Board Member, the National Company for Investment in Infrastructure Projects

Bashar "Mohammed Khair" Awad Ababneh

Head of Internal Audit

Year of Birth: 1970

Academic Qualifications:
- MBA in Finance from Birmingham City University, UK, 1999
- BA in Accounting from the University of Jordan, 1994
- CBA, ACPA, Passed Level I CFA

Work Experience:
- Bank al Etihad (08/2008 to date)
- Executive Manager of Internal Audit at Arab Banking Corporation (2005 - 2008)
- Assistant Executive Manager - Senior Financial Analyst at Deposit Insurance Corporation (2002 - 2005)
- Banks' Inspector and Financial Analyst at the Central bank of Jordan (1994 - 2002)
- Vice-Chairman of Al Daman Investment Company - Bank al Etihad's representative
- Chairman of the Executive Committee and Member of the Governance Committee/ Al Daman Investment Company - Bank al Etihad's representative
- Former Chairman of the Audit Committee and Member of the Nominations and Remuneration Committee/Al Daman Investment Company - Bank al Etihad's representative
- Chairman of Audit Committee/King Hussein Foundation

Tarik "Mohammed Said" Hasan Badawi

Head of Credit & Credit Management

Year of Birth: 1966

Academic Qualifications:
- MBA in Accounting from the University of Jordan, 1995
- BA in Accounting, sub-major in Economics from the University of Jordan,1987

Work Experience:
- Bank al Etihad (10/2008 to date)
- Credit Manager for the Eastern Province at bank Al Jazira, Saudi Arabia (2007-2008)
- Arab bank, Credit Supervisor in the Credit Facilities Department, Jordan and Palestine Branches (2005-2007)
- Credit Supervisor at bank Audi, Amman, Jordan (2004-2005)
- Arab bank, Credit Supervisor in the Credit Facilities Department, Jordan and Palestine Branches (1991-2004)

Mohamed Mahmoud Ahmed Burjak

Head of Central Operations

Year of Birth: 1972

Academic Qualifications:

- BA in Accounting from Al-Ahliyya Amman University, Jordan (1994)
- Certified Business Process Re-Engineering Practitioner (2004)

Work Experience:

- Bank al Etihad (08/2008 to date)
- Expert in international trade operations with over 24 years of experience in trade finance and banking operations
- Commercial Operations Manager at Jordan Commercial bank (Jordan) (2005-2008)
- Arab bank (Jordan), Riyadh bank (Saudi Arabia), and Capital bank of Jordan (Jordan) (1994-2005)
- Chairman of the National Banking Commission at the International Chamber of Commerce (Jordan)
- Member of the ICC Banking Commission – Paris, and member of the ICC Task Force on Guarantees – Paris
- Member of Paris ICC Uniform Customs and Practice for Documentary Credits (UCP 600) Consulting Group
- Arbitrator in numerous international documentary disputes in the field of international trade operations

Daniel Fawaz Odeh Al-Sharaiha

Head of Human Resources and Customer Experience

Year of Birth: 1977

Academic Qualifications:

- BA in Electrical Engineering from Al-Balqa Applied University, 2000
- Registered Lead Assessor of Quality Management Systems, 2005
- MS Project, 2007
- Conflict Transformation Masters Program at Eastern Mennonite University, USA, 2009
- Certified Human Resources Executive Professional from Zain Academy, Bahrain/ Kenya, 2010
- Certified Dialogue Education Practitioner and Teacher from Global Learning Partners, Canada, 2012
- Certified HR Strategic Management Professional, London Business School, London, 2014
- Certified Business Strategy Executive, INSEAD University, Singapore, 2017
- Institutional Change and Human Resource Management, University of London, 2018
- Advanced Certificate in Business Administration from IE and AUB, 2/2019-6/2019

Work Experience:

- Bank al Etihad (09/2010 to date)
- Consultant and certified trainer in the field of human resources and customer experience management at several international public and private companies and NGOs (2005-2010)
- Talent and Development Executive Manager, Human Resources Department, at Zain-Jordan (2002-2010)
- Electrical Engineer at Setelcom (2000-2002)

Fadi "Ahmad Kamal" Marei Marei

Head of Treasury, Investment and Financial Institutions

Year of Birth: 1978

Academic Qualifications:
- MBA from the University of Liverpool, UK, 2016
- BA in Banking and Finance from Yarmouk University, 2001
- ACI Dealing Certificate, 2007
- Underwriting license from the Securities Commission, 2013
- Investment management license from the Securities Commission, 2015
- Financial advisor license from the Securities Commission, 2015

Work Experience:
- Bank al Etihad (08/2002 to date)
- Board Member of Etihad Financial Brokerage Co.
- Board Member, Al Tajamouat for Tourism Projects Co. (TAJM)

Zaid Eyad Akram Kamal

Head of Finance

Year of Birth: 1980

Academic Qualifications:
- BA in Business Administration with a sub-major in Finance and Banking from Yarmouk University, 2001
- CPA from the American Accounting Association

Work Experience:
- Bank al Etihad (04/2014 to date)
- Financial Director at the Military Credit Fund (2011-2014)
- Financial Controller at Standard Chartered Jordan (2007-2011)
- Senior Accountant at Capital bank of Jordan (2004-2007)
- Assistant Department Head at Amman Cairo bank (2001-2004)

Amer "Mohammad Kheir" Zaki Abu Laila

Head of Technology

Year of Birth: 1982

Academic Qualifications:
- BA in Business Networking and Systems Management from Philadelphia University, 2005

Work Experience:
- Bank al Etihad (11/2016 to date)
- Co-founder and Chief Technology Officer at MarkaVIP (2010-2016)
- Chief Technology Officer at Aram Creative Productions (2007-2010)
- IT and Development Manager at Quality Management Systems, Resourcing Services LTD (2006-2007)

Mahmoud Tayseer Ahmad Badwan

Head of SME Department

Head of Retail Banking (acting) as of 26/10/2020

Year of Birth: 1982

Academic Qualifications:
- MSc in Accounting and Finance from Hashemite University, 2008
- BA in Accounting from Yarmouk University, 2004

Work Experience:
- Bank al Etihad (07/2013 to date)
- Financial Manager at Al Rashid Hospital Center for Psychiatry and Addiction (2012-2013)
- Head of SME Department at Jordan Ahli bank (2007-2012)
- Customer Relationship Manager at Housing bank for Trade and Finance (2004-2007)

Natalie Mazen Yousef Al-Naber

Head of Corporate Communications & Marketing

Year of Birth: 1985

Academic Qualifications:
- BA in Marketing from Franklin University, Switzerland, 2007

Work Experience:
- Bank al Etihad (03/2013 to date)
- Communications Manager at Saraya Aqaba (2011-2013)
- Market Research Analyst at Saraya Development Group (2010-2011)
- Communication Executive at Saraya Development Group (2007-2010)

Khaled Abdel-Malek Mohamed Abdel-Malek

Head of Risk Management

Year of Birth: 1982

Academic Qualifications:
- MBA in Corporate Risk Management from the University of Salford, UK, 2007
- BA in Finance from the University of Jordan, 2003

Work Experience:
- Bank al Etihad (2010 to date)
- Manager of Risk Models and Management Information Systems, Bank al Etihad (2010- 2011)
- Market Risk Officer, Cairo Amman bank (2007-2010)
- Credit Officer, Cairo Amman bank (2003-2006)

Tamer Wasef "Mohamed Moussa" Barakat

Executive Manager, Compliance

Year of Birth: 1986

Academic Qualifications:

- MBA from the German Jordanian University, 2012
- BA in Finance from the University of Jordan, 2008
- Certified Anti-Money Laundering Specialist (CAMS)
- Certified Financial Crime Specialist (CFCS)
- Certified Fraud Examiner (CFE)
- ICA Advanced Certificate in Managing Sanctions Risk
- COBIT Foundations Certificate
- COBIT Implementation Certificate

Work Experience:

- Bank al Etihad (2018 to date)
- Compliance Director, bank ABC (Jordan) (03/2016)
- Arab bank - Jordan: Assistant Director of Compliance (08/2012)
- Jordan Ahli Bank: Commercial Services Officer (Credits) (04/2008)

Mohammed Ragheb Hussein Othman

Head of Retail Banking (resigned on 30/06/2020)

Year of Birth: 1980

Academic Qualifications:

- MA in Management Information Systems from the Arab Academy for Banking and Financial Sciences in Jordan, 2007
- BA in Accounting from the Hashemite University, 2002
- CIB Certificate from AAOIFI in Bahrain, 2012

Work Experience:

- Bank al Etihad (04/2014-06/2020)
- Director of Asset Management at Al Rajhi bank Jordan (2010-2013)
- Director of Product Development, at Jordan Ahli bank (2006-2010)
- Officer in charge of card development and profitability at Arab bank (2003-2006)

Names of major shareholders with equity exceeding 5%

Shareholder's Name	No. of shares as at 2020/12/31	%	Pledged Shares	Beneficiary	No. of shares as at 31/12/2019	%	Pledged Shares	Beneficiary
Libyan Foreign Investment Company	32,413,763	20.3	-	-	32,413,763	20.3	-	-
BLOM bank FRANCE	27,435,967	17.14	-	-	27,435,967	17.14	-	-
RS FINANCE	24,156,723	15.1	16,429,000	SGBJ	24,149,840	15.1	16,429,000	SGBJ
Isam Halim Jiryes Salfiti	15,207,886	9.5	6,276,508	SGBJ	15,207,886	9.5	6,276,508	SGBJ
Total			2,000,000 **8,276,508**	NBK/Bahrain Branch			2,000,000 **8,276,508**	NBK/Bahrain Branch
Social Security Corporation	13,549,074	8.5	-	-	13,473,212	8.42	-	-

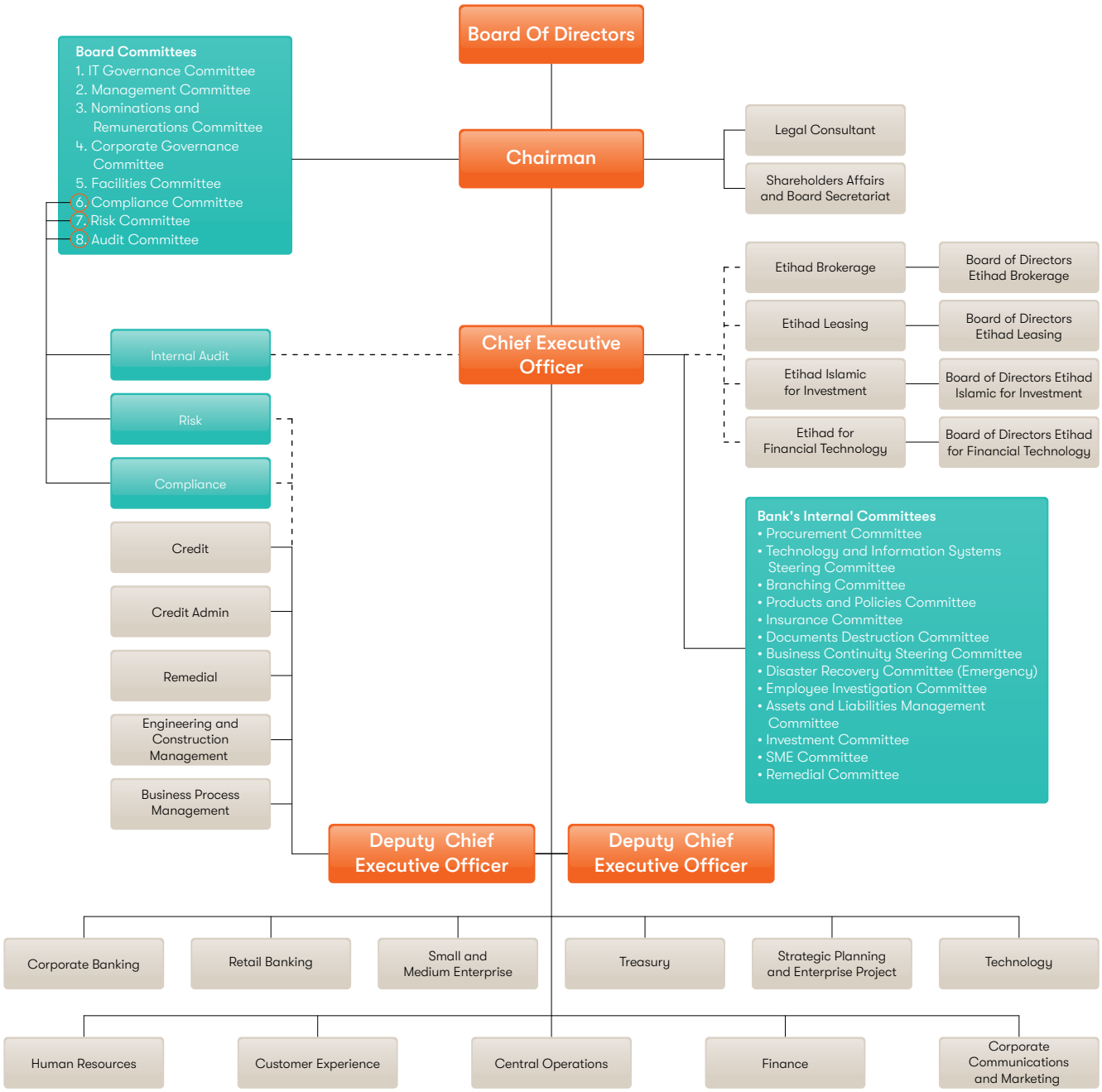
The bank's competitive position by business segment and market share:

This item is contained within the Analysis of Financial Position and Operating Results of 2020.

Additional declarations:

- The bank does not rely on suppliers or customers (locally and internationally) that account for 10% or more of total purchases or earnings.
- The bank and its products and services do not enjoy any government protection or privileges under laws. regulations or otherwise.
- The bank has not obtained any patents or franchise rights.
- There are no decisions issued by the government or international organizations that have material effect on the bank's business or competitiveness.
- The bank obtained the ISO Information Security Management System Certificate (ISO/IEC 27001:2013).

Organizational structure of the bank



Number of employees

At the end 2020, the number of the bank's employees reached 1,215 employees as follows:

- Head Office and branches in Jordan: 1,196
- Etihad Financial Brokerage Company: 5
- Etihad Leasing Company: 9
- Etihad Financial Technology Company: 5

Following is a classification of employees according to their academic qualifications:

Academic Qualification	Head Office and Local Branches	Etihad Financial Brokerage Company	Etihad Leasing Company	Etihad Financial Technology Company
PhD	-	-	-	-
Master's Degree	63	-	1	-
Higher Diploma	-	-	-	-
Bachelor's Degree	1,005	4	7	5
Diploma	30	-	-	-
Tawjihi	46	-	-	-
Below Tawjihi (couriers, drivers, guards)	52	1	1	-
Total	**1,196**	**5**	**9**	**5**

Training and development:

Bank al Etihad believes in the importance of developing employees' skills and knowledge. The bank achieved its 2020 training objectives by enhancing the employees' academic and professional competence in the banking and financial sectors through offering its employees a variety of academic and training programs inside and outside Jordan.

The following table gives a breakdown of the number and type of training programs provided by the bank during 2020:

Description	No. of Participants		Branches		Head Office	
	No.	%	No.	%	No.	%
Local training courses	551	3.24%	136	1.43%	415	5.5%
Training courses abroad	6	0.04%	0	-	6	0.08%
The bank's Training Center	544	3.20%	204	2.15%	340	4.51%
Online Training	15,866	93.21%	9,143	96.36%	6,723	89.25%
Professional Certifications	54	0.32%	5	0.06%	49	0.7%
Total	**17,021**	**100%**	**9,488**	**100%**	**7,533**	**100%**

To keep up with the latest developments in professional programs and certificates, 54 employees from various departments obtained professional certifications.

In line with the bank's policy aimed at serving the local community and making use of future cadres to fill possible vacancies within the bank, Bank al Etihad provided training to 46 students from schools and universities as well as fresh university graduates, from inside and outside of Jordan, as shown in the table below.

Universities and Institutions	Number of Students Trained
Universities	32
Elia Nuqul Foundation	2
Om Duramn National Bank	2
German Jordanian University	4
Schools	5
Columbia University	1
Total	**46**

Risks faced by the bank

Credit risk

Credit risk refers to the risk resulting from a borrower's inability or unwillingness to fulfill their obligations to the bank (principal of loans and/or associated interest and commissions).

To reduce and control the impact of credit risk, the bank uses a variety of techniques to ensure its stability and safety. The bank adopts a strategy of diversifying the credit portfolio as a tool to mitigate credit risk. To that end, concentration risk is managed by means of credit limits across economic sectors, geographical areas, credit ratings and products.

The bank also uses tools to measure credit risks to ensure that uncalculated risks do not arise and to early detect any decline in the portfolio risk.

To assess future risks, the bank regularly performs stress testing using adverse economic and commercial scenarios to identify mechanisms that help avoid these risks or mitigate their impact.

Market risk

Market risk arises from changes in interest rates, exchange rates, and prices of securities and other instruments held by the bank such as metals, where price fluctuations cause the bank to incur losses as a result of on- or off-balance-sheet positions.

The bank adopts a conservative policy in the management of these risks and constantly monitors the market positions and the bank's investment portfolio through an impartial and independent office to ensure compliance with the limits set forth in the market risk policies approved by the Central bank and the Board of Directors of Bank al Etihad.

A conservative investment policy has been developed to protect the bank against unacceptable levels of risk and to maintain its profitability.

Interest rate risk

Interest rate risk refers to losses arising from fluctuations in market interest rates, or from changes in the prices of products as a result of changes in interest rates, negatively impacting the bank's revenues and equity.

These risks arise when there is a mismatch between the re-pricing dates of assets and liabilities, which may decrease revenues as a result of the time differences between the re-pricing dates.

Interest rate risk lies in debt instruments and derivatives that include debt instruments, in addition to other derivatives whose value is linked to market prices.

In general, long-term bonds are more sensitive to interest rate risk than short-term bonds.

The Assets and Liabilities Committee manages the interest rate risk. The committee receives reports on the interest rate re-pricing gap on a regular basis in addition to reports on sensitivity to changes in interest rates, which show that the impact of these risks is at the minimum level.

Liquidity risk

Liquidity risk refers to the risk that arises from the bank's inability to meet its financial obligations to depositors within reasonable time and cost. In other words, liquidity risk refers to insufficient liquidity for regular operating requirements.

The bank plans liquidity at two levels:

1. Level I: It has to do with the management of statutory and monetary reserves to ensure compliance with regulatory requirements and internal policies.
2. Level II: It has to do with forecasting the bank's cash needs in the coming periods.

Liquidity risk is managed through a liquidity strategy that is prepared by the Senior Management of the bank. This strategy takes into account diversifying the sources of funds, maintaining a reasonable balance of financial instruments readily realizable in the financial market, diversifying maturity dates of credit facilities, avoiding

concentration of customer deposits and fund investments, and maintaining limits with correspondent banks and ensuring easy access to them within reasonable time and cost.

The bank relies on a contingency plan for liquidity that is updated and reviewed periodically to ensure the availability of the necessary liquidity during emergencies.

Operational risk

Operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people or systems, or from external events. This definition also includes legal risks and risks related to regulatory authorities.

The bank's operational risk policy covers the role of Operational Risk Management in periodically identifying, assessing, following up on and controlling operational risks, as well as compliance with all relevant regulations to mitigate some or all of the negative effects of these risks. Multiple mechanisms are utilized to manage these risks, the first of which is the adoption of the Control Risk Self-Assessment (CRSA) system through which the risks and control procedures of the various departments and/or units are identified, examined and assessed to detect weaknesses and measure the effectiveness of the control procedures in place. Each of these procedures is examined periodically and results are reported to the operating units and Senior Management of the bank. The aim is to evaluate the effectiveness and efficiency of these procedures so as to improve weak procedures or develop new procedures to prevent or mitigate risks. Moreover, the Operational Risk Management develops key risk indicators that enhance the risk control mechanism, being an early warning tool that enables decision makers to identify undesirable events and potential losses before they occur.

The Operational Risk Management also builds a database of the financial losses resulting from operational risks in order to evaluate the size of operational risks facing the bank and the efficiency of control procedures applied. The bank's operational risk management process does not aim to design systems that eliminate all potential operating risks, but to understand the financial and other potential impacts of such risks and develop regulatory procedures and systems that can, if sustained, keep such risks within acceptable levels.

Compliance risk

Compliance risk is also known as integrity and reputational risk. It is related to the risk of regulatory or legal sanctions (penalties), material losses, or reputational risks faced by the bank due to non-compliance with laws, regulations, instructions, codes of conduct and sound banking practices.

The Executive Management bears full responsibility for drawing up and implementing the compliance policy, getting it approved by the Board of Directors, and circulating it among the bank's departments and employees. Management at all levels is responsible for ensuring that proper procedures and measures are implemented when violations resulting from non-compliance are discovered. In addition, the Management is responsible for employing competent and qualified staff and providing the necessary resources to establish an independent compliance monitoring unit to implement compliance policies.

Furthermore, to ensure the highest level of integrity and transparency, the bank adopts internal policies and procedures as part of a solid framework of internal controls, which are reviewed periodically.

Information security risk

Information security risk management is based on the use of methods, tools and procedures and adoption of international standards aimed to ensure the protection of information from internal and external threats and to prevent access to information by unauthorized users. It is also related to maintaining the confidentiality, integrity and availability of information and related supporting systems.

To that end, the bank employs qualified staff and resources and contracts third parties to provide protection from information and cybersecurity threats.

The concerned department at the bank develops information and cyber-security policies, standards and procedures in line with international best practices and standards to protect the bank's assets. It also updates and develops the best plans to ensure business continuity and uninterrupted provision of all services to all its customers during times of disasters and crises. Not only this, but it monitors compliance with information security standards, taking advantage of the latest technologies and systems.

Risk management's organizational structure



The bank's activities and achievements

The bank's achievements are detailed under "Analysis of Financial Position and Operating Results of 2020" and "Achievements of 2020 and Future Plans and Strategy".

Financial impact of non-recurring transactions as well as operations outside the bank's core business

There has been no financial impact of non-recurring operations that occurred during the fiscal year that are not within the bank's core business. Moreover, the bank has not carried out any operations outside its core business.

Realized profits/losses, distributed cash dividends and net shareholders' equity for the years 2016-2020

Year	2020	2019	2018	2017	2016
Realized profits	30,044,044	38,016,223	41,085,911	34,799,083	29,235,822
Distributed cash dividends	-	-	22,400,000	16,000,000	12,500,000
Proposed dividends	16,000,000	-	-	-	-
Equity - Shareholders of the Bank	407,955,721	387,273,066	376,741,532	370,623,048	310,077,653

The bank's share price for the years 2016-2020

Year	2020	2019	2018	2017	2016
Price	JOD 1.560	JOD 1.608	JOD 1.600	JOD 1.620	JOD 2.010

Analysis of financial position and operating results of 2019

This item is detailed under "Financial Position and Operating Results of 2020".

Key future developments of the bank

Future developments and Board's expectations for the results of the bank's operations are reported as part of the "Strategic and Future Plans".

Amount of auditors' fees for the bank and its subsidiaries

The 2020 auditors' fees amounted to JOD 146.160 including sales tax, as follows:

Description	Amount
Bank al Etihad	126,440
Etihad Financial Brokerage Company	4,640
Etihad Leasing Company	4,640
Islamic Investment Company	3,480
Etihad Financial Technology Company	6,960
Total	**146,160**

Bank shares owned by board members and their relatives

Name	Date of appointment	Nationality	As at 2020				As at 2019			
			Board Member	Representative	Relatives	Total	Board Member	Representative	Relatives	Total
Isam Halim Salfiti	20/02/2020	Jordanian	15,207,886				15,207,886			
Samia Suleiman Sukkar (wife)	-	Jordanian			3,004,125	18,212,011			3,004,125	18,212,011
Bassem Isam Salfiti	20/02/2020	Jordanian	805,245			805,245	805,245			805,245
Libyan Foreign Investment Company (LAFICO)	20/02/2020	Libyan	32,413,763	-	-		32,413,763	-	-	
Represented by: Amjad Samir Abu Rawi	-	Libyan	-	-	-	32,413,763	-	-	-	32,413,763
Social Security Corporation Represented by: Mr. Jalal Al- Ajlouni	20/02/2020	Jordanian	13,549,074			13,549,074	13,473,212			13,473,212
Imad Mohammad Abdel-Khaleq	20/02/2020	German	4,294			4,294	144			144
Ithmar Supply Co. LTD represented by: Imad Mohammad Abdel-Khaleq	20/12/2015 Resigned on 20/02/2020	Jordanian German	-	-	-	-	8,327	144		8,471
"Mohammad Nabil" Abdel-Hadi Hammoudeh	20/02/2020	Jordanian	104,410			104,410	104,410			104,410
Mughith Ghiath Sukhtian	20/02/2020	Jordanian	16,657			16,657	16,657			16,657
Rana Jamil Abbadi	20/02/2020	Jordanian	5,120			5,120	5,120			5,120
Riad Abdul- Mohsen Al-Dajani	20/02/2020	Jordanian	28,040			28,040	28,040			28,040
Jabra "Raja Yaqoub" Ghandour	20/02/2020	Jordanian	51,120			51,120	51,120			51,120

- Members of the Board of Directors and their relatives do not own any shares in the bank except as indicated in the table above.

- Moreover, there is no controlling share by any company owned by any of the Board members or by their relatives.

Shares owned by senior executive management and their relatives

Name	Nationality	No. of shares as at 2020			No. of shares as at 2019		
		Employee	Relatives	Total	Employee	Relatives	Total
Nadia Helmi Al-Saeed	Jordanian	718,704	-	718,704	662,965	-	662,965
Daniel Fawaz Al-Sharaiha	Jordanian	83,000	-	83,000	57,818	-	57,818
Amer «Mohammad Kheir» Abu Laila	Jordanian	74,447	-	74,447	50,000	-	50,000
Deema Mefleh Akel	Jordanian	26,253	-	26,253	14,030	-	14,030
Mohammed Ghasseb Hatamleh	Jordanian	21,062	-	21,062	15,000	-	15,000
Bashar "Mohammed Khair" Ababneh	Jordanian	10,789	-	10,789	5,118	-	5,118
Tarik «Mohammed Said» Badawi	Jordanian	10,641	-	10,641	5,048	-	5,048
Mohamed Mahmoud Burjak	Jordanian	11,162	-	11,162	5,295	-	5,295
Fadi «Ahmad Kamal» Marei	Jordanian	46,454	-	46,454	40,000	-	40,000
Zaid Eyad Kamal	Jordanian	8,576	-	8,576	3,883	-	3,883
Natalie Mazen Al-Naber	Jordanian	5,875	-	5,875	2,648	-	2,648
Mahmoud Tayseer Badwan	Jordanian	8,223	-	8,223	3,530	-	3,530
Khaled Abdel-Malek Mohamed Abdel-Malek	Jordanian	2,738	-	2,738	-	-	-
Tamer Wasef Barakat	Jordanian	1,955	-	1,955	-	-	-
Mohammed Ragheb Othman *	Jordanian	-	-	-	5,295	-	5,295

- *Resigned on 30/06/2020

- Members of the Senior Executive Management and their relatives do not own any shares in the bank except as indicated in the table above.

- Moreover, there is no controlling share by any company owned by any of the members of Senior Executive Management or by their relatives.

Benefits and remuneration of the chairman and members of the board of directors for the year 2020

Description	Board Members' remunerations	Transportation allowance	Travel and accommodation
Mr. Isam Halim Salfiti	5,000	829,000	
Mr. Bassem Isam Salfiti	5,000	123,010	
Mr. «Mohammad Nabil» Hammoudeh	5,000	41,000	
Social Security Corporation	5,000	32,250	
Mr. Mughith Ghiath Sukhtian	5,000	42,500	
Mr. Sami Mohammad Al-Mabrouk	5,000	5,000	
Mr. Imad Mohammad Abdel-Khaleq	5,000	34,250	
Mr. Riad Abdul-Mohsen Al-Dajani	5,000	32,500	
Mr. Idris Mohammed Al-Warfali	5,000	5,250	1,100
Mrs. Rana Jamil Abbadi	5,000	34,000	494
Mr. Jabra «Raja Yaqoub» Ghandour	5,000	29,500	-
Mr. Amjad Samir Abu Rawi	-	4,500	
Total	**55,000**	**1,212,760**	**1,594**

* No financial or non-financial compensation/benefits were received by members of the Board except as indicated above.

Benefits and remuneration of the senior executive management for the year 2020

Description	Travel and accommodation	Salaries, allowances and bonuses	2019 bonuses paid in 2020	2019 non-financial bonuses (shares) paid in 2020
Nadia Helmi Al-Saeed	-	322,480	199,500	85,500
Deema Mefleh Akel	-	216,658	64,375	18,750
«Mohammed Ghasseb» Abdullah Hatamleh	-	171,840	31,930	9,300
Bashar «Mohammed Khair» Ababneh	-	139,100	29,870	8,700
Tarik «Mohammed Said» Badawi	-	151,874	29,458	8,580
Mohamed Mahmoud Burjak	-	147,080	30,900	9,000
Fadi «Ahmad Kamal» Marei	-	133,780	33,990	9,900
Daniel Fawaz Al-Sharaiha	-	168,605	29,870	8,700
Zaid Eyad Kamal	-	112,230	24,720	7,200
Mahmoud Tayseer Badwan	-	138,560	24,720	7,200
Natalie Mazen Al-Naber	-	98,620	16,995	4,950
Amer «Mohammad Kheir» Abu Laila	-	247,780	128,750	37,500
Khaled Abdel-Malek Mohamed	-	81,600	14,455	4,200
Tamer Wasef Barakat	-	67,200	10,325	3,000
Mohammed Ragheb Othman*	-	84,562	39,900	-
Total	**-**	**2,281,969**	**709,758**	**222,480**

*Resigned on 30/06/2020

- The bank allocated JOD 2,000,000 in bonuses for all employees, including the Executive Management for the year 2020, to be paid in 2021 pursuant to the approval of the Board of Directors and upon completion of the employees' performance evaluation in April 2021.
- The bank also provides the following benefits to members of the Executive Management (full- time Chairman of the Board of Directors, General Manager and Assistant General Managers):
  - Fully-expensed car.
  - mobile phone and line.
- No financial or non-financial compensation/benefits were given to members of the Senior Executive Management except as indicated above.

Donations, grants and contribution to community service

This item was stated in the Pillars of Our Social Responsibility and Key Achievements of 2020.

Conformity of contracts with bank's internal regulations, CBJ instructions and the banking law

All contracts and dealings concluded by the bank with the Chairman of the Board, Board members, General Manager, bank employees and their relatives are consistent with bank's internal regulations, CBJ instructions and the Banking Law. Details of these contracts and dealings appear in Note No. 42 within the bank's financial statements.

The bank's contribution to environmental protection and community service

This item was stated in the Pillars of Our Social Responsibility and Key Achievements of 2020.

Additional information required by disclosure instructions

Names of major shareholders with equity exceeding 1%

Shareholder's name	Nationality	No. Of shares as at 31/12/2020	Capital contribution (%)	Ultimate beneficial owners	Number of pledged shares	Percentage of pledged shares of total contribution	Pledging agency
Libyan Foreign Investment Company	Libyan	32,413,763	20.26	Wholly owned by the Libyan government	-	-	-
Blom bank France	French	27,435,967	17.14	BLOM bank branches in France, and key partners of BLOM bank, as follows: -Bank of NEWYORK 34.37% -Rest Shareholders 26.20% -Banorabe S.A SPF 18.73% Azhari Family (7.53%) Shaker - Family (4.82%) -Saade Family 2.55% -Jaroudi Family 2.17% Actionnaires- Unis 1.83% -Khoury Family 1.80%			
RS FINANCE	Cayman Islands	24,156,723	15.09	Raja'I Salfiti Holding 100% -TRHS Holding 25% ownership (Tareq Rajai Salfiti) 100% -ZRS Holding 25% ownership (Zaid Rajai Salfiti)100% -FRS Holding 25% ownership(Faisal Rajai Salfiti)100% -DRS Holding 12.5% ownership (Dina Rajai Salfiti) 100% -SRHS Holding 12.5% ownership (Samia Farah issa Fraih) 100%	16,429,000	68	SGBJ
Isam Halim Jiryes Salfiti	Jordanian	15,207,886	9.5	Same	6,276,508 2,000,000 **8,276,508**	54.4	SGBJ NBK/ Bahrain Branch
Social Security Corporation	Jordanian	13,549,074	8.46	Same	-	-	-
Jordan Valley for Animal Development Co.	Jordanian	4,539,898	2.83	Jordanian company and the most important partners in it, representing 5%, are as follows: Hammoudeh Brothers for Trade and Investment Co. (10%) (Sami 25%, Maher 25%, Samir 25%, and Mohammad Nabil Abdel-Hadi Hammoudeh 25%) Jordan Chemicals Company 10% (Sami 25%, Maher 25%, Samir 25%, and Mohammad Nabil Abdel-Hadi Hammoudeh 25%) Sami Abdel-Hadi Hammoudeh (20%) Maher Abdel-Hadi Hammoudeh (20%) Samir Abdel-Hadi Hammoudeh (20%) Mohammad Abdel- Hadi Hammoudeh (20%)	-	-	-

Shareholder's name	Nationality	No. Of shares as at 31/12/2020	Capital contribution (%)	Ultimate beneficial owners	Number of pledged shares	Percentage of pledged shares of total contribution	Pledging agency
Central Trade & Auto Co.	Jordanian	3,521,967	2.20	Jordanian company and the most important partners in it, representing 5%, are as follows: Ibrahim Emile Haddad (20%) Omar Moutasem Ismail Al-Bilbisi (7.5%) Tarek Moutassem Ismail Al-Bilbisi (7.5%) Nabil Emile Haddad (20%) Nehad Emile Haddad (20%) George Emile Haddad (25%)	-	-	-
Samia Suleiman Yousef Sukkar	Jordanian	3,004,125	1.88	Same	-	-	-
Provident Fund for bank Al- Etihad Employees	Jordanian	3,544,959	2.21	Bank al Etihad Employees	-	-	-
Samia Halim Jiryes Salfiti	Jordanian	1,887,263	1.18	Same	-	-	-
Ramzi Raof Jiryes Salfiti	Jordanian	1,767,607	1.10	Same			
Widad Ayoub Audatullah Al-Khouri	Jordanian	4,472,300	2.79	Same			
Mermaid of the Ocean for Investment	Jordanian	2,500,000	1.56	Jordanian company and the most important partners in it, representing 5%, are as follows: Tareq Rajai Halim Salfiti (25%) Faisal Rajai Halim Salfiti (25%) Zaid Rajai Halim Salfiti (25%) Dina Rajai Halim Salfiti (12.50%) Samia Farah Issa Freih (12.50%)			

Direct and indirect credit facilities granted to members of the board and related parties

Name of member/group	Credit facilities		Total
	Direct	Indirect	
Isam Halim Salfiti and Bassem Isam Halim Salfiti Group:			
Abu Alanda Property Management Co.	50,000	10,000	60,000
Ankaa Al-Maghrib Property Management Company	13,085,193	50,000	13,135,193
Matajer Amman Property Management Co.	70,915	10,000	80,915
Bassem Isam Halim Salfiti	391,816	-	391,816
Jiwar Amman for Real Estate Development Co.	412,368	-	412,368
Tareq Rajai Halim Salfiti	29,515	-	29,515
Faisal Rajai Halim Salfiti	365,610	0	365,610
Zaid Rajai Halim Salfiti	678,004	0	678,004
Omar Bulus Youssef Al-Za'mt, Faisal Rajai Halim Salfiti, and Usama Essam Jabir	-	1,914,300	1,914,300
Tafa'ol Energy Drink Marketing Co.	2,019,689	2,766,100	4,785,789
"Mohammad Nabil" Hammoudeh Group:			
Al-Shafaq Beauty Company	17,421	-	17,421
Jordan Poultry Processing and Marketing Co.	1,806,731	2,600,000	4,406,731
Jordan Feed Co. Ltd.	3,857,448	-	3,857,448
Modern Paints & Chemical Industries Co.	3,133,722	-	3,133,722
National Hatchery Co.	7,081	-	7,081
Jordan Chemicals Company	4,854,009	-	4,854,009
Al Etihad Foodstuff Trading Company	38	20,500	20,538
Hammoudeh Brothers for Trade and Investment Co.	7,854,729	876,338	8,731,067
Tareq Zuhdi Abdel-Hadi Hammoudeh	4,846	-	4,846

Name of member/group	Credit facilities		Total
	Direct	Indirect	
«Mohammad Nabil» Abdel-Hadi Hammoudeh	735,203	-	735,203
Al-Nubala'a Water / Hani Shukri Yousef Abdel Rahman	1,168,543	-	1,168,543
Nabila Abdel-Hadi Hammoudeh	22,179	-	22,179
Hani Shukri Yousif Abdel-Rahman	80,721	-	80,721
Sharif Mohammad Nabil Abdel-Hadi Hammoudeh	76,650	76,650	153,300
Box Trading Company for Sports Equipment	331,186	331,186	662,372
Mughith Ghiath Sukhtian Group:			
PROGAS JORDAN	318,551	-	318,551
Mughith Ghiath Muneir Sukhtian	165,505	5,000	170,505
Arabian Office Automation Co. W.L.L	-	2,836,000	2,836,000
MS Pharma Jordan	5,447,048	214,224	5,661,272
United Pharmaceuticals	7,213,266	368,983	7,582,249
Imad Abdel Khaleq Group:			
Imad Abdel-Khaleq	65,299		65,299
Ali Mohammad Ali Abdel Khaleq	35,309		35,309
Libyan Foreign Investment Company (LAFICO)			
Iskan Co. for Tourism & Hotel Investment	10,106,972		10,106,972
Jabra Ghandour Group:			
Omar Jabra «Raja Yaqoub» Ghandour		360,773	360,773

Remuneration policy

The bank's annual salary increases and remuneration policy reflects its objectives of ensuring fairness and equality, rewarding and retaining skilled employees and executive management members who demonstrate outstanding performance, and attracting the best skills in the market.

Employees hired on or before 30 June of the evaluation year are eligible for an annual increase and bonus. The annual increase and bonus shall be prorated for those who have not completed a full year with the bank. Meanwhile, employees hired after 30 June shall not be eligible for an annual increase and bonus for that year.

The percentage of the annual increase for employees (if any) depends on the bank's annual profits and performance compared to the estimated budget, inflation rate, employees' performance, salary surveys and the results of the annual survey which compares salary increases in the banking sector. This percentage is approved by the Nominations and Remuneration Committee.

Annual bonus is determined based on the employee's productivity, performance, achievement of goals, and dealing with colleagues and customers in line with the general guidelines set by the Nominations and Remuneration Committee for all employees according to the performance of the bank, the market and employees. The annual bonus may be a percentage of the monthly salary or a multiple of salary or a lump sum amount.

Annual salary increases and bonuses are awarded after the completion of the annual performance evaluation. Performance evaluations are carried out at the end of each year, and increases or amendments are effective starting as of April or as decided by the Senior Management.

In addition, performance-based remunerations are awarded to members of the Executive Management (including the CEO) in the form of deferred bonuses. This is carried out in accordance with the provisions of corporate governance relating to financial remunerations for executives.

Recruitment policy

- All appointments shall be made within the bank's organizational structure and in line with the plans and the estimated budget approved by the Board of Directors which determines the number of employees in each department, including vacancies and the required qualifications for the jobs. In case of any exceptions, the necessary approvals shall be obtained.
- The Jordanian Labor Law, the Banking Law and the provisions of Bank al Etihad's Staff Regulations (and any amendment thereto), as well as any relevant laws, shall be adhered to in respect of the appointment procedures.
- The instructions of corporate governance of banks (and any amendments thereto) shall be observed in respect of appointments, resignations and replacements.
- Upon appointment of any staff member at the bank, the Human Resources Department, Recruitment Division, shall adhere to the following:
  - Candidates should be Jordanian.
  - In case a candidate is not a Jordanian national and yet is needed by the bank, the requirements of the applicable Labor Law and the Central bank shall be met, and the Ministry of Labor's approval shall be obtained.
  - Candidates shall be 18 years of age or older.
  - Candidates must not be convicted of a felony or a misdemeanor involving moral turpitude. They must be of good reputation and conduct.
  - Candidates must be medically fit according to a medical examination approved by the bank.
  - Candidates must hold a university degree from a university recognized by the Ministry of Higher Education and Scientific Research, with the exception of some unclassified jobs where the holders of Tawjihi and diploma can be appointed.
  - Candidates must successfully pass all the stages of appointment, including the admission tests prescribed by the bank and personal interviews, as required by the position applied for and the rank thereof.
  - New employees must serve the required probationary period as stipulated by the Jordanian Labor Law. During that period, the employee's performance shall be monitored and evaluated by their seniors, according to the approved criteria, in order to take the appropriate decision whether to offer them permanent employment at the bank.
  - The policy on the appointment of relatives in the bank shall be implemented.
  - The best modern methods shall be adopted to attract and appoint qualified and experienced employees.

Customer complaints unit

Customer complaints allow us to improve the level of service delivery. We will be happy to solve customers' problems effectively, but our duty does not stop at this point, as we should learn from these complaints so that we can improve the level of our services. The distinct level of handling customer complaints is one of the main objectives of Bank al Etihad. The bank seeks to consolidate and develop general concepts to serve complainants by informing them about banking policies and laws so that they are aware of their rights should they wish to file a complaint, and by helping them to know the procedures required to file a complaint, ensuring ease and responsiveness.

In line with the CBJ's Instructions on Dealing with Customers Fairly and Transparently No. 56/2012, issued on 31/10/2012, a unit was established to manage and handle customer complaints and provided with qualified staff and automated systems. The Unit reports to the Compliance Department.

The Unit's staff shall be responsible for following up customers' complaints. The employee responsible for receiving complaints shall allow time to listen carefully to customers and do his/her utmost to effectively and accurately help them resolve their complaints, explaining the bank's point of view in order to reach mutual objective satisfaction. The following are the main functions of the Customer Complaints Unit:

1. Receiving and analyzing customer complaints and recording them on the complaints system/electronic log, and following up on them.
2. Responding to customer complaints within the specified time frame.
3. Preparing reports on customer complaints, which include the total number of complaints submitted and the actions taken thereon, along with a qualitative analysis of the nature of complaints and action plan adopted to prevent/minimize the recurrence of complaints. These reports shall be sent to the competent entities.

4. Submitting monthly reports to the bank's senior management and department directors concerned, including details of complaints filed.
5. Submitting "quarterly" reports to the Central Bank of Jordan, including as a minimum the aggregate number of complaints submitted and actions taken on them in addition to a qualitative analysis of the nature of complaints submitted.
6. Developing and adopting a mechanism for handling customer complaints, circulating it to all employees of the bank.
7. Providing multiple channels for customers to submit their complaints, such as:
   - Toll-free number: 080022240.
   - Email: customerscomplaint@bankaletihad.com
   - Fax: +(962) 6 5624231
   - Regular mail.
   - Personal attendance.
   - Complaints' boxes in branches.

Below is a statistic of the complaints received from customers during 2020 through different channels:

Category	Total Number of Complaints
Electronic Services	58
Interest/Return Rates	18
Professional Behavior	144
Bank Cards	23
Contracts and Terms of Work	308
Working Environment	193
Service and Product Marketing	4
Remittances	14
Commissions and Fees	15
Credit Inquiry	7
Account Category	1
Others	5
Total	**790**

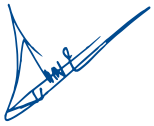
These complaints were handled within the following framework:

- Complaints were assigned reference numbers, which were given to customers for follow-up purposes.
- Complaints were examined, analyzed and responded to within the time frame determined by the category and nature of complaints.
- Actions were recommended to reduce the recurrence of these complaints in the future. These actions included the following:
  - Modifying work procedures if required.
  - Taking corrective measures.
  - Modifying the electronic services' infrastructure
  - Staff training

Acknowledgement by the board of directors

The Board of Directors of Bank al Etihad acknowledges its responsibility for preparing accurate and adequate financial statements and providing efficient and adequate control systems in the bank. The Board also acknowledges that there are no substantial matters that may affect the bank's performance during the coming fiscal year of 2021. The Board acknowledges the disclosure of all benefits, in cash and in kind, received by members of the Board, or members of their family, in association with their work at the bank in the past year.

The Chairman of the Board, the General Manager and the Chief Financial Officer acknowledge that the information contained in this Annual Report is correct, accurate, and complete.

Name	Position	Signature
Mr. Isam Halim Salfiti	Chairman	
Mr. Bassem Isam Salfiti	Vice Chairman	
Mr. “Mohammed Nabil” Abdel-Hadi Mohammed Hammoudeh	Member	
Mr. Riad Abdul-Mohsen Al-Dajani	Member	
Mr. Jabra “Raja Yaqoub” Ghandour	Member	
Emad Mohamed Ali Abdel Khaleq	Member	
Mrs. Rana Jamil Abbadi	Member	
Mr. Mughith Ghiath Sukhtian	Member	
Social Security Corporation	Member	
Libyan Foreign Investment Company	Member	
Nadia Helmi Hafez Al-Saeed	CEO	
Zaid Eyad Akram Kamal	CFO	

Corporate governance manual



First: introduction

Bank al Etihad believes in the importance of corporate governance in furthering the principles of safety and security in the banking sector and strengthening the confidence of depositors and investors in the bank, thereby bringing about a positive impact on the bank's standing and supporting its strategic plans for growth. As a result, the board of Directors (the "Board") has endorsed this Corporate Governance Manual (the "Manual"), incorporating the principles that guide the bank's management and govern the relationships among all relevant stakeholders, including shareholders, depositors, the board of Directors, executive management, employees and various regulatory authorities.

This Manual was developed in line with the corporate governance guidelines issued by the Central bank of Jordan on 23 August 2007, the instructions of the Corporate Governance Requirements for Banks No. 58/2014 issued on 30 September 2014, the requirements of the Amended Corporate Governance Regulations for Banks No. 63/2016 issued by the CBJ on 1 September 2016 and subsequent amendments thereto on 25 September 2016, and other relevant laws, as well as in accordance with best international practices in corporate governance.

The manual is based on the following four guidelines:

- The fair treatment of all stakeholders (e.g. shareholders, depositors, creditors, employees and regulatory authorities).
- Transparency and disclosure, whereby all financial, regulatory and administrative information that enables depositors and shareholders to assess the bank's performance are disclosed in line with the bank's endorsed disclosure policy.
- Accountability in the relationships between the bank's Executive Management and the board; between the board and shareholders; and between the board and other relevant stakeholders.
- Responsibility in terms of the clear separation of responsibilities and delegation of powers through the bank's endorsed policies and procedures.

This manual was approved by the board. It is updated annually by the Corporate Governance Committee to reflect the latest internal and external developments in this regard.

Through the Corporate Governance Committee, the board ensures the implementation of all provisions contained in this Manual.

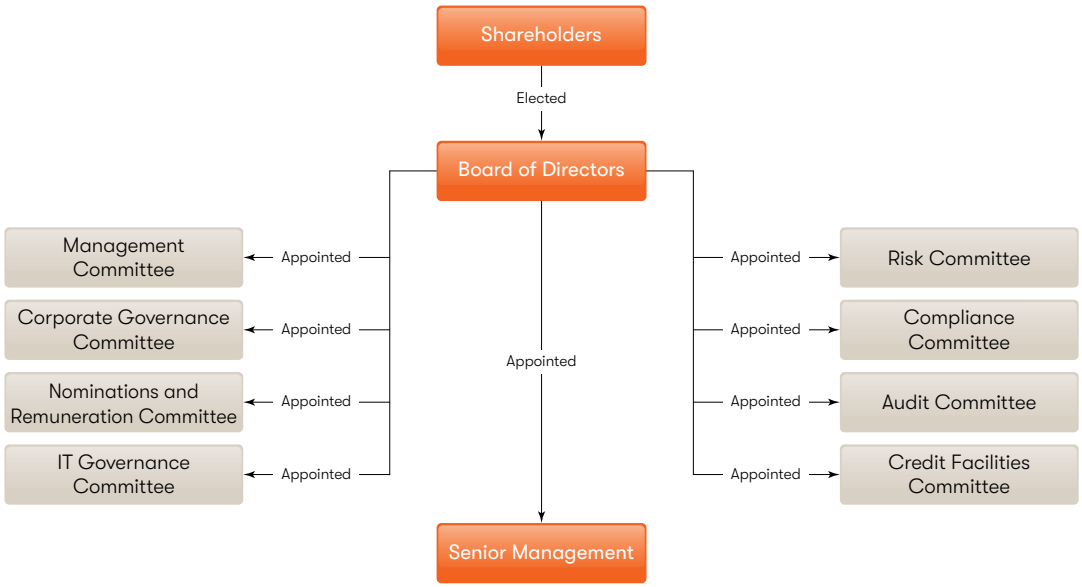
The bank publishes this manual in its annual report and on its website. Disclosures are included in the annual report regarding the extent of the bank's compliance with all aspects of this manual. A copy of this manual can be provided to any shareholder upon request.

We at Bank al Etihad believe that the creative implementation of the principles of corporate governance also involves:

- Regulating the relationship between all relevant stakeholders;
- Ensuring the application of an organizational structure that guarantees efficiency, accountability, responsibility and internal control;
- Building a corporate culture that supports the bank's institutional goals and strengthens the principles of responsibility, efficiency and effectiveness; and
- Providing a sound basis for developing and activating the internal control, audit, risk management and compliance functions.

Second: corporate governance structure

Bank al Etihad is managed under the directives of the board, which, in turn, delegates management duties to the bank's employees and executives under the supervision and direction of the Chief Executive Officer. This manual describes the composition and responsibilities of the board and its relationship with the Executive Management, employees and minority shareholders.



Third: composition of the board of directors

- The board comprises 11 members.
- The board appoints a Chairman from among its members.
- The Nominations and Remuneration Committee shall name members of the board, taking into consideration the candidates' qualifications and past performance as board members.
- The board has a four-year term from the date of its election. To be re-elected for a new term, board members shall nominate themselves for re-election during the bank's annual general assembly meeting.
- The positions of Chairman of the board and General Manager are separated. The Chairman of the board and General Manager shall not be related up to the fourth degree. The separation of powers shall be defined by written instructions approved by the board and revised as needed.
- The General Manager shall enjoy a high level of technical and professional expertise, in addition to commendable personal traits, such as integrity, honesty and decision-making capabilities.
- The board shall have a diverse mix of practical experience and specialized skills. All board members shall be non-executive members.
- A minimum of four board members shall be independent.
- The position of Chairman of the board shall be non-executive.

The bank defines an independent board member as one (whether in his/her personal capacity or as a representative of a legal person) who is not linked to the bank in any relation other than his/her membership in the board. This will ensure that his/her judgment is not subject to any internal or external influences that may limit his/her ability to make objective decisions in favor of the bank.

The following requirements must be met by an independent board member:

1. Possesses extensive experience and qualifications in finance or banking.
2. Neither the board member nor any of their first-degree relatives has a direct or indirect interest in the contracts, projects and engagements made with the bank, or any sister or affiliate company thereof, and whose value equals or exceeds JOD50,000.

3. Has not occupied the position of board member of the bank or any of its subsidiaries or the position of management board member therein for more than eight consecutive years.
4. Has not been granted, either him or any company in which he/she is a board member, owner or major shareholder any credit by the bank exceeding 5% of the subscribed share capital of the bank, and has not been a guarantor of a credit exceeding the same threshold.
5. Is not a major shareholder, or a representative or an affiliate of a major shareholder, of the bank, or otherwise holding in concert with affiliates a major shareholding; is not a major shareholder of a subsidiary of the bank; and is not a major shareholder in the bank's group of owners.
6. Is not related, up to the second degree, to any other board member or a member of the board of directors of any subsidiary of the bank, or to any major shareholder of the bank.
7. Neither the board member nor any of their relatives up to the second degree is, or has been, a member of the bank's board of Directors or Senior Executive Management, or any subsidiary thereof in the past three years preceding their election.
8. Has not been an employee of the bank or any subsidiary thereof in the past three years preceding their election.
9. Is not related, up to the first degree, to the bank's external auditor, and neither the member nor any of their first degree relatives is a partner or employee of the bank's external auditor for the past three years preceding their election as board members.

Fourth: qualifications and responsibilities of board members

In addition to the qualifications required of board members in accordance with the Companies Law, the following requirements must be met by board members to ensure the effective performance of the board's duties:

First: personal qualities

1. Independence in judgment and sound decision-making
2. Integrity and objectivity
3. Credibility and honesty
4. Transparency
5. Avoiding conflict of interest or exploitation of office and information accessible to him/her as a board member
6. Leadership skills

Second: technical qualifications and experience

1. Ability to understand and assess the financial performance of the bank by reviewing the various reports and financial statements.
2. Academic qualifications and/or practical experience in accounting, finance or banking.
3. Adequate understanding and knowledge of banking operations and related risks.
4. Knowledge of the laws, legislation and regulations by which the bank is required to abide.
5. Complete knowledge of the regulations issued by the CBJ or other regulatory authorities and the ongoing follow-up of any amendments or additions thereto.
6. Follow-up of new and emerging topics in the finance sector.
7. Knowledge of the bank's activities and of any amendments or additions that may impact the bank, including requirements for appointment in executive management positions.
8. Short- and long-term crisis management abilities.
9. Clear long-term vision and strategic planning abilities.

Third: duties and responsibilities

1. Personally attend and prepare for board meetings and perform all duties required of board members. In the event of inability to attend personally, members may express their opinion by video or phone conference with the Chairman's approval. They shall have the right to vote or sign the meeting minutes, provided that the Chairman and secretary shall ratify the minutes of the meeting and ensure quorum is reached.
2. Serve as members of the required board committees and attend their meetings.
3. Attend general assembly meetings.
4. Obtain all necessary information to ensure that all decisions are taken in the bank's best interest.
5. Obtain objective advice from external sources if needed.
6. Put the bank's interest first in all dealings with any other company in which they have a personal interest and avoid exploiting the bank's business opportunities for their own benefit. This is in addition to avoiding conflict of interest and disclosing to the board, in detail, any conflict of interest that may arise.
7. Disclose regularly and in writing any personal interests in any dealing or contract entered into with the bank in which the board member, his/her spouse or relative, up to the second degree, or any of the companies in which he/she has a material interest are party to. The board member shall not attend any meeting in which this dealing or contract is discussed and accordingly shall not vote on any decisions that may involve a potential conflict of interest. This disclosure must be recorded in the meeting minutes.
8. Board members shall not disclose confidential information related to the bank or use such information for their own benefit or for the benefit of others.
9. Evaluate the extent to which the other activities of board members affect their independence as members of the board of Directors.
10. Board members shall not influence the decisions of the Executive Management in any way except through deliberations that take place in the meetings of the board or board committees
11. Dedicate sufficient time and effort to the bank.
12. Remain updated on emerging topics in the banking field both at the local and international levels.
13. Each member shall devote sufficient time to his/her duties as a board member.
14. Have knowledge of the legislation and principles pertaining to the banking activities and the bank's operational environment, and keep pace with all developments therein as well as external developments related to its business, including requirements for appointment in senior executive management positions.

Fifth: board of directors' responsibilities

General framework

1. The board shall oversee and follow up on the performance of the Executive Management and ensure the good financial position and solvency of the bank. It shall adopt appropriate policies and procedures to oversee and monitor the performance of the bank.
2. The board shall identify the corporate values of the bank and draw clear lines of responsibility and accountability for all the bank's activities. It shall also instill a culture of high ethical standards, integrity and professional conduct for the bank's executives.
3. The board shall be fully responsible for the management of the bank and the soundness, efficiency and profitability of its various operations. It shall also be responsible for fulfilling the requirements of the CBJ and other regulatory authorities in relation to its business, keeping in mind the interests of shareholders, depositors, creditors, and employees.
4. The board grants the General Manager and the Executive Management the necessary authorities to carry out these responsibilities effectively and achieve the bank's strategic goals.
5. The board shall ensure that the bank is managed prudently within the framework of applicable laws and regulations, and the bank's internal policies. The board shall be also responsible for monitoring the actions of the Executive Management to ensure effective control over the daily operations of the bank including outsourced operations.
6. The board shall strengthen the principle of commitment by each board member to the bank and all of its shareholders rather than to a particular shareholder.

7. The board shall ensure that no member of the board or Executive Management or any of the bank's employee obtains a personal gain at the expense of the bank's best interests.
8. The board shall determine the banking operations that require its approval. However, in doing so, it shall seek to limit the scope of such operations so as to maintain its supervisory role. The board shall not grant executive powers, including the power to extend credit, to a single member of the board, including the chairman.
9. The board shall ensure that the bank's credit policy measures the quality of corporate governance for corporate customers, especially public shareholding companies, so that customer risks are evaluated for strengths and weaknesses based on their corporate governance practices.
10. The board shall ensure that the bank adopts appropriate social responsibility initiatives in the fields of environment conservation, health and education, as well as provides financing to SMEs at appropriate interest rates and maturity dates.

Regarding risk management and regulatory requirements:

1. The board shall adopt and oversee the implementation of a risk management strategy that articulates the acceptable risk appetite levels and ensures that the bank is not exposed to high risks. The board must be familiar with the bank's operational work environment and its high risks. It must make sure that there are risk management tools and infrastructure in place at the bank to identify, measure, control and monitor all types of risks faced by the bank.
2. The board shall ensure the bank's compliance, in all of its activities, with all laws and regulations issued by the government and regulatory authorities. It shall also ensure that all employees, across all management levels, comply with these laws and regulations.
3. The board shall verify, through the different board committees, the accuracy of the information provided to the regulatory authorities.
4. The board shall ensure that all of the bank's risks are being properly managed. To achieve this, the board shall regularly review qualitative and quantitative risk reports and statistics.
5. The board shall ensure the regular rotation of external audit partners at least every seven years from the date of their election. In the first year after rotation, the successor auditor shall work jointly with the predecessor auditor. The predecessor auditor may not be re-elected before the lapse of two years from the date of its last election not including the joint audit assignment.
6. The board shall ensure that the bank's disclosures are in line with the International Financial Reporting Standards (IFRS) and International Accounting Standards (IAS) in addition to the enforceable CBJ instructions issued in accordance with the applicable Banking Law and relevant legislations.
7. The board shall ensure the full implementation of all amendments to the IFRS.
8. The board shall ensure that the bank remains up-to-date with changes in international financial reporting practices and the scope of the transparency required from financial institutions.

Regarding appointments and succession:

1. The board, based on the recommendation of the relevant committee, shall appoint a General Manager possessing integrity, technical competence and banking experience. The board shall also accept the resignation or termination of the services of the General Manager upon obtaining the CBJ's Letter of No Objection regarding the resignation or termination of services.
2. The General Manager must not be a relative of the Chairman, up to the fourth degree.
3. The board shall approve the appointment of executive managers and make sure they possess the required qualifications.
4. Based on the recommendation of the relevant committee, the board appoints, dismisses and accepts the resignations of the heads of audit, risk management and compliance upon obtaining a No Objection Letter from the CBJ regarding their resignation or termination of services.
5. The board shall approve the Executive Management succession plans, which set out the required qualifications and requirements of these positions.
6. The board shall ensure the independence and impartiality of the Internal Audit Department. It shall also ensure that the Department is always staffed with qualified employees who are well-positioned in the bank's organizational structure.

Regarding self-assessment and general manager's performance evaluation:

1. The board shall, through the Nominations and Remuneration Committee, evaluate the overall performance of the board at least once a year.
2. The Nominations and Remuneration Committee shall also review and evaluate the performance of each board member on an annual basis.
3. The board shall perform an evaluation of the General Manager's performance once a year
4. The board shall adopt a policy to monitor and review the Executive Management's performance through the development of key performance indicators (KPIs) to identify, measure and monitor performance and progress towards the achievement of corporate goals.

Regarding planning, code of conduct and conflict of interest:

1. The board shall set the bank's strategic objectives and direct the Executive Management to draw up a strategy to achieve those objectives. The board shall also approve this strategy, as well as its accompanying action plans.
2. The Executive Management shall develop the necessary action plans to implement the bank's strategy through a planning process that involves all of the bank's departments. Estimate budgets shall be also prepared as part of short-term planning and performance measurement.
3. Quarterly reports shall be submitted to the board, describing achievements, necessary revisions of plans, estimate budgets, and corrective measures applied. Such revisions shall be used as the basis for assessing the performance of the Executive Management.
4. The board shall ensure that the bank practices the highest standards of integrity in all of its operations. This is achieved through policies and a code of professional conduct that set a definition for 'conflict of interest' and dealings conducted by the bank's employees for their own personal interest based on inside information obtained as a result of the authorities granted to them. These policies and code of conduct shall be approved by the board and made available to all employees, board members and the public.
5. The board shall adopt a disclosure policy that covers all matters that should be made available to the public through the bank's annual report, website, the media, etc.
6. The board shall take adequate measures to ensure a clear separation of powers between influential shareholders and the Executive Management to strengthen good corporate governance while establishing adequate mechanisms to limit the influences of shareholders possessing influential interest through the following:
   - Influential shareholders shall not hold any executive management positions.
   - The Executive Management shall derive its authority only from the board and work within the framework of the authority granted to it by the board.

Regarding control systems:

1. The board shall adopt internal regulations, policies, procedures, instructions and systems that define the authorities, duties and means of communication among all management levels, which guarantee administrative and financial control over the bank's activities.
2. The board shall ensure the development, circulation at all management levels and periodic revision of policies, plans and procedures covering all activities and that they are in line with the relevant laws and regulations.
3. The board shall ensure that there are procedures in place to guarantee the continuous revision of these policies and procedures to reflect any amendments or changes in the laws and regulations, economic conditions and any other issues concerning the bank.
4. The board shall adopt and annually review the internal control systems of the bank and ensure that the internal and external auditors review the structure of these systems at least once a year.
5. The board shall take appropriate measures to address weaknesses in the internal control systems and any other issues reported by the external auditor.
6. The board shall ensure the independence of the external auditor at all times.
7. The board shall ensure that there are adequate and reliable management information systems (MIS) in place covering all the bank's operations.

8. The board shall ensure the compliance of the bank's management and employees with the adopted policies and procedures through the various reports submitted to it.
9. The board shall take the necessary measures to enhance the efficiency of internal audit by giving due importance to the audit function and following up on the correction of audit notes.

Sixth: responsibilities of the chairman of the board

1. The Chairman shall promote a professional relationship between the board and the Executive Management.
2. In board meetings, the Chairman shall encourage a culture of constructive criticism about the issues being discussed in general, and foster open discussions and voting on issues where there is a divergence of views among members.
3. The Chairman shall ensure that board members and shareholders receive sufficient information in a timely manner.
4. The Chairman shall make sure that each board member is provided with sufficient information about the bank's business upon appointment or at request.
5. The Chairman shall ensure that each board member is provided, upon election, with the relevant banking laws and the CBJ instructions related to the board's functions, including corporate governance instructions for banks in addition to a booklet describing the rights, responsibilities and duties of board members as well as the tasks and duties of the board's secretary.
6. With the assistance of the bank's Legal Counsel, the Chairman shall inform new board members of the duties and responsibilities of the board of Directors, particularly the legal and regulatory requirements to clarify the tasks, authorities and other matters relating to board membership. These include the membership term, meeting schedules, responsibilities of board committees, remuneration, and the possibility of obtaining independent and specialized technical advice when necessary.
7. The Chairman shall make sure that board members receive ongoing training and development, and that new board members are provided with an orientation program that takes into account their banking knowledge. The program must cover the following topics at minimum:
   - The bank's organizational structure, corporate governance manual and code of conduct
   - The bank's corporate goals, strategic plan, and adopted policies
   - The bank's financial position
   - The bank's risk structure and risk management framework
8. The Chairman shall ensure that there is a charter that describes and organizes the work of the board of Directors.
9. The Chairman shall present and discuss key strategic issues in detail during board meetings.
10. The Chairman shall ensure that the bank upholds high corporate governance standards.
11. The Chairman shall call for meetings of the board and board committees in a manner that ensures compliance with the provisions of this Manual and efficiency of the board committees.
12. The Chairman shall make sure that all board members receive and sign minutes of previous meetings and receive detailed meeting agendas and sufficient information about the topics to be discussed during board meetings sufficiently in advance through the board's secretary.
13. The Chairman shall invite the CBJ to general assembly meetings sufficiently in advance to allow it to name a representative.
14. The Chairman shall provide the CBJ with minutes of the general assembly meetings within a period not exceeding five days from the date of endorsement thereof by the Companies General Controller or their representative.

Seventh: organization of the board's work:

1. The board shall meet at least six times a year.
2. The Executive Management shall schedule the topics on the meeting agenda as it sees appropriate to guarantee that the agenda is inclusive of all issues to be discussed.
3. The Executive Management shall provide board members with the meeting agenda along with complete and

accurate information on the topics listed on the agenda at least one week before the meeting to enable them to take sound decisions.

4. Board members must always be aware of the latest developments taking place in the bank and the local and international banking industry. The bank shall provide board members with a summary of the bank's operations and main developments in the banking sector on a regular basis and as needed or requested.
5. Board members and committees may directly contact the Executive Management and the board's secretary as needed.
6. Board members and committees may, in coordination with the Chairman, seek external assistance to complete the tasks assigned to them to the fullest.
7. The proceedings of board and board Committee meetings shall be recorded in official meeting minutes that provide an accurate and complete record of the actions and decisions taken by the board and its committees. Meeting minutes are considered legal evidence of the actions taken by the board and its committees as they record the events taking place during meetings to avoid any confusion. Accordingly, attention and accuracy must be considered in writing meeting minutes to include an accurate record of any voting that took place or reservations raised by any board member during these meetings with the need to enclose or reference any documents referred to during the meetings. The bank shall keep all these records in an appropriate manner.

Eighth: board secretary

1. The board shall appoint and dismiss the board's secretary by a unanimous decision.
2. The board's secretary shall be selected from among the bank's employees who are known for their accuracy and high level of commitment.
3. The board shall define the duties and responsibilities of the board's secretary officially and in writing in line with the level of responsibility described in this Manual.
4. The responsibilities of the board's secretary shall include but are not limited to the following:
   - Provide each board member, upon election, with a letter that clearly explains their rights and duties.
   - Ensure that board members follow the procedures endorsed by the board as well as communicate information between board members, board committees and the Executive Management.
   - Attend all board meetings and record all deliberations, suggestions, objections, reservations and voting on draft resolutions of the board.
   - Ensure that board members sign meeting minutes and resolutions.
   - Follow up on the implementation of board resolutions and the discussion of topics postponed at previous meetings.
   - Determine the dates of board meetings in coordination with the Chairman and record meeting minutes according to the guidelines above.
   - Prepare the board meeting agenda and provide board members with all necessary information and documents related to the meeting sufficiently in advance.
   - Keep records and documents of the meetings of the board.
   - Take the necessary measures to ensure that all resolutions to be issued by the board are in line with the laws and regulations.
   - Prepare for general assembly meetings and work in cooperation with board committees.
   - Provide the CBJ with a copy of the declaration of suitability signed by each board member.
   - Facilitate board members' access to necessary information.
   - Manage relationships with shareholders and ensure they have easy access to all the necessary information to be able to follow up and evaluate the performance of the bank.

Ninth: Relationship with shareholders

1. The bank shall take the necessary measures to ensure effective and continuous communication with shareholders through the relevant department.
2. A department concerned with shareholders' affairs is established to ensure effective communication and provision of information to shareholders through the bank's website and other communication channels.

3. The bank shall disclose and grant easy access to all information that concerns shareholders.
4. The bank shall take steps to encourage all shareholders, especially minority shareholders, to attend the annual general assembly meeting and to vote either in person or in their absence by proxy.
5. Representatives of the external auditor shall attend the annual general assembly meeting to answer any questions raised about the audit and the auditor's report.
6. Voting shall take place on each separate issue that is raised at the annual general assembly meeting.
7. Board members shall be elected or re-elected at the annual general assembly meeting and the bank's external auditor shall be elected at the same meeting.
8. A report of the proceedings of the annual general assembly meeting, including the voting results and shareholders' questions as well as Executive Management's responses thereto, shall be prepared and made available to shareholders after the annual general assembly meeting.

Tenth: suitability

The board and Nominations and Remuneration Committee shall be responsible for ensuring that members of the board and Senior Executive Management exhibit the highest level of credibility, integrity, competence and expertise and that they can devote sufficient time and commitment to serving the bank effectively.

1. The board shall develop an effective policy to ensure the suitability of board members. The policy shall outline the minimum criteria, requirements and conditions for candidates and elected members. The board shall revise the policy as needed and develop sufficient procedures and regulations to make sure that all members satisfy the suitability criteria at all times. Upon endorsing the policy, the board shall provide the CBJ with a copy of it.
2. The Chairman and every member of the board must meet the following requirements:
   - Is at least 25 years of age.
   - Is not a board Member, General Manager, Regional Manager or employee of another bank inside Jordan unless it is a subsidiary of the bank.
   - Is not a lawyer, legal counsel or auditor of the bank.
   - Has a minimum of a first university degree in economics, finance, accounting, business administration or other relevant fields. The Nominations and Remuneration Committee may consider adding other specializations if combined with relevant banking experience.
   - Is not an employee of the government or any public institution unless being a representative thereof.
   - Neither the board member nor the representative thereof is a member or representing a member in the board of another similar or competitor bank, and is not a member of the board of directors of more than five public shareholding companies inside Jordan in their personal capacity in some and as a representative of a legal person in others.
   - Has at least five years of experience in banking, finance or similar fields.
   - Must be of good conduct and reputation.
3. The Chairman and each member of the board must sign the declaration of suitability prescribed by the Corporate Governance Instructions for Banks No. 63/2016, which will be kept with the bank and a copy of which will be sent to the CBJ along with the member's CV.
4. The Chairman must ensure that the CBJ is informed of any significant information related to board members that may adversely affect their suitability.

Suitability of members of the senior executive management

1. The board shall adopt a policy for the suitability of members of the Senior Executive Management, which outlines the minimum criteria, requirements and conditions for those members. The board shall revise the policy as needed and develop sufficient procedures and regulations to make sure that all members satisfy the suitability requirements at all times. Upon endorsing the policy, the board shall provide the CBJ with a copy of it.
2. The board shall appoint a General Manager possessing integrity, technical competence and banking experience after obtaining the CBJ's Letter of No Objection.
3. The board shall approve the appointment, resignation, or termination of services of members of the bank's Senior Executive Management.

4. The board shall adopt and review, at least once a year, the succession plan for members of the Senior Executive Management.
5. The board shall inform the CBJ of any significant information that may adversely affect the suitability of members of the Senior Executive Management.
6. A member of the Senior Executive Management must meet the following requirements:
   - Is not a member of the board of directors of any other bank inside Jordan unless it is a subsidiary of the bank.
   - Must be full-time dedicated to managing the bank's business.
   - Has a minimum of a first university degree in economics, finance, accounting, business administration or relevant fields.
   - Has at least five years of experience in banking or similar fields. The General Manager and Regional Manager must possess at least 10 years of banking experience.
   - Must be of good conduct and reputation.
   - The appointment of the member shall not constitute a conflict of interest arising out of a relationship with the Chairman of the board of Directors or any member thereof or with any major shareholder, including the relationship of kinship up to the third degree in the case of the General Manager and up to the first degree in the case of holders of senior posts.
7. Prior to the appointment of Senior Executive Management members, the bank must obtain a Letter of No Objection from the CBJ. Therefore, the bank shall, before appointing any member in the Senior Executive Management, whether by way of appointment, promotion or transfer (including temporary assignment), obtain the candidate's CV accompanied by academic certificates, experience certificates, good conduct certificates and other necessary supporting documents, along with a signed copy of the declaration. The bank shall send a copy of the said declaration and CV to the CBJ.

Eleventh: performance evaluation of executive officers

1. The board shall establish a system to evaluate its performance and the performance of its members. This system shall meet the following minimum requirements:
   - Setting specific goals and defining the role of the board in achieving these goals in a measurable way.
   - Setting and using KPIs that may be derived from strategic plans and objectives to measure the performance of the board.
   - Ensuring regular communication between the board and shareholders.
   - Holding regular meetings between the board and Senior Executive Management.
   - Reviewing the role of a board member in board meetings, including an evaluation of their performance compared to other members. Feedback shall be obtained from the concerned board member to improve the evaluation process.
2. The board shall carry out an annual evaluation of the General Manager's performance using an evaluation system developed by the Nominations and Remuneration Committee, which includes a number of KPIs. The General Manager's performance evaluation criteria include financial and managerial performance and achievement of the bank's medium- and long-term plans and strategies. The Committee shall inform the CBJ of the evaluation results.
3. The board shall adopt a system to measure the performance of executive officers other than members of the board and the General Manager. This system shall meet the following minimum requirements:
   - Giving appropriate weighted measures of performance in abiding by the risk management framework and implementation of internal controls and regulatory requirements.
   - Total income or profit should not be the only basis for measuring the performance of executive officers. Rather, other elements must be taken into account, such as the risks associated with the main operations, customer satisfaction, and others where applicable.
   - Avoidance of influence peddling and conflict of interest.

Twelfth: remuneration of executive officers

1. The board shall establish procedures to determine the remuneration of its members based on the adopted performance evaluation system.
2. The bank's Nominations and Remuneration Committee shall draw up an objective and transparent policy for remunerations, benefits, incentives and salaries in the bank, including executive officers. The CBJ shall be provided with a copy of the said policy within a maximum period of seven working days from the date of the approval thereof by board. The said policy shall be reviewed on an annual basis.
3. The remuneration policy shall meet the following minimum requirements:
   - To be structured to recruit and retain qualified and experienced executives and to motivate them and promote their performance.
   - To be designed in a manner that ensures that it is not used in a way that may affect the bank's financial position and reputation.
   - To take into consideration the risks, liquidity and profits and their timing.
   - To ensure that remuneration is not only based on the performance of the current year, but also takes into consideration the medium- and long-term performance (three to five years).
   - To reflect the goals, values and strategy of the bank.
   - To define the form of the remuneration, such as fees, salaries, allowances, bonuses, share options or any other form of benefits.
   - To offer the possibility of postponing payment of a reasonable proportion of the remuneration. The amount of such proportion and the postponement period shall depend on the activities and nature of the work performed by the concerned executive and the risks associated therewith.
   - Executives of supervisory departments (Risk Management, Audit, Compliance, etc.) should not be given remunerations based on the performance of their respective departments.

Thirteenth: conflict of interest

1. Executive officers shall avoid conflict of interests.
2. The board shall adopt policies and procedures for related-party transactions, ensuring that they include the definition of these parties, and taking into consideration the laws and regulations, terms of transactions, approval procedures and the mechanism for monitoring these transactions to ensure consistency with the said policies and procedures.
3. The supervisory departments in the bank shall ensure that any transaction involving related parties has been carried out in accordance with the approved policy and procedures. The Audit Committee shall review and monitor all related-party transactions and update the board on the same.
4. The board shall ensure that the Senior Executive Management implements the adopted policies and procedures.
5. The board shall adopt controls to manage the transfer of information within the various departments to prevent using such information for personal gains.
6. The board shall approve and circulate policies and a code of professional conduct among executive officers, which include the following minimum requirements:
   - The prohibition of the use of inside information by executive officers for personal gains.
   - Rules and procedures regulating related-party transactions.
   - Situations that may result in conflicts of interest.
7. The board shall ensure that the Executive Management exhibits the highest level of integrity in performing its duties and avoids conflict of interest.

Fourteenth: general provisions:

1. The principle of transparency shall be observed when appointing members of the board committees. The bank shall disclose the names of committee members and provide a summary overview of their tasks and responsibilities in the bank's annual report.
2. Some committees, except for the Audit Committee, may be combined provided that this does not affect their

responsibilities.

3. The bank shall inform the CBJ at least 30 days prior to the General Assembly meeting of its intention to nominate the external auditor for election or re-election by the General Assembly.
4. The bank shall provide the CBJ with the number of shares pledged by shareholders who own 1 % or more of the bank's capital and the party for which the shares are pledged.
5. The bank shall provide the CBJ with information about members and committees of the board as well as the Senior Executive Management on a semi-annual basis and in the event of any change.
6. The bank shall provide the CBJ with information about members of the boards of directors, management committees and senior executive managements of the bank's subsidiaries inside and outside Jordan on a semi-annual basis and in the event of any change.

Fifteenth: internal control environment

First: organizational structure

1. The bank's organizational structure is developed and regularly revised by the bank's Executive Management and the board to ensure that it:
   - Is consistent with the bank's work requirements and strategic plans.
   - Establishes effective lines of communication.
   - Ensures the required level of internal control and separation of duties that constitute monitoring tools.
2. The board shall adopt an organizational structure that outlines the hierarchical organization including board committees and Executive Management.
3. The board shall ensure that the organizational structure clearly reflects the lines of responsibility and authority, including at least the following supervisory levels:
   - The board of Directors.
   - Separate departments for risk, compliance and audit that do not perform day-to-day executive functions.
   - Units/employees not involved in the day-to-day operations of the bank (such as credit review officers and the middle office)
4. The board shall adopt clear lines of responsibility and accountability and enforce the same at all management levels.
5. The board shall ensure that the Senior Executive Management carries out its responsibilities in relation to the day-to-day management of the bank's operations and that it contributes to the corporate governance of the bank. It shall also ensure that the Senior Executive Management delegates powers to employees, establishes an effective management structure that promotes accountability, and performs tasks in the various areas and activities in a manner consistent with the policies and procedures adopted by the board.
6. The board shall adopt appropriate controls to ensure the accountability of the Senior Executive Management.
7. Notwithstanding the provisions of the Companies Law, the positions of Chairman of the board and General Manager shall not be combined. There shall be no relationship up to the fourth degree between the General Manager of the bank and any of the board members, the board Chairman or major shareholders.
8. In addition to the provisions stipulated by the law, the General Manager shall have the following duties:
   - Develop the strategic direction of the bank
   - Implement the strategies and policies of the bank
   - Implement the decisions of the board
   - Guide the implementation of short- and long-term action plans
   - Communicate the vision and mission of the bank's strategy to employees
   - Inform the board on all significant aspects of the bank's operations
   - Manage the day-to-day operations of the bank
9. A charter, specific to each of the bank's departments, shall be adopted, and it shall clearly specify the responsibilities to avoid redundancy in performing the various tasks as well as ensure a high level of accountability and responsibility.
10. Job descriptions for all positions in the bank are prepared to enforce the principles of accountability and

responsibility and ensure that there are objective bases for performance measurement.

Second: internal control systems

1. The structure of internal control systems shall be reviewed by the internal and external auditors at least once a year.
2. The bank shall have arrangements for its employees to raise, in confidence, concerns about possible violations and shall ensure that such arrangements allow for independent investigation and follow-up action. The Audit Committee shall oversee the implementation of such arrangements.

Third: activating the role of departments concerned with the bank's risk management and internal control

These departments include:

Internal audit:

1. To ensure the effectiveness and efficiency of internal audits, the Internal Audit Department shall be linked directly to the board of Directors/Audit Committee and shall report to the chairman and members of the Audit Committee. It shall not be assigned any executive tasks to ensure its full independence.
2. The board shall ensure and promote the independence of internal auditors. It shall ensure that internal auditors are well-positioned in the bank's organizational structure and that they are qualified to carry out their tasks. The board shall also ensure that internal auditors have the right to access all records and information and contact any employee of the bank in order to properly carry out their tasks and prepare their reports without external interference.
3. The board shall take the necessary steps to enhance the effectiveness of the internal audit by recognizing the importance of the audit process and following up on the correction of audit notes.
4. The Internal Audit Department shall develop its strategy and draw up an annual audit plan to be endorsed by the Audit Committee. It shall also propose the structure and scope of internal audit.
5. The Audit Committee shall ensure the availability of adequate resources, including a sufficient number of trained and qualified employees, to carry out internal audit tasks.
6. The Audit Department shall have the right to access any information and to contact any bank employee. It shall be also granted all authorities that enable it to adequately perform the duties assigned to it.
7. The bank shall document the tasks, authorities and responsibilities of the Audit Department in an Internal Audit Charter that is endorsed by the board and internally circulated.
8. The Audit Department shall be responsible for notifying the Audit Committee of any possible conflict of interest.
9. The Internal Audit Department shall carry out its duties and prepare its reports without any external interference and shall be entitled to discuss its reports with the audited departments.
10. The primary responsibility of the Internal Audit Department, conducting risk focused audits, is to review, at a minimum, the following:
    - The bank's financial reporting (ensuring that significant financial, administrative and operating information is accurate, reliable and timely).
    - Compliance with the bank's internal policies and international standards and procedures as well as the relevant laws and regulations.
    - The existence of, and compliance with, adequate internal control systems at the level of the bank and its subsidiaries.
    - Auditing of financial and administrative matters to ensure accurate, reliable and timely financial and administrative information.
    - Compliance with the Corporate Governance Manual.
    - The soundness and comprehensiveness of the stress testing scenarios in line with the methodology adopted by the board.
    - The accuracy of the procedures followed for the internal capital adequacy assessment process (ICAAP).

Risk management department

1. The Risk Management Department shall be provided with qualified and trained employees to ensure its continuous development.
2. The board of Directors shall ensure the independence of the Risk Management Department by making sure that it reports to the Risk Management Committee and that it is granted the necessary powers to access information from the various departments and cooperate with other committees to perform its tasks.
3. Below are the minimum responsibilities of the Risk Management Department. The detailed functions and responsibilities of the Department are specified in full in the Risk Management Charter endorsed by the Risk Committee:
   - Recommend to the board the acceptable risk appetite level.
   - Submit recommendations to the Risk Management Committee on risk exposures and any exceptions to the risk management policy.
   - Monitor the compliance of the various departments with the approved risk appetite level.
   - Review the risk management framework before being approved by the board.
   - Implement the risk management strategy and develop policies and procedures to manage all types of risks.
   - Develop various risk management policies.
   - Review and analyze all types of risks that the bank may face including credit, market, liquidity and operational risks.
   - Develop methodologies to identify, measure, monitor and control all types of risks.
   - Submit recommendations to the Risk Management Committee on risk limits, approvals, reporting and exceptions to the risks management policy.
   - Provide the board and Senior Executive Management with the bank's risk profile along with a comparison between the actual risks taken by the bank and the risk appetite approved by the board and follow up the correction of deviations. (the board regularly reviews qualitative and quantitative risk statistics at each meeting).
   - Verify the compatibility of the risk measurement methodologies with the management information systems used.
   - Provide the necessary information on the bank's risks for use in the bank's disclosures and publications.
   - Participate in the membership of committees concerned with risk management such as the Credit Committee and the Assets and Liabilities Committee (ALCo).
   - The board shall ensure that excesses over acceptable risk appetite levels are addressed by questioning the Senior Executive Management about such excesses.
   - The board shall ensure that the Risk Management Department conducts periodic stress tests to gauge the bank's ability to absorb shocks and deal with high risks. The board shall also have a fundamental role in approving the assumptions and scenarios used, discussing the stress tests' results and approving the measures to be taken based on these results.
   - The board shall adopt a methodology for assessing capital adequacy. The methodology shall be comprehensive, efficient and able to identify all risks that the bank may face. It shall take into consideration the bank's strategic plan and capital plan. The board shall revise the methodology regularly and ensure that it is duly implemented and that the bank has adequate capital to face any risks.
   - Before approving any expansion of the bank's activities, the board must consider the risks resulting from such expansion.
   - The board shall adopt a charter for the bank's risk appetite.

Compliance department

1. The board shall ensure that the Compliance Department is independent and is not entrusted with any executive tasks. It shall also ensure that the Department is always provided with an adequate number of trained and appropriately remunerated staff.
2. The functions, powers and responsibilities of the Compliance Department shall be documented and circulated within the bank after their approval by the board.
3. The Compliance Department shall develop an effective methodology to ensure the bank's compliance with all applicable laws and regulations as well as any relevant instructions and guidelines.

4. The Compliance Department shall be responsible for developing anti-money laundering procedures and policies and taking the necessary measures to detect and report any suspicious activities to the relevant regulatory authorities.
5. The board shall approve the compliance policy and ensure its periodic review and implementation through the Compliance Committee. The Compliance Department shall be responsible for the preparation and enhancement of the said policy.
6. The Compliance Department shall submit the results of its activities and reports on compliance monitoring to the board through the board's Compliance Committee, with a copy to the Executive Management in accordance with CBJ instructions in this regard.

Fourth: activating the role of the external auditor

1. The board shall ensure the regular rotation of external audit between auditing firms and their subsidiaries, affiliates and other related parties at least every seven years from the date of their election. The first 7-year period shall start as of 2010.
2. In the first year after rotation, the successor auditor shall work jointly with the predecessor auditor.
3. The predecessor auditor may not be re-elected before the lapse of at least two years from the date of its last election not including the joint audit assignment.
4. The external auditor shall provide the Audit Committee with a copy of its report.
5. The external auditor shall meet with the Audit Committee without the Executive Management being present at least once a year.

Fifth: policies and procedures

1. To ensure the soundness of the bank's operations, certain policies and procedures shall be developed covering all the bank's activities.
2. These policies and procedures shall be circulated at all administrative levels.
3. All policies and procedures shall be revised regularly to ensure that they reflect any changes or amendments to the laws and regulations as well as economic conditions and any other issues concerning the bank. In addition, new policies shall be developed as needed.
4. The Executive Management shall ensure that the bank's policies set rules for related-party transactions including loan requirements, the procurement of equipment and services from related parties, or any other transactions. They shall also specify the authorized party in relation to all such transactions.
5. Internal control departments shall ensure that all related-party transactions are in compliance with these policies.
6. Written policies shall determine all executive transactions that require the approval of the board. Meanwhile, the board shall decide internally what the approval mechanism will be in relation to these transactions.

Sixth: disclosure

1. The board shall ensure that meaningful financial and non-financial information that is of interest to stakeholders is published and made available to the CBJ, shareholders, depositors, other banks and the public with a focus on issues of concern to shareholders.
2. The board shall adopt a disclosure policy that clearly defines all issues that need to be disclosed by the bank as well as the frequency and methods of disclosure.
3. The board shall ensure that the bank's financial disclosures are consistent with the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), CBJ instructions, and other relevant legislation. It shall also ensure that the Executive Management is always up-to-date with IFRS changes.
4. The bank's management shall be responsible for ensuring the full implementation of all IFRS changes.
5. The bank must be aware of any changes in international financial reporting practices and the scope of transparency required from financial institutions.
6. The Executive Management shall submit reports on disclosure developments to the board and makes recommendations for the regular enhancement of the bank's own disclosure practices beyond those required by the CBJ.
7. The bank shall publish its Corporate Governance Manual on its website and through any other suitable means

to make it available to the public. The bank shall also include in its annual report details of its compliance with the Corporate Governance Manual as well as information of interest to stakeholders.

8. The annual report shall also include a statement to the effect that the board is liable for the accuracy and completeness of the bank's financial statements and other information contained in the report, as well as for the adequacy of the internal control systems.
9. The board shall ensure that the bank's annual and quarterly reports include disclosures that allow current and potential shareholders to know the financial position and operating results of the bank.
10. The board shall ensure that the annual report includes, at minimum, the following:
    - Summary of the organizational structure of the bank.
    - Summary of the roles and responsibilities of board committees and the authorities delegated to each committee.
    - Useful information of interest to stakeholders as identified in the Corporate Governance Manual and the extent of compliance with the Manual.
    - Information on each board member, including qualifications and experience, shareholding in the bank, whether an independent or non-independent board member, membership in board Committees, date of appointment to the board, other memberships in the boards of directors of other companies, remunerations of all forms for the previous year in addition to loans from the bank and other transactions between the bank and the board member or parties related thereto.
    - Information about the Risk Management Department, including its structure and nature of its operations, and changes therein.
    - Number of meetings of the board and board committees and the number of meetings attended by each member.
    - Names of board members and senior executives who resigned during the year.
    - A summary of the remuneration policy and full disclosure of all forms of remuneration to each individual member of the board and Senior Executive Management for the previous year.
    - A list of shareholders that own 1% or more of the bank's capital with identification of the ultimate beneficial owners of such shareholdings or any part thereof, in addition to a clarification as to whether the shareholdings are wholly or partially pledged.
    - Declarations from all board members confirming disclosure of all benefits, in cash and in kind, received by them, or any persons related to them, in association with their work at the bank in the past year.

Seventh: Treatment of stakeholders

The principles of corporate governance require the fair treatment of all stakeholders, transparency in the disclosure of the bank's position and its financial performance, as well as accountability in the relationship between the management and stakeholders. The following must be implemented:

1. The board shall develop a mechanism to guarantee communication with stakeholders by disclosing and providing relevant information to stakeholders about the bank's activities through:
    - General Assembly meetings.
    - Annual Report.
    - Quarterly reports containing financial information in addition to the board's report on the bank's stock trading and financial position during the year.
    - The bank's website.
    - Investor Relations Function.
2. The board shall ensure that a part of the bank's website is designated to clarify shareholders' rights and encourage shareholders to attend and vote at general assembly meetings. Also, documents of general assembly meetings, including the full text of invitation and meeting minutes shall be published on the website.

Sixteenth: board committees

The following board committees are formed, along with other committees deemed necessary by the board, to guide, follow up on and monitor the work of the bank and to submit periodic reports and recommendations to the board in this regard:

Audit Committee

Management Committee

Risk Committee

Corporate Governance Committee

Nominations and Remuneration Committee

Compliance Committee

IT Governance Committee.

Credit Facilities Committee.

No board member may be appointed as chairman of more than one of the main committees (the Audit Committee, Risk Committee, Corporate Governance Committee, and Nominations and Remuneration Committee). Moreover, the board member may not serve as chairman of more than two board committees. Following is a description of the tasks, authorities and memberships of each committee:

Audit committee

Objective:

To assist the board in performing its functions with regard to the supervision and monitoring of the preparation of financial reports, internal control systems, audits, and degree of compliance with the laws governing the bank's work, as well as activate the role of the external auditor.

The Committee Charter shall be endorsed by the board and shall be an integral part of the bank's Corporate Governance Manual. The board shall set out the Audit Committee's authorities and supervisory responsibilities, which are to be exercised and implemented in the bank and its subsidiaries.

Formation:

- The Committee shall be formed by a decision from the board. The board's secretary shall act as secretary of the Committee. The work of any other committee may not be combined with the work of this Committee.
- The Committee consists of at least three board members, the majority of whom, including the Committee chairman, are independent. The Committee shall elect one of its members as its chairman, provided that the Committee chairman shall not be the Chairman of the board or of any other board committee.
- All Committee members must possess adequate academic qualifications and work experience in accounting, finance, or any other relevant field.

Meetings:

- The Committee shall meet at the invitation of its chairman at least once every three months or whenever the need arises, at the decision of the board or at the request of other members or the internal or external auditor if the Committee deems it necessary.
- The Head of the Internal Audit Department shall attend the meetings of the Committee.
- Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Powers:

- The Committee shall work under the supervision of the board. It shall also submit its reports and recommendations on the results of its operations to the board. The Committee's decisions and recommendations shall be taken by majority vote. In the case of equal votes, the chairman shall have the casting vote.
- The Audit Committee has the authority to obtain any information from the Executive Management and is entitled to invite any employee to attend any of its meetings, or seek external assistance.
- The Committee shall study any matter presented to its attention by the board or any matter the Committee considers important to be discussed and decided upon.
- The Committee shall settle differences between the Executive Management, internal and external auditors and other regulatory authorities regarding financial reports and internal audit notes and scope of work.

Functions and responsibilities:

The Audit Committee does not take over the responsibilities of the board or Executive Management with regard to overseeing the adequacy of the bank's internal controls. It also does not affect the board's ability to directly contact the Executive Management and internal and external auditors.

The Committee's responsibilities are as follows:

Financial reporting and disclosure requirements:

- Review annual, semi-annual and quarterly financial statements for all branches and subsidiaries of the bank inside and outside Jordan prior to submission to the board. The Committee shall also review their conformity with international legislation and standards and submit recommendations thereon, taking into account the following:
  - Obtaining a certificate from the external auditor regarding: the adequacy of the provision for impairment of credit facilities/ECL, investments and contingent liabilities; the need for any additional provisions; the accuracy of the calculation of interest and earnings in suspense; the accuracy of the calculation of the provision for seized property and any impairment in provisions; and the validity of the valuation of goodwill impairment.
  - Giving opinion regarding the bank's non-performing loans or those proposed to be classified as bad debts.
  - Handling accounting issues with a material impact on financial statements such as any changes in accounting policies, any unusual transactions and issues highly subject to personal judgment. This is in addition to ensuring the accuracy and soundness of accounting and control procedures and the level of compliance therewith, and obtaining the opinion of the external auditor on the validity of the accounting treatments concerning any amendments to financial statements.
- Ensure compliance with IAS and IFRS and compliance with disclosure requirements as well as the requirements of the CBJ, Securities Commission and any other relevant authority. The Committee shall also ensure that the Executive Management is aware of the changes that occur to these standards, and that reports thereon are submitted to the board of Directors.

Internal audit:

- Review the internal audit charter and ensure that it covers the roles, powers and responsibilities of the Audit Department before submitting it to the board for approval, as well as ensure the circulation thereof within the bank.
- Review, study and approve the risk-based internal audit plan, including the information systems audit plan, ensuring its comprehensiveness in terms of scope of work, absence of any limitations thereon, results and adequacy, and making sure that it incorporates the bank's strategic goals. The Committee shall also follow up the implementation of the said plan and adopt substantive changes thereto.
- Review the organizational structure and budget of the Internal Audit Department with the Head of the Internal Audit Department and ensure the provision of qualified and trained employees, including the information systems audit staff, and any other resources required to carry out the work of the Internal Audit Department effectively and efficiently.
- Ensure the rotation of the audit of the bank's various activities between internal audit employees every three years at a maximum.

- Review the quarterly audit report, which includes key internal audit notes, recommendations on these notes or investigation findings, Audit Committee's recommendations, and emerging risks. The said report is itself the internal control system report required by the Central bank of Jordan, but on a quarterly instead of annual basis. It is updated annually with the corporate governance compliance results. The Committee also reviews progress in the approved audit plan, advisory tasks and regulatory authorities' requirements. It identifies any deviations or material changes to these plans, if any, and possible reasons behind them, such as limited resources and any external circumstances or reasons and their impact on the implementation of plans, and informs the board of any material notes.
- Ensure that the CBJ is provided during the first quarter of each year with a report on the audit of the information and related technologies issued by the Internal Audit, including the Executive Management's response and the board's review and recommendations in accordance with the COBIT instructions.
- Ensure that the internal audit plans contain the requirements of the CBJ and the regulatory bodies, such as reviewing stress testing scenarios and conducting internal evaluation of the adequacy of the capital and reporting thereon to the board of Directors.
- Meet with the Head of the Internal Audit Department at least once a year without the Executive Management being present.
- Ensure the independence and objectivity of the Internal Audit Department and that it is not assigned any executive work, and ensure that the Department is provided with qualified staff who are well-positioned in the bank's organizational structure, as well as report the same to the board.
- Take the necessary measures to enhance the efficiency of internal audit by giving due importance to the audit process and embedding its significance in the bank by following up on the correction of audit notes and submitting reports to the board on the same.
- Review the notes contained in the reports of the CBJ and the external auditor and follow up on measures taken in that regard.
- Submit recommendations to the board regarding the appointment, resignation or dismissal of the Head of Internal Audit Department, provided that the CBJ's non-objection letter is obtained.
- Carry out an evaluation of the Internal Audit Head's annual performance and determine their salary, annual raise, remuneration and other privileges.
- Evaluate the performance of the Internal Audit's employees and determine their remuneration and annual raise, and ensure their ability to verify the availability of adequate internal audit control systems, audit financial and administrative matters, and abide by internal policies, international standards and relevant legislation in force in the bank.
- Review the performance evaluation results of the Internal Audit's work and its compliance with the internal audit standards, principles of professional ethics, and scope of work.

External auditor:

- The Committee shall ensure the independence and regular rotation of the external auditor and that it is nominated after ascertaining that it meets the nomination and assignment requirements of audit firms in accordance with the external audit instructions issued by the CBJ. The Committee shall also recommend the external auditor's fees and termination of its services to the board of Directors.
- The Committee shall monitor the efficiency of the external auditor at all stages of audit, verify its commitment to the scope and action plan and submit semi-annual reports to the board for discussion.
- The Committee shall ensure that the external auditor provides the CBJ during the first quarter of each year with a report on the audit of information and related technologies, including the response of the Executive Management and the recommendations related to the report, in accordance with the COBIT instructions.
- The Committee shall invite the managing partner at the external auditor's office to attend its external audit meetings, with the exception of meetings related to the evaluation of the efficiency of external audit. The Committee shall also facilitate attendance of the said partner at meetings of other committees that are relevant to the audit if the Audit Committee deems it necessary.
- The Committee shall discuss any reservations and impediments with the managing partner at the external auditor's office without the Executive Management being present at least once a year, and inform the board of any notes it deems important.
- The Committee shall recommend to the board to approve, or not to approve, assigning the audit office additional services that fall outside the scope of auditing after ascertaining that such services do not conflict with the

external auditor's independence. In the event that additional services are requested from another audit office or any specialized agency, it should be ascertained that such services do not conflict with their independence and objectivity.

- The Committee shall execute the tasks of the Audit Committee specified in the approved external audit policy.

Compliance:

- The Committee shall meet with the Head of Compliance at least once a year without the Executive Management being present to ensure the bank's compliance with the laws, regulations, policies and procedures. It shall also inform the board of any significant notes.
- The Committee shall obtain ongoing updates from the Compliance Department, Executive Management, and the bank's Legal Counsel on any compliance issues.
- The Committee shall ensure that no conflict of interest may arise from dealings, contracts or projects with related parties, and review and monitor all related-party transactions and inform the board of these transactions in accordance with the policies endorsed by the board in this regard, and in coordination with the Compliance Department.
- The Committee shall review and monitor the policy and procedures for reporting possible violations whereby employees can confidentially report any irregularities in financial reports or any other matter. The Committee shall ensure that the necessary independent investigation arrangements are in place and make sure to follow up on the results of the investigation and address the matter objectively, and in coordination with the Compliance Department.
- The Committee shall monitor compliance with the Code of Conduct and work ethics in place.

Control system:

- The Committee shall ensure an internal audit takes place at least once a year by reviewing the internal control system and corporate governance. The board shall be informed of any notes the Committee deems necessary.
- The Committee shall ensure that the external auditor reviews, at least once a year, the internal control system by reviewing the notes contained in the external auditor's reports and correspondence, including the protection and security of the information and the corrective actions taken by the Executive Management in this regard. The board shall be informed of any notes the Committee deems necessary.

Other responsibilities:

- The Committee shall review the results of official investigations in which the Internal Audit participates as well as the corrective actions taken by the Executive Management in this regard if necessary, and inform the board of any significant notes.
- The Committee shall ensure that all of the bank's activities, including outsourced activities, are audited. This aims to have an independent and impartial party verify on an annual basis that third parties have reliable business continuity plans that guarantee the availability and confidentiality of the data and operations of banks in the event of any emergency.
- The Committee shall ensure that internal audit keeps abreast of the best sound practices in the event of any emergency, through emergency bulletins and others issued by professional or specialized audit bodies.
- The Committee shall revise its Charter annually and propose amendments to the board for approval.
- The Committee shall ensure, at least once a year, that all the responsibilities referred to in the Charter are adhered to.

Duties and responsibilities of the committee's secretary:

The Committee's Secretary shall be responsible for:

- Providing each member with the board-approved Audit Committee Charter;
- Coordinating with the chairman and members of the Committee, and the Head of Internal Audit to set the dates for Committee meetings;
- Communicating information between members of the Committee, board committees and the Management, and facilitating member access to all the necessary information;
- Preparing meeting agendas and all relevant documents and information at the request of the chairman and

sending the same to the members and chairman of the Audit Committee and the invited members of the Executive Management sufficiently in advance;

- Writing official meeting minutes including actions taken by the Committee and following up recommendations made by the Committee in addition to any topics postponed at previous meetings. The Committee's secretary must be able to write accurate meeting minutes and provide an accurate account of proceedings, including any voting that took place, reservations, suggestions, and enclose or reference any documents referred to during the meetings. The secretary shall also duly keep records and documents of Committee meetings; and
- Preparing draft minutes and having them signed by the chairman and members of the Committee.

Management committee

- The Management Committee Charter shall be approved by the board and it shall be an integral part of the bank's Corporate Governance Manual.
- This Charter shall be reviewed on an annual basis by the Committee in cooperation with the Executive Management of the bank. Proposed amendments shall be submitted to the board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the bank's annual report.

Committee's membership:

- The Committee is formed by the board's decision.
- The Committee comprises a minimum of three board members.
- Members shall have sufficient banking knowledge and experience to enable them to make sound decisions.

Committee's chairmanship:

The chairman of the Committee shall be elected from among its members.

Quorum:

Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Voting:

The Committee's decisions are taken by a majority vote of members present.

Committee's secretary:

The Head of Credit Monitoring and Credit Control shall act as the Committee's secretary.

Committee meetings:

- The Committee shall work under the supervision of the board. It shall submit its reports and recommendations on the results of its operations to the board.
- The Committee shall meet at the invitation of its chairman whenever the need arises, at the decision of the board or at the request of one of its members.
- Members of the Senior Executive Management may participate in the meetings of the Committee to present their recommendations.

Committee's duties and responsibilities:

Investment

- Study and approve, within the scope of its powers, the recommendations of the Treasury and Investment Department in relation to investments, sales and purchases.
- Study and approve, within the scope of its powers, the recommendations of the Treasury and Investment

Department in relation to the classification or reclassification of existing securities in the bank's portfolios as held for trading, available for sale or held to maturity.

- Study and approve, within the scope of its powers, the recommendations of the Treasury and Investment Department in relation to underwriting securities through an initial public offering in the primary market.

Expenditure and procurements

- Study the recommendations of the Expenditure and Procurement Committee in relation to the procurement of supplies, equipment and support services and ensure compliance with expenditure and procurement procedures including requesting proposals, studying and analyzing them, selecting the best offers and approving them within the scope of the Committee's powers.
- Evaluate and decide on studies prepared for the purchase of property for use by the bank.
- Handle any other related issues which the General Manager wishes to present to the Committee.

Management

- Amend and update the bank's memorandum and articles of association in line with the applicable Jordanian laws and submit recommendations to the board on the same.
- Handle any other administrative issues which the General Manager entrusts to the Committee.

Risk management committee

- The Risk Committee Charter shall be endorsed by the board, and it shall be an integral part of the bank's Corporate Governance Manual.
- The Charter shall be reviewed annually by the Committee in collaboration with the bank's Risk Management Department and any suggested amendments shall be submitted to the board for endorsement.
- The names of Committee's members and the Committee's activities shall be disclosed in the bank's annual report.

Committee's membership:

- The Committee is comprised of a minimum of three board members provided that at least one of them is independent in addition to the Head of Risk Department in the bank.
- Committee members should possess adequate knowledge and understanding of banking risk management principles.
- Members should have full knowledge of all instructions issued by the CBJ and regulatory authorities.
- Members should hold academic qualifications and/or practical experience in finance and banking.

Committee's chairmanship:

The chairman of the Committee shall be elected from among the independent members of the board of Directors.

Quorum:

Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Voting:

Committee decisions shall be taken by a majority vote. The Head of the Risk Management Department shall not have the right to vote.

Committee's secretary:

The Head of the Risk Management Department shall act as the Committee's secretary.

Committee meetings:

- The Committee shall work under the supervision of the board, and shall submit its reports and recommendations on the results of its operations to the board.
- The Risk Management Committee shall meet at the invitation of its chairman at least four times a year, whenever the need arises, at the decision of the board or the request of one of its members.

Committee's duties and responsibilities:

1. Review and approve the risk management framework, including risk management governance, risk appetite and risk profile, in addition to the risk management strategy and general reporting framework.
2. Approve the annual risk management plan.
3. Approve and annually review risk management policies, including those related to credit risks, operational risks, market risks, liquidity risks, interest rate risks, in addition to the investment policy, business continuity plan, and emergency plan.
4. Monitor and assess the various risks to which the bank may be exposed.
5. Create the suitable environment to ensure identification of risks that have a material impact on the bank and any activities that may expose the bank to risks greater than the approved risk appetite. The Committee shall report to the board on the same and do the necessary follow-up.
6. Make sure there is no discrepancy between the actual risks that the bank takes and the risk appetite approved by the board.
7. Review the notes contained in the reports of the CBJ and the external auditor with regard to the bank's risk management and follow up on measures taken in that regard.
8. Study any matter presented to its attention by the board or any matter the Committee considers important to be discussed and decided upon.
9. Approve a methodology for internal assessment of capital adequacy process (ICAAP), taking into consideration the bank's strategic plan and capital plan. It shall also review the methodology regularly and ensure that the bank has adequate capital to face any potential risks.
10. Adopt a stress testing policy, regularly discuss the stress tests' results and approve the measures to be taken based on those results.
11. Submit periodic reports to the board on the compatibility of existing risks with the policies and risk appetite to enable the board to take appropriate decisions and follow-up on them.
12. Adopt an information security policy, including cyber-security policies.
13. Adopt a cyber-security program.

Corporate governance committee

- The Committee is formed by a decision of the board and comprises a minimum of three members, the majority of whom are independent, including the Chairman of the board.
- The board elects the members of the Committee from among its members. The Committee continues to perform its duties throughout the tenure of the board.
- The Committee shall work under the supervision of the board and shall submit its reports and recommendations on the results of its operations to the board.

Committee's chairmanship:

The Chairman of the board shall act as the Committee chairman.

Quorum:

Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Voting:

Committee decisions shall be taken by a majority vote.

Committee's secretary:

The Head of the Compliance Department shall act as the Committee's secretary.

Committee meetings:

The Committee shall meet at the invitation of its chairman at least twice a year, whenever the need arises, at the decision of the board or at the request of one of its members.

Committee's duties and responsibilities:

1. Provide recommendations to the board regarding the approval of the Corporate Governance Manual and conduct an annual review of the same to ensure its compliance with the CBJ's instructions, Companies Law and Banking Law.
2. Ensure that the Manual is made available to all shareholders (particularly minority shareholders).
3. Review the Disclosure Policy and the Code of Conduct on an annual basis and recommend any amendments to the board.
4. Ensure the compliance of all stakeholders, including members of the board and Executive Management, with the endorsed Corporate Governance Manual and the Code of Conduct.
5. Ensure that the bank applies the Corporate Governance Manual and Policies to all of its operations and activities.
6. Ensure the effectiveness of internal control systems related to monitoring corporate governance at the bank.

Nominations and remuneration committee

Committee formation:

The Committee is comprised of a minimum of three members, the majority of whom are independent including the Committee chairman.

Committee's chairmanship:

The Committee shall elect a chairman from among its independent members.

Voting:

The Nominations and Remuneration Committee's decisions and recommendations shall be taken by the absolute majority of the members. In the case of equal votes, the chairman shall have the casting vote.

Committee's secretary:

The secretary of the Committee shall be the Head of Human Resources or as determined by the Committee.

Committee meetings:

- The Committee shall meet at the invitation of its chairman, whenever the need arises, at the decision of the board or at the request of one of its members, ensuring that the meetings held shall not be less than two (2) meetings per year. The meeting minutes shall be duly recorded.
- The Committee shall present its reports and recommendations to the board of Directors. A report on its work shall be presented at the annual ordinary meeting.

Committee's duties and responsibilities:

1. Ensure that the board of Directors' composition is consistent with the applicable laws and regulations as follows:
   - The number of members of the board shall not be less than eleven and not more than thirteen, according to the provisions of the bank's Articles of Association of the bank.
   - All board members shall be non-executive members.
   - A minimum of one-third of board members shall be independent. In the event that there is a fraction, the number shall be rounded to the nearest integer without exceeding half of the total number of board members.

The following requirements and conditions must be met to ensure the independence of a board member as a minimum:

- Possesses extensive experience and qualifications in finance or banking.
- Neither the board member nor any of their first-degree relatives has a direct or indirect interest in the contracts, projects and engagements made with the bank, or any sister or affiliate company thereof, and whose value equals or exceeds JOD50,000.
- Has not occupied the position of board member of the bank or any of its subsidiaries or the position of management board member therein for more than eight consecutive years.
- Has not been granted, either him or any company in which he/she is a board member, owner or major shareholder any credit by the bank exceeding 5% of the subscribed share capital of the bank, and has not been a guarantor of a credit exceeding the same threshold.
- Is not a major shareholder, or a representative or an affiliate of a major shareholder, of the bank, or otherwise holding in concert with affiliates a major shareholding; is not a major shareholder of a subsidiary of the bank; and is not a major shareholder in the bank's group of owners.
- Is not related, up to the second degree, to any other board member or a member of the board of directors of any subsidiary of the bank, or to any major shareholder of the bank.
- Neither the board member nor any of their relatives up to the second degree is, or has been, a member of the bank's board of Directors or Senior Executive Management, or any subsidiary thereof in the past three years preceding their election.
- Has not been an employee of the bank or any subsidiary thereof in the past three years preceding their election.
- Is not related, up to the first degree, to the bank's external auditor, and neither the member nor any of their first degree relatives is a partner or employee of the bank's external auditor for the past three years preceding their election as board members.

2. Ensure the suitability of board members. The Chairman and members of the board must meet the following requirements:
   - Is at least 25 years old.
   - Is not a board Member, General Manager, Regional Manager or employee of another bank inside Jordan unless it is a subsidiary of the bank.
   - Is not a lawyer, legal counsel or auditor of the bank.
   - Has a minimum of a first university degree in economics, finance, accounting, business administration or other relevant fields. The Nominations and Remuneration Committee may consider adding other specializations if combined with relevant banking experience.
   - Is not an employee of the government or any public institution unless being a representative thereof.
   - Neither the board member nor the representative thereof is a member or representing a member in the board of another similar or competitor bank, and is not a member of the board of directors of more than five public shareholding companies inside Jordan in their personal capacity in some and as a representative of a legal person in others.
   - Has at least five years of experience in banking, finance or similar fields.
   - Must be of good conduct and reputation.
   - The Chairman and each member of the board must sign the declaration of suitability prescribed by the Corporate Governance Instructions for Banks No. 63/2016, which will be kept with the bank and a copy of which will be sent to the CBJ along with the member's CV.
   - The Chairman must ensure that the CBJ is informed of any significant information related to board members that may adversely affect their suitability.
3. Determine whether a board member continues to meet the definition of an independent member and verify this on an annual basis. The CBJ and the Securities Commission shall be notified in the event that the independence status of any member of the board of Directors ceases to exist.
4. Identify individuals who are qualified to become board members, taking into consideration candidates' competences and qualifications, and in the case of re-election their effective performance and attendance of board meetings. The Committee shall also obtain the CBJ's no objection letters regarding their election, at least two weeks before the date of the general assemby meeting of the bank's shareholders.

5. Develop a clear methodology to ensure that all board members allocate sufficient time to carry out their board duties, including, for example, the member's affiliation with other boards of directors, committees, forums, etc.
6. Ensure that board members attend workshops or seminars on banking-related topics, particularly risk management, corporate governance and the latest banking developments.
7. Provide board members with important background information and briefs on the bank at their request and ensure they are always updated on the latest banking developments.
8. Evaluate the performance of the board as a whole, as well as the performance of board committees and board members on an annual basis. The Committee shall inform the CBJ and Securities Commission of the results of this evaluation.
9. Identify and nominate to the board qualified individuals for Senior Executive Management positions, specify the criteria for the selection thereof, and obtain the CBJ's no objection letters before appointing them in the Senior Executive Management, whether by way of appointment, promotion or transfer (including temporary assignment).
10. Set the policies related to human resources in the bank, including succession and training policies, and monitor and review their implementation annually.
11. Adopt specific, approved and objective criteria for the evaluation of the performance of the board and the General Manager.
12. Develop a system for evaluating the performance of the General Manager, which includes a number of KPIs. The criteria for the General Manager's performance evaluation shall include the financial and managerial performance as well as achievement of the bank's medium- and long-term plans and strategies. The Committee shall inform the CBJ of the evaluation results.
13. Ensure that a remuneration policy for executive officers is in place, regularly revised and implemented. The Committee shall also recommend the salaries, remunerations and other benefits of the General Manager and members of the Senior Executive Management.
14. Draw up an objective and transparent policy for remunerations, benefits, incentives and salaries in the bank, including executive officers. The CBJ shall be provided with a copy of the said policy within a maximum period of seven (7) working days from the date of the approval thereof by board. The said policy shall be reviewed on an annual basis.
15. Ensure the suitability of members of the Senior Executive Management, making sure that they shall meet the following requirements:
    - Is not a member of the board of directors of any other bank inside Jordan unless it is a subsidiary of the bank.
    - Must be full-time dedicated to managing the bank's business.
    - Has a minimum of a first university degree in economics, finance, accounting, business administration or relevant fields.
    - Has at least five years of experience in banking or similar fields. The General Manager and Regional Manager must possess at least 10 years of banking experience.
    - Must be of good conduct and reputation.
    - The appointment of the member shall not constitute a conflict of interest arising out of a relationship with the Chairman of the board of Directors or any member thereof or with any major shareholder, including the relationship of kinship up to the third degree in the case of the General Manager and up to the first degree in the case of holders of senior posts.

Committee's powers:

The Committee shall have the following powers:

- Request any data or information from the bank's personnel who shall, in turn, be cooperative and provide such information in a complete and accurate manner;
- Request legal, financial, administrative or technical advice from any external advisor; and
- Request the presence of any employee in the bank to get the necessary clarifications.

Compliance committee

- The Compliance Committee Charter shall be endorsed by the board, and it shall be an integral part of the

bank's Corporate Governance Manual.

- This Charter shall be reviewed on an annual basis by the Committee in cooperation with the Compliance Committee. Proposed amendments shall be submitted to the board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the bank's annual report.

Committee's membership:

- The Committee comprises three board members including the chairman of the Committee, ensuring that the majority of them are independent. The Head of the Compliance Department shall act as the Committee's rapporteur.
- Committee members must possess general banking experience in addition to full knowledge and understanding of the instructions issued by the CBJ and other regulatory authorities, which govern the operations of the bank and its subsidiaries.
- Committee members must possess adequate knowledge and understanding of compliance management principles.
- All Committee members must possess adequate academic qualifications and work experience in finance, banking or any other relevant field.
- The chairman of the Compliance Committee shall attend the annual general assembly meeting.

Committee's chairmanship:

The Committee shall elect its chairman from among its independent members.

Quorum:

Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Voting:

Committee decisions shall be taken by a majority vote. The Head of the Compliance Department shall not have the right to vote.

Committee meetings:

The Compliance Committee shall meet at the invitation of its chairman at least four times a year, whenever the need arises, at the decision of the board or at the request of one of its members.

Committee's rapporteur:

The Head of the Compliance Department shall act as the Committee's Rapporteur.

Rapporteur's responsibilities:

- Preparing draft minutes and having them signed by the chairman and members of the Committee.
- Providing each member with the board-approved Charter of the Compliance Committee.
- Communicating information between members of the Committee, board committees and Executive Management, and facilitating access to all the necessary information for members.
- Recording official meeting minutes including actions taken by the Committee and following up recommendations made by the Committee in addition to any topics postponed at previous meetings. The Committee's secretary must be able to record accurate meeting minutes and provide an accurate account of proceedings, including any voting that took place, reservations, suggestions, and enclose or reference any documents referred to during the meetings.
- Preparing meeting agendas and all relevant documents and information at the request of the Committee's chairman and sending the same to the members and chairman of the Committee and the invited executive

management members sufficiently in advance.

- Duly keeping records and documents of meetings of the Committee.

Committee's duties and responsibilities:

- Review the notes contained in the reports of the Compliance Unit, the CBJ, the External Auditor and Internal Audit on compliance and AML/CFT monitoring at the bank, and follow up on the actions taken thereon.
- Recommend to the board the adoption of the compliance policies or any amendments thereto.
- Ensure the accuracy and soundness of the compliance monitoring procedures, as well as adherence thereto.
- Receive annual reports from the Compliance Unit on the compliance of all the bank's policies, procedures and work programs with the relevant laws and instructions.
- Ensure full compliance with the laws, regulations and instructions governing the bank's business.
- Receive statistical reports on suspicious transactions of which the AML/CFT Unit is notified.
- Provide reports to the board on the results of the bank's compliance function.
- Study any matter presented to its attention by the board or any matter the Committee considers important to be discussed and decided upon.
- Approve the implementation of any recommendations issued by any of the board committees or the Executive Management regarding the assignment of any tasks to the Compliance Department and any other matters in this respect.
- It should be noted that the Compliance Committee does not take over the responsibilities of the board or Executive Management with regard to the bank's compliance with the instructions and directives of the various regulatory authorities or affect the board's ability to contact the Executive Management directly.

IT governance committee

Committee formation:

- The Committee shall be formed by a decision from the board.
- The IT Governance Committee shall be comprised of a minimum of three members of the board of Directors. It is preferred to include in its membership persons with expertise and strategic knowledge in IT.
- The Committee shall elect its chairman from among its members.
- The board shall determine the objectives and mandate of the Committee in accordance with a Charter to this effect.

Committee's powers:

- The Committee may, when necessary and at the bank's expense and in coordination with the Chairman of the board, hire external experts in the field of IT governance and strategic knowledge to strengthen objective opinions.
- The Committee may invite any of the bank's executive officers to attend its meetings for their opinions, including those in internal audit and members of the Senior Executive Management (such as the Head of Risk Management and Compliance) or those in external audit.

Committee meetings:

- The Committee shall work under the supervision of the board. It shall submit its periodic reports and recommendations on the results of its operations to the board.
- The Committee shall meet at the invitation of its chairman at least quarterly, whenever the need arises, at the decision of the board or at the request of any of its members.
- Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.
- Committee decisions and recommendations shall be taken by majority vote. In the case of equal votes, the chairman shall have the casting vote. The Committee shall keep documented minutes of meetings.

Committee's rapporteur:

The CTO shall act as the Committee's Rapporteur.

Committee's duties and responsibilities:

The delegation of powers by the board to the Committee or any other committee does not relieve the board of its responsibilities in this regard. The Committee shall undertake the following duties:

1. Approving the IT strategic objectives and appropriate organizational structures, including the Steering Committees at the level of Senior Executive Management (particularly the IT Steering Committee). This is to be done in a manner that guarantees the realization and fulfillment of the bank's strategic objectives and achievement of the best added value from the projects and investments in IT resources, ensuring the utilization of the necessary tools and standards to monitor and confirm the achievement of the same, such as the use of IT Balanced Scorecards, calculation of the return on investment, and measurement of the impact of contribution to increasing the financial and operating effectiveness.
2. Approving the general framework for the management and control of IT resources and projects, which simulates the best international standards in this regard, specifically COBIT. This should be done in a manner that ensures the achievement of the objectives and requirements of the IT governance instructions issued by the Central bank through the sustainable fulfillment of the corporate objectives, IT objectives, and IT governance processes.
3. Approving the corporate objectives matrix and IT objectives, while detailing the secondary objectives required for the fulfillment thereof.
4. Approving the responsibility assignment matrix (RACI Chart) for the main and sub-processes of IT governance as regards the Responsible, Accountable, Consulted and Informed entity, person or parties.
5. Ensuring the existence of a general framework for IT risk management, which integrates and is in line with the bank's overarching risk management framework, and takes into account and fulfills all IT governance processes.
6. Approving the IT resources and projects budget in accordance with the bank's strategic objectives.
7. Overseeing and observing IT work flow, resources and projects to ensure their adequacy and efficient contribution to fulfilling the bank's requirements and business activities.
8. Viewing IT audit reports and acting as necessary to rectify any deviation thereof.
9. Recommending to the board of Directors the adoption of the necessary procedures for rectifying any deviations.

Credit facilities committee

- The Credit Facilities Committee Charter shall be endorsed by the board, and it shall be an integral part of the bank's Corporate Governance Manual.
- This Charter shall be reviewed whenever needed by the Committee in cooperation with the Executive Management of the bank. Proposed amendments shall be submitted to the board for approval.
- The names of Committee's members and the Committee's activities shall be disclosed in the bank's annual report.

Committee's membership:

- The Committee is formed by the board's decision.
- The Committee consists of at least five board members. A member of the Committee may be independent, provided that he/she is not a member of the Audit Committee.
- Members shall have sufficient banking knowledge and experience to enable them to make sound decisions.
- The board may delegate some or all of the powers of the Committee as regards amending the conditions or structuring the credit facilities of the relevant credit committees (the highest committee in Executive Management according to applicable instructions). The Credit Facilities Committee should be informed of the decisions taken within these powers. It is also necessary to amend the structure of powers in line with what has already been stated in this regard.

Committee's chairmanship:

The Chairman of the bank's board shall act as the Committee chairman.

Quorum:

Committee meetings are considered legal in the presence of at least four members. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.

Voting:

Committee decisions are taken by a majority vote regardless of the number of members in attendance. In the case of equal votes, the chairman shall have the casting vote.

Committee's secretary:

The Head of Credit Monitoring and Control shall act as the Committee's secretary.

Committee meetings:

- The Committee shall work under the supervision of the board. It shall submit its reports and recommendations on the results of its operations to the board.
- The Committee shall meet at the invitation of its chairman whenever the need arises.
- Members of the Senior Executive Management may participate in the meetings of the Committee to present their recommendations.

Committee's duties and responsibilities:

1. Study and approve the recommendations of the competent credit committees to take the right decision in relation to the granting, renewal, modification and/or cancellation of credit facilities that fall within the scope of the Committee's authority or present its recommendations regarding the same to the board. The upper limits of the powers vested in this Committee regarding the granting, modification, renewal or restructuring of credit facilities shall be determined and the board's powers in this regard shall be clarified.
2. Approve special credit programs and exceptions submitted to it with respect to these programs.
3. Review reports prepared by the remedial and legal departments related to the follow up of bad debts and debts being prosecuted legally, and take appropriate decisions in their regard within the scope of its power or submit appropriate recommendations to the board.
4. Approve any amendments to the policies set for granting credit facilities to employees.
5. Approve the granting of any credit facilities to employees, which are beyond the authority of the CEO.
6. Handle any other credit related issues that the General Manager wishes to present to the Committee.
7. Periodically submit to the board details of the credit facilities approved by it.
8. Review the credit policy and any amendments thereto, which should include, at a minimum, the following:
   - Different credit limits
   - Risk-weighted pricing policy
   - Different lending approval powers
   - Risk appetite policy
   - Different credit products

This is done to ensure compliance at all levels.

Decisions related to board members and persons related to them: The necessary approvals for decisions related to board members and persons related to them are obtained by e-mail, and sent to all board members, except for related members.

Statement of compliance with the corporate governance manual

The bank complies with the Corporate Governance Manual approved by its board of Directors.

Control objectives for information and related technologies (COBIT) manual



I. Introduction

The information and related technologies governance is defined as the process of distributing roles and responsibilities and characterizing relationships between parties, various entities and stakeholders (e.g. the Board and Executive Management) with the aim of maximizing the bank's added-value. In so doing, an ideal approach is adopted for maintaining a balance between risks and anticipated revenues by implementing the regulations, principles and mechanisms required to ensure sound decision-making and determine the bank's strategic direction and objectives as well as the mechanisms for controlling and monitoring compliance with the same to guarantee the sustainability and development of the bank.

In view of the importance of IT resources in terms of relative size and impact on the bank's ability to conduct its operations and thus achieve its objectives, not to mention its sensitive role in impacting the competitiveness of the bank's products and services on the one hand and the decision-making and risk management mechanisms on the other. All that justifies the huge size of investments in the IT sector by banking institutions.

Accordingly, the bank had to adopt the sound criteria and principles in the management of IT resources in line with the acceptable international practices in this regard to minimize risks and avoid engaging in unfeasible investments and accruing unjustified expenditure, which ultimately translates into significant losses that may, sometimes, compromise the bank's reputation.

The topic of IT governance has witnessed a positive development across the world, resulting in the emergence of general frameworks of a set of highly mature principles and bases, particularly the COBIT (Control Objective for Information and Related Technology) framework. The IT governance framework consists of a set of primary principles and bases, the first of which is the Strategic Alignment that is required to be achieved through the IT strategic objectives, leading to achieving the bank's strategic objectives. The bank shall also ensure IT Resources Optimization as part of the available options aiming to maximize added-value, i.e. Benefit Realization, which is mainly measured by the IT contribution in achieving the bank's strategic objectives. Moreover, the bank shall ensure IT Risk Optimization in an integrated manner that is consistent with the overall risk management processes of the bank as well as the sound procedures and practices that lead to sound risk-based decision-making mechanisms, ensuring the realization of added value with minimal costs and reduced losses and risks, reflecting the bank's vision in this regard, and within acceptable risk limits. In addition, the Senior Management (the Board and Executive Management) shall undertake the corporate planning and organization processes through the development of strategies, policies and action plans. It shall also build and implement hierarchical and cyclical organizational structures (in the form of committees), leading to the achievement of the strategic objectives and formulation of mechanisms, tools and standards that measure the IT added value to enable the Board and Senior Executive Management to monitor the bank's operations to ensure the integrity of the planning, organization and employment mechanisms of IT resources in order to take feedback that contributes to continuous improvement and development in the bank. All that should be based on the principle of separation of functions and roles and proper distribution of the same between the Board and the Executive Management.

Based on Bank al Etihad's belief in the importance of IT governance and management and its positive impact on the bank's integrity, the Board of Directors has decided to adopt this Manual ("COBIT Manual"). The COBIT Manual has been developed in accordance with the Central bank of Jordan's COBIT Manual. It complies with and complements the bank's Corporate Governance Manual and the CBJ's Corporate Governance Regulations for Banks and conforms to international best practices regarding IT governance and management. This Manual has been adopted by the Board and will be reviewed and updated by the Board's IT Governance Committee whenever the need arises.

II. Definitions

The terms and phrases in this Manual shall have the meanings assigned to them below unless the context indicates otherwise. The Banking Law shall be referred to regarding any other definitions not set forth in this Manual:

1. IT Governance: The process of distributing roles and responsibilities and characterizing relationships between parties, various entities and stakeholders (e.g. the Board and Executive Management) with the aim of maximizing the bank's added-value. In doing so, an ideal approach is adopted for maintaining a balance between risks and anticipated revenues by implementing the regulations, principles and mechanisms required to ensure sound decision-making and determine the bank's strategic direction and objectives as well as the mechanisms for controlling and monitoring compliance with the same to guarantee the sustainability and development of the bank.
2. Governance and Management Objectives: An array of practices and activities emanating from the bank's policies, and which are necessary for achieving the IT objectives.
3. IT Objectives: A group of primary and secondary objectives related to IT governance activities and required to achieve the corporate objectives.
4. Corporate Objectives: A set of objectives related to IT governance and which are required to meet the needs of stakeholders and the objectives of this Manual.
5. Board: The Board of Directors of the bank.
6. Executive Management: It includes the bank's General Manager, Deputy General Manager, Assistant General Manager, Chief Financial Officer, Operations Manager, Risk Manager, Treasury Manager and Compliance Manager.
7. Stakeholders: Any party with an interest in the bank, such as shareholders, employees, creditors, customers, external suppliers or regulatory authorities concerned.
8. Auditor: The (natural or legal) person or body competent to examine the bank's IT-based operations in line with the requirements of the instructions applicable in this regard. The bank's management contracts with the Auditor to achieve those requirements for a period of not less than three consecutive years and not more than six consecutive years.

III. Corporate governance structure

The corporate governance structure is described in detail in the Corporate Governance Manual.

IV. IT governance and management objectives

1. Fulfilling stakeholders' needs and realizing the bank's directions and objectives

This can be achieved by meeting the IT objectives in a manner ensuring:

1. Provision of high-quality information to be used as a foundation for supporting the bank's decision-making mechanisms.
2. Prudent management of IT resources and projects to maximize the benefits from these resources and reduce wastage thereof.
3. Provision of exceptional and supportive technology infrastructure to enable the bank to fulfill its objectives.
4. Upgrading of the various operations at the bank via the deployment of an efficient and reliable technology system.
5. Prudent management of IT risks to ensure the necessary protection for the bank's assets.
6. Realization of compliance with the requirements of various laws, legislation and instructions, as well as compliance with internal business strategies, policies and procedures.
7. Improvement of the bank's internal control and monitoring systems.
8. Maximization of the level of user satisfaction with IT by fulfilling business needs in an efficient and effective manner.

9. Management of the services of outsourced parties assigned with executing various processes, tasks, services and products.

2. Achieving comprehensive IT governance and management

This can be realized by availing not only the technology itself but also the following Seven Enablers to accompany and complement the IT services:

1. Principles, Policies and Frameworks
2. Governance and Management Objectives
3. Organizational Structures
4. Information
5. Services, Infrastructure and Applications
6. People, Skills and Competencies
7. Culture, Ethics and Behavior

The above enablers need to be provided with specific dimensions and specifications to meet and fulfill the IT requirements and objectives not only in the IT processes but also in all the bank's IT-based operations.

3. Adopting regulation and organization practices and procedures

These should be in line with the best international standards and used as a foundation for launching the governance and management of IT processes, projects and resources.

4. Separating processes, roles and responsibilities

This is to be realized by separating the Board's governance processes, roles and responsibilities from those falling within the jurisdiction of the Executive Management in respect of information and related technologies.

5. Enhancing self-control, independent oversight and compliance investigation mechanisms

Enhancing the mechanisms of self-control, independent oversight and compliance investigation in the fields of IT governance and management, so as to contribute to continuous improvement and development.

V. Overall objectives and governance and management objectives

1. The overall objectives and the governance and management objectives and their data are a minimum that the bank's Senior Management must comply with and achieve consistently. The IT Steering Committee shall have the primary responsibility for ensuring compliance with the relevant requirements. Both the IT Steering Committee and the Board shall have the ultimate responsibility in this regard. All departments of the bank, particularly the IT Department, Information Security Department and Project Management Department, shall identify and restructure their processes to reflect and meet the requirements of all governance and management objectives.
2. The Board shall be directly responsible for evaluations, direction and oversight.
3. The Board and the Risk Management Department shall be directly responsible for ensuring the "prudent management of IT risks" and the "risk management" processes.

VI. Publication of the IT governance manual

The bank shall publish its IT Governance Manual on its website and/or through any other means ensuring public access. The bank shall also include in its annual report details of its compliance with the IT Governance Manual as well as information of interest to stakeholders.

The application of the IT governance and management requirements is a first step and a starting point towards the continuous improvement and development of IT governance and management. Accordingly, the bank's management must keep abreast of future updates in the general framework.

VII. Duties and responsibilities

The scope of implementing the IT governance and management requirements encompasses all the bank's IT-based operations in various branches and departments. All stakeholders are deemed to be concerned with the implementation of the Manual, each according to their role and position. The following are the concerned parties and their main responsibilities:

1. Chairman and members of the Board and external experts

   Provide direction, approve roles and responsibilities, provide support, and authorize the necessary funding.

2. CEO and his deputies and assistants, operations managers and branch managers

   Appoint the qualified persons with experience in the bank's operations to represent them and describe their duties and responsibilities.

3. IT Steering Committee

   Manage, direct and supervise the implementation of the Manual, recommend the provision of the resources required to realize it, and ensure that all parties understand the requirements and objectives of the Manual correctly.

4. Internal Audit

   Assume the responsibilities entrusted thereto as mentioned in Clause 'Seventh' and to participate in executive matters as an independent consultant and controller.

5. Risk, Information Security, Compliance and Legal Departments

   Participate in the project/program, each department according to its role, ensuring that the project/program is properly represented by all parties concerned.

6. Experts and holders of technical and professional certificates related to COBIT 5 standard (e.g. COBIT5 Assessor, COBIT5 Foundation, COBIT5 Implementation and CGEIT) from inside or outside the bank.

They shall assume supervisory roles to communicate knowledge of the standard and facilitate the implementation thereof.

VIII. Committees

IT governance committee committee formation:

The committee shall be formed by a decision from the board.

- The IT Governance Committee shall be comprised of a minimum of three members of the Board of Directors. It is preferred to include in its membership persons with expertise and strategic knowledge in IT.
- The Committee shall elect its chairman from among its members.
- The Board shall determine the objectives and mandate of the Committee in accordance with a Charter to this effect.

Committee meetings:

- The Committee shall work under the supervision of the Board. It shall submit its periodic reports and recommendations on the results of its operations to the Board.
- The Committee shall meet at the invitation of its chairman at least quarterly, whenever the need arises, at the decision of the Board or at the request of any of its members.
- Committee meetings are considered legal when attended by the majority of members, provided that the Committee's chairman is present. In the event of inability to attend personally, members may express their opinion by means of telephone conference or videoconference to discuss the meeting agenda with the chairman's approval. Members shall have the right to vote and sign the meeting minutes, provided that the chairman and secretary shall ratify the minutes and ensure quorum is reached.
- Committee decisions and recommendations shall be taken by majority vote. In the case of equal votes, the chairman shall have the casting vote. The Committee shall keep documented minutes of meetings.

Committee's rapporteur:

The CTO shall act as the Rapporteur of the Committee.

Committee's duties and responsibilities:

The delegation of powers by the Board to the Committee or any other committee does not relieve the Board of its responsibilities in this regard. The Committee shall undertake the following duties:

1. Approving the IT strategic objectives and appropriate organizational structures, including the Steering Committees at the level of Senior Executive Management (particularly the IT Steering Committee). This is to be done in a manner that guarantees the realization and fulfillment of the bank's strategic objectives and achievement of the best added value from the projects and investments in IT resources, ensuring the utilization of the necessary tools and standards to monitor and confirm the achievement of the same, such as the use of IT Balanced Scorecards, calculation of the return on investment, and measurement of the impact of contribution to increasing the financial and operating effectiveness.
2. Approving the general framework for the management and control of IT resources and projects, which simulates the best international standards in this regard, specifically COBIT. This should be done in a manner that ensures the achievement of the objectives and requirements of the IT governance instructions issued by the Central bank through the sustainable fulfillment of the corporate objectives, IT objectives matrix, and governance and management objectives.
3. Approving the corporate objectives matrix and IT objectives, while detailing the secondary objectives required for the fulfillment thereof.
4. Approving the responsibility assignment matrix (RACI Chart) for the main and sub-processes of IT governance as regards the Responsible, Accountable, Consulted and Informed entity, person or parties.
5. Ensuring the existence of a general framework for IT risk management, which integrates and is in line with the bank's overarching risk management framework and takes into account and fulfills all governance and management objectives.
6. Approving the IT resources and projects budget in accordance with the bank's strategic objectives.
7. Overseeing and observing IT work flow, resources and projects to ensure their adequacy and efficient contribution to fulfilling the bank's requirements and business activities.

8. Viewing IT audit reports and acting as necessary to rectify any deviations.
9. Recommending to the Board of Directors the adoption of the necessary procedures for rectifying any deviations.
10. Determining the importance and priority of governance and management objectives and their relevance to the Enterprise Goals and Alignment Goals, in addition to the other six enablers and components. It shall do so by relying on a qualitative and/or quantitative study prepared for this purpose at least annually. The said study shall take into account the Design Factors mentioned in Design Guide - COBIT 2019.

IT steering committee

The IT Steering Committee has been formed to ensure IT strategic alignment, resource optimization, benefit realization and risk optimization to sustainably fulfill the bank's strategic objectives.

Committee formation:

- The Committee shall be formed by a decision of the Senior Executive Management.
- The Committee shall be chaired by the General Manager and include in its membership members of the Executive Management, including the CTO, Risk Management Director and Information Security Director.
- The Board shall elect one of its members to act as a controller in addition to the Internal Audit Manager.

Committee's powers:

The Committee may invite others to attend its meetings for their opinions.

Committee meetings:

- The Committee shall convene at least once every three months or whenever the need arises.
- Committee decisions and recommendations shall be taken by majority vote. In the case of equal votes, the chairman shall have the casting vote. The Committee shall duly document the minutes of meetings thereof.

Quorum:

The meeting of the Committee shall be legal in the presence of at least 3 members of class (A) and 2 of class (B). The Committee shall consist of 15 members, where the General Manager, the Deputy General Manager, the CTO, and the Head of Risk Management shall be class (A), and the other members shall be class (B), and the Head of Internal Audit and a Board member shall act as observer members.

Committee's rapporteur:

The CTO shall act as the Rapporteur of the Committee.

Committee's duties and responsibilities:

The committee shall particularly undertake the following tasks:

1. Drawing up annual plans aimed at realizing the strategic objectives set by the Board of Directors, supervising implementation of the same and continuously monitoring internal and external factors impacting such plans.
2. Linking the corporate objectives matrix to the IT objectives matrix; approving and continuously reviewing the same in a manner that ensures the fulfillment of the bank's strategic objectives; and defining, reviewing and continuously monitoring measurement standards by relevant officers from the Executive Management, keeping the Committee notified of the same.
3. Recommending the allocation of necessary financial and non-financial resources for achieving the overall objectives and governance and management objectives; utilizing qualified and suitable human resources in proper positions through organizational structures that cover all the processes necessary for supporting objectives, pay attention to the separation between roles and avoid conflict of interest; adapting IT infrastructure and other related services to serve the desired objectives; and supervising progress in the implementation of governance and management projects and objectives.
4. Prioritizing IT projects and programs.
5. Monitoring the quality of technical and technological services and striving to constantly enhance their efficiency.
6. Presenting the necessary recommendations to the IT Governance Committee in relation to the following:
   - Allocation of the necessary resources and mechanisms capable of achieving the objectives of the IT Governance Committee.
   - Any deviations that may negatively impact the fulfillment of strategic objectives.
   - Any unacceptable risks pertaining to IT security and protection.
   - Reports relating to performance and compliance with the requirements of the general framework for managing, controlling and monitoring IT resources and projects.
7. Providing the IT Governance Committee with the minutes of its meetings as soon as they are drafted and ensuring that they are duly reviewed.

IX. Internal and external audits

- The Board shall allocate adequate budgets and designate the necessary tools and resources, including qualified personnel, through dedicated IT audit divisions. It shall also ensure that the bank's Internal Audit Department and the external auditor are capable of conducting a specialized IT audit and review of the processes pertaining to the utilization and management of IT resources and projects and the bank's IT-based operations. This shall be done at the hands of qualified and internationally certified professionals in the field who hold valid professional certifications, such as CISA, from internationally acclaimed institutions, as per the standards set by international certification organizations and/or other equivalent standards.
- The Board Audit Committee along with the external auditor shall furnish the CBJ with an annual internal audit report and another external audit report, respectively, containing the Executive Management's response and Board's review thereof and recommendations thereon, in accordance with the provisions
- stated in Item d/2 hereof and the approved audit report template. This shall be made during the first quarter of the year.
- The Audit Committee shall include the responsibilities, authorities and scope of work of IT auditing within the Audit Charter as well as within the procedures agreed on with the external auditor.
- The Board shall make sure, through the Audit Committee, that both the bank's internal and external auditors observe the following in the course of implementing the designated IT auditing:
  1. IT audit standards as per the latest update of ISACA-ITAF, including:
     - Implementing audit tasks as part of an approved plan designated for the same, which takes into consideration the relative importance of operations, risk level and impact on the bank's objectives and interests.
     - Delivering and adhering to continuous ad hoc training and education schemes provided by dedicated staff.
     - Observing professional and organizational independency standards and ensuring no conflict of

interest in the present or future.

- Adhering to the standards of objectivity, exerting due professional diligence, keeping competitive and professional levels of the knowledge and skills required, and maintaining thorough awareness of the bank's IT-based mechanisms and processes, as well as other (financial, operational and legal) audit reports. This is in addition to the ability to present relevant evidence and demonstrate common sense in detecting unacceptable practices that violate the provisions of applicable laws, regulations and instructions.

2. Examination, assessment and review of operations pertaining to the utilization and management of IT resources and the bank's operations based on the same, while providing reasonable overall audit assurance as to the composite risk level to which information and related technologies are exposed. This is to be done within an audit scheme including at least the themes indicated in the relevant Policy issued by the CBJ. All themes or part thereof shall be audited at least once every year should the risks be rated as either 4 or 5 on the composite risk rating scale, once every two years should the risks be rated 3, and once every three years should the risks be rated 1 or 2. In this regard, the constant change in the level of risks and the fundamental changes occurring in the IT environment during the mentioned audit periods should be taken into account. The Central bank shall be furnished with the first audit reports regardless of the risk rating. The said reports shall include assessments of the mentioned themes, the bank's strategic planning and policy mapping mechanisms, written and approved principles and business procedures, mechanisms adopted for the utilization of various resources including IT and human resources, and monitoring, control, improvement and development mechanisms and tools. The results and outcomes of audits shall be duly documented and evaluated, based on the significance of weaknesses and shortcomings (observations) and activated controls, in addition to assessing the level of remaining risks pertaining to each of them using a systematic standard for measuring and analyzing risks. This shall include the agreed corrective measures intended for implementation by the bank's Management, indicating, in a specific table, the dates set for correction along with the title of the person responsible at the bank to whom the respective observation belongs.
3. Regular procedures for following up audit outcomes to ensure that the observations and shortcomings mentioned in the auditor's reports have been rectified on time. This should be accompanied with efforts to gradually upgrade the level of importance and risks in the case of no response, and the Board should be notified of the same whenever the need arises.
4. Inclusion of objective measuring standards, subject to the provisions stated in Seventh/d, in the annual performance evaluation mechanisms utilized by IT auditors, provided that the evaluation process is conducted by the Board through its Audit Committee and in accordance with the organizational hierarchy of audit divisions.
5. The IT Governance Committee, or the committee acting on its behalf, may approve the reports of the internal and external auditors, provided that the Board shall be presented with the same.
6. The bank may outsource the internal IT audit services to a dedicated external entity that is completely independent of the approved external auditor, provided that all the requirements under the CBJ's instructions and any other relevant instructions are fulfilled. The Board of Directors and its Audit Committee shall maintain their roles in ensuring compliance and fulfillment of the said requirements, as a minimum.

X. Principles, policies and frameworks

- The Board of Directors, or the committees delegated by it, shall approve the principles, policies and frameworks required for fulfilling the overarching framework pertaining to the management and control of IT resources and projects in a manner that ensures meeting the requirements of the overall objectives and governance and management objectives.
- The Board of Directors, or the committees delegated by it, shall approve the principles, policies and frameworks, particularly those related to the management of IT risks, information security and human resources, to fulfill the requirements of governance and management objectives.
- The Board of Directors, or the committees delegated by it, shall approve the policies required for the regulation of governance and management resources and objectives. Each policy shall determine the owners, scope of implementation, review and updating frequency, access and distribution authorities, objectives, responsibilities, relevant work procedures, penalties in case of non-compliance, and compliance investigation mechanisms.
- In devising the policies, all internal and external partners shall be invited to contribute to the same, while adopting best international practices and updates thereof as references for drafting the said policies

XI. Organizational structures

- The Board shall approve the hierarchical and committee organizational structures, especially those relating to the management of IT resources, processes and projects, IT risks, information security and human resources, to fulfill the requirements of governance and management objectives and achieve the bank's objectives efficiently and effectively.
- It is important to ensure the separation of roles and meet bilateral control requirements, at minimum, as well as update and ensure the adequacy of job descriptions upon approving and modifying the bank's organizational structures.

XII. Information

- The Board and the Senior Executive Management shall develop the necessary infrastructure and information systems to provide information and reports for the users thereof, as a foundation upon which the bank's decision-making processes are based. Accordingly, information quality criteria must be met, including credibility, confidentiality as per the data classification policy, availability requirements and compliance with such information and reports, in addition to other requirements stipulated by COBIT 5 Enabling Information.
- The Board of Directors, or the committees delegated by it, shall approve the information and reporting system, while identifying the owners of said information and reports. Powers pertaining to the access and use shall be determined through said owners, in accordance with work needs and concerned partners, and shall be continuously reviewed and developed to keep up with the developments in the bank's objectives and processes. This shall be done in line with best acceptable international practices in this regard.

XIII. Services, infrastructure and applications

The Board, or the committees delegated by it, and Senior Executive Management shall approve the IT services, programs, tools and infrastructure that support the fulfillment of governance and management

objectives, and consequently the objectives of information and related technologies, and ultimately the overarching corporateobjectives.

The Board, or the committees delegated by it, and Senior Executive Management shall approve the IT services, programs, tools and infrastructure, ensuring that they are continuously developed to keep up with developments in the bank's objectives and processes. This shall be done in line with the best acceptable international practices in this regard.

XIV. People, skills and competencies

- The Board, or the committees delegated by it, shall approve the HR Competencies Matrix and the HR management policies required for fulfilling the requirements of governance and management objectives and the requirements of the CBJ's instructions in general, and also for ensuring the right positioning of employees.
- The bank's Management shall employ qualified and trained professionals with expertise in the management of IT resources, risks, information security and IT audit, based on valid academic, professional and practical experience certifications obtained from internationally acclaimed institutions, as per the standards set by international certification organizations and/or other equivalent standards, each according to their competence.
- The bank's Executive Management shall make sure to enroll its personnel in continuous education and training schemes for maintaining a high level of knowledge and skills in a manner that fulfills and realizes governance and management objectives.
- The bank's Executive Management shall include objective measuring standards in the annual performance evaluation mechanisms, which take into consideration contributions to achieving the bank's objectives through employment positions.

XV. Culture, ethics and behavior

- The Board, or the committees delegated by it, shall approve a corporate and professional ethics system that reflects internationally accepted professional conduct regulations pertaining to the handling of information and related technologies. The said system should clearly define both desirable and undesirable behaviors and the implications thereof.
- The internal and external auditors shall comply with the professional conduct and ethics scheme adopted by the Board. The said scheme must comply, at minimum, with ISACA-ITAF and updates thereof.
- The Board and the Senior Executive Management shall employ various mechanisms for driving desirable behaviors and dissuading undesirable ones by adopting, for example, a rewards and penalties system.

XVI. Outsourcing

Upon concluding outsourcing agreements with external parties for the purpose of providing IT human resources, services, programs and infrastructure to manage the bank's operations, the bank shall make sure that such external parties implement the COBIT instructions, whether in part or in whole, commensurate with the importance and nature of the bank's operations, services, programs and infrastructure provided before and during the contract duration. The Board of Directors and Senior Executive Management shall not be relieved from the ultimate responsibility for fulfilling the requirements of all instructions, including the audit requirements.

Statement of compliance with COBIT manual

Bank al Etihad complies with the CBJ's instructions pertaining to IT governance.

Consolidated financial statements as of 31 December 2020



Audit report on the consolidated financial statements

AM/ 010932

To the board of directors chairman and members
Bank al Etihad

(A Public Shareholding Limited Company)
Amman – The Hashemite Kingdom of Jordan

Opinion

We have audited the consolidated financial statements of Bank al Etihad (A Public Shareholding Limited Company) (The "Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at December 31, 2020, the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in owners' equity, consolidated statement of cash flows for the year, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the bank as of December 31, 2020, and its consolidated financial performance and its cash flows for the year in accordance with International Financial Reporting Standards (IFRSs) as adopted by the Central bank of Jordan.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Jordan, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other matter

The accompanying consolidated financial statement are a translation of the original consolidated financial statements, which are in the Arabic language, to which reference should be made.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current year. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

For each matter below, our description of how our audit addressed the matter is provided in that context.

Key audit matters	Scope of audit to address the risks
1. Impairment of carrying value of the credit facilities and financing as per IFRS 9 The bank's direct credit facilites and financing are stated space in the statement of financial position at around JOD 3 billion as at December 31, 2020. The expected credit loss (ECL) allowance was around JOD 119.5 million as at this date, which comprised an allowance of around JOD 47.7 million against Stage 1 and 2 exposures and an allowance of around JOD 71.8 million against exposures classified under Stage 3. The audit of the impairment of credit facilities and financing is a key area of focus because of their size (representing 56% of total assets) and due to the significance of the estimates and judgments used in classifying credit facilities and financing into various stages, and determining related allowance requirements and the complexity of the judgements, assumptions, and estimates used in the Expected Credit Loss models. Refer to Note (2) to the consolidated financial statements for the accounting policy, Note (4) for critical judgements and estimates used by management, and Note (44) for disclosures about credit risk.	We obtained a detailed understanding of the bank's credit facilities and financing, investing assets business processes, and the accounting policies on the adoption of IFRS 9, including the critical accounting estimates and judgments used. We have involved our subject matter experts to assist us in auditing the IFRS 9 ECL models as at December 31, 2020. We tested the design, implementation, and operating effectiveness of the relevant controls which included testing: • System-based and manual controls over the timely recognition of impaired credit facilities and financing and investing assets and advances; • Controls over the ECL calculation models; • Controls over collateral valuation estimates; • Controls over governance and approval process related to impairment provisions and ECL Models, including continuous reassessment by the management.
The Group recognizes allowances for expected credit losses (ECLs) at an amount equal to 12-month ECL (Stage 1) or full lifetime ECL (Stage 2). A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. It is compared to the ECL amount calculated according to the instructions of the Central bank of Jordan, and the higher of the two amounts is recorded after excluding credit exposures with/guaranteed by the Jordanian government, or any other special arrangements with the Central bank of Jordan. ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the bank under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's effective profit rate. The bank employs statistical models for ECL calculations, and the key variables used in these calculations are probability of default (PD), loss given default (LGD), and exposure at default (EAD), which are defined in Note (44) to the consolidated financial statements.	We understood and evaluated the theoretical soundness of the ECL model by involving our subject matter experts to ensure its compliance with the minimum requirements of the standard. We also tested the mathematical integrity of the ECL model by performing recalculations. It is compared to the ECL amount calculated according to the instructions of the Central bank of Jordan, and the higher of the two amounts is recorded after excluding credit exposures with/guaranteed by the Jordanian government, or any other special arrangements with the Central bank of Jordan. We assessed the consistency of various inputs and assumptions used by the Group's management to determine impairment. For allowances against exposures classified as Stage 1 and Stage 2, we obtained an understanding of the bank's methodology to determine the allowance, assessed the reasonableness of the underlying assumptions and the sufficiency of the data used by the management. We assessed the appropriateness of the bank's determination of significant increase in credit risk and the resultant basis for classification of exposures into various stages. For samples of exposures, we checked the appropriateness of the bank's staging. For forward-looking assumptions used by the bank's management in its ECL calculations, we held discussions with management and corroborated the assumptions using publicly available information.

Key audit matters	Scope of audit to address the risks
The Corporate portfolio of credit facilities and financing and Investing assets is assessed individually for the significant increase in credit risk (SICR) and measurement of ECL. This requires management to capture all qualitative and quantitative reasonable and supportable forward-looking information while assessing SICR, or while assessing credit-impaired criteria for the exposure. Management's judgement may also be involved in manual staging override as per the Group's policies.	We selected samples of credit facilities and financing and investing assets and assessed the accuracy of the Exposure at Default (EAD), appropriateness of the Probability of Default (PD) and calculations of the Loss Given Default (LGD) used by management in their ECL calculations.
The measurement of ECL amounts for retail exposures classified as Stage 1 and Stage 2 are calculated using models with limited manual intervention. Retail exposures are classified as impaired as soon as there is doubt about the borrower's ability to meet payment obligations to the bank in accordance with the original contractual terms.	For exposures determined to be individually impaired, we tested samples of credit facilities and financing and investing assets, and examined management's estimate of future cash flows, assessed their reasonableness and assessed the resultant allowance calculations. Further, we challenged the estimates and assumptions used by management around the LGD calculation for individually impaired exposures by testing the enforceability and adequacy of valuation of underlying collaterals and estimated recovery on default.
	We also, assessed the accuracy of disclosures in the consolidated financial statements to determine if they were in compliance with the requirements of IFRSs.
Impaired credit facilities and financing are measured on the basis of the present value of expected future cash flows including observable market price or fair value of the collateral. The impairment loss is calculated based on the shortfall in the credit facilities carrying value compared to the net present value of future cash flows using the original effective profit rate after comparing it with the ECL amount calculated according to the instructions of the Central bank of Jordan and recording the higher of the two amounts, excluding credit exposures with/guaranteed by the Jordanian government, and any other special arrangements with the Central bank of Jordan. The factors considered when determining impairment losses on individually assessed accounts include the customer's aggregate borrowings, risk rating, value of the collateral, probability of successful repossession, and the costs involved to recover the debts.	We obtained an understanding of the amendments made by the bank to the expected credit losses impacted by the COVID-19 pandemic. We assessed those amendments by evaluating the model adjustments in relation to macroeconomic factors and forward-looking scenarios, which were incorporated into the impairment calculations, by utilizing our internal specialists to challenge the chosen scenarios and weights applied to capture non-linear losses We determined if the amount recorded as the allowance for expected credit losses was determined in accordance with the instructions of the Central bank of Jordan.
As disclosed in Note (51) the COVID-19 pandemic significantly impacted management's determination of the ECL and required the application of heightened judgment. To address the uncertainties inherent in the current and future environment and to reflect all relevant risk factors not captured in the bank's modelled results, management applied quantitative and qualitative adjustments for the impacts of the unprecedented macroeconomic scenarios arising from the pandemic, the temporary effects of the bank and government led payment support programs, which may not completely mitigate future losses, and the impacts to particularly vulnerable sectors affected by COVID-19. The bank made amendments to the expected credit loss calculation models (including management overlays) to take into consideration the potential impact of the COVID 19 pandemic to address the impact on certain sectors or specific customers based on relative cash flow forecasts.	We have tested, utilizing our internal IT specialists, the IT application used in the credit impairment process and have verified the integrity of data used as input to the models, including the transfer of data between source systems and the impairment models. We have evaluated system-based and manual controls over the recognition and measurement of the allowance for expected credit loss, including the consideration of the economic disruptions caused by COVID 19.

Key audit matters	Scope of audit to address the risks
2. IT systems and controls over financial reporting We identified IT systems and controls over the bank's financial reporting as an area of focus due to the extensive volume and variety of transactions which are processed daily by the bank and rely on the effective operation of automated and IT dependent manual controls. There is a risk that automated accounting procedures and related internal controls are not accurately designed and operating effectively. In particular, the incorporated relevant controls are essential to limit the potential for fraud and error as a result of change to an application or underlying data.	Our audit approach relies on automated controls, and therefore, the following procedures were designed to test access and control over IT systems. We tested IT general controls relevant to automated controls and computer-generated information covering access security, program changes, data center and network operations. We obtained an understanding of the applications relevant to financial reporting and the infrastructure supporting these applications. We examined computer-generated information used in financial reports from relevant applications and key controls over their report logics. We performed testing on the key automated controls on significant IT systems relevant to business processes.

Other information

Management is responsible for other information. The other information consists of information provided in the annual report other than the consolidated financial statements and the related auditor's report. We expect that the annual report will be provided to us after the date of our report. Our opinion on the consolidated financial statements does not include the other information, and we do not express any form of assurance or conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted by the Central bank of Jordan, and for such internal control as management determines necessary to enable the preparation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the bank's financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the bank's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the bank to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient and appropriate audit evidence regarding the consolidated financial information of the entities or business activities within the Group ("The bank and its subsidiaries") to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and implementation of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report, unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

The bank maintains proper books of accounts, which are in agreement with the consolidated financial statements. We recommend that the General Assembly of Shareholders approve these consolidated financial statements.

Amman - The Hashemite Kingdom of Jordan

February 16, 2021

Deloitte & Touche (M.E.) – Jordan

Deloitte & Touche (M.E.)
ديلويت آند توش (الشرق الأوسط)
010105

List (A)

	Note	December 31,	
		2020	2019
		JOD	JOD
ASSETS:			
Cash and balances at the Central bank of Jordan	5	721,060,432	563,867,223
Balances at banks and financial institutions	6	397,084,528	330,805,729
Deposits at banks and financial institutions	7	4,448,457	3,000,000
Financial assets at fair value through statement of profit or loss	8	15,219,896	16,535,618
Direct credit facilities and financing - net	9	2,951,628,133	2,635,851,371
Financial assets at fair value through other comprehensive income	10	31,654,110	32,313,468
Financial assets at amortized cost	11	904,003,434	765,573,933
Investments in associates	12	349,507	354,022
Property and equipment - net	13	68,782,265	72,138,592
Deferred tax assets	21/b	25,652,474	12,891,744
Right of use assets	43	27,031,520	26,517,873
Intangible assets - net	14	27,046,436	24,409,882
Other assets	15	99,743,804	95,416,530
TOTAL ASSETS		5,273,704,996	4,579,675,985
LIABILITIES AND OWNERS' EQUITY:			
LIABILITIES:			
Banks' and financial institutions' deposits	16	280,688,045	149,997,070
Customers' deposits	17	4,003,010,992	3,575,967,461
Cash margins	18	251,302,459	185,698,024
Borrowed funds	19/a	90,152,003	65,169,905
Subordinated loans	19/b	21,300,000	-
Sundry provisions	20	1,333,898	930,224
Leasing liabilities	43	26,453,949	25,451,501
Income tax provision	21/a	24,680,734	20,634,229
Other liabilities	22	68,379,574	76,583,458
TOTAL LIABILITIES		4,767,301,654	4,100,431,872
OWNERS' EQUITY:			
BANK'S SHAREHOLDERS' EQUITY:			
Authorized and paid-up capital	23	160,000,000	160,000,000
Share premium	23	80,213,173	80,213,173
Statutory reserve	24	61,004,473	56,257,522
Voluntary reserve	24	41,829,012	38,833,125
Fair value reserve	26	(2,609,036)	372,413
Retained earnings	27	67,518,099	51,596,833
TOTAL bank's SHAREHOLDERS' EQUITY		407,955,721	387,273,066
Non-controlling interests		98,447,621	91,971,047
TOTAL OWNERS' EQUITY		506,403,342	479,244,113
TOTAL LIABILITIES AND OWNERS' EQUITY		5,273,704,996	4,579,675,985

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (B)

	Note	For the year ended December 31,	
		2020	2019
		JOD	JOD
Interest income and returns	30	253,496,049	252,884,755
Interest and debit expenses	31	102,662,234	116,446,250
Net interest income and returns		150,833,815	136,438,505
Net commission income	32	22,413,261	25,990,001
Net interest, returns and commission income		173,247,076	162,428,506
Gain from foreign currencies	33	6,750,040	6,964,464
Gain from financial assets at fair value through statement of profit or loss	34	2,334,837	239,567
Net gain from sale of financial assets at amortized costs		108,872	71,875
Dividends from financial assets at fair value through other comprehensive income	35	619,013	1,039,085
Other income	36	1,456,600	1,469,127
Total income		184,516,438	172,212,624
Employees' expenses	37	44,157,399	46,521,562
Depreciation and amortization	13, 14	14,163,978	12,620,578
Other expenses	38	33,433,775	28,911,804
Right-of-use assets depreciation	43	3,845,366	3,316,267
Rent expense	43	402,380	574,032
Financing costs	43	984,241	918,592
Allowance for expected credit loss	28	40,175,434	17,306,333
(Surplus) in impairment of seized assets	15	(18,297)	(476,769)
Sundry provisions	20	470,862	1,161,541
Total Expenses		137,615,138	110,853,940
Profit from operations		46,901,300	61,358,684
Bank's share from associates profits (losses)		5,485	(12,596)
Profit for the year before tax		46,906,785	61,346,088
Income tax expense	21/a	(16,862,741)	(23,329,865)
Profit for the Year		30,044,044	38,016,223
Attributable to:			
Bank's shareholders		23,567,470	31,613,674
Non-controlling interests		6,476,574	6,402,549
		30,044,044	38,016,223
		JOD/ FILS	JOD/ FILS
Basic and diluted earnings per share for the period attributable to the bank's shareholders	39	-/147	-/198

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (C)

	For the year ended December 31,	
	2020	2019
	JOD	JOD
Profit for the year	30,044,044	38,016,223
Comprehensive income items		
Items not reclassifiable to profit or loss in the subsequent period		
Net change in fair value reserve after tax	(2,884,815)	1,320,628
Total comprehensive income for the year	27,159,229	39,336,851
Attributable to:		
Bank's shareholders	20,682,655	32,845,461
Non-controlling interests	6,476,574	6,491,390
	27,159,229	39,336,851

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (D)

	Authorized paid-up		Reserves			Retained	Total Shareholder's	Non-Controlling	Total Owners'
	Capital	Share Premium	Statutory	Voluntary	Fair Value	* Earnings	Equity	Interests	Equity
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
For the year ended December 31, 2020									
Beginning balance for the year	160,000,000	80,213,173	56,257,522	38,833,125	372,413	51,596,833	387,273,066	91,971,047	479,244,113
Total comprehensive income for the year	-	-	-	-	(2,884,815)	23,567,470	20,682,655	6,476,574	27,159,229
Transferred to reserve	-	-	4,746,951	2,995,887	-	(7,742,838)	-	-	-
Realized gain from sold financial assets at fair value through other comprehensive income	-	-	-	-	(96,634)	96,634	-	-	-
Ending Balance for the Year	160,000,000	80,213,173	61,004,473	41,829,012	(2,609,036)	67,518,099	407,955,721	98,447,621	506,403,342
For the year ended December 31, 2019									
Beginning balance for the year	160,000,000	80,213,173	49,410,187	34,279,172	(727,049)	53,566,049	376,741,532	90,505,612	467,247,144
Total comprehensive income for the year	-	-	-	-	1,231,787	31,613,674	32,845,461	6,491,390	39,336,851
Transferred to reserve	-	-	6,847,335	4,553,953	-	(11,401,288)	-	-	-
Distributed dividends (note 23)	-	-	-	-	-	(22,400,000)	(22,400,000)	(4,228,426)	(26,628,426)
Realized gain from sold financial assets at fair value through other comprehensive income	-	-	-	-	(132,325)	132,325	-	-	-
Share at subsidiaries	-	-	-	-	-	86,073	86,073	(797,529)	(711,456)
Ending Balance for the Year	160,000,000	80,213,173	56,257,522	38,833,125	372,413	51,596,833	387,273,066	91,971,047	479,244,113

* The retained earnings balance includes deferred tax assets of JOD 23,297,858 as of December 31, 2020 (JOD 11,210,810 as of December 31, 2019), which is restricted from use according to the Central bank of Jordan's instructions, unless there is an approval to use it.

* The retained earnings balance includes an amount of JOD 323,685 that represents losses from differences on the revaluation of financial assets at fair value through profit and loss.

- It is forbidden to use the excess from the personal financial risk reserve balance and the amount of JOD 108,397 transferred to retained earnings as of December 31, 2020 and 2019 that belongs to Safwa Islamic bank without the Central bank of Jordan's prior approval.

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

List (E)

	Note	For the year ended December 31,	
		2020	2019
Operating activities		JOD	JOD
Profit before income tax		46,906,785	61,346,088
Adjustments for non-cash items:			
Depreciation and amortization	13 & 14	14,163,978	12,620,578
Provision for expected credit loss	28	40,175,434	17,306,333
Right-of-use assets depreciation	43	3,845,366	3,316,267
Interest from leasing liabilities	43	984,241	918,592
(Gain) from financial assets amortized cost		(108,872)	(71,875)
(Surplus) provision for impairment in seized assets	15	(18,297)	(476,769)
Unrealized losses (gains) from financial assets	34	67,097	(208,190)
Loss from sale of property and equipment	38	202,170	445,414
Loss from the evaluation of transferred bonds		3,455	6,360
Sundry provisions	20	470,862	1,161,541
Banks' share from associates' (gain) losses profits	12	(5,485)	12,596
Losses from sale of seized assets against debts	38	26,280	383,477
Differences in exchange rates on cash and cash equivalents	33	(3,079,791)	(2,287,622)
Profit before changes in assets and liabilities		103,633,223	94,472,790
CHANGES IN ASSETS AND LIABILITIES:			
(Increase) decrease in restricted cash balances		(688,554)	2,377,264
Decrease (increase) in financial assets at fair value through statement of profit or loss		1,248,625	(2,848,936)
(Increase) decrease in banks and financial institutions' deposits with maturity exceeding 3 months		(1,449,068)	1,259,461
(Decrease) increase in deposits at banks and financial institutions with maturity exceeding 3 months		(20,983,000)	34,073,000
(Increase) in direct credit facilities		(353,448,874)	(376,461,538)
(Increase) in other assets		(4,443,952)	(8,764,299)
Increase in customers' deposits		427,043,531	587,017,916
Increase in cash margins		65,604,435	43,883,488
(Decrease) increase in other liabilities		(10,330,959)	9,031,577
Net Cash Flows from Operating Activities Before Tax and Provisions Paid		206,185,407	384,040,723
Income tax paid	21/a	(25,200,592)	(21,725,107)
Sundry Provisions Paid	20	(67,188)	(1,463,926)
Net Cash Flows from Operating Activities		180,917,627	360,851,690
Investing activities			
(Purchase) of financial assets at fair value through other comprehensive income		(2,899,138)	(2,565,565)
Financial assets matured at amortized cost	11	122,138,008	199,794,185
(Purchase) of financial assets at amortized cost	11	(260,423,887)	(199,514,025)
(Purchase) of property and equipment and payments for (Purchase of property and equipment) account	13	(6,050,867)	(7,430,869)
Proceeds from sale of property and equipment	13	31,078	524,933
(Increase) in intangible assets	14	(7,626,586)	(6,036,063)
Cash dividends collected in associates	12	10,000	10,000
Net Cash (used in) Investing Activities		(154,821,392)	(15,217,404)
Financing activities			
Dividends distributed to shareholders		(29,513)	(26,577,548)
Increase (decrease) in borrowings		24,982,098	(20,066,357)
increase in Subordinated loans	19/b	21,300,000	-
Payments of lease liability	43	(4,036,550)	(3,918,611)
Repayment of part of lease liability interest	43	(304,256)	(234,176)
Impact of the exclusion of a subsidiary		-	(711,456)
Net cash flows (used in) from financing activities		41,911,779	(51,508,148)
Net increase in cash and cash equivalent		68,008,014	294,126,138
Effect of the change in exchange rates on cash and cash equivalents	33	3,079,791	2,287,622
Cash and cash equivalents - beginning of the year		783,603,025	487,189,265
Cash and cash equivalents - end of the year	40	854,690,830	783,603,025

The accompanying notes from (1) to (52) constitute an integral part of these consolidated Financial statements and should be read with them and with the audit report.

1. General

- Bank al Etihad is a public shareholding company incorporated in Jordan during 1978, in accordance with the Companies Law No (12) of (1964). Its main branch is located in Amman, and the Company was transformed into a bank during the year 1991.
- The bank provides its financial and banking services through its main branch located in Amman and through its (52) branches and its subsidiaries in Jordan.
- The bank's shares are listed and traded on Amman Stock Exchange - Jordan.
- The consolidated financial statements were approved by the Board of Directors on February 7, 2021 and are subject to approval by the General Assembly of Shareholders.

2. Summary of significant accounting policies

Basis of preparation of the consolidated financial statement

- The accompanying consolidated financial statement of the bank and its subsidiaries have been prepared in accordance with the standards issued by the International Accounting Standards Board and interpretations of the International Financial Reporting Interpertation Committee arising from the International Accounting Standrads Committee, and in conformity with the local applicable laws and regulations and the regulations of the Central bank of Jordan.

  The main differences between IFRSs as they should be applied and what has been approved by the Central bank of Jordan are as follows:

a. Provisions for expected credit losses are calculated in accordance with IFRS 9, and according to the Central bank of Jordan's instructions, whichever is tougher. The material differences are as follows:
   - Elimination of debt instruments issued or granted by the Jordanian Government, in addition to any credit exposures with/ guaranteed by the Jordaninan Government, so that such credit exposures are handled without incurring any credit losses.
   - When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central bank of Jordan's Instructions No. (47/2009) dated December 10, 2009 for each stage separately. The tougher results are adopted.
   - In some special cases, the Central bank of Jordan agrees to special arrangements for calculating and recording an allowance for expected credit losses for clients of direct credit facilities over a specified period.

b. Interest and commissions on non-performing credit facilities granted to clients is suspended, in accordance with the instructions of the Central bank of Jordan.

c. Assets seized by the bank are shown in the consolidated statement of financial position, among other assets, at their current value when seized by the bank or at their fair value, whichever is lower. Furthermore, they are reassessed on the date of the consolidated financial statements separately, and any decrease in value is recorded in the consolidated statement of profit or loss while any increase in value is not recorded as revenue. In addition, any subsequent increase is taken to the statement of profit or loss to the extent of not exceeding the previously recorded value. Agradual provision has been taken according to the Central bank of Jordan's Circular No. 10/1/16239 dated November 21, 2019, deduction of the required provisions against the acquired real estate will continue at a rate of 5% of the total book value of these properties (regardless of the violation period) from the year 2021 until the required percentage is reached (50% of these properties by the end of the year 2029).

- The consolidated financial statements are prepared under the historical cost convention, except for financial assets and liabilities at fair value through profit or loss, financial assets at fair value through other comprehensive income, and financial derivatives stated at fair value as of the date of the consolidated financial statements. Furthermore, hedged financial assets and financial liabilities are stated at fair value.
- The reporting currency of the consolidated financial statements is the Jordanian Dinar, which is the functional currency of the bank.
- The accounting policies adopted in preparing the consolidated financial statements are consistent with those applied in the year ended December 31, 2019 except for the effect of what is stated in Note (3 – a & 3 – b).

Basis of consolidation

The accompanying consolidated financial statements include the financial statements of the bank and the subsidiary under its control. Moreover, control is achieved when the bank has the ability to control the investee company, the company is exposed to variable returns or has rights to participate in the investee company, and the bank is able to use its authority over the investee company, which affects its revenue.

- Transactions, balances, revenues and expenses are eliminated between the bank and the subsidiary.
- The financial statements of the subsidiary are prepared for the same financial year, using the same accounting policies adopted by the bank. If the accounting policies adopted by the company are different from those used by the bank, the necessary adjustments to the financial statements of the subsidiary are made to comply with the accounting policies followed by the bank.
- The results of the subsidiaries' operations are consolidated in the consolidated statement of profit or loss effective from their acquisition date, which is the date on which control over subsidiaries is effectively transferred to the bank. Furthermore, the results of the disposed of subsidiaries are consolidated in the consolidated statement of profit or loss up to the date of their disposal, which is the date on which the bank loses control over the subsidiaries.
- Non-controlling interests represent that part of the equity that is not owned by the bank. Non-controlling interests in the net assets of the subsidiary are presented separately in the bank's statement of equity.

The bank owns the following subsidiaries as of December 31, 2020:

Company's name	Ownership of the bank	December 31, 2020		Nature of operation	Date of acquisition	Location	For the year ended December 31, 2020			
		Paid-up Capital	Investment amount				Total assets	Total liabilities	Total revenues	Total expenses
	%	JOD					JOD	JOD	JOD	JOD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	11,698,977	638,580	1,078,424	(234,021)
Al-Etihad for Financial Leasing Company L.L.C	100	10,000,000	10,000,000	Finance leasing	2015	Jordan	20,195,456	8,968,553	1,549,435	(616,756)
Al-Etihad Islamic Investment Company L.L.C *	58	113,039,028	65,562,636	Acquisition of bonds and shares in companies and borrowing the necessary funds from banks	2016	Jordan	113,964,794	31,513	-	(30,050)
Al-Etihad for Financial Technology Company	100	100,000	100,000	Manufacturing, programing development and supplying programs	2019	Jordan	133,173	9,904	41,212	(11,757)
TOTAL		128,139,028	80,662,636							

The bank owns the following subsidiaries as of December 31, 2019:

Company's name	Ownership of the bank	December 31, 2019		Nature of operation	Date of acquisition	Location	For the year ended December 31, 2019			
		Paid-up capital	Investment amount				Total assets	Total liabilities	Total revenues	Total expenses
	%	JOD					JOD	JOD	JOD	JOD
Al-Etihad for Financial Brokerage Company L.L.C.	100	5,000,000	5,000,000	Financial Brokerage	2006	Jordan	11,657,187	1,200,147	999,518	(479,210)
Al-Etihad for Financial Leasing Company L.L.C	100	7,500,000	7,500,000	Finance leasing	2015	Jordan	12,590,134	4,531,941	1,300,252	(819,705)
Al-Etihad Islamic Investment Company L.L.C *	58	113,039,028	65,562,636	Acquisition of bonds and shares in	2016	Jordan	113,970,382	7,051	4,325,574	(8,242)
Al-Etihad for Financial Technology Company	100	100,000	100,000	companies and borrowing the necessary funds from banks	2019	Jordan	100,000	-	-	-
TOTAL		125,639,028	78,162,636							

* Al-Etihad Islamic Investment Company has a presntege of 62.4% in Safwa Islamic bank total where the total asset amounted to JOD 1,820,239,203 and total liability amounted to JOD 338,896,708 and total revenue amounted to JOD 42,398,214 and total expenses amounted to JOD 26,567,194.

Control is achieved when the bank

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect the investee's returns.

The bank reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the elements of control listed above.

When the bank has less than the majority of the voting rights of an investee, it considers that it has power over the investee when the voting rights are sufficient to give it the practical ability to direct the relevant activities of the investee unilaterally. In this regard, the bank considers all relevant facts and circumstances in assessing whether or not the bank's voting rights in an investee are sufficient to give it power, including:

- The size of the Company's holding of voting rights relative to the size and dispersion of other voting rights;
- Potential voting rights held by the Company, other vote holders or other parties;
- Rights arising from other contractual arrangements; and
- Any additional facts and circumstances that indicate that the bank has, or does not have, the current ability to direct the relevant activities at the time that decisions need to be taken, including voting patterns at previous shareholders' meetings.

When it loses control of a subsidiary, the bank performs the following;

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary.
- Derecognizes the book value of any non-controlling interests.
- Derecognizes transfer differences restricted in Owners' Equity.
- Derecognizes the fair value to the next controlling party.
- Derecognizes the fair value of any investment retained.
- Derecognizes any gain or loss in the income statement.
- Reclassifies owners' equity already booked in other comprehensive income to the profit or loss statement as appropriate.

The subsidiaries' financial statements are prepared under the same accounting policies adopted by the bank. If the subsidiaries apply different accounting policies than those used by the bank, the necessary modifications shall be made to the subsidiaries' financial statements to make them comply with the accounting policies used by the bank.

The non-controlling interests represent the portion not owned by the bank relating to ownership of the subsidiaries.

Segment information

- Business sectors represent a group of assets and operations that jointly provide products or services subject to risks and returns different from those of other business sectors (measured in accordance with the reports sent to the operations management and decision makers in the bank).
- The geographical sector relates to providing products or services in a specific economic environment subject to risks and returns different from those of sectors functioning in other economic environments.

Net interest income

Interest income and expense for all financial instruments, except for those classified as held for trading, or those measured or designated as at fair value through the consolidated statement of profit or loss, are recognized in 'Net interest income' as 'Interest income' and 'Interest Expense' in the statement of profit or loss using the effective interest method. Interest on financial instruments measured as at fair value through the statement of profit or loss is included within the fair value movement during the period.

The effective interest rate (EIR) is the rate that exactly discounts the estimated future cash flows of the financial instrument through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The future cash flows are estimated taking into account all the contractual terms of the instrument.

The interest income/ interest expense is calculated by applying the EIR to the gross carrying amount of non-credit impaired financial assets (i.e. at the amortized cost of the financial asset before adjusting for any expected credit loss allowance), or to the amortized cost of financial liabilities. For credit-impaired financial assets, interest income is calculated by applying the EIR to the amortized cost of the credit-impaired financial assets (i.e. the gross carrying

amount less the allowance for expected credit losses (ECLs)). For financial assets originated or purchased credit-impaired (POCI), EIR reflects the ECLs in determining the future cash flows expected to be received from the financial asset.

Interest income and expense in the banks's consolidated statement of profit or loss also includes the effective portion of the fair value changes of derivatives designated as hedging instruments in the cash flow hedges of interest rate risk. For fair value hedges of interest rate risk related to interest income and expense, the effective portion of the fair value changes of the designated derivatives, as well as the fair value changes of the designated risk of the hedged item, are also included in interest income and expense.

Net fee and commission income

Fee and commission income and expense include fees other than those that are an integral part of EIR. The fees included in this part of the Group's consolidated statement of profit or loss include, among other things, fees charged for servicing a loan, non-utilization fees relating to loan commitments when it is unlikely that these will result in a specific lending arrangement, and loan syndication fees.

Fee and commission expenses concerning services are accounted for as the services are received.

Part of the contracts with clients that result from the recognition of financial instruments could be related to IFRS 9 or 15. In this case, IFRS 9-related part of the commission is recognized, and the remaining part is recognized according to IFRS 15.

Net trading income

Net trading income includes all gains and losses from changes in the fair value of financial assets and financial liabilities held for trading. The bank has elected to present the full fair value movement of trading assets and liabilities in trading income, including any related interest income, expense, and dividends.

Net income from other financial instruments at fair value through the statement of profit or loss:

Net income from other financial instruments at fair value through the statement of profit or loss includes all gains and losses from changes in the fair value of financial assets and financial liabilities at fair value through the statement of profit or loss except those that are held for trading. The bank has elected to present the full fair value movement of assets and liabilities at fair value through the statement of profit or loss in this line, including the related interest income, expense, and dividends.

The fair value movement on derivatives held for economic hedging where hedge accounting is not applied is presented in 'Net income from other financial instruments at fair value through the statement of profit or loss'. However, for designated and effective fair value hedge accounting relationships, the gains and losses on the hedging instrument are presented in the same line in the statement of profit or losses as a hedged item. For designated and effective cash flow and net investment hedge accounting relationships, the gains and losses of the hedging instrument, including any hedging ineffectiveness included in the statement of profit or loss, are presented in the same line as the hedged item that affects the statement of profit or loss.

Dividend income

Dividend income is recognized when the right to receive payment is established. This is the ex-dividend date for listed equity securities, and usually the date when shareholders approve the dividend for unlisted equity securities.

The presentation of dividend income in the consolidated statement of profit or loss depends on the classification and measurement of the equity investment, i.e.:

- For equity instruments which are held for trading, dividend income is presented as gain (loss) of financial assets at fair value through the statement of profit or loss, in the statement of profit or loss;
- For equity instruments designated at fair value through other comprehensive income, dividend income is presented in the statement of profit or loss as dividends revenue from financial assets at fair value through other comprehensive income; and
- For equity instruments not designated at fair value through other comprehensive income and not held for trading, dividend income is presented as net income from other instruments at fair value through the statement of profit or loss.

Financial instruments

Initial recognition and measurement:

Financial assets and financial liabilities are recognized in the bank's consolidated statement of financial position when the bank becomes a party to the contractual provisions of the instrument.

Recognized financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through the statement of income) are added to or deducted from the fair value of the financial assets or financial liabilities on initial recognition, as appropriate. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through the statement of profit or loss are recognized immediately in the statement of profit or loss.

If the transaction price differs from the fair value at initial recognition, the bank will account for such difference as follows:

- If fair value is evidenced by a quoted price in an active market for an identical asset or liability or based on a valuation technique that uses only data from observable markets, then the difference is recognized in the statement of profit or loss' initial recognition (i.e. day 1 profit or loss);
- In all other cases, fair value will be adjusted to bring it in line with the transaction price (i.e. day 1 profit or loss will be deferred by including it in the initial carrying amount of the asset or liability).

After initial recognition, the deferred gain or loss will be released to the statement of profit or loss on a rational basis, only to the extent that it arises from a change in a factor (including time) that market participants would take into account when pricing the asset or liability or when derecognizing the instrument.

Financial assets

Initial recognition

All financial assets are recognized on the trading date when the purchase or sale of a financial asset is under a contract whose terms require delivery of the financial asset within the timeframe established by the market concerned. They are initially measured at fair value plus transaction costs, except for those financial assets classified as at fair value through the statement of profit or loss. Transaction costs directly attributable to the acquisition of financial assets classified as at fair value through the statement of profit or loss are recognized immediately in the consolidated statement of profit or loss.

Subsequent measurement

All recognized financial assets that are within the scope of IFRS (9) are required to be subsequently measured at amortized cost or fair value on the basis of the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Specifically:

- Debt instruments held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal amount outstanding (SPPI), are subsequently measured at amortized cost;
- Debt instruments held within a business model whose objective is both to collect the contractual cash flows and to sell the debt instruments, and that have contractual cash flows that are SPPI, are subsequently measured at fair value through other comprehensive income;
- All other debt instruments (e.g. debt instruments managed on a fair value basis, or held for sale) and equity investments are subsequently measured at fair value through the statement of profit or loss.

However, the bank may irrevocably make the following selection / designation at initial recognition of a financial asset on an asset- by-asset basis:

- The bank may irrevocably select to present subsequent changes in fair value of an equity investment that is neither held for trading nor contingent consideration recognized by an acquirer in a business combination to which IFRS (3) applies, in other comprehensive income; and
- The bank may irrevocably designate a debt instrument that meets the amortized cost or fair value through other comprehensive income criteria as measured at fair value through the statement of profit or loss if doing so eliminates or significantly reduces an accounting mismatch (referred to as the fair value option).

Debt instruments at amortized cost or at fair value through other comprehensive income

The bank assesses the classification and measurement of a financial asset based on the contractual cash flow characteristics of the asset and the bank's business model for managing the asset.

For an asset to be classified and measured at amortized cost or at fair value through other comprehensive income, its contractual terms should give rise to cash flows that are solely payments of principal and interest on the principal outstanding (SPPI).

For the purpose of (SPPI) test, principal is the fair value of the financial asset at initial recognition. That principal amount may change over the life of the financial asset (e.g. if there are repayments of principal). Interest consists of consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period, and for other basic lending risks and costs, as well as a profit margin. The SPPI assessment is made in the currency in which the financial asset is denominated.

Contractual cash flows that are SPPI are consistent with a basic lending arrangement. Contractual terms that introduce exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are SPPI. An originated or an acquired financial asset can be a basic lending arrangement irrespective of whether it is a loan in its legal form.

Assessment of business models

An assessment of business models for managing financial assets is fundamental to the classification of a financial asset. The bank determines the business models at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The bank's business model does not depend on management's intentions for an individual instrument; therefore, the business model assessment is performed at a higher level of aggregation rather than on an instrument-by-instrument basis.

The bank has more than one business model for managing its financial instruments that reflect how the bank manages its financial assets in order to generate cash flows. The bank's business models determine whether cash flows will result from collecting contractual cash flows, selling financial assets or both.

The bank considers all relevant information available when making the business model assessment. However, this assessment is not performed based on scenarios that the bank does not reasonably expect to occur, such as so-called 'worst case' or 'stress case' scenarios. The bank takes into account all relevant evidence available such as:

- The stated policies and objectives of the portfolio and application of those policies concerning if the management strategy focuses on obtaining contractual revenues, maintaining a specific profit rate, and matching the maturity period of financial assets with that of the financial liabilities that finance those assets.
- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way in which those risks are managed; and
- How the business managers are compensated (e.g. whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).

At initial recognition of a financial asset, the bank determines whether newly recognized financial assets are part of an existing business model or whether they reflect the commencement of a new business model. The bank reassess its business models each reporting period to determine whether the business models have changed since the preceding period. For the current and prior reporting period, the bank has not identified any change in its business models.

When a debt instrument measured at fair value through other comprehensive income is derecognized, the cumulative gain/loss previously recognized in other comprehensive income is reclassified from equity to the statement of income. In contrast, for an equity investment designated as measured at fair value through other comprehensive income, the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss but transferred within equity.

Debt instruments that are subsequently measured at amortized cost or at fair value through other comprehensive income are subject to impairment.

Financial assets at fair value through the statement of profit or loss

Financial assets at fair value through profit or loss are:

- Assets with contractual cash flows that are not SPPI; or/and
- Assets that are held in a business model other than held to collect contractual cash flows or held to collect and sell; or
- Assets designated at fair value through profit or loss using the fair value option.

These assets are measured at fair value, with any gains/losses arising on re-measurement recognized in the statement of income.

Reclassifications

If the business model under which the bank holds financial assets changes, the financial assets affected are reclassified. The classification and measurement requirements related to the new category apply prospectively from the first day of the first reporting period following the change in business model, which results in reclassifying the bank's financial assets. During the current financial year and previous accounting period, there was no change in the business model under which the bank holds financial assets, and therefore, no reclassifications were made. The changes in the contractual cash flows are considered under the accounting policy on the modification and de-recognition of financial assets described below.

Foreign exchange gains and losses

The carrying amount of financial assets denominated in a foreign currency is determined in that foreign currency and translated at the spot rate at the end of each reporting period. Specifically:

- For financial assets measured at amortized cost that are not part of a designated hedging relationship, exchange differences are recognized in the statement of income; and
- For debt instruments measured at fair value through other comprehensive income that are not part of a designated hedging relationship, exchange differences on the amortized cost of the debt instrument are recognized in the statement of income. Other exchange differences are recognized in other comprehensive income in the investment's revaluation reserve; and
- For financial assets measured at fair value through the statement of profit or loss that are not part of a designated hedge accounting relationship, exchange differences are recognized in the statement of profit or loss either in 'net trading income', if the asset is held for trading, or in 'net income from other financial instruments at fair value through the statement of profit or loss if otherwise held at fair value through the statement of profit or loss; and
- For equity instruments measured at fair value through other comprehensive income, exchange differences are recognized in other comprehensive income in the investments revaluation reserve.

Fair value option

A financial instrument with a fair value that can be reliably measured at fair value through the statement of profit or loss (fair value option) may be classified at initial recognition even if the financial instruments are not acquired or incurred principally for the purpose of selling or repurchasing. The fair value option may be used for financial assets if it significantly eliminates or significantly reduces the measurement or recognition inconsistency that would otherwise have resulted in the measurement of the asset or liability or recognized the related gain or loss on a different basis («accounting mismatch»). The fair value option for financial liabilities can be chosen in the following cases:

- If the selection leads to a significant cancellation or reduction of the accounting mismatch;
- If the financial liabilities are part of a portfolio managed on a fair value basis, in accordance with a documented risk management or investment strategy; or
- If a derivative is included in the underlying financial or non-financial contract and the derivative is not closely related to the underlying contract.

These instruments can not be reclassified from the fair value category through the statement of profit or loss while retained or issued. Financial assets at fair value through the income statement are recognized at fair value with any unrealized gain or loss arising from changes in fair value recognized in investment income.

Impairment

The bank recognizes loss allowances for expected credit losses on the following financial instruments that are not measured at fair value through the statement of income:

- Balances and deposits at banks and financial institutions;
- Direct credit facilities (loans and advances to customers);
- Financial assets at amortized cost (debt investment securities);
- Financial assets at fair value through statement of other comprehensive income;
- Off-statement of financial position exposure subject to credit risk (financial guarantee contracts issued).

No impairment loss is recognized on equity investments.

With the exception of purchased or originated creditimpaired (POCI) financial assets (which are considered separately below), ECLs are required to be measured through a loss allowance at an amount equal to:

- 12-month ECLs, i.e. lifetime ECL that result from those default events on the financial instrument that are possible within 12 months after the reporting date, (referred to as Stage 1); or
- Full lifetime ECLs, i.e. lifetime ECL that result from all possible default events over the life of the financial instrument, (referred to as Stage 2 and Stage 3).

A loss allowance for full lifetime ECL is required for a financial instrument if the credit risk on that financial instrument has increased significantly since initial recognition. For all other financial instruments, ECLs are measured at an amount equal to the 12-month ECL.

ECLs are a probability-weighted estimate of the present value of credit losses. These are measured as the present value of the difference between the cash flows due to the Group under the contract and the cash flows that the Group expects to receive arising from the weighting of multiple future economic scenarios, discounted at the asset's EIR.

For utilized loan limits, the ECL is the difference between the present value of the difference between the contractual cash flows that are due to the Group if the holder of the commitment draws down the loan and the cash flows that the Group expects to receive if the loan is utilized; and

For financial guarantee contracts, the ECL is the difference between the expected payments to reimburse the holder of the guaranteed debt instrument less any amounts that the Group expects to receive from the holder, the client, or any other party.

The bank measures ECL on an individual basis, or on a collective basis for portfolios of loans that share similar economic risk characteristics. The measurement of the loss allowance is based on the present value of the asset's expected cash flows using the asset's original EIR, regardless of whether it is measured on an individual basis or a collective basis.

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Credit impaired financial assets

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Credit-impaired financial assets are referred to as Stage 3 assets. Evidence of credit-impairment includes observable data about the following events:

- Significant financial difficulties facing the borrower or issuer;
- A breach of contract such as a default or past due event;
- The lender of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty, having granted to the borrower a concession that the lender would not otherwise consider;
- The disappearance of an active market for a security because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

If it may not be possible to identify a single discrete event. Instead, the combined effect of several events may have caused financial assets to become credit-impaired. The bank assesses whether debt instruments that are financial assets measured at amortized cost or fair value through other comprehensive income are credit-impaired at each reporting date. To assess if sovereign and corporate debt instruments are credit impaired, the bank considers factors

such as bond yields, credit ratings, and the ability of the borrower to raise funding.

A loan is considered credit-impaired when a concession is granted to the borrower due to a deterioration in the borrower's financial condition, unless there is evidence that as a result of granting the concession, the risk of not receiving the contractual cash flows has reduced significantly, and there are no other indicators of impairment. For financial assets where concessions are contemplated but not granted, the asset is deemed credit-impaired when there is observable evidence of credit-impairment, including meeting the definition of default. The definition of default includes unlikeliness to pay indicators and a back- stop if amounts are overdue for 90 days or more. However, cases where the assets impairment is not recognized after 90 days of their becoming due are supported by reasonable information.

Purchased or originated creditimpaired (POCI) financial assets

POCI financial assets are treated differently because the asset is credit-impaired at initial recognition. For these assets, the bank recognizes all changes in lifetime ECL since initial recognition as a loss allowance with any changes recognized in the statement of income. A favorable change for such assets creates an impairment gain.

Definition of default

Critical to the determination of ECL is the definition of default. The definition of default is used in measuring the amount of ECL and in determining whether the loss allowance is based on 12-month or lifetime ECL, as default is a component of the probability of default (PD) which affects both the measurement of ECLs and the identification of a significant increase in the credit risk below.

The bank considers the following as constituting an event of default:

- The borrower is past due for more than 90 days on any material credit obligation to the bank; or
- The borrower is unlikely to pay its credit obligations to the bank in full.

The definition of default is appropriately tailored to reflect different characteristics of different types of assets. Overdrafts are considered as being past due once the customer has breached an advised limit or has been advised of a limit smaller than the current amount outstanding.

When assessing if the borrower is unlikely to pay its credit obligation, the bank takes into account both qualitative and quantitative indicators. The information assessed depends on the type of the asset. For example, in corporate lending, a qualitative indicator used is the breach of covenants, which is not relevant for retail lending. Quantitative indicators, such as overdue status and non-payment on another obligation of the same counterparty are key inputs in this analysis. The bank uses a variety of sources of information to assess default that is either developed internally or obtained from external sources.

Significant increase in credit risk

The bank monitors all financial assets, issued loan commitments and financial guarantee contracts that are subject to the impairment requirements to assess whether there has been a significant increase in credit risk since initial recognition. If there has been a significant increase in credit risk, the bank measures the loss allowance based on lifetime rather than 12-month ECL.

The bank's accounting policy is not to use the practical expedient that financial assets with 'low' credit risk at the reporting date are deemed not to have had a significant increase in credit risk. As a result, the Group monitors all financial assets, issued loan commitments, and financial guarantee contracts that are subject to impairment for significant increase in credit risk.

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the bank compares the risk of a default occurring on the financial instrument at the reporting date based on the remaining maturity of the instrument with the risk of a default occurring that was anticipated for the remaining maturity at the current reporting date when the financial instrument was first recognized. In making this assessment, the bank considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort, based on the bank's historical experience and expert credit assessment including forward-looking information.

Multiple economic scenarios form the basis of determining the probability of default at initial recognition and at subsequent reporting dates. Different economic scenarios will lead to a different probability of default. It is the weighting of these different scenarios that forms the basis of a weighted average probability of default that is used to determine whether credit risk has significantly increased.

For corporate lending, forward-looking information includes the future prospects of the industries in which the bank's counterparties operate, obtained from economic expert reports, financial analysts, governmental bodies, relevant think tanks and other similar organizations, as well as consideration of various internal and external sources of actual and forecast economic information. For retail, lending forward-looking information includes the same economic forecasts as corporate lending with additional forecasts of local economic indicators, particularly for regions with a concentration to certain industries, as well as internally generated information of customer payment behavior.

The bank allocates its counterparties to a relevant internal credit risk grade depending on their credit quality. The quantitative information is a primary indicator of a significant increase in credit risk and is based on the change in lifetime PD by comparing:

- The remaining lifetime PD at the reporting date; with
- The remaining lifetime PD for this point in time that was estimated based on facts and circumstances at the time of initial recognition of the exposure.

The PDs used are forward looking, and the bank uses the same methodologies and data used to measure the loss allowance for ECL.

The qualitative factors that indicate significant increase in credit risk are reflected in PD models on a timely basis. However, the bank still considers separately some qualitative factors to assess if credit risk has increased significantly. For corporate lending, there is particular focus on assets included in the 'watch list', as exposure is watch-listed once there is a concern that the creditworthiness of the specific counterparty has deteriorated. For retail lending, the bank considers the expectation of forbearance and payment holidays, credit scores and events such as unemployment, bankruptcy, divorce, or death.

Given that a significant increase in credit risk since initial recognition is a relative measure, a given change, in absolute terms, in the PD will be more significant for a financial instrument with a lower initial PD compared to a financial instrument with a higher PD.

As a back-stop when an asset becomes more than (45) days past due, the bank considers that a significant increase in credit risk has occurred and the asset is in Stage 2 of the impairment model, i.e. the loss allowance is measured as the lifetime ECL.

Modification and derecognition of financial assets

A modification of a financial asset occurs when the contractual terms governing the cash flows of a financial asset are renegotiated or otherwise modified between initial recognition and maturity of the financial asset. A modification affects the amount and/or timing of the contractual cash flows either immediately or at a future date. In addition, the introduction or adjustment of existing covenants of an existing loan would constitute a modification even if these new or adjusted covenants do not yet affect the cash flows immediately but may affect the cash flows depending on whether the covenant is or is not met (e.g. a change to the increase in the interest rate that arises when covenants are breached).

The bank renegotiates loans to customers in financial difficulty to maximize collection and minimize the risk of default. A loan forbearance is granted in cases where although the borrower made all reasonable efforts to pay under the original contractual terms, there is a high risk of default, or default has already happened, and the borrower is expected to be able to meet the revised terms. The revised terms in most of the cases include an extension of the maturity of the loan, changes to the timing of the cash flows of the loan (principal and interest repayment), reduction in the amount of cash flows due (principal and interest forgiveness) and amendments to covenants. The bank has an established forbearance policy, which applies for corporate and retail lending.

When a financial asset is modified, the bank assesses whether this modification results in derecognition. In accordance with the bank's policy, a modification results in derecognition when it gives rise to substantially different terms. To determine if the modified terms are substantially different from the original contractual terms, the bank considers the following:

- Qualitative factors, such as contractual cash flows after modification are no longer SPPI, change in currency or change of counterparty, the extent of change in interest rates, maturity, and covenants. If these do not clearly indicate a substantial modification, then;
- A quantitative assessment is performed to compare the present value of the remaining contractual cash flows under the original terms with the contractual cash flows under the revised terms, both amounts discounted at the original effective interest.

In the case where the financial asset is derecognized, the loss allowance for ECL is re-measured at the date of derecognition to determine the net carrying amount of the asset at that date. The difference between this revised carrying amount

and the fair value of the new financial asset with the new terms will lead to a gain or loss on derecognition. The new financial asset will have a loss allowance measured based on 12-month ECL except in the rare occasions where the new loan is considered to be originated- credit impaired. This applies only in the case where the fair value of the new loan is recognized at a significant discount to its revised par amount because there remains a high risk of default that has not been reduced by the modification. The bank monitors the credit risk of modified financial assets by evaluating qualitative and quantitative information, such as if the borrower is in past due status under the new terms.

When the contractual terms of a financial asset are modified and the modification does not result in derecognition, the bank determines if the financial asset's credit risk has increased significantly since initial recognition by comparing:

- The remaining lifetime PD estimated based on data at initial recognition and the original contractual terms; with
- The remaining lifetime PD at the reporting date based on the modified terms.

For financial assets modified as part of the bank's forbearance policy, where modification did not result in derecognition, the estimate of PD reflects the bank's ability to collect the modified cash flows taking into account the bank's previous experience of similar forbearance action, as well as various behavioral indicators, including the borrower's payment performance against the modified contractual terms. If the credit risk remains significantly higher than what was expected at initial recognition, the loss allowance will continue to be measured at an amount equal to lifetime ECL. The loss allowance on forborne loans will generally only be measured based on 12-month ECL when there is evidence of the borrower's improved repayment behavior following modification leading to a reversal of the previous significant increase in credit risk.

Where a modification does not lead to derecognition, the bank calculates the modification gain/loss, comparing the gross carrying amount before and after the modification (excluding the ECL allowance). Then the bank measures ECL for the modified asset, where the expected cash flows arising from the modified financial asset are included in the calculation of the expected cash shortfalls from the original asset.

The bank derecognizes a financial asset only when the contractual rights to the asset's cash flows expire (including expiry arising from a modification with substantially different terms), or when the financial asset and substantially all the risks and rewards of ownership of the asset are transferred to another entity. If the bank neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the bank recognizes its retained interest in the asset and an associated liability for the amounts it may have to pay. If the bank retains substantially all the risks and rewards of ownership of a transferred financial asset, the bank continues to recognize the financial asset and recognizes a collateralized borrowing for the proceeds received.

On derecognition of a financial asset in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain/loss that had been recognized in OCI and accumulated in equity is recognized in profit or loss, with the exception of equity investment designated as measured at fair value through other comprehensive income, where the cumulative gain/loss previously recognized in OCI is not subsequently reclassified to profit or loss.

Writeoff

Loans and debt securities are written off when the bank has no reasonable expectations of recovering the financial asset (either in its entirety or a portion thereof). This is the case when the bank determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off, which constitutes a derecognition event. In this respect, the bank may apply enforcement activities to financial assets written off. Meanwhile, recoveries resulting from the Group's enforcement activities will result in impairment gains.

Presentation of allowance for ECL in the consolidation statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- For financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;
- For debt instruments measured at fair value through other comprehensive income: no loss allowance is recognized in the statement of financial position as the carrying amount is at fair value. However, the loss allowance is included as part of the revaluation amount in the investments revaluation reserve.
- For loan commitments and financial guarantee contracts: as a provision; and
- Where a financial instrument includes both a drawn and an undrawn component, and the bank cannot identify the ECL on the loan commitment component separately from those on the drawn component: the bank presents a combined loss allowance for both components. The combined amount is presented as a deduction from the gross carrying amount of the drawn component. Any excess of the loss allowance over the gross amount of the drawn component is presented as a provision.

Financial liabilities and equity

Debt and equity instruments issued are classified either as financial liabilities or as equity in accordance with the substance of the contractual arrangement.

A financial liability is:

- a contractual obligation to deliver cash or another financial asset or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the bank; or
- a contract that will or may be settled in the bank's own equity instruments and is a non-derivative contract for which the bank is or may be obliged to deliver a variable number of its own equity instruments; or
- a derivative contract over own equity that will or may be settled other than by the exchange of a fixed amount of cash (or another financial asset) for a fixed number of the Group's own equity instruments.

Equity instruments

Paid-up capital

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the bank are recognized at the proceeds received, net of direct issue costs.

Treasury shares

Repurchase of the bank's own equity instruments is recognized and deducted directly in equity. No gain or loss is recognized in the consolidated statement of profit or loss when purchasing, selling, issuing, or cancelling the bank's own equity instruments.

Compound instruments

The component parts of compound instruments (e.g. convertible notes) issued by the bank are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

At the date of issue, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. In the case where there are non-closed related embedded derivatives, these are separated first with the remainder of the financial liability being recorded on an amortized cost basis, using the effective interest method until extinguished upon conversion, or at the instrument's maturity date.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through the statement of income' or 'other financial liabilities'.

Financial liabilities at fair value through the statement of profit or loss

Financial liabilities are classified as at fair value through the statement of profit or loss when the financial liability is (i) held for trading, or (ii) it is designated as at fair value through the statement of income. A financial liability is classified as held for trading if:

- It has been incurred principally for the purpose of repurchasing it in the near term; or
- On initial recognition, it is part of a portfolio of identified financial instruments that the bank manages together and has a recent actual pattern of short-term profit-taking; or
- It is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading or contingent consideration that may be paid by an acquirer as part of a business combination may be designated as at fair value through the statement of profit or loss upon initial recognition if:

- Such designation eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise; or
- The financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the bank's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- It forms part of a contract containing one or more embedded derivatives, and IFRS (9) permits the entire hybrid

(combined) contract to be designated as at fair value through the statement of income.

Financial liabilities at fair value through the statement of profit or loss are stated at fair value, with any gains/losses arising on re-measurement recognized in the statement of profit or loss to the extent that they are not part of a designated hedging relationship. The net gain/loss recognized in profit or loss incorporates any interest paid on the financial liability and is included in the 'net income from other financial instruments at fair value through the statement of profit or loss.

However, for non-derivative financial liabilities designated as at fair value through the statement of income, the amount of change in the fair value of the financial liability attributable to changes in the credit risk of that liability is recognized in OCI, unless the recognition of the effects of changes in the liability's credit risk in OCI would create or enlarge an accounting mismatch in profit or loss. The remaining amount of change in the fair value of liability is recognized in profit or loss. Changes in fair value attributable to a financial liability's credit risk that are recognized in OCI are not subsequently reclassified to profit or loss; instead, they are transferred to retained earnings upon derecognition of the financial liability.

For issued loan commitments and financial guarantee contracts designated as at fair value through the consolidated statement of profit or loss, all gains and losses are recognized in profit or loss.

In determining whether recognizing changes in the liability's credit risk in other comprehensive income will create or enlarge an accounting mismatch in profit or loss, the bank assesses whether it expects that the effects of changes in the liability's credit risk will be offset in profit or loss by a change in the fair value of another financial instrument measured at fair value through the consolidated statement of profit or loss.

Other financial liabilities

Other financial liabilities, including deposits and borrowings, are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortized cost using the effective interest method. The effective interest method is a method of calculating the amortized cost of a financial liability and of allocating interest expense over the relevant period. The EIR is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or, where appropriate, a shorter period, to the net carrying amount on initial recognition. For details on EIR, see the "net interest income section" above.

Derecognition of financial liabilities

The bank derecognizes financial liabilities when, and only when, the bank's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognized and the consideration paid and payable is recognized in the statement of income.

When the bank exchanges with the existing lender one debt instrument into another one with substantially different terms, such exchange is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. Similarly, the bank accounts for substantial modification of terms of an existing liability or part of it as an extinguishment of the original financial liability and the recognition of a new liability. It is assumed that the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective rate, is at least (10) per cent different from the discounted present value of the remaining cash flows of the original financial liability.

Derivative financial instruments

The bank enters into a variety of derivative financial instruments some of which are held for trading while others are held to manage the bank's exposure to interest rate risk, credit risk, and foreign exchange rate risk. Derivatives held include foreign exchange forward contracts, interest rate swaps, cross currency interest rate swaps, and credit default swaps.

Derivatives are initially recognized at fair value at the date a derivative contract is entered into, and are subsequently re-measured to their fair value at each balance sheet date. The resulting gain/loss is recognized in profit or loss immediately unless the derivative is designated and effective as a hedging instrument, in which event the timing of the recognition in profit or loss depends on the nature of the hedge relationship. The bank designates certain derivatives as hedges of the fair value of recognized assets or liabilities or firm commitments (fair value hedges), hedges of highly probable forecast transactions, hedges of foreign currency risk of firm commitments (cash flow hedges), or hedges of net investments in foreign operations (net investment hedges).

A derivative with a positive fair value is recognized as a financial asset whereas a derivative with a negative fair value is recognized as a financial liability. A derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the instrument is more than (12) months, and it is not expected to be realized or settled within (12) months. Other derivatives are presented as current assets or current liabilities.

Embedded derivatives

Derivatives embedded in financial liabilities or other non-financial asset host contracts are treated as separate derivatives when their risks and characteristics are not closely related to those of the host contracts, and the host contracts are not measured at fair value through profit or loss.

An embedded derivative is presented as a non-current asset or a non-current liability if the remaining maturity of the hybrid instrument to which the embedded derivative relates is more than 12 months and is not expected to be realized or settled within 12 months. Other embedded derivatives are presented as current assets or current liabilities.

Financial guarantee contracts

A financial guarantee contract is a contract that requires the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due in accordance with the terms of a debt instrument.

Financial guarantee contracts issued by a group entity are initially measured at their fair values and, if not designated as at fair value through profit or loss and not arising from a transfer of a financial asset, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the bank's revenue recognition policies.

Financial guarantee contracts not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The bank has not designated any financial guarantee contracts as at fair value through profit or loss.

Commitments to provide a loan at a belowmarket interest rate

Commitments to provide a loan at a below-market interest rate are initially measured at their fair values and, if not designated as at fair value through profit or loss, are subsequently measured at the higher of:

- The amount of the loss allowance determined in accordance with IFRS (9); and
- The amount initially recognized less, where appropriate, cumulative amount of income recognized in accordance with the bank's revenue recognition policies.

Commitments to provide a loan below market rate not designated at fair value through profit or loss are presented as provisions in the consolidated statement of financial position, and the re-measurement is presented in other revenue.

The bank has not designated any commitments to provide a loan below market rate designated at fair value through profit or loss.

Hedge accounting

The bank designates certain derivatives as hedging instruments in respect of foreign currency risk and interest rate risk in fair value hedges, cash flow hedges, or hedges of net investments in foreign operations as appropriate. Hedges of foreign exchange risk on firm commitments are accounted for as cash flow hedges. The bank does not apply fair value hedge accounting of portfolio hedges of interest rate risk. In addition, the bank does not use the exemption to continue using IAS (39) hedge accounting rules, i.e. the bank applies IFRS (9) hedge accounting rules in full.

At the inception of the hedge relationship, the bank documents the relationship between the hedging instrument and the hedged item, along with its risk management objectives and its strategy for undertaking various hedge transactions. Furthermore, at the inception of the hedge and on an ongoing basis, the bank documents whether the hedging instrument is effective in offsetting changes in fair values or cash flows of the hedged item attributable to the hedged risk, which is when the hedging relationships meet all of the following hedge effectiveness requirements:

- There is an economic relationship between the hedged item and the hedging instrument;
- The effect of credit risk does not dominate the value changes that result from that economic relationship; and
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the bank actually hedges and the quantity of the hedging instrument that the bank actually uses to hedge that quantity of the hedged item.

The bank rebalances a hedging relationship in order to comply with the hedge ratio requirements, when necessary. In such cases, discontinuation may apply to only part of the hedging relationship. For example, the hedge ratio might be adjusted in such a way that some of the volume of the hedged item is no longer part of a hedging relationship; hence, hedge accounting is discontinued only for the volume of the hedged item that is no longer part of the hedging relationship.

If a hedging relationship ceases to meet the hedge effectiveness requirement relating to the hedge ratio, but the risk management objective for that designated hedging relationship remains the same, the bank adjusts the hedge ratio of the hedging relationship (i.e. rebalances the hedge) so that it meets the qualifying criteria again.

In some hedge relationships, the bank designates only the intrinsic value of options. In this case, the fair value change of the time value component of the option contract is deferred in OCI, over the term of the hedge, to the extent that it relates to the hedged item and is reclassified from equity to profit or loss when the hedged item does not result in the recognition of a non-financial item. The bank's risk management policy does not include hedges of items that result in the recognition of non-financial items, because the bank's risk exposures relate to financial items only.

The hedged items designated by the bank are time-period related hedged items, which means that the amount of the original time value of the option that relates to the hedged item is amortized from equity to profit or loss on a rational basis (e.g. straight- line) over the term of the hedging relationship.

In some hedge relationships, the bank excludes from the designation the forward element of forward contracts or the currency basis spread of cross currency hedging instruments. In this case, a treatment is applied similar to the one applied for the time value of options. The treatment for the forward element of a forward and the currency basis element is optional, and the option is applied on a hedge-by-hedge basis, unlike the treatment for the time value of the options, which is mandatory. For hedge relationships with forwards or foreign currency derivatives such as cross currency interest rate swaps, where the forward element or the currency basis spread is excluded from the designation, the bank generally recognizes the excluded element in OCI.

The fair values of the derivative instruments used for hedging purposes and movements in the hedging reserve are determined in equity.

Fair value hedges

The fair value change on qualifying hedging instruments is recognized in profit or loss except when the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income in which case it is recognized in OCI. The bank has not designated fair value hedge relationships where the hedging instrument hedges an equity instrument designated at fair value through other comprehensive income.

The carrying amount of a hedged item not already measured at fair value is adjusted for the fair value change attributable to the hedged risk with a corresponding entry in profit or loss. For debt instruments measured at fair value through other comprehensive income, the carrying amount is not adjusted as it is already at fair value, but the part of the fair value gain or loss on the hedged item associated with the hedged risk is recognized in profit or loss instead of OCI. When the hedged item is an equity instrument designated at fair value through other comprehensive income, the hedging gain/loss remains in other comprehensive income to match that of the hedging instrument.

Where hedging gains/losses are recognized in profit or loss, they are recognized in the same line as the hedged item.

The bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised. The discontinuation is accounted for prospectively. The fair value adjustment to the carrying amount of hedged items for which the EIR method is used (i.e. debt instruments measured at amortized cost or at fair value through other comprehensive income) arising from the hedged risk is amortized to profit or loss commencing no later than the date when hedge accounting is discontinued.

Cash flow hedges

The effective portion of changes in the fair value of derivatives and other qualifying hedging instruments that are designated and qualify as cash flow hedges is recognized in the cash flow hedging reserve, a separate component of OCI, limited to the cumulative change in fair value of the hedged item from inception of the hedge less any amounts recycled to profit or loss.

Amounts previously recognized in OCI and accumulated in equity are reclassified to profit or loss in the periods when the hedged item affects profit or loss, in the same line as the recognized hedged item. If the bank no longer expects the transaction to occur, that amount is immediately reclassified to profit or loss.

The bank discontinues hedge accounting only when the hedging relationship (or a part thereof) ceases to meet the qualifying criteria (after rebalancing, if applicable). This includes instances when the hedging instrument expires or is sold, terminated or exercised, or where the occurrence of the designated hedged forecast transaction is no longer considered to be highly probable. The discontinuation is accounted for prospectively. Any gain/loss recognized in OCI and accumulated in equity at that time remains in equity and is recognized when the forecast transaction is ultimately recognized in profit or loss. When a forecast transaction is no longer expected to occur, the gain/loss accumulated in equity is reclassified and recognized immediately in profit or loss.

Hedges of net investments in foreign operations

Hedges of net investments in foreign operations are accounted for similarly to cash flow hedges. Any gain/loss on the hedging instrument relating to the effective portion of the hedge is recognized in OCI and accumulated in the foreign currency translation reserve.

Gains and losses on the hedging instrument relating to the effective portion of the hedge accumulated in the foreign currency translation reserve are reclassified to profit or loss in the same way as exchange differences relating to the foreign operation as described above.

Property and equipment

Property and equipment are measured at cost less accumulated depreciation and any impairment. Property and equipment (except land) are depreciated when ready for use using the straight-line method over their expected useful life.

The depreciation rates used are as follows:

	%
Buildings	2-4
Equipment, furniture and fixtures	7-15
Vehicles	15
Computer	20

- The carrying values of property and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying values may not be recoverable. If such indication exists and where the carrying values exceed the estimated recoverable amounts, the assets are written down to their recoverable amount, and the impairment is charged to the consolidated statement of profit or loss.
- The useful life of property and equipment is reviewed at each year-end, and changes in the expected useful life are treated as changes in accounting estimates.
- An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal.

Fair value

Fair value is defined as the price at which an asset is to be sold or paid to convert any of the liabilities in a structured transaction between the market participants on the measurement date, irrespective of whether the price can be realized directly or whether it is estimated using another valuation technique. When estimating the fair value of an asset or liability, the bank takes into consideration, when determining the price of any asset or liability, whether market participants are required to take these factors into account at the measurement date. Fair value for the purposes of measurement and / or disclosure in these financial statements is determined on the same basis, except for measurement procedures that are similar to the fair value procedures and are not fair value such as fair value as used in IAS (36).

In addition, fair value measurements are classified, for the purposes of financial reporting to level (1), (2) or (3), based on the extent to which the inputs are clear concerning the fair value measurements and the importance of inputs to the full fair value measurements. The details are as follows:

Level (1) Inputs: Inputs derived from quoted (unadjusted) prices of identical assets or liabilities in active markets that an enterprise can obtain on the measurement date;

Level (2) Inputs: Inputs derived from data other than quoted prices used at level 1 and observable for assets or liabilities, either directly or indirectly;

Level (3) Inputs: Inputs to assets or liabilities that are not based on observable market prices.

Provisions

Provisions are recognized when the bank has an obligation at the date of the consolidated statement of financial position arising from a past event, and the costs to settle the obligation are both probable and can be reliably measured.

Income tax

- Tax expense comprises current tax and deferred taxes.
- Current tax is based on taxable profits, which may differ from accounting profits published in the financial statements. Accounting profits may include non-taxable profits or tax non- deductible expenses which may be exempted in the current or subsequent financial years, or accumulatted losses that are tax acceptable or items not subject to deduction for tax purposes.
- Tax is calculated based on tax rates and laws that are applicable in Jordan.
- Deferred tax is the tax expected to be paid or recovered due to temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. Deferred tax assets and liabilities are measured at the tax rates expected to be applied in the period when the asset is realized or the liability is settled, based on the laws enacted or substantially enacted at the date of the consolidated statement of financial position.
- The carrying values of deferred tax assets are reviewed at the date of the consolidated financial statement and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized.

Offsetting

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statement of financial position, when there is a legally enforceable right to offset the recognized amounts and the bank intends to either settle them on a net basis, or to realize the asset and settle the liability simultaneously.

Revenue and expense recognition

- Interest income is recorded using the effective interest rate method except for fees and interest on non-performing facilities and financing, on which interest is transferred to the interest in suspense account and not recognized in the consolidated statement of profit or loss.
- Expenses are recognized on an accrual basis.
- Commission income is recognized upon the rendering of services. Dividend income is recognized (when approved by the General Assembly).

Date of recognition of financial assets

Purchase or sale of financial assets is recognized on the trade date, (the date that the bank commits to purchase or sell the asset).

Financial derivatives and hedge accounting

Derivatives for trading

The fair value of derivative financial instruments held for trading (such as future foreign exchange contracts, future interest contracts, swaps contracts, foreign exchange rate option rights) is recognized in the consolidated statement of financial position. Moreover, fair value is determined at the prevailing market prices. If these prices are not available, the assessment method should be mentioned, and the amount of changes in fair value should be recognized in the consolidated statement of profit or loss.

Repurchase and resale agreements

- Assets sold with a simultaneous commitment to repurchase them at a specified future date will continue to be recognized in the bank's consolidated financial statements due to the bank's control of these assets and the fact that continuing exposure to the risks and rewards of these assets remains with the bank and continue to be evaluated in accordance with the applied accounting policies. The proceeds of the sale are recorded under loans and borrowings. The difference between the sale and the repurchase price is recognized as an interest expense over the agreement term using the effective interest rate method.
- Assets purchased with a corresponding commitment to resell at a specified future date are not recognized in the bank's consolidated financial statements since the bank is not able to control these assets or the associated risks and benefits. The related payments are recognized as part of deposits at banks and financial institutions or direct credit facilities as applicable, and the difference between purchase and resale price is recognized as interest income over the agreement term using the effective interest rate method.

Assets repossesed by the bank

The assets that have repossessed by the bank's are shown in the consolidated statement of financial position under "Other Assets" at the value it repossessed to the bank or the fair value, whichever is lower. They are re-evaluated at the date of the consolidated financial statements at fair value individually, and any decrease in its value is recorded as a loss in the consolidated statement of profit or loss and comprehensive income, and the increase is not recorded as income, since the beginning of 2015, a gradual provision has been taken for real estate acquired in exchange for debts and whose acquisition has exceeded 4 years, pursuant to the Central bank of Jordan's Circular No 15/1/4076 dated March 27, 2014 and Circular No. 10/1/2510 dated February 14, 2017. Moreover, the Central bank of Jordan has issued Circular No. 10/1/13967 dated October 25, 2018, approving the extension of Circular No. 10/1/16607 dated December 17, 2017, in which it confirmed postponement of the calculation of the allowance until the end of the year 2019. Pursuant to the Central bank of Jordan's Circular No. 10/1/16239 dated November 21, 2019, deductions shall be made for the provisions required against the seized real estate at a rate of 5% from the total book value of these properties (regardless of the violation period) starting from the year 2021 until the required percentage has been reached, i.e. 50% of the value of these properties by the end of the year 2029.

Intangible assets

- Intangible assets are measured on initial recognition at cost.
- Intangible assets are classified as indefinite or with definite useful life. Intangible assets with finite lives are amortized over the useful economic life, and amortization is recorded in the consolidated statement of profit or loss, using the straight-line metthod during a period not exceeding 5 years from the date of the purchase transaction. Meanwhile, intangible assets with indefinite useful lives are assessed for impairment at each reporting date, and impairment losses are recorded in the consolidated statement of profit or loss.
- Internally generated intangible assets are not capitalized and are expensed in the consolidated statement of profit or loss.
- Intangible assets include computer software, programs, Safwa Islamic bank's license and customers' deposits. The bank's management estimates the useful life for each intangible asset, where the assets are amortized using the straight- line method from 3 to 7 years. As for Safwa bank's license, its useful life is indefinite and it is not amortized.

Impairment of non-financial asset

- The carrying amount of the bank's non-financial asset is reviewed at the end of each fiscal year except for the deferred tax assets, to determine if there is an indication of impairment, and if there is an indication of impairment, the amount recoverable from these assets will be estimated.
- If the carrying amount of the assets exceeds the recoverable amount from those assets, the impairment loss is recorded in these assets.
- The recoverable amount is the fair value of the asset – less cost of sales – or the value of its use, whichever is greater.
- All impairment losses are recognized in the consolidated statement of profit or loss and other comprehensive income.
- The impairment loss for goodwill is not reversed, for other assets, the impairment loss is reversed only if the value of the carrying amount of the assets does not exceed the book value that was determined after the depreciation or amortization has been reduced if the impairment loss is not recognized in value.

Business combinations and goodwill

- A business combination is registered using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred measured at the acquisition date fair value and the amount of any non-controlling interests in the acquiree.
- For each business combination, the bank elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in administrative expenses in the consolidated profit or loss statement.
- Goodwill is measured at cost, which represents the excess of the amounts granted in addition to the amount of non-controlling interests over the net fair value of the assets and liabilities owned after deducting the impairment amount.
- When the bank acquires a business, it reviews the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances, and pertinent conditions as at the acquisition date.

Investment in associates

- Associates are those companies in which the bank exerts an effective influence on their financial and operational policy decisions, and that are not retained for trading. In this regard, investments in associates are stated according to the equity method.
- Investments in associates are stated at cost within the statement of financial position, in addition to the bank's share of changes in the associate's net assets. The goodwell resulting from investing in associates is recorded as part of the investment account of the associate and is not amortized. Moreover, the bank's share of the associates' profits is recorded in the consolidated statement of profit or loss. In the event of changes in the owners' equity of the associates, these changes, if any, are reflected in the bank's statement of changes in owners' equity. Profits and losses resulting from transactions between the bank and the associates are elimintated to the extent of the bank's share in the associates.

Foreign currencies

For the purpose of the consolidated financial statements, the results and financial position of each entity of the Group are presented in the functional currency unit of the bank and the presentation currency of the consolidated financial statements.

The standalone financial statements of the bank's subsidiaries are prepared. Moreover, the standalone financial statements of each entity of the Group are presented in the functional currency in which it operates. Transactions in currencies other than the functional currency of the bank are recorded at the rates of exchange prevailing at the dates of those transactions. At the balance sheet date, financial assets and liabilities denominated in foreign currencies are translated at the rates of exchange prevailing at that date. Non-monetary items carried at fair value that are denominated in foreign currencies are translated at the exchange rates at the date when the fair value is determined. Non-monetary items measured at historical cost in a foreign currency are not reclassified.

Exchange differences are recognized in the consolidated statement of profit or loss in the period in which they arise except for:

- Foreign exchange differences on transactions made in order to hedge foreign exchange risk.
- Foreign exchange differences on monetary items required to / from a foreign operation that are not planned to be settled, are unlikely to be settled in the near future (and therefore, these differences form part of the net investment in the foreign operation), and are initially recognized in the comprehensive income statement and reclassified from equity to the income statement when selling or partially disposing of the net investment.

In order to present the consolidated financial statements, the assets and liabilities of the bank's foreign operations are translated at the rates of exchange prevailing at the statement of financial position date. Income is also translated at the average exchange rates for the period, unless exchange rates change significantly during that period, in which case the exchange rates are used on the date of the transactions. Exchange differences arising, if any, are recognized in other consolidated statement of comprehensive income under a separate line item of equity.

When foreign operations are disposed of (i.e. disposal of the entire share of the bank from foreign operations, or resulting from loss of control of a subsidiary in foreign operations, or partial exclusion by its share in a joint arrangement, or an associate company of a foreign nature in which the share held is a financial asset), all foreign exchange differences accumulated in a separate item under equity in respect of that transaction attributable to the bank's owners are reclassified to the consolidated statement of profit or loss.

In respect of the partial disposal of a subsidiary involving foreign operations that do not result in the bank losing control of the subsidiary, its share of the accumulated exchange differences is credited to net comprehensive income at a rate that is derecognized and not recognized in the consolidated statement of income. For all other partial liquidation (such as partial liquidation of associates or joint ventures that do not result in the bank losing significant influence or joint control), the share of accumulated exchange differences is reclassified to the consolidated statement of profit or loss.

Leases

The bank as a lessee

The bank assesses whether the contract contains lease when starting the contract. Moreover, the bank recognizes the right-of-use assets and the corresponding lease obligations in relation to all lease arrangements to which the lessee is a party, except for short-term lease contracts (defined as leases of 12 months or less) and low-value asset leases. For these contracts, the bank recognizes the lease payments as an operating expense on a straight-line basis over the period of the lease, unless another regular basis is more representative of the time pattern in which the economic benefits from the leased assets are utilized.

The lease obligation is initially measured at the present value of the lease payments that were not paid on the start date of the lease, and is discounted by using the price implicit in the lease. If this rate cannot be easily determined, the bank uses its expected incremental borrowing rate.

The lease payments included in the rental obligation measurement include:

- Fixed rental payments (essentially including fixed payments), minus rental incentives receivable;
- Variable rental payments that depend on an index or a rate, initially measured using the index or the rate at the date the contract begins.
- The amount expected to be paid by the lessee under the residual value guarantees.
- The price of the exercise of purchase options, if the lessee is reasonably certain of the exercise of the options; and
- Payment of the contract termination fines, if the lease reflects the exercise of the lease termination option.

Rental obligations are presented as a separate note to the consolidated statement of financial position.

Subsecuently, lease obligations are subsequently measured by increasing the book value to reflect the interest in the rental obligations (using the effective interest method) and by reducing the book value to reflect the rental payments paid.

The lease obligations (and a similar adjustment to the related right-of-use assets) are re-measured whenever:

- The lease term has changed or there is an event or important change in the conditions that lead to a change in the exercise of the purchase option assessment, in which case the lease obligations are re-measured by deducting the adjusted lease payment using the adjusted discount rate.
- Lease payments change due to changes in an index, rate, or change in expected payments under the guaranteed residual value, in which cases the lease obligation is re-measured by deducting the modified rental payments using a non-variable discount rate (unless the rental payments change due to a change in the floating interest rate, in this case the adjusted discount rate is used.
- The lease contract is adjusted and the lease amendment is not accounted for as a separate lease, in which case the lease obligation is re-measured based on the duration of the adjusted lease contract by deducting the adjusted rental payments using the adjusted discount rate at the actual price at the date of the amendment.

The bank has not made any of these adjustments during the periods presented.

The right-of-use assets are depreciated over the life of the lease or the useful life of the asset (whichever is shorter). If the lease contract transfers the ownership of the underlying asset or the cost of the right to use, which reflects that the company expects to exercise the purchase option, then the relevant value of the right to use is depreciated over the useful life of the asset. Depreciation begins on the lease commencement date.

The right-of-use assets are presented as a separate note in the consolidated statement of financial position.

The bank applies International Accounting Standard (36) to determine whether the value of the right to use has decreased, and calculates any impairment losses as described in the policy of «property and equipment».

Variable rents that are not dependent on an index or rate are not included in the measurement of lease obligations and right-of-use assets. Related payments are recognized as an expense in the period in which the event or condition that leads to these payments occurs, and are included in «Other Expenditures» in the statement of profit or loss.

The bank as a lessor

The bank enters into lease contracts as a lessor regarding some investment properties.

Leases in which the bank is the lessor are classified as operating or finance leases. In the event that the terms of the lease contract transfer all risks and rewards of ownership to the lessee, the contract is classified as a finance lease, and all other leases are classified as operating leases.

When the bank is an intermediary lessor, it represents the main lease and sub-contract as two separate contracts. The sublease contract is classified as finance or operating lease by reference to the original right of use arising from the main lease.

Rental income from operating leases is recognized on a straight-line basis over the period of the relevant lease. The primary direct costs incurred in negotiating and arranging an operating lease are added to the book value of the leased asset and are recognized on a straight-line basis over the lease term.

The amounts due from the lessee under finance leases are recognized as receivables with the amount of the company's net investment in the rental contracts. Finance lease income is allocated to the accounting periods to reflect a constant periodic rate of return on the bank's existing net investment with respect to lease contracts.

When the contract includes leasing components and components other than leasing, the bank applies IFRS 15 to distribute the amounts received or to be received under the contract for each component.

Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and cash balances with central banks and balances with banks and financial institutions that mature within three months, less banks' and financial institutions' deposits that mature within three months and restricted balances.

3. Application of new and revised international financial reporting standards

A. Amendments not having a material impact on the bank's consolidated financial statements:

The following new and revised IFRSs have been adopted and are effective for financial periods beginning on or after January 1, 2020 or thereafter in the preparation of the bank's consolidated financial statements that did not materially affect the amounts and disclosures in the financial statements for the year and prior years, which may have an impact on the accounting treatment of future transactions and arrangements:

New and revised standards	Amendments to the new and revised international and standards
Amendment to the international financial reporting standard number (9) financial instruments, International accounting standard number (39) Financial instruments: Recognition and Measurement and the international financial reporting standard number(7) financial instruments disclosures related to Interest Rate Benchmark Reform	These amendments modify specific hedge accounting requirements so that entities would apply those hedge accounting requirements assuming that the interest rate benchmark on which the hedged cash flows and cash flows from the hedging instrument are based will not be altered as a result of interest rate benchmark reform; those amendments are mandatory for all hedging relationships that are directly affected by the interest rate benchmark reform. These amendments are not intended to provide relief from any other consequences arising from interest rate benchmark reform (if a hedging relationship no longer meets the requirements for hedge accounting for reasons other than those specified by the amendments, discontinuation of hedge accounting is required); These amendments require specific disclosures about the extent to which the entities' hedging relationships are affected by the amendments.

New and revised standards	Amendments to the new and revised international and standards
Amendment to the international financial reporting standard number (3) "Business Combination" in terms of the Definition of a business	The amendments in Definition of a Business (Amendments to IFRS 3) are changes to Appendix A Defined terms, the application guidance, and the illustrative examples of IFRS 3 only. They • clarify that to be considered a business, an acquired set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create outputs; • narrow the definitions of a business and of outputs by focusing on goods and services provided to customers and by removing the reference to an ability to reduce costs. • add guidance and illustrative examples to help entities assess whether a substantive process has been acquired • remove the assessment of whether market participants are capable of replacing any missing inputs or processes and continuing to produce outputs. • add an optional concentration test that permits a simplified assessment of whether an acquired set of activities and assets is not a business.
Amendments to References to the Conceptual Framework in IFRS Standards to IFRS 2 Share based payments, IFRS 3 Business combinations, IFRS 6 Exploration for and evaluation of mineral resources, IFRS 14 Regulatory deferral accounts, IAS 1 Presentation of financial statements, IAS 8 Accounting policies, changes in accounting estimates and errors, IAS 34 Interim financial reporting, IAS 37 Provisions Contingent Liabilities and Contingent Assets, IAS 38 Intangible assets, IFRIC 12 Service concession arrangements, IFRIC 19 Extinguishing Financial Liabilities with Equity Instruments, IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine, IFRIC 22 Foreign Currency Transactions and Advance Consideration, and SIC-32 Intangible assets web site costs to update those pronouncements with regard to references to and quotes from the framework or incase referencing to a different framework from the conceptual framework to clarify it.	The Group applied the amendments to IFRS (2),(6),(15); IAS (1),(8),(34),(37),(38) IFRIC (12),(19),(20),(22) and IFRIC (21) in the current year.

New and revised standards	Amendments to the new and revised international and standards
Amendments to IAS (1) Presentation of Financial Statements and IAS (8) Accounting Policies, Changes in Accounting Estimates and Errors in term of the definition of 'material'	Three new aspects of the new definition should especially be noted: • Obscuring. The existing definition only focused on omitting or misstating information, however, the Board concluded that obscuring material information with information that can be omitted can have a similar effect. Although the term obscuring is new in the definition, it was already part of IAS 1 (IAS 1.30A) • Could reasonably be expected to influence. The existing definition referred to ‹could influence' which the Board felt might be understood as requiring too much information as almost anything 'could' influence the decisions of some users even if the possibility is remote. • Primary users. The existing definition referred only to ‹users' which again the Board feared might be understood too broadly as requiring to consider all possible users of financial statements when deciding what information to disclose.
Amendments to IFRS (16) Leases in terms of Covid-19 Related Rent Concessions	The amendment provides lessees with an exemption from assessing whether a COVID-19-related rent concession is a lease modification.

b. New and revised International Financial Reporting Standards issued and not yet effective:

The bank's consolidated has not adopted the following new and amended IFRSs issued but not yet effective as at the date of the consolidated financial statements, and their details as follows:

Effective for annual periods beginning on or after	Amendments to new and revised IFRSs
January 1, 2021	Interest Rate Benchmark Reform — Phase 2 (Amendments to IFRS (9) Financial Instruments, IAS (39) Financial Instruments: Recognition and Measurement, IFRS (7) Financial Instruments Disclosures, IFRS (4) Insurance Contracts and IFRS (16) Leases) The amendments in Interest Rate Benchmark Reform — Phase 2 (Amendments to IFRS (9), IAS (39), IFRS (7), IFRS (4) and IFRS (16)) introduce a practical expedient for modifications required by the reform, clarify that hedge accounting is not discontinued solely because of the IBOR reform, and introduce disclosures that allow users to understand the nature and extent of risks arising from the IBOR reform to which the entity is exposed to and how the entity manages those risks as well as the entity's progress in transitioning from IBORs to alternative benchmark rates, and how the entity is managing this transition.
January 1, 2022	Amendments to IFRS (3) Business Combinations relating to Reference to the Conceptual Framework. The amendments update an outdated reference to the Conceptual Framework in IFRS (3) without significantly changing the requirements in the standard.

Effective for annual periods beginning on or after	Amendments to new and revised IFRSs
January 1, 2022	Amendments to IAS (16) Property, Plant and Equipment relating to Proceeds before Intended Use. The amendments prohibit deducting from the cost of an item of property, plant and equipment any proceeds from selling items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognises the proceeds from selling such items, and the cost of producing those items, in profit or loss.
January 1, 2022	Amendments to IAS (37) Provisions, Contingent Liabilities and Contingent Assets relating to Onerous Contracts - Cost of Fulfilling a Contract. The amendments specify that the 'cost of fulfilling' a contract comprises the 'costs that relate directly to the contract'. Costs that relate directly to a contract can either be incremental costs of fulfilling that contract (examples would be direct labour, materials) or an allocation of other costs that relate directly to fulfilling contracts (an example would be the allocation of the depreciation charge for an item of property, plant and equipment used in fulfilling the contract).
January 1, 2022	Annual Improvements to IFRS Standards 2018 – 2020 Makes amendments to the following standards: • IFRS (1) First-Time Adoption of International Financial Reporting Standards – The amendment permits a subsidiary that applies paragraph D16(a) of IFRS (1) to measure cumulative translation differences using the amounts reported by its parent, based on the parent's date of transition to IFRSs. • IFRS (9) Financial Instruments – The amendment clarifies which fees an entity includes when it applies the '10%' test in paragraph B3.3.6 of IFRS (9) in assessing whether to derecognise a financial liability. An entity includes only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf. • IFRS 16 Leases – The amendment to Illustrative Example (13) accompanying IFRS (1)6 removes from the example the illustration of the reimbursement of leasehold improvements by the lessor in order to resolve any potential confusion regarding the treatment of lease incentives that might arise because of how lease incentives are illustrated in that example. • IAS (41) Agriculture – The amendment removes the requirement in paragraph 22 of IAS (41) for entities to exclude taxation cash flows when measuring the fair value of a biological asset using a present value technique.
January 1, 2023	Amendments to IAS (1): Presentation of financial statements related to classification of liabilities as current or non-current. The amendments aim to enhance consistency in the application of requirements by helping the entity to determine whether debts and other liabilities should be classified in the statement of financial position to which it has a settlement date uncertain as current (due or likely to be due within one year) or not current.
January 1, 2023	Amendments to IFRS (4) Insurance Contracts extending the temporary exemption from applying the IFRS (9). The amendment changes the expiration date specified for the temporary exemption in the IFRS (4) from the application of the IFRS (9) Financial Instruments, so that companies are required to apply the IFRS (9) for the annual periods that begin on or after January 1, 2023.

Effective for annual periods beginning on or after	Amendments to new and revised IFRSs
January 1, 2023	IFRS (17) Insurance Contracts IFRS (17) requires measurement of insurance liabilities at the present value of fulfillment and provides a standardized approach to measurement and presentation for all insurance contracts. These requirements are designed with the goal of being consistent and principled accounting for insurance contracts. IFRS (17) replaces IFRS (4) Insurance Contracts with effect from January 1, 2023.
January 1, 2023	Amendments to IFRS (17) Insurance Contracts Amendments to IFRS (17) addresses the concerns and application challenges which have been identified after publishing IFRS (17) in 2017. The main changes includes the following: • Deferral of the date of initial application of IFRS 17 by two years to annual periods beginning on or after 1 January 2023. • Additional scope exclusion for credit card contracts and similar contracts that provide insurance coverage as well as optional scope exclusion for loan contracts that transfer significant insurance risk. • Recognition of insurance acquisition cash flows relating to expected contract renewals, including transition provisions and guidance for insurance acquisition cash flows recognised in a business acquired in a business combination. • Clarification of the application of IFRS 17 in interim financial statements allowing an accounting policy choice at a reporting entity level. • Clarification of the application of contractual service margin (CSM) attributable to investment-return service and investment-related service and changes to the corresponding disclosure requirements. • Extension of the risk mitigation option to include reinsurance contracts held and non-financial derivatives. • Amendments to require an entity that at initial recognition recognises losses on onerous insurance contracts issued to also recognise a gain on reinsurance contracts held. • Simplified presentation of insurance contracts in the statement of financial position so that entities would present insurance contract assets and liabilities in the statement of financial position determined using portfolios of insurance contracts rather than groups of insurance contracts. • Additional transition relief for business combinations and additional transition relief for the date of application of the risk mitigation option and the use of the fair value transition approach.
Deferred indefinitely, Adoption is still permissible	Amendments to IFRS 10 Consolidated Financial Statements and IAS 28 Investments in Associates and Joint Ventures (2011) in terms of Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

Management expects to apply these new standards, interpretations, and amendments to the bank's consolidated financial statements when they are applicable. Moreover, the adoption of these new standards, interpretations, and amendments may have no material impact on the bank's consolidated financial statements in the initial application.

4. Significant accounting judgments and key sources of uncertainty estimates

Preparation of the consolidated financial statements and application of accounting policies require management to make judgments, estimates, and assumptions that affect the amounts of financial assets and financial liabilities, and to disclose potential liabilities. Moreover, these estimates and judgments affect revenues, expenses, and provisions, in general; as well as expected credit losses and changes in fair value that appear in the consolidated statement of comprehensive income and within shareholders' equity. In particular, the bank's management requires judgments to be made to estimate the amounts and timing of future cash flows. These estimates are necessarily based on multiple hypotheses and factors with varying degrees of estimation and uncertainty. Meanwhile, the actual results may differ from estimates due to the changes arising from the conditions and circumstances of those estimates in the future.

Judgments, estimates, and assumptions are reviewed periodically. Moreover, the effect of the change in estimates is recognized in the financial period in which the change occurs if the change affects only the financial period. On the other hand, the effect of the change in estimates is recognized in the financial period in which the change occurs and in future periods if the change affects the financial period and future financial periods.

Management believes that its estimates in the consolidated financial statements are reasonable. The details are as follows:

Impairment of property acquired

Impairment in the value of properties acquired is recognized based on recent real estate valuations by qualified independent evaluators for calculating the asset impairment, which is reviewed periodically. As of the beginning of the year 2015, a gradual provision has been taken for real estate acquired in exchange for debts and whose acquisition has exceeded 4 years, according to the Central bank of Jordan's Circular No 15/1/4076 dated March 27, 2014 and Circular No. 10/1/2510 dated February 14, 2017. In this respect, the Central bank of Jordan has issued Circular No. 10/1/13967 dated October 25, 2018, approving the extension of Circular No. 10/1/16607 dated December 17, 2017, and confirming postponement of the calculation of the provision until the end of the year 2019. According to the Central bank of Jordan's Circular No. 10/1/16239 dated November 21, 2019, deduction of the required provisions against the acquired real estate will continue at a rate of 5% of the total book value of these properties (regardless of the violation period) from the year 2021 until the required percentage is reached (50%) of these properties by the end of the year 2029.

Productive lifespan of tangible assets and intangible assets

The bank's management periodically recalculates the useful lives of tangible assets and intangible assets for calculating annual depreciation and amortization based on the general condition of those assets and estimated future useful lives. The impairment loss is recognized in the consolidated statement of profit or loss for the year.

Income tax

The fiscal year is charged with income tax expense in accordance with accounting regulations, laws, and standards. Moreover, deferred tax assets, liabilities, and provision are recognized.

Provision for lawsuits

A provision for lawsuits is taken to meet any legal obligations that might arise based on the legal study prepared by the bank's legal advisor. The study identifies risks that might occur in the future, and is reviewed periodically.

Provision for end- of- service indemnity

The provision for end- of- service indemnity, representing the bank's obligations to employees, is calculated in accordance with the bank's internal regulations.

Assets and liabilities at cost

Management reviews the assets and liabilities at cost for estimating any impairment in value, which is recognized in the consolidated statement of profit or loss for the year.

Provision for expected credit losses

Management is required to use significant judgments and estimates to estimate the amounts and timing of future cash flows and assess the risks of a significant increase in credit risk for financial assets after initial recognition and future measurement information for the expected credit losses. The most important policies and estimates used by the bank's management are detailed in Note (44).

When calculating the credit losses against credit exposures, the calculation results according to IFRS 9 are compared with those according to the Central bank of Jordan Instructions No. (2009/47) dated December 10, 2009 for each stage individually, and the tougher results are taken. The credit instruments issued / guaranteed by the Jordanian Government, in addition to any other credit exposures with / guaranteed by the Jordanian government are excluded from the calculation.

Evaluation of business model

The classification and measurement of financial assets depends on the results of the principal and interest payments test on the principal outstanding and the business model test. The bank defines a business model at a level that reflects how the groups of financial assets are managed together to achieve a particular business objective. This assessment includes judgment that reflects all relevant evidence, including how to assess the performance of the assets and measure their performance, and the risks that affect the performance of assets, how they are managed, and how asset managers are compensated. The bank monitors financial assets measured at amortized cost or fair value through other comprehensive income and derecognized before maturity to understand the reason for derecognition and whether the reasons are consistent with the objective of the business held. In this respect, control is part of the Group's continuous assessment of whether the business model under which the remaining financial assets are retained is appropriate, and whether it is not appropriate if there is a change in the business model, and therefore, a future change is made in the classification of those assets.

Significant increase in credit risk

The expected credit loss is measured as an allowance equivalent to the expected credit loss of (12) months for the assets of the first stage, or the credit loss over the life of the assets of the second or third stage. The asset moves to the second stage if credit risk increases significantly since initial recognition. IFRS (9) does not specify what constitutes a significant increase in credit risk. In assessing whether the credit risk of any asset has increased significantly, the bank takes into account reasonable and reliable quantitative and qualitative information. The estimates and uses by the bank's management relating to the significant change in credit risk that result in a change in classification within the three stages (1, 2 and 3) are shown in details in Note (44).

Establishment of groups of assets with similar credit risk characteristics

When the expected credit losses are measured on a collective basis, the financial instruments are grouped on the basis of common risk characteristics (e.g. instrument type, credit risk, collateral type, initial recognition date, remaining maturity period, industry, borrower's geographic location, etc.). The bank monitors the appropriateness of credit risk characteristics on an ongoing basis to assess whether they are still similar. This is required to ensure that, in the event of a change in the credit risk characteristics, the asset is properly reallocated. This may result in the creation of new portfolios or the transfer of assets to an existing portfolio that better reflects the credit risk characteristics of that group of assets.

Re-division of portfolios and movements between portfolios

The re-division of portfolios and movements between portfolios is more common when credit risk increases significantly (or when such a large increase is reflected). Therefore, assets are transferred from expected credit losses of between (12) months to another portfolio or vice versa. However, this may happen within the portfolios that continue to be measured on the same basis as expected credit losses for a period of (12) months or a lifetime, but the amount of credit loss changes are expected due to the varying credit risk of portfolios.

Models and assumptions used

The bank uses various models and assumptions in measuring the fair value of financial assets as well as in assessing the expected credit loss described in Note (44). The judgment is applied when determining the best models for each type of asset as well as for the assumptions used in those models, which include assumptions regarding the main drivers of credit risk.

a. Classification and measurement of financial assets and liabilities

The bank classifies financial instruments or components of financial assets at initial recognition either as a financial asset or a financial liability, or as a title in accordance with the substance of the contractual agreements and the definition of the instrument. The reclassification of a financial instrument is subject to the substance of the consolidated financial statements and not to its legal form.

The bank shall determine the classification at initial recognition as well as a reassessment of such determination, if possible and appropriate, at each date of the consolidated statement of financial position.

When measuring financial assets and liabilities, some of the bank's assets and liabilities are re-measured at fair value for financial reporting purposes. In assessing the fair value of any assets or liabilities, the bank uses available observable market data. In the absence of Tier 1 inputs, the bank conducts evaluations, using professionally qualified independent evaluators. Moreover, the bank works closely with qualified external evaluators to develop appropriate valuation and data valuation techniques.

b. Fair value measurement

If the fair values of financial assets and financial liabilities included in the consolidated statement of financial position cannot be obtained from active markets, these fair values are determined using a range of valuation techniques involving the use of accounting models. If possible, the data entered from those models will be obtained from market data. In the absence of such market data, fair values are determined by making judgments. These provisions include liquidity considerations and model data such as derivative volatility, longer-term discount rates, pre-payment ratios and default rates on asset-backed securities. Management believes that the valuation techniques used are appropriate to determine the fair value of financial instruments.

c. Derivative financial instruments

The fair values of derivative financial instruments measured at fair value are generally obtained by reference to quoted market prices, discounted cash flow models and, where appropriate, recognized pricing models. In the absence of prices, fair values are determined using valuation techniques that reflect observable market data. These techniques include comparison with similar instruments at observable market prices, discounted cash flow analysis, pricing option models, and other valuation techniques commonly used by market participants. The main factors that the Administration takes into consideration when applying the model are:

- The expected timing and probability of future cash flows on the instrument where such cash flows are generally subject to the terms of the instrument, although the management judgment may be required where the counterparty's ability to repay the instrument in accordance with the contractual terms is doubtful; and
- An appropriate discount rate for the instrument. Management determines the instrument discount rare at a rate higher than the non-risk rate. In assessing the instrument by reference to comparative instruments, management considers the maturity, structure and degree of classification of the instrument based on the system in which the existing position is compared. When evaluating tools on a model basis using the fair value of the main components, management also considers the need to make adjustments for a number of factors, such as bid differences, credit status, portfolio service costs, and uncertainty about the model.

Lease extension and termination options

Extension and termination options are included in a number of leases. These conditions are used to increase operational flexibility in terms of contract management. Most of the held extension and termination options are renewable by both the bank and the lessor.

Determination the lease term

When determining the term of a lease, management considers all facts and circumstances that create an economic incentive for the option to extend, or the option not to terminate, the lease. The extension options (or periods following the termination options) are only included in the term of the lease if it is reasonably certain that that the lease will be extended (or not terminated). The evaluation is reviewed in the case of an important event or a significant change in the circumstances that affect this evaluation and that are under the control of the lessee.

Key sources of uncertainty estimates

The main principal estimates used by management in applying the bank's accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are as follows:

Determining the number and relative weight of scenarios of the outlook for each type of product / market and the identification of future information relevant to each scenario

When measuring the expected credit loss, the bank uses reasonable and supported future information based on the assumptions of the future movement of the various economic engines and how these affect each other.

Probability of default

The potential for default is a key input in measuring the expected credit loss. The probability of default is an estimate of the probability of default over a given period of time, which includes the calculation of historical data, assumptions and expectations relating to future circumstances.

Loss given default

Loss on the assumption of default is an estimate of the loss arising from default. It is based on the difference between the contractual cash flows due and those that the financer expects to collect, taking into account cash flows from collateral and integrated credit adjustments.

Fair value measurement and valuation procedures

When estimating the fair value of financial assets and financial liabilities, the bank uses available observable market data. In the absence of level (1) inputs, the bank conducts evaluations using appropriate valuation models to determine the fair value of financial instruments.

Discounting rental payments

Lease payments are discounted using the bank's incremental borrowing rate ("IBR"). Management applied the judgments and estimates to determine the incremental borrowing rate at the start of the lease.

5. Cash and balances at the Central Bank of Jordan

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Cash in treasury	101,051,657	60,137,075
Balances at central banks:		
Current accounts and demand deposits	269,306,430	179,521,732
Term and notice deposits	165,000,000	86,700,000
Statutory cash reserve	185,702,345	237,508,416
Total balances at the central bank of Jordan	620,008,775	503,730,148
Total	721,060,432	563,867,223

- Except for the statutory cash reserve, there are no restricted balances as of December 31, 2020 and 2019.
- There are no accrued amounts during a period exceeding three months as of December 31, 2020 and December 31, 2019.
- All balances at the Central bank of Jordan are classified within stage 1 based on the requirements of IFRS (9). There are also no transfers between Stages (1,2,3) or written-off balances during the year ended December 31, 2020.

- Disclosure on the movements of the Central bank of Jordan's balances:

	December 31	
	2020	2019
	JOD	JOD
Balance at beginning of period	503,730,148	241,008,818
New balances during period	202,978,627	262,721,330
Paid balances	(86,700,000)	-
Balance at end of period	620,008,775	503,730,148

6. Balances at banks and financial institutions

The details of this item are as follows:

Description	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2020	2019	2020	2019	2020	2019
	JOD	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	623,596	161,978	162,452,001	96,345,450	163,075,597	96,507,428
Deposits maturing within 3 months	20,000,000	-	214,198,613	234,509,657	234,198,613	234,509,657
Total	20,623,596	161,978	376,650,614	330,855,107	397,274,210	331,017,085
Provision for expected credit loss	-	-	(189,682)	(211,356)	(189,682)	(211,356)
Net	20,623,596	161,978	376,460,932	330,643,751	397,084,528	330,805,729

- Non-interest bearing balances at banks and financial institutions amounted to JOD 46,289,804 as of December 31, 2020 (JOD 16,999,423 as of December 31, 2019).

- Restricted balances at banks and financial institutions amounted to JOD 7,545,767 as of December 31, 2020 and (JOD 6,857,213 as of December 31, 2019).

The movement on balances at banks and financial institutions is as follows:

For the year ended December 31, 2020	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	331,017,085	-	-	331,017,085
New balances during the year	336,335,033	-	-	336,335,033
Paid balances during the year	(270,077,908)	-	-	(270,077,908)
Balance - End of the Year	397,274,210	-	-	397,274,210

For the year ended December 31, 2019	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	248,406,070	-	-	248,406,070
New balances during the year	288,018,603	-	-	288,018,603
Paid balances during the year	(205,407,588)	-	-	(205,407,588)
Balance - End of the Year	331,017,085	-	-	331,017,085

- The following represents the movement on the provision for impairment loss:

December 31, 2020	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	211,356	-	-	211,356
Impairment on the new balances during the year	189,682	-	-	189,682
Recovered from impairment on the paid balances	(211,356)	-	-	(211,356)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on the impaiment loss due to changes in the classifications between stages	-	-	-	-
the bad balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Balance – End of the Year	189,682	-	-	189,682

December 31, 2019	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	141,959	-	-	141,959
Impairment on the new balances during the year	183,425	-	-	183,425
Recovered from impairment on the paid balances	(114,028)	-	-	(114,028)
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Effect on the impaiment loss due to changes in the classifications between stages	-	-	-	-
the bad balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Balance – End of the Year	211,356	-	-	211,356

7. Deposits at banks and financial institutions

The details of this item are as follows:

Deposits maturing during the period:	Local Banks and Financial Institutions December 31,		Foreign Banks and Financial Institutions December 31,		Total December 31,	
	2020	2019	2020	2019	2020	2019
	JOD	JOD	JOD	JOD	JOD	JOD
More than 3 months to 6 months	-	-	1,449,068	-	1,449,068	-
More than 6 months to 9 months	3,000,000	3,000,000	-	-	3,000,000	3,000,000
More than 9 months to 12 months	-	-	-	-	-	-
More than a Year	-	-	-	-	-	-
Total	3,000,000	3,000,000	1,449,068	-	4,449,068	3,000,000
Provision for expected credit losses	-	-	(611)	-	(611)	-
Net	3,000,000	3,000,000	1,448,457	-	4,448,457	3,000,000

- The movement on deposits at banks and financial institutions:

For the year ended December 31, 2020	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	3,000,000	-	-	3,000,000
New balances during the year	4,449,068	-	-	4,449,068
Paid balances during the year	(3,000,000)	-	-	(3,000,000)
Balance - End of the Year	4,449,068	-	-	4,449,068

For the year ended December 31, 2019	Stage (1) Individual	Stage (2) Individual	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	4,259,461	-	-	4,259,461
New balances during the year	3,000,000	-	-	3,000,000
Paid balances during the year	(4,259,461)	-	-	(4,259,461)
Balance - End of the Year	3,000,000	-	-	3,000,000

- The following represents the movement on the provision for impairment loss:

December 31, 2020	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	-	-	-	-
Impairment of the new balances during the year	611	-	-	611
Recovered from impairment on the paid balances	-	-	-	-
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Impact on provision -at the end of the year- due to				
changing the classification between the 3 stages	-	-	-	-
Effect due to adjustments	-	-	-	-
the bad balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Balance – End of the Year	611	-	-	611

December 31, 2019	Stage (1)	Stage (2)	Stage (3)	Total
	JOD	JOD	JOD	JOD
Balance – beginning of the year	571	-	-	571
Impairment of the new balances during the year	(571)	-	-	(571)
Recovered from impairment on the paid balances	-	-	-	-
Transferred to stage (1)	-	-	-	-
Transferred to stage (2)	-	-	-	-
Transferred to stage (3)	-	-	-	-
Impact on provision -at the end of the year- due to				
changing the classification between the 3 stages	-	-	-	-
Effect due to adjustments	-	-	-	-
the bad balances and deposits	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-
Balance – End of the Year	-	-	-	-

8. Financial assets at fair value through profit or loss

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Government bonds listed in financial markets	78,294	74,800
Corporate bonds listed in financial markets	1,463,324	3,536,138
Corporate shares listed in financial markets	5,667,508	5,611,686
Investment funds	8,010,770	7,312,994
Total	15,219,896	16,535,618

9. Direct credit and financing facilities - net

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Individuals (retail):		
Overdraft accounts	2,481,742	5,315,122
Loans and promissory notes*	691,793,785	549,935,654
Credit cards	14,494,456	11,120,843
Real estate loans	783,136,250	731,907,486
Large Companies		
Overdraft accounts	81,996,125	108,485,266
Loans and promissory notes *	1,100,136,150	1,075,482,323
Small and Medium		
Overdraft accounts	25,149,124	29,451,272
Loans and promissory notes *	176,403,540	130,963,019
Government and public sector	212,514,816	106,890,228
Total	3,088,105,988	2,749,551,213
Less: Interest revenue in suspense	16,995,241	16,683,041
Less: Provision of expected credit losses	119,482,614	97,016,801
Net Direct Credit and Financing Facilities	2,951,628,133	2,635,851,371

* Net after deducting interest and commission received in advance of JOD 5,057,807 as of December 31, 2020 (JOD 3,143,006 as of December 31, 2019).

- Non-performing credit and financing facilities included in stage (3) amounted to JOD 118,245,398 which is equivalent to 3.83% of total direct credit and financing facilities as of December 31, 2020 (JOD 116,450,626, which is equivalent to 4.24% of total direct credit and financing facilities as of December 31, 2019).

- Non- performing credit and financing facilities included in stage (3) after deducting interest in suspense amounted to JOD 101,250,157 which is equivalent to 3.30% of total direct credit facilities balance after deducting interest and commission in suspense as of December 31, 2020 (JOD 99,767,585, which is equivalent to 3.65% of total credit facilities balance after deducting interest and commission in suspense as of December 31, 2019).

-Direct credit facilities granted to and guaranteed by the Government of the Hashemite Kingdom of Jordan amounted to JOD 305,008,749 which is equivalent to 9.88% of total direct credit facilities as of December 31, 2020 (JOD 132,990,323, which is equivalent to 4.84% as of December 31, 2019).

-The financing according to the Islamic law related to Safwa Islamic bank amounted to JOD 1,193,020,390 which is equivalent to 38.63% of total direct credit facilities as of December 31, 2020 (JOD 981,246,046, which is equivalent to 35.69% as of December 31, 2019).

The movement on the credit and financing facilities on a collective basis as of the year end:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213
New exposures during the year	462,236,817	177,653,092	60,697,305	9,149,588	8,154,253	717,891,055
Exposures paid during the year	(211,071,360)	(25,168,082)	(36,057,970)	(1,845,521)	(5,471,781)	(279,614,714)
Transferred to stage (1)	61,109,447	11,524,200	(60,143,204)	(11,487,602)	(1,002,841)	-
Transferred to stage (2)	(121,613,716)	(2,934,877)	122,689,573	3,991,464	(2,132,444)	-
Transferred to stage (3)	(10,947,692)	(1,033,392)	(11,245,382)	(1,066,122)	24,292,588	-
Effect on the volume of exposures due to changes in the classifications between stages	88,053	(1,083,003)	(12,539,614)	(230,859)	(221,511)	(13,986,934)
Effect due to adjustments	(29,570,884)	(29,263,125)	(5,895,986)	818,855	(4,109,527)	(68,020,667)
Written-off credit facilities or transferred as off balance sheet items	-	-	-	-	(17,713,965)	(17,713,965)
Balance - end of the year	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,626,451,409	382,802,606	245,592,451	9,409,450	117,508,889	2,381,764,805
New exposures during the year	562,711,420	167,534,041	67,250,714	7,329,590	9,648,934	814,474,699
Exposures paid during the year	(241,956,359)	(53,032,883)	(22,614,159)	(2,012,605)	(14,013,762)	(333,629,768)
Transferred to stage (1)	57,630,033	509,548	(55,988,368)	(457,042)	(1,694,171)	-
Transferred to stage (2)	(76,064,148)	(19,818,615)	78,586,322	20,908,283	(3,611,842)	-
Transferred to stage (3)	(8,750,273)	(3,137,793)	(10,207,394)	(1,927,860)	24,023,320	-
Effect on the volume of exposures due to changes in the classifications between stages	2,713,107	32,485	(9,106,514)	(1,547,965)	(189,544)	(8,098,431)
Effect due to adjustments	(49,080,702)	(31,951,777)	(8,401,143)	(305,272)	(1,483,204)	(91,222,098)
Written-off credit facilities or transferred as off balance sheet items	-	-	-	-	(13,737,994)	(13,737,994)
Balance - end of the year	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213

- During the year ended December 31, 2020, an amount of JOD 14,822,171 was transferred to off-balance sheet items (JOD 9,671,349 as of December 31, 2019), and direct credit facilities of JOD 2,891,794 were written off according to the Board of Directors' decision regarding this matter (JOD 4,066,645 as of December 31, 2019).

The movement on the provision of direct credit and financing facilities' impairment loss was as follows:

For the Year ended December 31, 2020	Individual	Real Estate Loans	Corporations		Public Governmental and Sector	Total
			Large Corporate	SME's		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	16,806,351	8,438,426	61,873,990	9,708,250	189,784	97,016,801
Impairment on new Credit facilities during the year	3,345,252	449,582	4,871,545	1,403,202	-	10,069,581
Recovered from Impairment on paid credit facilities	(1,323,682)	(273,618)	(3,355,349)	(576,193)	-	(5,528,842)
Transferred to stage (1)	590,181	156,753	346,280	22,126	-	1,115,340
Transferred to stage (2)	252,780	(16,189)	(1,161,016)	11,264	-	(913,161)
Transferred to stage (3)	(842,961)	(140,564)	814,736	(33,390)	-	(202,179)
Effect on the volume of exposures due to changes in the classifications between stages	4,922,881	2,963,848	3,327,599	2,008,715	-	13,223,043
Effect due to adjustments	1,675,930	2,774,879	13,503,004	2,188,585	(189,784)	19,952,614
Written-off credit facilities	(25,502)	(16,315)	(13,151,263)	(2,057,503)	-	(15,250,583)
Balance at the End of the Year	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614
Redistribution:	24,527,804	14,336,750	67,069,526	12,502,541	-	118,436,621
Provision on an Individual basis	873,426	52	-	172,515	-	1,045,993
Provision on a collective basis	25,401,230	14,336,802	67,069,526	12,675,056	-	119,482,614
For the Year ended December 31, 2019						
Balance at the beginning of the year	11,753,092	6,826,408	61,932,663	6,788,777	347,241	87,648,181
Impairment on new Credit facilities during the year	2,706,753	1,628,518	8,907,634	1,136,643	-	14,379,548
Recovered from Impairment on paid credit facilities	(1,352,940)	(318,778)	(6,020,493)	(700,352)	-	(8,392,563)
Transferred to stage (1)	484,832	155,662	423,751	(3,593)	-	1,060,652
Transferred to stage (2)	434,525	558,479	(261,731)	104,407	-	835,680
Transferred to stage (3)	(919,357)	(714,141)	(162,020)	(100,814)	-	(1,896,332)
Effect on the volume of exposures due to changes in the classifications between stages	3,621,148	673,118	4,276,159	1,753,540	-	10,323,965
Effect due to adjustments	389,743	(370,840)	1,286,331	1,055,210	(157,457)	2,202,987
Written-off credit facilities	(311,445)	-	(8,508,304)	(325,568)	-	(9,145,317)
Balance at the End of the Year	16,806,351	8,438,426	61,873,990	9,708,250	189,784	97,016,801
Redistribution:	16,266,535	8,438,306	61,873,990	9,648,450	189,784	96,417,065
Provision on an Individual basis	539,816	120	-	59,800	-	599,736
Provision on a collective basis	16,806,351	8,438,426	61,873,990	9,708,250	189,784	97,016,801

- Allowance for Impairment related to direct credit facilities that was settled or collected amounted to JOD 5,528,842 as December 31, 2020 (8,392,563 as of December 31, 2019).

Interest in suspense

The following is the movement on interest in suspense:

For the Year ended December 31, 2020	Individual	Real estate loans	Corporate Entities		Government and Public Sector	Total
			Corporates	SMEs		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the period	3,240,079	2,423,484	9,312,423	1,707,055	-	16,683,041
Add: Interest and returns suspended during the period	1,621,969	646,343	1,280,781	836,422	-	4,385,515
Less: Interest and returns transferred to revenues	708,029	108,749	738,822	54,334	-	1,609,934
Written-off suspended interest	33,609	25,080	2,198,450	206,242	-	2,463,381
Balance at the End of the Year	4,120,410	2,935,998	7,655,932	2,282,901	-	16,995,241
For the Year ended December 31, 2019						
Balance - beginning of the period	2,384,194	3,776,288	8,802,669	1,119,455	115,562	16,198,168
Add: Interest and returns suspended during the period	1,442,122	721,908	3,417,446	846,169	-	6,427,645
Less: Interest and returns transferred to revenues	432,476	285,336	552,273	80,010	-	1,350,095
Written-off suspended interest	153,761	1,789,376	2,355,419	178,559	115,562	4,592,677
Balance at the End of the Year	3,240,079	2,423,484	9,312,423	1,707,055	-	16,683,041

The following are the exposures according to IFRS (9):

As of december 31, 2020

	According to IFRS (9) as adopted by Central bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	658,357,568	3,753,181	-	22,088,956	1,534,974	-	28,323,459	20,113,075	4,120,410	708,769,983	25,401,230	4,120,410
Real estate loans	658,216,737	1,114,516	-	106,458,733	7,276,536	-	18,460,780	5,945,750	2,935,998	783,136,250	14,336,802	2,935,998
Corporate entities	933,059,189	11,535,717	-	195,780,692	18,790,244	-	53,292,394	36,743,565	7,655,932	1,182,132,275	67,069,526	7,655,932
SME's	134,369,267	2,354,413	-	49,014,632	1,359,772	-	18,168,765	8,960,871	2,282,901	201,552,664	12,675,056	2,282,901
Governmental and Public Sector	212,514,816	-	-	-	-	-	-	-	-	212,514,816	-	-
	2,596,517,577	18,757,827	-	373,343,013	28,961,526	-	118,245,398	71,763,261	16,995,241	3,088,105,988	119,482,614	16,995,241

As of december 31, 2019

	According to IFRS (9) as adopted by Central bank of Jordan											
	Stage (1)			Stage (2)			Stage (3)			Total		
	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense	Direct Credit Facilities	Provision for Expected Credit Loss	Interest in Suspense
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Individual	525,507,387	1,324,563	-	20,535,654	694,921	-	20,328,578	14,786,867	3,240,079	566,371,619	16,806,351	3,240,079
Real estate loans	606,027,353	134,498	-	108,837,181	3,169,916	-	17,042,952	5,134,012	2,423,484	731,907,486	8,438,426	2,423,484
Corporate entities	958,011,738	9,917,876	-	164,345,616	6,496,920	-	61,610,235	45,459,194	9,312,423	1,183,967,589	61,873,990	9,312,423
SME's	120,155,393	783,146	-	22,790,037	463,417	-	17,468,861	8,461,687	1,707,055	160,414,291	9,708,250	1,707,055
Governmental and Public Sector	106,890,228	189,784	-	-	-	-	-	-	-	106,890,228	189,784	-
	2,316,592,099	12,349,867	-	316,508,488	10,825,174	-	116,450,626	73,841,760	16,683,041	2,749,551,213	97,016,801	16,683,041

The movement on the credit and financing facilities on a collective basis as of the year-end:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213
New exposures during the year	462,236,817	177,653,092	60,697,305	9,149,588	8,154,253	717,891,055
Exposures paid during the year	(211,071,360)	(25,168,082)	(36,057,970)	(1,845,521)	(5,471,781)	(279,614,714)
Transferred to stage (1)	61,109,447	11,524,200	(60,143,204)	(11,487,602)	(1,002,841)	-
Transferred to stage (2)	(121,613,716)	(2,934,877)	122,689,573	3,991,464	(2,132,444)	-
Transferred to stage (3)	(10,947,692)	(1,033,392)	(11,245,382)	(1,066,122)	24,292,588	-
Effect on the volume of exposures due to changes in the classifications between stages	88,053	(1,083,003)	(12,539,614)	(230,859)	(221,511)	(13,986,934)
Effect due to adjustment	(29,570,884)	(29,263,125)	(5,895,986)	818,855	(4,109,527)	(68,020,667)
The bad exposures	-	-	-	-	(17,713,965)	(17,713,965)
Total balance at year-end	2,023,885,152	572,632,425	342,616,631	30,726,382	118,245,398	3,088,105,988

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	1,626,451,409	382,802,606	245,592,451	9,409,450	117,508,889	2,381,764,805
New exposures during the year	562,711,420	167,534,041	67,250,714	7,329,590	9,648,934	814,474,699
Exposures paid during the year	(241,956,359)	(53,032,883)	(22,614,159)	(2,012,605)	(14,013,762)	(333,629,768)
Transferred to stage (1)	57,630,033	509,548	(55,988,368)	(457,042)	(1,694,171)	-
Transferred to stage (2)	(76,064,148)	(19,818,615)	78,586,322	20,908,283	(3,611,842)	-
Transferred to stage (3)	(8,750,273)	(3,137,793)	(10,207,394)	(1,927,860)	24,023,320	-
Effect on the volume of exposures due to changes in the classifications between stages	2,713,107	32,485	(9,106,514)	(1,547,965)	(189,544)	(8,098,431)
Effect due to adjustment	(49,080,702)	(31,951,777)	(8,401,143)	(305,272)	(1,483,204)	(91,222,098)
The bad exposures	-	-	-	-	(13,737,994)	(13,737,994)
Total balance at year-end	1,873,654,487	442,937,612	285,111,909	31,396,579	116,450,626	2,749,551,213

The movement of the provision for expected credit losses on a collective basis as for the year-end:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	12,061,543	288,324	10,513,762	311,412	73,841,760	97,016,801
Impairment losses on the new exposures during the year	819,149	460,707	4,809,191	23,766	3,956,768	10,069,581
Recovered from impairment of the paid exposures during the year	(1,403,753)	(22,902)	(1,957,837)	(5,693)	(2,138,657)	(5,528,842)
Transferred to stage (1)	1,529,902	150,096	(931,618)	(138,482)	(609,898)	-
Transferred to stage (2)	(479,895)	(4,309)	896,460	373,869	(786,125)	-
Transferred to stage (3)	(74,000)	(6,454)	(1,045,503)	(67,887)	1,193,844	-
Effect on the impairment loss due to changes in the classifications between stages	(707,128)	(141,221)	5,049,217	(290,102)	9,312,277	13,223,043
Effect on the provision resulting from adjustment	6,120,140	167,628	11,473,730	(52,759)	2,243,875	19,952,614
Impairment on the bad exposures	-	-	-	-	(15,250,583)	(15,250,583)
Total ECL balance at year-end	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance – beginning of the year	12,532,691	280,642	4,676,176	133,509	70,025,163	87,648,181
Impairment losses on the new exposures during the year	1,796,535	156,831	5,323,787	99,277	7,003,118	14,379,548
Recovered from impairment of the paid exposures during the year	(2,880,306)	(43,222)	(408,014)	(5,850)	(5,055,171)	(8,392,563)
Transferred to stage (1)	1,383,973	13,310	(612,723)	(10,348)	(774,212)	-
Transferred to stage (2)	(229,889)	(35,370)	1,462,669	258,149	(1,455,559)	-
Transferred to stage (3)	(52,036)	(19,336)	(229,543)	(32,524)	333,439	-
Effect on the impairment loss due to changes in the classifications between stages	(1,131,582)	(11,667)	(77,507)	(88,147)	11,632,868	10,323,965
Effect on the provision resulting from adjustment	642,157	(52,864)	378,917	(42,654)	1,277,431	2,202,987
Impairment on the bad exposures	-	-	-	-	(9,145,317)	(9,145,317)
Total ECL balance at year-end	12,061,543	288,324	10,513,762	311,412	73,841,760	97,016,801

The distribution of total credit and financing facilities by the internal credit rating for Individuals is as follows:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	805,977	-	-	-	-	805,977	1,506,291
2	928,263	-	-	-	-	928,263	1,884,083
3	3,473,736	-	78,315	-	-	3,552,051	4,438,619
4	5,130,216	-	148,800	-	-	5,279,016	4,116,248
5	4,122,661	-	404,524	-	-	4,527,185	2,962,299
6	2,120,344	-	13	-	-	2,120,357	88,653
7	401,703	-	3	-	-	401,706	1,231,559
8	-	-	-	-	1,530,094	1,530,094	974,758
Not rated	414,665,747	226,708,921	17,855,226	3,602,075	26,793,365	689,625,334	549,169,109
Total	431,648,647	226,708,921	18,486,881	3,602,075	28,323,459	708,769,983	566,371,619

The movement on credit and financing facilities for Individuals is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	358,783,320	166,724,067	13,646,473	6,889,181	20,328,578	566,371,619
New credit facilities during the year	125,881,462	90,556,310	1,767,991	57,690	2,689,190	220,952,643
Paid credit facilities	(35,134,266)	(11,937,851)	(951,957)	(357,495)	(1,924,211)	(50,305,780)
Transferred to stage (1)	6,733,506	2,802,432	(6,197,702)	(2,781,317)	(556,919)	-
Transferred to stage (2)	(13,185,590)	(434,214)	13,535,216	983,786	(899,198)	-
Transferred to stage (3)	(4,123,729)	(461,560)	(2,868,952)	(737,189)	8,191,430	-
Effect on the volume of exposures due to the changes between stages	(107,366)	(369,951)	(391,420)	(119,213)	198,028	(789,922)
Effect due to adjustments	(7,198,690)	(20,170,312)	(52,768)	(333,368)	355,672	(27,399,466)
Written-off credit facilities	-	-	-	-	(59,111)	(59,111)
Balance - End of the Year	431,648,647	226,708,921	18,486,881	3,602,075	28,323,459	708,769,983

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	299,044,711	125,774,531	5,829,367	2,361,160	16,359,968	449,369,737
New credit facilities during the year	139,706,537	90,476,418	2,244,203	1,120,272	2,603,312	236,150,742
Paid credit facilities	(51,073,501)	(11,895,793)	(529,607)	(156,033)	(2,565,119)	(66,220,053)
Transferred to stage (1)	2,373,242	172,013	(1,841,338)	(161,720)	(542,197)	-
Transferred to stage (2)	(10,184,653)	(5,261,448)	10,867,205	5,683,727	(1,104,831)	-
Transferred to stage (3)	(2,883,898)	(1,438,415)	(1,390,280)	(544,768)	6,257,361	-
Effect on the volume of exposures due to the changes between stages	(417,407)	(47,337)	(1,239,408)	(1,097,439)	(199,141)	(3,000,732)
Effect due to adjustments	(17,781,711)	(31,055,902)	(293,669)	(316,018)	(15,569)	(49,462,869)
Written-off credit facilities	-	-	-	-	(465,206)	(465,206)
Balance - End of the Year	358,783,320	166,724,067	13,646,473	6,889,181	20,328,578	566,371,619

The movement on the provision for credit loss for Individuals credit facilities is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	1,063,761	260,802	415,907	279,014	14,786,867	16,806,351
Impairment losses on the new exposures during the year	1,490,205	432,037	180,372	1,285	1,241,353	3,345,252
Recovered from impairment of the paid exposures during the year	(104,684)	(18,592)	(44,559)	(3,634)	(1,152,213)	(1,323,682)
Transferred to stage (1)	530,346	129,873	(117,566)	(119,420)	(423,233)	-
Transferred to stage (2)	(44,008)	(2,022)	297,445	355,813	(607,228)	-
Transferred to stage (3)	(21,649)	(2,359)	(98,495)	(64,997)	187,500	-
Effect on impairment losses due to the changes in the classifications between stages	(453,666)	(123,674)	786,943	(348,133)	5,061,411	4,922,881
Effect on the provision resulting from adjustment	459,475	157,336	74,902	(59,903)	1,044,120	1,675,930
Impairment loss on written-off credit facilities	-	-	-	-	(25,502)	(25,502)
Balance - End of the Year	2,919,780	833,401	1,494,949	40,025	20,113,075	25,401,230

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	970,017	216,761	296,127	115,820	10,154,367	11,753,092
Impairment losses on the new exposures during the year	246,618	142,795	50,649	75,721	2,190,970	2,706,753
Recovered from impairment of the paid exposures during the year	(257,654)	(19,617)	(18,879)	(1,648)	(1,055,142)	(1,352,940)
Transferred to stage (1)	551,500	13,310	(132,072)	(10,348)	(422,390)	-
Transferred to stage (2)	(30,111)	(22,545)	424,492	244,474	(616,310)	-
Transferred to stage (3)	(17,326)	(9,996)	(63,117)	(28,904)	119,343	-
Effect on impairment losses due to the changes in the classifications between stages	(521,394)	(11,667)	(158,528)	(87,881)	4,400,618	3,621,148
Effect on the provision resulting from adjustment	122,111	(48,239)	17,235	(28,220)	326,856	389,743
Impairment loss on written-off credit facilities	-	-	-	-	(311,445)	(311,445)
Balance - End of the Year	1,063,761	260,802	415,907	279,014	14,786,867	16,806,351

The distribution of total credit and financing facilities by internal credit rating for Real Estate Loans is as follows:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	396,279	-	15,157	-	-	411,436	932,348
2	3,628,310	-	130,137	-	-	3,758,447	8,231,107
3	28,393,516	-	451,639	-	-	28,845,155	40,195,244
4	22,294,579	-	1,537,432	-	-	23,832,011	30,224,804
5	44,226,180	-	20,451,218	-	-	64,677,398	69,896,441
6	29,162,427	-	35,332,967	-	-	64,495,394	39,396,289
7	2,923,127	-	14,860,533	-	-	17,783,660	28,646,851
8	-	-	-	-	5,523,181	5,523,181	5,552,015
Not rated	206,502,748	320,689,571	19,513,736	14,165,914	12,937,599	573,809,568	508,832,387
Total	337,527,166	320,689,571	92,292,819	14,165,914	18,460,780	783,136,250	731,907,486

The movement on credit and financing facilities for Real Estate is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	344,297,009	261,730,344	89,903,810	18,933,371	17,042,952	731,907,486
New credit facilities during the year	39,026,135	71,555,318	6,080,129	355,634	46,042	117,063,258
Paid credit facilities	(20,348,350)	(9,967,212)	(8,478,467)	(873,402)	(1,442,216)	(41,109,647)
Transferred to stage (1)	22,155,878	6,161,571	(21,821,389)	(6,161,571)	(334,489)	-
Transferred to stage (2)	(34,554,861)	(196,334)	34,877,589	645,176	(771,570)	-
Transferred to stage (3)	(2,134,156)	(109,600)	(4,051,426)	(97,993)	6,393,175	-
Effect on the volume of exposures due to the changes between stages	5,322,176	50,081	(954,859)	53,193	301,356	4,771,947
Effect due to adjustments	(16,236,665)	(8,534,597)	(3,262,568)	1,311,506	(2,733,075)	(29,455,399)
Written-off credit facilities	-	-	-	-	(41,395)	(41,395)
Balance - End of the Year	337,527,166	320,689,571	92,292,819	14,165,914	18,460,780	783,136,250

2019	Stage(1)		Stage(2)		Stage(3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	346,688,470	244,750,976	61,491,607	6,673,084	17,120,272	676,724,409
New credit facilities during the year	69,073,331	67,233,620	9,092,911	1,661,882	1,121,363	148,183,107
Paid credit facilities	(27,214,378)	(35,408,406)	(4,961,170)	(1,688,238)	(2,163,631)	(71,435,823)
Transferred to stage (1)	15,112,712	337,535	(14,490,346)	(295,322)	(664,579)	-
Transferred to stage (2)	(39,872,790)	(13,306,908)	40,974,660	13,937,377	(1,732,339)	-
Transferred to stage (3)	(1,202,551)	(980,598)	(2,167,339)	(1,299,894)	5,650,382	-
Effect on the volume of exposures due to the changes between stages	(378,460)	-	671,605	(106,982)	(67,786)	118,377
Effect due to adjustments	(17,909,325)	(895,875)	(708,118)	51,464	(431,354)	(19,893,208)
Written-off credit facilities	-	-	-	-	(1,789,376)	(1,789,376)
Balance - End of the Year	344,297,009	261,730,344	89,903,810	18,933,371	17,042,952	731,907,486

The movement on the provision for credit loss for real estate credit facilities is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	134,470	28	3,169,824	92	5,134,012	8,438,426
Impairment losses on the new exposures during the year	58,617	16	383,754	-	7,195	449,582
Recovered from impairment on the paid exposures during the year	(6,792)	-	(12,926)	-	(253,900)	(273,618)
Transferred to stage (1)	173,931	92	(77,162)	(92)	(96,769)	-
Transferred to stage (2)	(15,148)	-	79,888	-	(64,740)	-
Transferred to stage (3)	(2,122)	-	(18,823)	-	20,945	-
Effect on impairment losses due to the changes in the classifications between stages	58,027	(69)	1,472,943	-	1,432,947	2,963,848
Effect on the provision resulting from adjustment	713,481	(15)	2,279,038	-	(217,625)	2,774,879
Impairment loss on written off credit facilities	-	-	-	-	(16,315)	(16,315)
Balance - End of the Year	1,114,464	52	7,276,536	-	5,945,750	14,336,802

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	107,336	2,012	2,541,413	25	4,175,622	6,826,408
Impairment losses on the new exposures during the year	37,323	9	11,563	-	1,579,623	1,628,518
Recovered from impairment on the paid exposures during the year	(6,701)	(8)	(12,524)	-	(299,545)	(318,778)
Transferred to stage (1)	168,847	-	(72,503)	-	(96,344)	-
Transferred to stage (2)	(11,793)	(358)	654,302	358	(642,509)	-
Transferred to stage (3)	(1,029)	(5)	(23,653)	(25)	24,712	-
Effect on impairment losses due to the changes in the classifications between stages	(151,586)	-	7,950	(266)	817,020	673,118
Effect on the provision resulting from adjustment	(7,927)	(1,622)	63,276	-	(424,567)	(370,840)
Balance - End of the Year	134,470	28	3,169,824	92	5,134,012	8,438,426

The distribution of total credit and financing facilities by internal credit rating for corporates is as follows:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	108,019,134	-	49	-	-	108,019,183	84,537,978
3	83,891,221	-	1,838,851	-	-	85,730,072	113,931,258
4	258,355,946	-	18,413,543	-	-	276,769,489	312,918,926
5	260,081,307	-	12,665,094	-	-	272,746,401	262,394,525
6	183,174,707	-	30,512,555	-	-	213,687,262	154,944,683
7	23,760,970	-	126,819,032	-	-	150,580,002	149,910,058
8	-	-	-	-	34,449,656	34,449,656	30,294,544
Not rated	15,775,904	-	5,531,568	-	18,842,738	40,150,210	75,035,617
Total	933,059,189	-	195,780,692	-	53,292,394	1,182,132,275	1,183,967,589

The movement on credit and financing facilities for corporates is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	958,011,738	-	164,345,616	-	61,610,235	1,183,967,589
New credit facilities during the year	127,195,225	-	40,336,904	-	4,761,492	172,293,621
Paid credit facilities	(128,645,367)	-	(23,585,185)	-	(1,391,172)	(153,621,724)
Transferred to stage (1)	29,251,640	-	(29,251,640)	-	-	-
Transferred to stage (2)	(59,926,094)	-	59,926,248	-	(154)	-
Transferred to stage (3)	(4,601,180)	-	(1,368,446)	-	5,969,626	-
Effect on the volume of exposures due to the changes between stages	(4,781,229)	-	(11,784,603)	-	(824,047)	(17,389,879)
Effects due to adjustments	16,554,456	-	(2,838,202)	-	(1,483,872)	12,232,382
Written-off credit facilities	-	-	-	-	(15,349,714)	(15,349,714)
Balance - End of the Year	933,059,189	-	195,780,692	-	53,292,394	1,182,132,275

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	745,078,413	-	162,346,127	-	69,750,315	977,174,855
New credit facilities during the year	322,837,614	-	49,418,878	-	4,027,380	376,283,872
Paid credit facilities	(115,134,686)	-	(12,746,683)	-	(6,941,285)	(134,822,654)
Transferred to stage (1)	37,336,645	-	(36,932,824)	-	(403,821)	-
Transferred to stage (2)	(20,133,564)	-	20,269,923	-	(136,359)	-
Transferred to stage (3)	(3,266,664)	-	(3,247,557)	-	6,514,221	-
Effect on the volume of exposures due to the changes between stages	2,622,613	-	(7,731,638)	-	109,141	(4,999,884)
Effects due to adjustments	(11,328,633)	-	(7,030,610)	-	(330,072)	(18,689,315)
Written-off credit facilities	-	-	-	-	(10,979,285)	(10,979,285)
Balance - End of the Year	958,011,738	-	164,345,616	-	61,610,235	1,183,967,589

The movement on the provision for credit facilities for corporates is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	9,917,876	-	6,496,920	-	45,459,194	61,873,990
Impairment losses on the new exposures during the year	(1,383,329)	-	3,943,123	-	2,311,751	4,871,545
Recovered from impairment of the paid exposures during the year	(1,179,770)	-	(1,815,860)	-	(359,719)	(3,355,349)
Transferred to stage (1)	712,784	-	(712,784)	-	-	-
Transferred to stage (2)	(316,673)	-	316,761	-	(88)	-
Transferred to stage (3)	(49,831)	-	(764,993)	-	814,824	-
Effect on impairment losses due to the changes in the classifications between stages	(287,416)	-	2,374,303	-	1,240,712	3,327,599
Effect on the provision resulted from adjustment	4,122,076	-	8,952,774	-	428,154	13,503,004
Impairment loss on written-off credit facilities	-	-	-	-	(13,151,263)	(13,151,263)
Provision for credit facilities balance - End of the Year	11,535,717	-	18,790,244	-	36,743,565	67,069,526

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	10,822,336	-	1,630,692	-	49,479,635	61,932,663
Impairment losses on the new exposures during the year	1,369,392	-	5,097,317	-	2,440,925	8,907,634
Recovered from impairment of the paid exposures during the year	(2,546,263)	-	(327,901)	-	(3,146,329)	(6,020,493)
Transferred to stage (1)	620,841	-	(384,418)	-	(236,423)	-
Transferred to stage (2)	(165,876)	-	223,112	-	(57,236)	-
Transferred to stage (3)	(31,214)	-	(100,425)	-	131,639	-
Effect on impairment losses due to the changes in the classifications between stages	(431,980)	-	129,575	-	4,578,564	4,276,159
Effect on the provision resulted from adjustment	280,640	-	228,968	-	776,723	1,286,331
Impairment loss on written-off credit facilities	-	-	-	-	(8,508,304)	(8,508,304)
Provision for credit facilities balance - End of the Year	9,917,876	-	6,496,920	-	45,459,194	61,873,990

The distribution of total credit and financing facilities by internal credit rating for (SME's) is as follows:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	65,238	-	-	-	-	65,238	3,970,220
3	23,427,997	-	375,043	-	-	23,803,040	37,907,676
4	26,226,226	-	648,917	-	-	26,875,143	24,465,861
5	27,521,343	-	2,969,389	-	-	30,490,732	21,670,433
6	25,867,470	-	2,939,831	-	-	28,807,301	20,941,483
7	6,027,060	-	20,809,628	-	-	26,836,688	11,787,438
8	-	-	-	-	13,729,883	13,729,883	11,502,013
Not rated	-	25,233,933	8,313,431	12,958,393	4,438,882	50,944,639	28,169,167
Total	109,135,334	25,233,933	36,056,239	12,958,393	18,168,765	201,552,664	160,414,291

The movement on credit and financing facilities for SME's during the year ended December 31, 2020 is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	105,672,192	14,483,201	17,216,010	5,574,027	17,468,861	160,414,291
New credit facilities during the year	42,661,541	15,541,464	12,512,281	8,736,264	657,529	80,109,079
Paid credit facilities	(19,572,793)	(3,263,019)	(3,042,361)	(614,624)	(714,182)	(27,206,979)
Transferred to stage (1)	2,968,423	2,560,197	(2,872,473)	(2,544,714)	(111,433)	-
Transferred to stage (2)	(13,947,171)	(2,304,329)	14,350,520	2,362,502	(461,522)	-
Transferred to stage (3)	(88,627)	(462,232)	(2,956,558)	(230,940)	3,738,357	-
Effect on the volume of exposures due to the changes between stages	(345,528)	(763,133)	591,268	(164,839)	103,152	(579,080)
Effects due to adjustments	(8,212,703)	(558,216)	257,552	(159,283)	(248,252)	(8,920,902)
Written-off credit facilities	-	-	-	-	(2,263,745)	(2,263,745)
Balance - End of the Year	109,135,334	25,233,933	36,056,239	12,958,393	18,168,765	201,552,664

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	99,344,911	12,277,099	15,925,350	375,206	14,278,334	142,200,900
New credit facilities during the year	30,518,015	9,824,003	6,494,722	4,547,436	1,896,879	53,281,055
Paid credit facilities	(17,963,088)	(5,728,684)	(4,376,699)	(168,334)	(2,343,727)	(30,580,532)
Transferred to stage (1)	2,807,434	-	(2,723,860)	-	(83,574)	-
Transferred to stage (2)	(5,873,141)	(1,250,259)	6,474,534	1,287,179	(638,313)	-
Transferred to stage (3)	(1,397,160)	(718,780)	(3,402,218)	(83,198)	5,601,356	-
Effect on the volume of exposures due to the changes between stages	296,254	79,822	(807,073)	(343,544)	(31,758)	(806,299)
Effects due to adjustments	(2,061,033)	-	(368,746)	(40,718)	(706,209)	(3,176,706)
Written-off credit facilities	-	-	-	-	(504,127)	(504,127)
Balance - End of the Year	105,672,192	14,483,201	17,216,010	5,574,027	17,468,861	160,414,291

The movement on the provision for credit loss for (SME's) credit facilities is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	755,652	27,494	431,111	32,306	8,461,687	9,708,250
Impairment losses on the new exposures during the year	653,656	28,654	301,942	22,481	396,469	1,403,202
Recovered from impairment of the paid exposures during the year	(112,507)	(4,310)	(84,492)	(2,059)	(372,825)	(576,193)
Transferred to stage (1)	112,841	20,131	(24,106)	(18,970)	(89,896)	-
Transferred to stage (2)	(104,066)	(2,287)	202,366	18,056	(114,069)	-
Transferred to stage (3)	(398)	(4,095)	(163,192)	(2,890)	170,575	-
Effect on impairment losses due to the changes in the classifications between stages	(24,073)	(17,478)	415,028	58,031	1,577,207	2,008,715
Effect on the provision resulted from adjustment	1,014,892	10,307	167,016	7,144	989,226	2,188,585
Impairment loss on written off credit facilities	-	-	-	-	(2,057,503)	(2,057,503)
Provision for credit facilities balance - End of the Year	2,295,997	58,416	1,245,673	114,099	8,960,871	12,675,056

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	285,761	61,869	207,944	17,664	6,215,539	6,788,777
Impairment losses on the new exposures during the year	143,202	14,027	164,258	23,556	791,600	1,136,643
Recovered from impairment of the paid exposures during the year	(69,688)	(23,597)	(48,710)	(4,202)	(554,155)	(700,352)
Transferred to stage (1)	42,785	-	(23,730)	-	(19,055)	-
Transferred to stage (2)	(22,109)	(12,467)	160,763	13,317	(139,504)	-
Transferred to stage (3)	(2,467)	(9,335)	(42,348)	(3,595)	57,745	-
Effect on impairment losses due to the changes in the classifications between stages	(26,622)	-	(56,504)	-	1,836,666	1,753,540
Effect on the provision resulted from adjustment	404,790	(3,003)	69,438	(14,434)	598,419	1,055,210
Impairment loss on written off credit facilities	-	-	-	-	(325,568)	(325,568)
Provision for credit facilities balance - End of the Year	755,652	27,494	431,111	32,306	8,461,687	9,708,250

The distribution of total credit and financing facilities by internal credit rating for Government and Public Sector is as follows:

	2020						2019
	Stage (1) Individual	Stage (1) Collective	Stage (2) Individual	Stage (2) Collective	Stage (3) Individual	Total	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	138,117,687	-	-	-	-	138,117,687	59,556,842
2	21,081	-	-	-	-	21,081	52,098
3	12,996,017	-	-	-	-	12,996,017	11,974,650
4	17,660,857	-	-	-	-	17,660,857	17,662,536
5	40,504,057	-	-	-	-	40,504,057	14,094,435
6	3,215,117	-	-	-	-	3,215,117	3,549,667
7	-	-	-	-	-	-	-
8	-	-	-	-	-	-	-
Not rated	-	-	-	-	-	-	-
Total	212,514,816	-	-	-	-	212,514,816	106,890,228

The movement on credit and financing facilities for the Government and Public Sector is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	106,890,228	-	-	-	-	106,890,228
New credit facilities during the year	127,472,454	-	-	-	-	127,472,454
Paid credit facilities	(7,370,584)	-	-	-	-	(7,370,584)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the volume of exposures due to the changes between stages	-	-	-	-	-	-
Effects due to adjustments	(14,477,282)	-	-	-	-	(14,477,282)
Written-off credit facilities	-	-	-	-	-	-
Balance - End of the Year	212,514,816	-	-	-	-	212,514,816

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	136,294,904	-	-	-	-	136,294,904
New credit facilities during the year	2,529,786	-	-	-	-	2,529,786
Paid credit facilities	(31,934,462)	-	-	-	-	(31,934,462)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on the volume of exposures due to the changes between stages	-	-	-	-	-	-
Effects due to adjustments	-	-	-	-	-	-
Written-off credit facilities	-	-	-	-	-	-
Adjustments due to change in exchange rates	-	-	-	-	-	-
Balance - End of the Year	106,890,228	-	-	-	-	106,890,228

The movement on the provision for credit loss for the Government and Public Sector credit facilities is as follows:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	189,784	-	-	-	-	189,784
Impairment losses on the new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the paid exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the classifications between stages	-	-	-	-	-	-
Effect on the provision resulted from adjustment	(189,784)	-	-	-	-	(189,784)
Impairment loss on written-off credit facilities	-	-	-	-	-	-
Balance - End of the Year	-	-	-	-	-	-

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective	Individual	
	JOD	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	347,241	-	-	-	-	347,241
Impairment losses on the new exposures during the year	-	-	-	-	-	-
Recovered from impairment on the paid exposures during the year	-	-	-	-	-	-
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Effect on impairment losses due to the changes in the classifications between stages	-	-	-	-	-	-
Impairment loss on written-off credit facilities	(157,457)	-	-	-	-	(157,457)
Adjustments due to change in exchange rates	-	-	-	-	-	-
Balance - End of the Year	189,784	-	-	-	-	189,784

10. Financial assets at fair value through other comprehensive income

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Quoted shares in active markets	20,184,837	22,930,050
Unquoted shares in active markets	9,736,478	9,383,418
Investment funds	1,732,795	-
	31,654,110	32,313,468

- profits transferred to retained earnings on the sale of financial assets at fair value through other comprehensive income amounted to JOD 96,634 as of December 31, 2020 (JOD 205,441 as of December 31, 2019).
- Cash dividends on the above-mentioned financial assets amounted to JOD 619,013 for the year ended December 31, 2020 (JOD 1,039,085 for the year ended December 31, 2019).

11. Financial assets at amortized cost - net

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Quoted Financial Assets:		
Foreign treasury bonds	32,058,762	31,335,452
Corporate bonds and debentures	98,343,786	78,226,864
Unquoted Financial Assets:		
Governmental treasury bonds	35,091,483	-
Governmental guaranteed bonds and bills	720,801,293	633,138,257
Corporate bonds and debentures	18,452,000	23,652,000
	904,747,324	766,352,573
Less: Provision for expected credit loss related to financial assets within stage (1)	451,976	528,640
Provision for expected credit loss related to financial assets within stage (2)	41,914	-
Provision for expected credit loss related to financial assets within stage (3)	250,000	250,000
	904,003,434	765,573,933
Bonds and Bills Analysis		
With Fixed rate	897,958,770	745,137,934
With Floating rate	6,788,554	21,214,639
Total	904,747,324	766,352,573
Bonds Analysis IFRS 9:		
stage (1)	903,067,980	766,102,573
stage (2)	1,429,344	-
stage (3)	250,000	250,000
Total	904,747,324	766,352,573

- The following is the movement on financial assets at amortized cost:

For the year ended December 31, 2020	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	766,102,573	-	250,000	766,352,573
New investments during the year	260,423,887	-	-	260,423,887
Accrued investment	(117,911,929)	-	-	(117,911,929)
Change in the fair value	-	-	-	-
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	(1,425,515)	1,425,515	-	-
Transferred to Stage (3)	-	-	-	-
Total Effects due to adjustments	-	3,829	-	3,829
change result in adjustments	(4,121,036)	-	-	(4,121,036)
Written off investments	-	-	-	-
Balance - End of the Year	903,067,980	1,429,344	250,000	904,747,324

For the year ended December 31, 2019	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total
	JOD	JOD	JOD	JOD
Balance - beginning of the year	766,310,858	-	250,000	766,560,858
New investments during the year	199,514,025	-	-	199,514,025
Accrued investment	(199,722,310)	-	-	(199,722,310)
Change in the fair value	-	-	-	-
Transferred to Stage (1)	-	-	-	-
Transferred to Stage (2)	-	-	-	-
Transferred to Stage (3)	-	-	-	-
Effects due to adjustments	-	-	-	-
Written off investments	-	-	-	-
Balance - End of the Year	766,102,573	-	250,000	766,352,573

- The following is the movement on the provision for expected credit losses for financial assets at amortized cost:

	2020				2019
	Stage (1) Individual	Stage (2) Individual	Stage (3) Individual	Total	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	528,640	-	250,000	778,640	868,668
Expected credit losses on new investments during the year	213,800	-	-	213,800	301,355
Recovered from impairment losses on accrued investments	(226,357)	-	-	(226,357)	(412,727)
Transferred to Stage (1)	-	-	-	-	-
Transferred to Stage (2)	(26,074)	26,074	-	-	-
Transferred to Stage (3)	-	-	-	-	-
Impact on the provision - for the year ended- due to reclassifications between the three stages during the year	(21,798)	15,840	-	(5,958)	-
Effects due to adjustments	(16,235)	-	-	(16,235)	21,344
Written-off investments	-	-	-	-	-
Adjustments due to change in exchange rates	-	-	-	-	-
Deducted during the period from the revenues	-	-	-	-	-
Balance - End of the Year	451,976	41,914	250,000	743,890	778,640

- During the year 2020, financial assets at amortized cost were sold with a nominal value amounting to JOD 62,113,365 (JOD 30,189,945 during the year 2019), and as a result of the process a profit of JOD 108,872 during the year 2020 (JOD 71,875 during the year 2019).
- The main reason for the sale is to reduce the volume of exposures in some countries due to the decline in their economic activity, or to replace them with bonds with a longer maturity period or to improve the return on them.

12. Investments in associates

The details of this item are as follows:

Company Name	Country of Residence	Ownership %	Nature of Activity	December 31,	
				2020	2019
				JOD	JOD
Jordan Blending & Packing of Fertilizers Co.	Jordan	25%	Industrial	349,507	354,022

	2020	2019
	JOD	JOD
Balance beginning of the Year	354,022	376,618
Group's share from profit (loss) of the year - net	5,485	(12,596)
Collected cash dividends	(10,000)	(10,000)
Balance End of the Year	349,507	354,022

The details of the associate's assets and liabilities are as follows:

	2020	2019
	JOD	JOD
Total Assets	1,716,423	1,749,047
Total Liabilities	(318,397)	(332,960)
Net Assets	1,398,026	1,416,087

13. Property and equipment - net

The details of this item are as follows:

For the year ended December 31, 2020	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	22,628,778	22,422,863	56,290,434	1,387,399	16,397,840	119,127,314
Additions	-	-	5,173,960	106,000	2,519,058	7,799,018
Disposals	(381)	(211,494)	(1,908,445)	(140,000)	(603,787)	(2,864,107)
Balance - End of the Year	22,628,397	22,211,369	59,555,949	1,353,399	18,313,111	124,062,225
Accumulated Depreciation:						
Balance - beginning of the year	-	7,544,031	31,449,949	594,507	10,800,868	50,389,355
Annual depreciation	-	420,642	6,065,114	195,086	2,493,104	9,173,946
Disposals	-	(202,406)	(1,714,851)	(139,998)	(573,604)	(2,630,859)
Balance - End of the Year	-	7,762,267	35,800,212	649,595	12,720,368	56,932,442
Net book value of property and equipment	22,628,397	14,449,102	23,755,737	703,804	5,592,743	67,129,783
Payments on purchased property and equipment	-	648,778	928,629	-	75,075	1,652,482
Net Book Value – End of the Year	22,628,397	15,097,880	24,684,366	703,804	5,667,818	68,782,265

For the year ended December 31, 2019	Lands	Buildings	Equipment, Furniture and Fixtures	Vehicles	Computers Hardware	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cost:						
Balance - beginning of the year	20,979,031	22,511,690	53,706,970	1,311,465	15,103,335	113,612,491
Additions	1,649,747	-	4,039,214	337,575	2,175,340	8,201,876
Disposals	-	(88,827)	(1,455,750)	(261,641)	(880,835)	(2,687,053)
Balance - End of the Year	22,628,778	22,422,863	56,290,434	1,387,399	16,397,840	119,127,314
Accumulated Depreciation:						
Balance - beginning of the year	-	7,209,807	26,541,274	673,961	8,872,903	43,297,945
Annual depreciation	-	422,998	5,790,630	176,916	2,417,572	8,808,116
Disposals	-	(88,774)	(881,955)	(256,370)	(489,607)	(1,716,706)
Balance - End of the Year	-	7,544,031	31,449,949	594,507	10,800,868	50,389,355
Net book value of property and equipment	22,628,778	14,878,832	24,840,485	792,892	5,596,972	68,737,959
Payments on purchased property and equipment	-	979,797	1,382,153	-	1,038,683	3,400,633
Net Book Value – End of the Year	22,628,778	15,858,629	26,222,638	792,892	6,635,655	72,138,592
Annual depreciation rate	-	2-4	7-15	15	20	-

- Property and equipment include fully depreciated assets of JOD 20,174,267 as of December 31, 2020 (JOD 16,104,702 as of December 31, 2019), which are still used by the bank.

14. Intangible assets

The details of this item are as follows:

For the year ended December 31, 2020	Computer Software	bank's License (Fair Value)	Customers Deposits	Goodwill	Total
	JOD	JOD	JOD	JOD	JOD
Balance - beginning of the year	11,226,869	9,928,000	1,874,501	1,380,512	24,409,882
Additions	7,626,586	-	-	-	7,626,586
Amortization for the year	(4,365,199)	-	(624,833)	-	(4,990,032)
Balance - End of the Year	14,488,256	9,928,000	1,249,668	1,380,512	27,046,436
For the year ended December 31, 2019					
Balance - beginning of the year	8,378,435	9,928,000	2,499,334	1,380,512	22,186,281
Additions	6,036,063	-	-	-	6,036,063
Amortization for the year	(3,187,629)	-	(624,833)	-	(3,812,462)
Balance - End of the Year	11,226,869	9,928,000	1,874,501	1,380,512	24,409,882

15. Other assets

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Accrued interest and revenue	14,389,293	15,722,603
Prepaid expenses	4,399,768	3,025,805
Foreclosed assets against debts *	49,408,223	42,371,291
Clearing cheques	100,397	54,766
Transfers and cheques under collection	59,178	45,689
Paid guaranteed insurance	3,780,704	4,219,291
Discounted commercial papers	16,449,582	20,215,525
Convertible loans **	699,185	170,890
Other	10,457,474	9,590,670
Total	99,743,804	95,416,530

* The regulations of the Central bank of Jordan require disposing of the foreclosed assets against debts during a maximum period of two years from the acquistion date. However, in some exceptional cases, the Central bank of Jordan has the right to extend the period for a maximum of two subsequent years.

- Since the beginning of the year 2015, a gradual provision has been taken for real estate acquired in exchange for debts that have expired over a period of more than 4 years, according to the Central bank of Jordan's Circular No 15/1/4076 dated March 27, 2014 and Circular No. 10/1/2510 dated February 14, 2017. Moreover, the Central bank of Jordan has issued Circular No. 10/1/13967 dated October 25,2018, extending the validity of Circular No. 10/1/16607 dated February 17, 2017, and postponing the provision calculation until the end of the year 2019. According to the Central bank of Jordan's Circular No. 10/1/16239 dated November 21, 2019, deductions shall be made concerning the required allocations against real estate acquired at the rate of (5%) of the total book values of these properties (regardless of the period of their violation) effective from the year 2021 until the required percentage of 50% of these properties is reached by the end of the year 2029.

** This item represents convertible loans to shares amounted to JOD 699,185.

- The following is a summary of the movement on the foreclosed assets against debts:

	2020	2019
	JOD	JOD
Balance - beginning of the year	42,371,291	40,501,004
Additions	7,993,952	5,420,756
Disposals	(975,317)	(3,989,928)
Impairment surplus	18,297	439,459
Balance - End of the Year	49,408,223	42,371,291
Below is a summary of the movement on the provision for the foreclosed assets:		
Balance beginning of year	3,515,161	3,954,620
Release / Additions during the year	(18,297)	(476,769)
Deducted from risks fund / associate company	-	37,310
Balance - end of the year	3,496,864	3,515,161

- The impairment provision against the foreclosed assets amounted to JOD 1,025,228 as of December 31, 2020 (JOD 1,044,491 as of December 31, 2019). Also, the provision for the assets seized by the bank for a period of more than (4) years amounted to JOD 2,471,636 as of December 31, 2020 (JOD 2,470,671 as of December 31, 2019).

16. Banks' and financial institutions deposits

The details of this item are as follows:

	2020			2019		Total
	Inside Jordan	Outside Jordan	Total	Inside Jordan	Outside Jordan	
	JOD	JOD	JOD	JOD	JOD	
Current accounts and demand deposits	38,402,093	79,722,685	118,124,778	11,972,689	44,196,653	56,169,342
Time deposits	13,635,000	148,928,267	162,563,267	3,000,000	90,827,728	93,827,728
Total	52,037,093	228,650,952	280,688,045	14,972,689	135,024,381	149,997,070

17. Customers' deposits

The details of this item are as follows:

December 31, 2020	Individual	Corporate	SMEs	Government and Public Sector	Total
	JOD	JOD	JOD	JOD	JOD
Current accounts and demand deposits	386,066,271	261,064,150	172,628,170	3,772,792	823,531,383
Saving deposits	731,001,250	25,149,857	12,542,607	2,841,840	771,535,554
Time and notice deposits	1,259,509,770	516,540,272	114,941,614	171,839,766	2,062,831,422
Certificates of deposit	308,840,633	6,209,000	13,963,000	16,100,000	345,112,633
Total	2,685,417,924	808,963,279	314,075,391	194,554,398	4,003,010,992
December 31, 2019					
Current accounts and demand deposits	309,861,708	217,513,522	118,515,343	1,690,389	647,580,962
Saving deposits	687,390,763	15,459,996	11,620,460	2,043,228	716,514,447
Time and notice deposits	1,088,270,909	527,615,686	109,712,959	141,825,776	1,867,425,330
Certificates of deposit	311,116,822	7,768,000	11,461,900	14,100,000	344,446,722
Total	2,396,640,202	768,357,204	251,310,662	159,659,393	3,575,967,461

- The deposits of the public sector and the government of Jordan inside Jordan amounted to JOD 194,554,398, representing 4.86% of total deposits as of December 31, 2020 (JOD 159,659,393 representing 4.46% of total deposits as of December 31, 2019).
- Non-interest bearing deposits amounted to JOD 790,046,786, representing 19.76% of total deposits as of December 31, 2020 (JOD 645,849,625 representing 18.06% of total deposits as of December 31, 2019).
- Restricted deposits amounted to JOD 3,101,815 representing 0.08% of total deposits as of December 31, 2020 (JOD 3,474,938 representing 0.10% of total deposits as of December 31, 2019).
- Fixed deposits amounted to JOD 63,229,721 representing 1.58% of total deposits as of December 31, 2020 (JOD 51,271,856 representing 1.43% of total deposits as of December 31, 2019).
- Customers' deposits include an amount of JOD 1,285,977,704 which represents the shared customers' investments related to Safwa Islamic bank as of December 31, 2020.

18. Cash margins

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Margins against direct credit facilities	178,961,552	104,312,047
Margins against indirect credit facilities	61,746,166	72,197,550
Margin dealings	4,138,038	3,989,528
Other margins	6,456,703	5,198,899
Total	251,302,459	185,698,024

19. Borrowed funds and subordinated loans

a. Borrowed funds

The details of this item are as follows:

December 31, 2020	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central bank of Jordan borrowing *	29,143,705	7,595	4,602	Monthly	Bank Promissory	1.00%-1.75%
Central bank of Jordan borrowing *	635,978	40	15	Quarterly	Bank Promissory	1.00%
Central bank of Jordan borrowing *	2,753,865	35	27	semi-annual	Bank Promissory	0.50%-1.00%
Central bank of Jordan borrowing *	376,245	6	4	Annual	Bank Promissory	0.50%-1.00%
Central bank of Jordan borrowing *	29,736,445	14,311	13,686	Monthly	Bank Promissory	-
International bank for Reconstruction and Development **	4,200,000	20	14	Semi-annual starting from September 15, 2018	Bank Promissory	3.87%
Arab Fund for Economic and Social Development ***	1,530,000	15	8	semi-annual	Bank Promissory	2.5%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	semi-annual	Bank Promissory	3%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	semi-annual	Bank Promissory	3%
Arab Fund for Economic and Social Development ***	1,200,000	34	34	semi-annual	Bank Promissory	3.00%
Jordan Mortgage Refinance Company	10,000,000	1	1	one instalment	Bank Promissory	4.40%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.60%
Jordan Mortgage Refinance Company (related to subsidiary)	2,000,000	1	1	one instalment	-	4.70%
Local Banks (related to a subsidiary)	3,000,000	72	72	Quarterly	-	3.75%
Local Banks (related to a subsidiary)	410,000	24	24	Monthly	-	5.90%
	90,152,003					

December 31, 2019	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
Central bank of Jordan borrowing *	26,127,926	6,407	4,335	Monthly	Bank Promissory	1%-2.25%
Central bank of Jordan borrowing *	771,485	38	10	Quarterly	Bank Promissory	1.75%-2%
Central bank of Jordan borrowing *	1,436,371	60	53	semi-annual	Bank Promissory	1%-1.75%
Central bank of Jordan borrowing *	2,996,486	33	31	Annual	Bank Promissory	1%-1.75%
International bank for Reconstruction and Development **	4,800,000	20	16	Semi-annual starting from September 15, 2018	Bank Promissory	3.87%
Arab Fund for Economic and Social Development ***	1,950,000	15	10	semi-annual	Bank Promissory	2.5%
Arab Fund for Economic and Social Development ***	1,589,016	34	34	semi-annual	Bank Promissory	3%
Arab Fund for Economic and Social Development ***	1,576,749	34	34	semi-annual	Bank Promissory	3%
The European bank for Reconstruction and Development ****	2,192,859	7	2	semi-annual	Bank Promissory	6.25%
Jordan Mortgage Refinance Company	20,000,000	2	2	semi-annual	Bank Promissory	4.5%-6%
Local Banks (related to a subsidiary)	1,729,013	236	176	Monthly/ Quarterly		6%
Total	65,169,905					

- All borrowings have fixed payment terms.

* Funds have been borrowed from the Central bank of Jordan to corporates and SMEs sectors at an interest rate ranging from 0% - 8%.

** Funds have been borrowed from the International bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 5.75% - 10%.

*** Funds have been borrowed from the Arab Fund for Economic and Social Development to corporates and SMEs sectors at an interest rate ranging from 6% - 9%.

**** Funds have been borrowed from the European bank for Reconstruction and Development to corporates and SMEs sectors at an interest rate ranging from 4.50% - 9.50%.

b. Subordinated loans

The details of this item are as follows:

2020	Amount	Number of total payments		Payments frequency	Collaterals	Loan interest rate price
	JOD	Total no. of payments	Remaining payments			
The European bank for Reconstruction and Development	21,300,000	1	1	one instalment dated April 8, 2027	-	6.50%

- Durning the year 2020, subordinated loans agreement was signed with European bank for Reconstruction and Development with an amount of JOD 21.3 Million.

20. Sundry provisions

The details of this item are as follows:

For the Year Ended December 31, 2020	Balance at the beginning of the year	Addition during the year	Paid during the year	Transferred to income	Balance at the end of the year
	JOD	JOD	JOD	JOD	JOD
Provision for end-of-service indemnity	34,065	7,812	-	-	41,877
Provision for lawsuits and contingent liabilities	535,159	210,500	67,188	147,450	531,021
Other provisions	361,000	400,000	-	-	761,000
Total	930,224	618,312	67,188	147,450	1,333,898
For the Year Ended December 31, 2019					
Provision for end-of-service indemnity	-	34,065	-	-	34,065
Provision for lawsuits and contingent liabilities	912,609	1,182,568	1,463,926	96,092	535,159
Other provisions	320,000	361,000	-	320,000	361,000
Total	1,232,609	1,577,633	1,463,926	416,092	930,224

21. Income tax

a. Income tax provision

The movement on the income tax provision during the year is as follows:

	2020	2019
	JOD	JOD
Balance - beginning of the year	20,634,229	18,199,119
Income tax paid	(25,200,592)	(21,725,107)
Accrued income tax	28,691,357	24,145,907
Provision for prior years income tax	555,740	14,310
Balance - End of the Year	24,680,734	20,634,229

Income tax appearing in the consolidated income statement represents the following:

	2020	2019
	JOD	JOD
Income tax accrued for the current year profit	28,691,357	24,145,907
Income tax for prior years	258,432	14,310
Amortization of deferred tax assets	(12,087,048)	(830,352)
	16,862,741	23,329,865

b. Deferred income tax assets

The details of this item are as follows:

Deferred Tax Assets	2020					2019
	Beginning Balance	Amounts Released	Amounts Added	Ending Balance	Deferred Tax	Deferred Tax
	JOD	JOD	JOD	JOD	JOD	JOD
Financial assets at fair value through other comprehensive income	(1,308,522)	4,488,220	833,090	(4,963,652)	2,354,616	1,680,934
Financial assets at fair value through profit or loss	437,154	1,068,996	692,129	60,287	412,950	160,928
Provision seized assets	3,413,470	18,297	-	3,395,173	1,290,166	1,297,119
Provision for bonuses	3,775,213	3,655,213	2,472,380	2,592,380	985,104	1,434,581
Capital maintenance expenditures 2012	77,083	77,083	-	-	-	29,292
Capital maintenance expenditures 2013	43,172	43,172	-	-	-	16,405
Advertising expenses	-	-	225,000	225,000	85,500	-
Provision for lawsuits against the bank	535,159	154,138	150,000	531,021	201,788	203,360
Provision for unaccepted credit financing and facilities stage 3	598,778	-	4,610,825	5,209,603	1,979,649	227,536
General provision	47,377	6,591	-	40,786	11,420	13,266
Provision for expected obligations	361,000	-	400,000	761,000	289,180	137,180
Differences due to the application IFRS 16	252,645	-	246,653	499,298	189,733	96,005
Provision for expected credit losses stage 1 or 2	19,953,139	-	26,969,279	46,922,418	17,830,519	7,582,193
Provision for end-of-service indemnity	34,065	-	7,812	41,877	15,913	12,945
Provision for finance lease awards	-	-	21,200	21,200	5,936	-
Total	28,219,733	9,511,710	36,628,368	55,336,391	25,652,474	12,891,744

- The movement on the deferred income tax assets is as follows:

Assets	December 31,	
	2020	2019
	JOD	JOD
Balance - beginning of the year	12,891,744	11,957,746
Additions	14,777,123	3,826,357
Disposals	(2,016,393)	(2,892,359)
Balance - End of the Year	25,652,474	12,891,744

c. Reconciliation of the accounting profit with taxable profit

	2020	2019
	JOD	JOD
Accounting profit for the year	46,906,785	61,346,088
Non-taxable income	(5,466,857)	(8,927,646)
Non-deductible expenses for tax purposes	37,512,748	12,813,380
Prior years' accumulated losses	-	-
Taxable Profit	78,952,676	65,231,822
Effective income tax rate	35.95%	38.02%

- The bank's legal income tax rate was 35%, in addition to the national contribution of 3%.
- Al Etihad Leasing Company's and Al Etihad Brokerage Company's legal income tax rate was 24%, in addition to the national contribution of 4%.
- AL Etihad for Financial Technology Company legal income tax was 20 % in addition to the national contribution of 1%.
- Bank al Etihad (Parent Company) has submitted its tax returns until the year 2019, and a final settlement was reached with the Income Tax Department on the results of the bank's business until the year 2016. The Income and Sales Tax Department has not reviewed the bank's accounting records for the years 2017 and 2019. Regarding the year 2018 was accepted into the sampling system, but the file was reopened for that year by a representative from the Income and Sales Tax Department.
- A final settlement has been reached for Safwa Islamic bank from the Income and Sales Tax Department until the year 2017. Safwa Islamic bank's tax returns for the year 2018 have been submitted, however, the Income and Sales Tax Department has not yet reviewed it until the date of the preparation of the consolidated financial statements.
- A final settlement for Al Etihad Brokerage Co. has been reached until the year 2019.
- A final settlement with the Income and Sales Tax Department for Al Etihad Leasing Co. has been reached up to the year 2016. Moreover, the bank has filed its income tax returns for the years 2017, 2018 and 2019, which have not yet been reviewed by the Income and Sales Tax Department until the date of the preparation of the consolidated financial statements.
- The deferred tax rates have reached 38% and 13%. In the opinion of the bank's management, these deferred taxes may be realized in the future.

22. Other liabilities

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Accrued interest expenses	24,649,651	35,741,443
Revenues received in advance	1,607,396	1,709,686
Accounts payable	383,688	787,305
Accrued expenses	10,561,947	10,916,992
Incoming transfers	125,568	441,538
Postdated cheques	10,685,079	8,482,283
Income tax provision investment risk fund	-	585,640
Provision for expected credit losses for the off-balance sheet items	4,892,618	2,377,767
Dividends payable	656,001	685,514
Other liabilities	14,817,626	14,855,290
Total	68,379,574	76,583,458

Below is the movement of the indirect facilities on a collective basis during the year:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	914,965,174	-	59,032,995	-	1,211,776	975,209,945
New exposurea during the year	557,044,479	-	27,265,723	-	279,695	584,589,897
Accrued exposure	(517,081,806)	-	(19,303,767)	-	(263,549)	(536,649,122)
Transferred to stage (1)	9,274,743	-	(9,168,928)	-	(105,815)	-
Transferred to stage (2)	(5,432,757)	-	5,432,757	-	-	-
Transferred to stage (3)	(395,498)	-	(1,659,796)	-	2,055,294	-
Total effect in size expousre results change classfication	(1,538,776)	-	(1,816,571)	-	(1,408,424)	(4,763,771)
Changes from adjustments	19,179,538	-	(9,836,267)	-	16,240	9,359,511
Written-off Facilities	-	-	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-	-	-
Balance at the End of the Year	976,015,097	-	49,946,146	-	1,785,217	1,027,746,460

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	881,522,934	-	40,204,360	-	2,211,056	923,938,350
New exposurea during the year	599,133,356	-	47,031,018	-	138,174	646,302,548
Accrued exposure	(597,873,614)	-	(16,590,152)	-	(1,160,599)	(615,624,365)
Transferred to stage (1)	15,867,000	-	(15,669,395)	-	(197,605)	-
Transferred to stage (2)	(4,509,479)	-	4,509,479	-	-	-
Transferred to stage (3)	(209,500)	-	(11,250)	-	220,750	-
Total effect in size expousre results change classfication	2,747,779	-	(268,471)	-	-	2,479,308
Changes from adjustments	18,286,698	-	(172,594)	-	-	18,114,104
Written-off Facilities	-	-	-	-	-	-
Adjustments due to changes in the exchange rates	-	-	-	-	-	-
Balance at the End of the Year	914,965,174	-	59,032,995	-	1,211,776	975,209,945

Below is the movement on the expected credit loss for indirect facilities on a collective bases during the year:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Adjusted balance as of January 1, 2020	2,041,990	-	272,606	-	63,171	2,377,767
Impairment loss on new exposures during the year	2,217,812	-	418,798	-	52,909	2,689,519
Recovered from the impairment loss of the accrued exposures	(1,148,997)	-	(158,146)	-	(6,522)	(1,313,665)
Transferred to stage (1)	6,775	-	(6,775)	-	-	-
Transferred to stage (2)	(23,072)	-	23,072	-	-	-
Transferred to stage (3)	(255)	-	(36,105)	-	36,360	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	41,134	-	60,368	-	(2,583)	98,919
Changes from adjustments	979,447	-	55,634	-	4,997	1,040,078
Balance at the End of the Year	4,114,834	-	629,452	-	148,332	4,892,618

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Adjusted balance as of January 1, 2019	2,367,050	-	200,629	-	727,225	3,294,904
Impairment loss on new exposures during the year	1,302,395	-	221,152	-	-	1,523,547
Recovered from the impairment loss of the accrued exposures	(1,430,203)	-	(62,987)	-	(445,587)	(1,938,777)
Transferred to stage (1)	131,892	-	(59,431)	-	(72,461)	-
Transferred to stage (2)	(17,729)	-	17,729	-	-	-
Transferred to stage (3)	(719)	-	-	-	719	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	(102,647)	-	5,554	-	41,646	(55,447)
Changes from adjustments	(208,049)	-	(50,040)	-	(188,371)	(446,460)
Balance at the End of the Year	2,041,990	-	272,606	-	63,171	2,377,767

The distribution of the total indirect facilities (guarantees) according to the bank's internal credit ratings:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	13,000	-	-	-	-	13,000	-
2	29,028,899	-	-	-	-	29,028,899	32,745,379
3	21,227,561	-	2,000	-	-	21,229,561	34,448,794
4	29,998,756	-	102,986	-	-	30,101,742	25,409,111
5	45,789,833	-	102,000	-	-	45,891,833	37,790,297
6	26,389,068	-	196,651	-	-	26,585,719	29,574,645
7	9,804,122	-	6,898,083	-	-	16,702,205	11,862,958
8	-	-	-	-	1,399,862	1,399,862	638,856
Not rated	20,326,620	-	15,517,022	-	385,355	36,228,997	40,782,015
Total	182,577,859	-	22,818,742	-	1,785,217	207,181,818	213,252,055

Below is the movement on the indirect facilities (guarantees):

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	186,726,715	-	25,313,564	-	1,211,776	213,252,055
New exposure during the year	43,360,618	-	8,995,475	-	279,695	52,635,788
Accrued exposure	(53,661,548)	-	(2,169,433)	-	(263,549)	(56,094,530)
Transferred to stage (1)	8,011,574	-	(7,905,759)	-	(105,815)	-
Transferred to stage (2)	(581,483)	-	581,483	-	-	-
Transferred to stage (3)	(395,498)	-	(1,659,796)	-	2,055,294	-
Impact on exposure as of the end of the year due to the reclassifications between stages during the year	(1,163,104)	-	-	-	(1,408,424)	(2,571,528)
effects results changes	280,585	-	(336,792)	-	16,240	(39,967)
Balance at the End of the Year	182,577,859	-	22,818,742	-	1,785,217	207,181,818

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	152,478,662	-	21,444,768	-	2,211,056	176,134,486
New exposure during the year	76,050,148	-	17,125,389	-	138,174	93,313,711
Accrued exposure	(49,352,948)	-	(3,772,782)	-	(1,160,599)	(54,286,329)
Transferred to stage (1)	10,775,508	-	(10,577,903)	-	(197,605)	-
Transferred to stage (2)	(1,672,310)	-	1,672,310	-	-	-
Transferred to stage (3)	(209,500)	-	(11,250)	-	220,750	-
Impact on exposure as of the end of the year due to the reclassifications						
between stages during the year	(222,858)	-	(545,753)	-	-	(768,611)
Effects due to adjustments	(1,119,987)	-	(21,215)	-	-	(1,141,202)
Balance at the End of the Year	186,726,715	-	25,313,564	-	1,211,776	213,252,055

Below is the movement on the expected credit loss for the indirect facilities - guarantees:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	285,113	-	91,012	-	63,171	439,296
Impairment loss on new exposures during the year	81,383	-	115,580	-	52,909	249,872
Recovered from the impairment loss of the accrued exposures	(26,026)	-	(11,309)	-	(6,522)	(43,857)
Transferred to stage (1)	783	-	(783)	-	-	-
Transferred to stage (2)	(567)	-	567	-	-	-
Transferred to stage (3)	(255)	-	(36,105)	-	36,360	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	42,282	-	892	-	(2,583)	40,591
Effects due to adjustments	140,572	-	42,611	-	4,997	188,180
Balance at the End of the Year	523,285	-	202,465	-	148,332	874,082

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	435,108	-	78,231	-	727,225	1,240,564
Impairment loss on new exposures during the year	89,118	-	66,143	-	-	155,261
Recovered from the impairment loss of the accrued exposures	(145,380)	-	(11,715)	-	(445,587)	(602,682)
Transferred to stage (1)	88,230	-	(15,769)	-	(72,461)	-
Transferred to stage (2)	(10,030)	-	10,030	-	-	-
Transferred to stage (3)	(719)	-	-	-	719	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	(81,668)	-	(9,949)	-	41,646	(49,971)
Effects due to adjustments	(89,546)	-	(25,959)	-	(188,371)	(303,876)
Balance at the End of the Year	285,113	-	91,012	-	63,171	439,296

The distribution of the total indirect facilities (unutilized limits) according to the bank's internal credit ratings:

	2020						2019
	Stage (1)		Stage (2)		Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	929,060	-	-	-	-	929,060	2,215,437
2	23,242,501	-	-	-	-	23,242,501	41,533,363
3	72,644,823	-	-	-	-	72,644,823	86,301,657
4	205,589,611	-	1,161,294	-	-	206,750,905	133,280,580
5	134,095,796	-	122,557	-	-	134,218,353	94,172,137
6	39,132,605	-	529,016	-	-	39,661,621	35,465,210
7	5,678,041	-	7,587,554	-	-	13,265,595	18,346,044
8	-	-	-	-	-	-	-
Not rated	41,345,232	-	2,142,636	-	-	43,487,868	40,058,865
Total	522,657,669	-	11,543,057	-	-	534,200,726	451,373,293

Below is the movement on the indirect facilities - unutilized limits

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	435,466,509	-	15,906,784	-	-	451,373,293
New exposure during the year	312,069,259	-	5,863,590	-	-	317,932,849
Accrued exposure	(241,211,847)	-	(12,563,392)	-	-	(253,775,239)
Transferred to stage (1)	1,263,169	-	(1,263,169)	-	-	-
Transferred to stage (2)	(4,851,274)	-	4,851,274	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on exposure as of the end of the year due to the reclassifications between stages during the year	(375,672)		(1,816,571)	-	-	(2,192,243)
Effect results changes	20,297,525	-	564,541	-	-	20,862,066
Balance at the End of the Year	522,657,669	-	11,543,057	-	-	534,200,726

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	423,237,421	-	9,202,499	-	-	432,439,920
New exposure during the year	278,627,730	-	12,092,982	-	-	290,720,712
Accrued exposure	(291,390,819)	-	(4,287,973)	-	-	(295,678,792)
Transferred to stage (1)	4,063,796	-	(4,063,796)	-	-	-
Transferred to stage (2)	(2,837,169)	-	2,837,169	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on exposure as of the end of the year due to the reclassifications between stages during the year	1,825,652	-	277,282	-	-	2,102,934
Effect results changes	21,939,898	-	(151,379)	-	-	21,788,519
Balance at the End of the Year	435,466,509	-	15,906,784	-	-	451,373,293

Below is the movement on the expected credit loss for the indirect facilities - unutilized ceilings:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	1,370,441	-	150,754	-	-	1,521,195
Impairment loss on new exposures during the year	1,849,987	-	285,823	-	-	2,135,810
Recovered from the impairment loss of the accrued exposures	(798,598)	-	(138,606)	-	-	(937,204)
Transferred to stage (1)	5,992	-	(5,992)	-	-	-
Transferred to stage (2)	(22,505)	-	22,505	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	(1,148)	-	59,476	-	-	58,328
Effects due to adjustments	853,112	-	19,517	-	-	872,629
Balance at the End of the Year	3,257,281	-	393,477	-	-	3,650,758

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	1,521,294	-	96,916	-	-	1,618,210
Impairment loss on new exposures during the year	874,868	-	124,169	-	-	999,037
Recovered from the impairment loss of the accrued exposures	(933,183)	-	(51,272)	-	-	(984,455)
Transferred to stage (1)	39,518	-	(39,518)	-	-	-
Transferred to stage (2)	(7,699)	-	7,699	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	(19,598)	-	15,503	-	-	(4,095)
Effects due to adjustments	(104,759)	-	(2,743)	-	-	(107,502)
Balance at the End of the Year	1,370,441	-	150,754	-	-	1,521,195

The distribution of the total indirect facilities (letter of credits and acceptances) according to the bank's internal credit ratings:

	2020						2019
	Stage (1)	Stage (1)	Stage (2)	Stage (2)	Stage (3)	Total	Total
	Individual	Collective	Individual	Collective	Individual		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Credit rating categories based on the bank's internal system:							
1	-	-	-	-	-	-	-
2	45,875,076	-	-	-	-	45,875,076	24,577,233
3	17,500,251	-	-	-	-	17,500,251	50,107,909
4	75,683,881	-	-	-	-	75,683,881	57,964,209
5	68,439,360	-	-	-	-	68,439,360	79,746,493
6	15,721,800	-	-	-	-	15,721,800	13,955,379
7	5,128,453	-	291,389	-	-	5,419,842	12,365,278
8	-	-	-	-	-	-	-
Not rated	42,430,748	-	15,292,958	-	-	57,723,706	71,868,096
Total	270,779,569	-	15,584,347	-	-	286,363,916	310,584,597

Below is the movement on the indirect facilities - letters of credit :

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	292,771,950	-	17,812,647	-	-	310,584,597
New exposure during the period	201,614,602	-	12,406,658	-	-	214,021,260
Accrued exposure	(222,208,411)	-	(4,570,942)	-	-	(226,779,353)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on exposure as of the end of the year due to the reclassifications between stages during the year	-	-	-	-	-	-
Effects due to adjustments	(1,398,572)	-	(10,064,016)	-	-	(11,462,588)
Balance at the End of the Year	270,779,569	-	15,584,347	-	-	286,363,916

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	305,806,851	-	9,557,093	-	-	315,363,944
New exposure during the period	244,455,478	-	17,812,647	-	-	262,268,125
Accrued exposure	(257,129,847)	-	(8,529,397)	-	-	(265,659,244)
Transferred to stage (1)	1,027,696	-	(1,027,696)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on exposure as of the end of the year due to the reclassifications between stages during the year	1,144,985	-	-	-	-	1,144,985
Effects due to adjustments	(2,533,213)	-	-	-	-	(2,533,213)
Balance at the End of the Year	292,771,950	-	17,812,647	-	-	310,584,597

Below is the movement on the indirect facilities provision - letter of credits and acceptances:

2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	386,436	-	30,840	-	-	417,276
Impairment loss on new exposures during the year	286,442	-	17,395	-	-	303,837
Recovered from the impairment loss of the accrued exposures	(324,373)	-	(8,231)	-	-	(332,604)
Transferred to stage (1)	-	-	-	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	-	-	-	-	-	-
Effects due to adjustments	(14,237)	-	(6,494)	-	-	(20,731)
Balance at the End of the Year	334,268	-	33,510	-	-	367,778

2019	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Balance at the beginning of the year	410,648	-	25,482	-	-	436,130
Impairment loss on new exposures during the year	338,409	-	30,840	-	-	369,249
Recovered from the impairment loss of the accrued exposures	(351,640)	-	-	-	-	(351,640)
Transferred to stage (1)	4,144	-	(4,144)	-	-	-
Transferred to stage (2)	-	-	-	-	-	-
Transferred to stage (3)	-	-	-	-	-	-
Impact on the provision as of the end of the year due to the reclassifications between the stages during the year	(1,381)	-	-	-	-	(1,381)
Effects due to adjustments	(13,744)	-	(21,338)	-	-	(35,082)
Balance at the End of the Year	386,436	-	30,840	-	-	417,276

23. Paid-up capital and share premium

Capital:

The authorized and paid-in capital amounted to JOD 160 million, divided into 160 million shares at a par value of JOD 1 per share as of December 31, 2020 and December 31, 2019.

Share premium:

Share premium amounted to JOD 80,213,173 as of December 31, 2020 and December 31, 2019.

Dividends paid:

In accordance with the circulated noted of the Central bank of Jordan to banks operating in Jordan no. 1/1/4693 on April 9, 2020, and to hedge against the negative effects of the Corona pandemic, it was decided to postpone the distribution of dividends to shareholders by Jordanian banks for the year 2019 (JOD 22,400,000 for 2018).

24. Reserves

The details of the reserves as of December 31, 2020 and December 31, 2019 are as follows:

a. Statutory reserve

This reserve represents amounts transferred from income before tax at a rate of 10% during the previous years. The statutory reserve is not available for distribution to shareholders.

b. Voluntary reserve

This reserve represents amounts transferred from the pre-tax profits at a rate not exceeding 20%. The voluntary reserve shall be utilized for the purposes determined by the Board of Directors. The General Assembly shall have the right to distribute it in whole or in part as dividends to the shareholders.

The restricted reserves are as follows:

Reserve	December 31,		Regulation
	2020	2019	
	JOD	JOD	
Statutory reserve	61,004,473	56,257,522	According to the bank regulatory authoroties' regulations
Fair value reserve	(2,609,036)	372,413	According to the regulations of the Central bank of Jordan and Jordan Securities Commission

25. Proposed dividends

The Board of Directors proposed cash dividends at 10% of paid-in capital, equivalent to JOD 16,000,000.

26. Fair value reserve - net

The details are as follows:

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Balance at the beginning of the year	372,413	(727,049)
Unrealized (losses) gains	(3,558,496)	1,128,142
Deferred tax assets	673,681	103,645
(Gains) from sale of financial assets at fair value through other comprehensive income	(96,634)	(132,325)
Balance at the End of the Year	(2,609,036)	372,413

27. Retained earnings

The movement on retained earnings is as follows:

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Balance – beginning of the year	51,596,833	53,566,049
Income for the year	23,567,470	31,613,674
Gains from sale of financial assets through other comprehensive income	96,634	132,325
Transferred to reserves	(7,742,838)	(11,401,288)
Dividends distributed	-	(22,400,000)
Shares in subsidiaries	-	86,073
Balance – End of the Year	67,518,099	51,596,833

- Retained earnings includes amount of JOD 323,685 which represents gains from the differences on the revaluation of the financial assets at fair value through the statement of profit or loss.
- Retained earnings includes a restricted amount of JOD 23,297,858 as of December 31, 2020 (JOD 11,210,810 as of December 31, 2019), which represents deferred tax assets. According to the Central bank of Jordan's instructions, this amount may not be used unless prior approval is obtained from the Central bank of Jordan.

28. Provision for expected credit losses on financial assets

	2020	2019
	JOD	JOD
Deposits at banks and financial institutions	(21,674)	17,514
Deposits with banks and banking instituations	611	-
Financial assets at amortized costs	(34,750)	(194,978)
Direct credit facilities	37,716,396	18,528,623
Contingent liabilities	2,514,851	(1,044,826)
	40,175,434	17,306,333

29. Subsidiaries with material non-controlling interests

First: Percentage owned by non-controlling interests

As of December 31, 2020

Company's Name	Country	Ownership Percentage	Activity Nature	Distributions
				JOD
Safwa Islamic bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	63.83%	Provides all financial, banking and investment services according to Islamic Sharia	-
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares	-

As of December 31, 2019

Company's Name	Country	Ownership Percentage	Activity Nature	Distributions
				JOD
Safwa Islamic bank (Owned by Al Etihad Islamic for Investment Company)	Jordan	63.83%	Provides all financial, banking and investment services according to Islamic Sharia	7,000,000
Al Etihad Islamic for Investment Company LLC.	Jordan	42.00%	The Company's purposes are to acquire companies' stocks, bonds and shares	3,700,000

Second: The following is selected financial information for subsidiaries with material non-controlling interests

a. Condensed statement of financial position before the elimination of inter-company transactions and after reclassfication for some iteams:

	Safwa Islamic bank (Al Etihad Islamic for Investment Company)	Safwa Islamic bank (Al Etihad Islamic for Investment Company)
	December 31, 2020	December 31, 2019
	JOD	JOD
Financial assets	1,770,129,339	1,505,133,350
Other assets	41,043,887	37,365,196
Total assets	1,811,173,226	1,542,498,546
Financial Liabilities	1,606,895,828	1,353,775,574
Other Liabilities	49,659,991	44,272,704
Total Liabilities	1,656,555,819	1,398,048,278
Total Equity	154,617,407	144,450,268
Total Liabilities and Equity	1,811,173,226	1,542,498,546
Equity attributed to non-controlling interests	98,137,365	91,842,119
Non-Controlling Interest Share at Al Etihad Islamic for Investment Company	310,256	128,928
Total non-controlling interests	98,447,621	91,971,047

b. Condensed statement of income before the elimination of inter-company transactions:

	Safwa Islamic bank (Al Etihad Islamic for Investment Company)	Safwa Islamic bank (Al Etihad Islamic for Investment Company)
	December 31, 2020	December 31, 2019
	JOD	JOD
Gross Income	53,696,910	50,225,007
Profit for the year	10,167,139	10,016,219
Total Comprehensive Income	10,167,139	10,155,286
Attributable to non-controlling interests	6,489,195	6,481,630
Non-controlling interests share in profits (losses) of Al Etihad Islamic for Investment Company	(12,621)	(3,462)
Non-Controlling Interests	6,476,574	6,478,168

30. Interest income and returns

The details of this item are as follows:

	2020	2019
	JOD	JOD
Direct Credit Facilities and Financing		
Individual retail customer		
Overdraft	200,992	432,822
Loans and discounted bills	53,999,841	46,091,559
Credit cards	1,601,515	1,539,823
Real estate	56,768,376	59,149,728
Large corporates		
Overdraft	7,134,604	9,470,915
Loans and discounted bills	69,732,767	72,710,823
SME's		
Overdraft	2,391,669	2,862,950
Loans and discounted bills	10,072,554	9,525,020
Government and Public Sector	9,213,147	7,346,184
Balances at the Central Bank	1,780,439	2,054,029
Balances and deposits at banks and financial institutions	2,557,937	5,546,487
Financial assets at fair value through statement of profit or loss	4,077	4,077
Financial assets at amortized cost	37,268,791	34,967,233
Others	769,340	1,183,105
Total	253,496,049	252,884,755

31. Interest expense

The details of this item are as follows:

	2020	2019
	JOD	JOD
Banks and financial institutions deposits	2,294,983	2,403,529
Customers' deposits:		
Current accounts and demand deposits	2,801,852	1,414,120
Saving deposits	4,280,324	10,287,190
Time and notice deposits	66,773,689	77,923,781
Certificates of deposit	15,468,725	15,148,504
Cash margins	2,700,546	2,571,385
Borrowed funds	1,379,415	2,681,077
Subordinated loans	1,447,956	-
Deposits Insurance Corporation's fees	5,514,744	4,016,664
	102,662,234	116,446,250

32. Net commission income

The details of this item are as follows:

	2020	2019
	JOD	JOD
Direct credit facilities and financing commissions	6,370,590	8,024,494
Indirect credit facilities and financing commissions	8,302,892	9,380,627
Other	8,880,237	9,426,195
Less: Commission expense	(1,140,458)	(841,315)
Net Commission Income	22,413,261	25,990,001

33. Gains from foreign currencies

The details of this item are as follows:

	2020	2019
	JOD	JOD
Resulting from dealings / tradings	3,670,249	4,676,842
Resulting from valuations	3,079,791	2,287,622
	6,750,040	6,964,464

34. Gains from financial assets at fair value through pofit or loss

The details of this item are as follows:

	Gains (Losses) Realized	(Losses) Gains Unrealized	Dividends income Received	Total
	JOD	JOD	JOD	JOD
2020				
Treasury bills and bonds	206,487	46,621	-	253,108
Corporate shares	1,853,075	(498,142)	116,956	1,471,889
Financial derivatives	225,416	-	-	225,416
Investment funds	-	384,424	-	384,424
	2,284,978	(67,097)	116,956	2,334,837
2019				
Treasury bills and bonds	122,583	9,088	-	131,671
Corporate shares	(622,767)	(268,016)	296,247	(594,536)
Financial derivatives	235,314	-	-	235,314
Investment funds	-	467,118	-	467,118
	(264,870)	208,190	296,247	239,567

35. Dividends from financial assets at fair value through other comprehensive income

The details of this item are as follows:

	2020	2019
	JOD	JOD
Dividends distributed on corporate shares	619,013	1,039,085

36. Other income

The details of this item are as follows:

	2020	2019
	JOD	JOD
Safety deposits boxes rental income	181,006	163,027
Dormant accounts	101,648	124,997
Bonded revenue	245,811	300,223
Net income from recovered bad debts	276,506	178,099
Income from liquidation of invested companies	-	77,465
Income from reconciling accounts	390,630	459,951
Other income	260,999	165,365
Total	1,456,600	1,469,127

37. Employee expenses

The details of this item are as follows:

	2020	2019
	JOD	JOD
Salaries, benefits and allowances	35,714,401	35,344,161
Bank's contribution to social security	3,872,851	3,713,489
Bank's contribution to saving fund	375,531	1,460,170
Medical expenses	1,721,758	1,590,350
Per diems	168,348	325,602
Training expenses	407,814	857,885
Uniforms	26,984	86,681
Advertising and marketing incentives	1,696,262	2,991,366
Employees' life insurance expense	173,450	151,858
	44,157,399	46,521,562

38. Other expenses

The details of this item are as follows:

	2020	2019
	JOD	JOD
Postage, telephone telex and reutters	2,842,157	2,496,947
Stationery and printing	1,134,930	1,038,441
Water, electricity and fuel expense	1,133,457	904,092
Maintenance of machines and equipment	10,423,813	9,165,848
Insurance expenses on the bank's assets and activities	1,130,235	964,275
Consultation and professional fees	3,849,258	2,476,944
Licenses and governmental fees	1,234,883	1,327,361
Loss from disposal of property and equipment	202,170	445,414
Board of Directors' transportations and allowances	1,234,268	1,414,424
Advertising	4,664,899	5,580,029
Donations and subscriptions *	3,497,083	969,554
Board of Directors' remuneration	128,750	116,250
Loss from disposal of owned assets	26,280	383,477
Others	1,931,592	1,628,748
	33,433,775	28,911,804

* During the year, an amount of JOD 2 Million was donated to the Himmat Watan Fund against the spread of Covid - 19 virus.

39. Earnings per share

The details of this item are as follows:

	2020	2019
	JOD	JOD
Profit for the year	23,567,470	31,613,674
Weighted average number of shares (share)	160,000,000	160,000,000
Earnings per share attributable to the bank's shareholders:		
Basic and diluted	0.147	0.198

40. Cash and cash equivalents

the details of this item are as follows:

	2020	2019
	JOD	JOD
Cash and balances with CBJ maturing within 3 months	721,060,432	563,867,223
Add: Balances with banks and financial institutions maturing within 3 months	397,274,210	331,017,085
Less: Banks and financial institutions deposits maturing within 3 months	256,098,045	104,424,070
Less: Restricted balances	7,545,767	6,857,213
	854,690,830	783,603,025

41. Financial derivative instruments

the following table shows the positive and negative fair value for the financial derivatives along with the distribution of their nominal value based on their maturities.

2020	Positive Fair Value	Negative Fair Value	Total Nominal Value	Par Value Maturity			
				Due in three Months	Due in 3 - 12 Months	From 1 to 3 Years	More than 3 Years
	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Customers' purchased forward agreements	335,537	24,254	19,706,792	19,483,145	223,647	-	-
Interest rates swap contracts	-	-	-	-	-	-	-
Banks' purchased forward agreements	168,414	409,694	128,014,656	127,781,385	233,271	-	-
	503,951	433,949	147,721,448	147,264,530	456,918	-	-
2019							
Customers' purchased forward agreements	11,525	22,221	7,251,517	4,451,974	2,799,543	-	-
Interest rates swap contracts	-	94,627	18,434,000	4,254,000	14,180,000	-	-
Banks' purchased forward agreements	113,398	148,415	79,739,782	79,225,974	513,808	-	-
	124,923	265,263	105,425,299	87,931,948	17,493,352	-	-

Nominal value represents the value of transactions outstanding at year-end and does not refer to market risks or credit risks.

42. Related party transactions

The accompanying consolidated financial statements include the financial statements of the bank and the following subsidiaries:

Company's Name	Ownership	The Company's Capital	
		2020	2019
	%	JOD	JOD
Al Etihad Islamic for Investment Company LLC.	58	113,039,028	113,039,028
Safwa Islamic Bank	36.2	100,000,000	100,000,000
Al- Etihad for Financial Brokerage Co. Ltd	100	5,000,000	5,000,000
Al- Etihad for Financial Leasing Co. Ltd	100	10,000,000	7,500,000
Al- Etihad for Financial Technology	100	100,000	100,000

The balances and transactions between the bank and its subsidiaries have been eliminated.

The bank entered into transactions with major shareholders, directors, senior management in the ordinary course of business at commercial interest and

commission rates. All the credit facilities granted to related parties are performing, and no provisions have been taken except for what is shown below:

The details of this item are as follows:

	Related Party				Total	
	Board of Directors	Executive management members and Major Shareholders	Subsidiaries	Others (Executive Management of the bank and Related Parties)	December 31, 2020	December 31, 2019
	JOD	JOD	JOD	JOD	JOD	JOD
On- Consolidated Statement of Financial Position Items:						
Direct credit facilities and financing	1,793,783	3,994,890	949,128	64,434,626	71,172,427	55,460,138
Deposits	74,773,128	3,081,147	22,292,150	10,884,307	111,030,732	116,567,556
Deposits at banks and financial institutions	-	-	257,597	-	257,597	270,695
Off- Consolidated Statement of Financial Position Items:						
Letter of credits	-	-	136,653	3,029,607	3,166,260	1,144,569
Acceptance	-	-	-	2,702,096	2,702,096	3,033,318
Letter of guarantee	5,000	-	863,000	5,748,017	6,616,017	6,243,607
					For the Year Ended December 31,	
					2020	2019
					JOD	JOD
Consolidated Income Statement Items						
Interest, returns and commissions income	136,541	291,778	36,600	4,320,581	4,785,500	4,719,833
Interest and commissions expense	1,860,212	49,040	697,370	149,449	2,756,071	3,714,984
Extra Information						
Credit and financing facilities under monitoring					-	-
Impairment loss of direct credit and financing facilities under monitoring provision					-	-

- The interest income rates on credit facilities range from 3.5% to 17%, and interest expense rates on customers' deposits range from 0.5% to 6%.

Below is a summary of the remunerations for the Bank's executive management:

	2020	2019
	JOD	JOD
Salaries and bonuses of the Executive Management	5,842,810	5,096,319
Board of Directors' transportation and allowances	1,302,270	1,529,868
Total	7,145,080	6,626,187

43. Right-of-use assets/ leasing liabilities

This items includes the following:

1. Right-of-use assets

The bank leases many assets including land and buildings, and the average lease term is 8 years.

Below is the movement on the right-of-use assets during the year:

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Beginning balance	26,517,873	24,915,513
Add: additions during the year	4,669,894	4,918,627
less: disposal during the year	(310,881)	-
Less: depreciation for the year	(3,845,366)	(3,316,267)
Balance as of December 31,2020	27,031,520	26,517,873

Restricted balances in the statement of profit or loss

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Depreciation for the year	(3,845,366)	(3,316,267)
Interest during the year	(984,241)	(918,592)
Lease expense during the year	(402,380)	(574,032)

2. Lease liabilities

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Beginning balance	25,451,501	23,767,069
Add: additions during the year	4,669,894	4,918,627
Interest during the year	984,241	918,592
less: disposal during the year	(310,881)	-
Less: paid during the year *	(4,340,806)	(4,152,787)
Balance as of December 31,2020	26,453,949	25,451,501

*including interest of JOD 304,256

Analysis of the accrual of lease liabilities:	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Less than one year	1,936,802	1,652,520
From 1 year to 5 years	8,641,534	8,874,979
More than 5 years	15,875,613	14,924,002
	26,453,949	25,451,501

The undiscounted lease liabilities amounted to JOD 32,069,195 as of December 31, 2020 (JOD 30,798,733 as of December 31, 2019)

The following is the analysis of the accrual:

Analysis of the accrual of lease liabilities:

	For the Year Ended December 31,	
	2020	2019
	JOD	JOD
Less than one year	2,601,631	2,216,277
From 1 year to 5 years	10,644,642	10,808,442
More than 5 years	18,822,922	17,774,014
	32,069,195	30,798,733

44. Risk management:

The bank continuously develops the risk - management structure to ensure effective management of all of its operations, the efficiency of the risk management process, and proper application of the regulatory controls across all of the bank's operations. The risk management responsibility is allocated across various levels as summarized below :

1. Business units:

The Business units comprise of employees who, through thier nature of work, manage the various risks associated with the bank's operations in line with the acceptable risk appetite as determined by the bank and specified in its policies.

To ensure efficient risk management, the bank fully separates the functions of the business units from those of risk management. For example, credit underwriting and credit administration function is completely independent from Custmer Relations Management (CRM) within the business units. This ensures the integrity of credit decisions, and higher efficiency. In addition, the Middle Office operate under the umbrella of market risk, independent from the treasury and treasury operations.

2. Risk management

This department operates independentlyfrom all business units. It reports to the Board through the Risk Management Committee to ensure its independence and ability to detect, measure, govern, and monitor risks within acceptable risk appetite as determined by the bank; as well as submit periodic reports to the Board in this regard.

3. Internal audit:

The Internal Audit Department is fully independent and directly reports to the Board Audit Committee. The Department functions as the last line of defence through implementing an audit plan that includes periodic audits of all the bank's activities to ensure the detection of any violations of systems and noncompliance with the banks' policies and procedures or the supervisors' regulations

4. Risk management committee:

The Board of Directors endorsed the Risk Management Committee as stipulated in it's charter, which has been drafted in accordance with best risk management practices and CBJ requirements. The Committee comprises of Board members and the Chief Risk Officer. All reports prepared by the Risk Management Department are submitted to the Committee periodically to ensure that the Committee's members are well informed of all risks in a timely manner. This enable the committee members to make decisions, and take measures mitigate risks that are not in line with the established risk appetite, and submit reports to the Board in this regard.

5. Board of directors:

The Board of Directors has the following responsibilities with regard to risk management:

- Determining the acceptable risk levels for the group's various activities.
- Reviewing and approving the various risk policies.
- Monitoring risks and ensuring that necessary controls are in place through the Risk Management Committee.
- Delegating authority related to the approval, amendment, and renewal of credit to the credit committees while reviewing their performance and the validity of their decisions, a matter which would reflect on the quality of the credit portfolio.
- Approving the investments policies and decisions and approving investment transactions and dealing limits.

6. Assets and liabilities management committee:

The Assets and Liabilities Management Committee comprises of the Chairman as President and the CEO, CCO, CFO, Treasurer and CRO as members. The Committee reviews the statement of financial position and recommends any amendments thereto, in addition to approving the liquidity and market risk management principles. Moreover, the Committee reviews the policies related to these risks, recommends their approval by the Board, and studies the various risk reports in order to take any necessary decisions related to amending the acceptable risks levels by the Group.

The Committee also recommends to the Board the allocation of capital for the various activities of the bank in a manner that ensures that the use of capital is optimized.

A. Credit risks:

Credit risks are controlled within acceptable risk levels by the Group through the following:

1. Credit Policy: This policy accurately determines the general guidelines for credit underwriting, levels of acceptable credit risks, and basis used for establishing credit risk pricing and acceptable collateral. In addition, the policy outlines the monitoring activities over creditand ensure early detection of creditquality deterioration of the portfolio.
2. Training and Development: The continuous training and development of all credit staff and managers ensures better understanding of the client's business activity and needs, the fostering of expertise in credit analysis, and a better understanding of risks whentaking credit decisions ; as well as ensuring the effective management of portfolios.
3. Authority to Grant Credit: Credit applications are approved by specialized credit committees which are appointed and granted authorities by the Board of Directors.
4. Credit Risk Measurement: The bank put in place, a credit rating system for corporate and medium-size companies. In addition, the bank implements a scorecards framework for retailcustomers as a basis for underwriting and cross-selling of retail products.
5. Internal Valuation for Capital Adequacy: The bank developed a model to measure capital adequacy based on a 5-year data forecast to calculate the potential capital requirements and the effect of stress testing on the bank's capital adequacy, profitability, and liquidity.
6. Credit Risk Monitoring:

A specialized unit within the Risk Managment Department monitors the credit portfolio and prepares the relevant reports..

Through the early credit risk warning system, the Risk Management Department examines any indicators that may signal the deterioration of therisk profile of a customer. Such indicators include customer's transactions, financial performance, and the risk of their economic sectors, in addition to indicators related to the performance of the client's account at the bank. This system allows the bank to detect, early on, any deterioration in the performance of the account and enables to the bank to take necessary measures to reduce any possible losses that may result from that and to ensure the adequacy of the allocations allocated to these accounts.

7. Credit portfolio management:

All departments concerned with credit continuously review the credit portfolio to maintain a good level of credit exposure quality.

In managing the portfolio, efforts are made to ensure that the portfolio is diversified to avoid any concentration that could lead to an increase in the risk level of the portfolio. In this regard, the sectoral and the geographical distribution of the portfolio are monitored, in addition single borrower and related parties exposures are monitered and reported in addition to avoiding large credit exposures for a single customer except in exceptional cases and for discerning clients.

8. Credit risk mitigation:

As a basic step to hedge credit risk, cash flows of financed projects are taken into account when determining the structure of facilities and payment schedules for any facilities granted to clients and the necessary controls to control these cash flows for use for repayment, as well as obtaining collaterals as stipulated in the credit policy, taking into account the quality and liquidity collaterals, in addition to the efficient application of procedures that ensure proper control of these guarantees and control their value and the ease of monetization where necessary

B. Operational risks:

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. The Operational Risk Management Department, which also covers strategic and reputation risks, leads the implementation of a bank operational risk management framework, as part of the overall strengthening and continuous improvement of the internal control systems within the bank. The framework consists of risk identification and assessment, risk mitigation (including the implementation of controls) and ongoing monitoring work together to minimise operational disruptions and their effects. Major tools used for operational risk management include:

- Risk and Control Self-Assessment (RCSA); through which the bank assesses the inherent operational risks of the bank's products and services, the effectiveness of the control environment, and residual by weighting residual risks to provide a means of translating the RCSA output into metrics that give a relative ranking of the control environment.
- Key Risk Indicators are used to monitor the main drivers of exposure associated with key risks.

Loss data collection and analysis of operational risk that provide meaningful information for assessing the bank's exposure to operational risk and the effectiveness of internal controls.

The aim of operational risk management is not to prevent every risk materiaslising but to mitigate the risk to the acceptable limit in alignment with the risk appetite of the bank.

C. Information security:

Information Security means protecting information and information systems from unauthorized access, use, disclosure, disruption, modification, or destruction in order to provide integrity, confidentiality, and availability.

Bank al Etihad has retained qualified staff along with all required resources to protect information and cyber security from security breach and threats.

The bank has maitained a comprehensive and effective Business Continuity Plan which defines how the bank will manage incidents in the case of a disaster or other disruptive incident, and how it will recover its activities.

Stress testing

The objectives of stress testing is to determine the negative stress events that could face the bank and its business, and measure their impact on the bank's solvency, liquidity and reputation.

Also, stress testing will idetify the areas of weaknesses that the bank could face as a result of these negative stress events and allow the board of directors and executive management, to develop a strategic plan to reduce its impact.

Choosing the stress testing scenarios

Stress scenarios that cover all possible risks encountered by the bank are selected. The impact of stressful scenarios are assessed on different bank portfolios, and on Porfit and Loss, Capital Adequacy Ratio and other regulatory limits, as follows:

1. Measuring the effect of stress scenarios on the bank's credit portfolio concerning the increase in the percentage of non-performing loans due to many factors, including concentration in granting credits, deterioration of the economic sectors due to financial crises, quality of the credit portfolio, decrease in the value of collaterals, and other factors. The impact of these stress scenarios on income statement, Balance sheet, and capital adequacy ratios.
2. Measuring the effect of stress situations on the bank's investments in terms of liquidity and change in the market prices such as Interest Rates, Foreign Exhchange rate etc. The impact of these risk scenarios is assessed on the income statement, statement of financial position, and capital adequacy ratios.
3. Measuring the effect of stress cenarios sce on the bank's assets and liabilities in the the event of depreciation or apperciation of local currency against foreign currencies.
4. Measuring the effect of stress scenarioss on the bank's liquidity due to several factors, including loss of depsoits,concentration of the clients' deposits and banks' deposits and extensive deposit withdrawalsThe effect of these risk scenarios is factored into the calculation of the legal liquidity ratio,Liquidity Coverage Ratio and other liquidity ratios.
5. Measuring the effect of stress on the bank's operational risks. The impact of this risk scenario is assessed on the capital adequacy ratio and Profit and loss.

Based on the results of these tests, contingency and recovery plans are established to face financial and economic crises should they arise.. Furthermore, risk mitigation tools are implemented, such as hedging and risk transfer strategies and minimum accepted collaterals limits, to lessen the impact of stress scnerios on the bank's Profit and Loss and Balance sheet stamenets.

Governance of the application of stress-testing situations:

The Board of Directors is responsible for:

1. Reviewing stress testing results semi-annually (every 6 months), and direct the bank to take measures and or enforce controls as accordingly;
2. Ensuring that Executive Management complies with thecontingency plans and is prepared to face any stress scenario as it arises .
3. Verifying that the Risk Management Department is performing stress testing periodically. The Board shall have an active role in approving the scenarios and the underlying assumptions, test results analysis, and approving the contingency and recovery plans.

Executive management's responsibility

Executive Management is responsible for:

1. Making the right recommendations, based on the stress-testing results, and reporting them to the Board of Directors.
2. Implementing the decisions of the Board of Directors related to the bank's stress testing results, in addition to informing the Board about these results.
3. Implementing and controlling stress testing, in compliance with the methodology approved by the Board of Directors.
4. Taking the stress testing results into consideration when planning capital with the aim of reaching the capital that matches the bank's strategy and risk structure, in addition to taking the results into consideration while performing (ICAAP).
5. Ensuring full cooperation among the bank's different departments through coordianting with the Risk Management Department to come up with the closest real world stress testing results that the bank might be prone to as a result of the local and international financial and economic circumstances.

Governance of applying stress tests

Responsibility of the board of directors:

1. To review the results of the stress tests of the bank on a semi-annual basis (every six months), in order to make decisions that are compatible with these results and that will ensure the safety of the bank in the event of exposure to any of these situations.
2. Ensure that the executive management abides by the plans and policies put in place to face any stressful situations that the bank is exposed to.
3. The Board must ensure that the Risk Management Department conducts stress tests periodically and that the Board has a major role in approving the assumptions and scenarios used, analyzing the test results and adopting the measures to be taken based on these results.

The bank's Definition for Applying Default and the Mechanism for Processing Default:

The group is committed to the instructions of the regulatory authorities and best practices in the banking sector with regard to the application of default and the mechanism for dealing with bad debts.

Non-performing facilities are defined as those facilities that carry levels of risk under supervision or worse, and the following is a brief description of these degrees:

- **Watch list:**

  Borrower with no assured profits and extremely unstable operational revenues. The obligors' assets are witnessing a decrease in their value, coupled with an increase in doubtful debts without sufficient collaterals. Meanwhile, his exposure is constantly increasing and is greater than the accepted standards in his sector. In addition, the management and controls are weak. Debts classified as watch list will remain as such for a period of time under this rating to be monitored, so that their credit rating is improved in case the data that led to their classification under watch list will change or their credit rating downgraded.

- **Substandard:**

  Borrower is considered non-performing. Where Recovering the granted credit facilities based on the client's operational revenues is questionable, and their assets are not protected at an acceptable degree by net equity. In addition, the borrower's ability to commit to financial obligations or provide additional collaterals is weak. The facilities classified under this level of risks require a special provision according to the instructions of the Central bank of Jordan.

- **Doubtful:**

  The bank's chances of recovering the debts granted to the borrower is doubtful, and part of the principal is likely to be lost under the given circumstances that demonstrate the borrower's inability to fulfill their obligations towards the bank. The facilities classified under this level of risks require a special provision according to the instructions of the Central bank of Jordan.

- **Loss:**

  It is probable that part of the granted amount will be recovered in the future, and the bank is still not fully convinced that recovery is unlikely. This matter does not encourage the bank to irrevocably write off the debt, or cease the recovery process. The facilities classified as "Loss" require special provision according to the instructions of the Central bank of Jordan.

General guildlines for dealing with default

- Proposed rescheduling arangements are based on the client's ability to commit to it's financial obligations, as the bank's aim is not only to improve the credit portfolio classification, but to also recover the loan amount granted to the client.
- While rescheduling debt repayment, a study of the borrower's cash flows must be conducted, especially if the borrower has liabilities towards creditors other than the bank. This entails studying the borrower's cash flows, current guarantees, and any other extra assets that can be liquidated as an extra source for the repayment, or as an additional guarantee to mitigate the client's credit risk. Other aspects of the client are also studied, including the client's ability to manage the facilities, and validity of the legal documents and contracts in the bank's possession, to ensure that they maintain the bank's rights in case legal actions are taken against the borrower.
- In case the client commits to their repayment schedule for a period of not less than 3 months, the account classification is upgraded to a performing status.

Internal credit classification system

The bank adopts an internal risk rating system to calculate the Risk Rating of Corporate and SMEs clients. The aim of this system is to asses credit risks at client and facility level. For each borrower a risk grade from 1-10 is calculated, where risk grade (1) is the least risky and (10) is the most. The calculation of Obligor and facility risk rating is the responsibility if the credit department.

Internal Risk classification of Obligors ensures:

- The ability to maintain a high asset quality, monitor the portfolio's quality, and identify effective plans and future strategies for managing credit risks.
- Implement a Risk Based Pricing framework.
- Determining the authority level for granting and/or renewing the credit limits.

The following table shows the building blocks of the Risk Grade:

Indicator	Indicator's nature
Financial items	Quantitative
Management	Qqualitative
Corporate	Qqualitative
Economic sector	Qqualitative

In order to calculate the Risk Rating, financial statements for 3 years and information about the economic sectors performance should be submitted, accordingly obligors are classified as follows:

Risk level	Risk rank
Excellent	1
Strong	2+ - 2-
Good	3+ - 3-
Satisfactory	4+ - 4-
Adequate	5+ - 5-
Marginal	6+ - 6-
Watch List	7+ - 7-
Non-performing	8

Mechanism used to calculate the expected credit losses on the financial instruments for each item separately

Expected credit losses are calculated on an individual basis for all debt instrustments and bank placements on IFRS9 system that is implemented by the bank based on parameterized models and methodologies adopted by the Board of Directors and approved by the external auditor in the preparation of interim and year-end financial statements.

a. Probability of default (PD)

The probability of default is measured for the purpose of calculating the expected credit losses in accordance with IFRS9 through using statistical models based on historical default data, credit exposure classification, and stressed and forecasted macroeconomic trends for corporates and SME's portfolio. As for the retail facilities portfolio, statistical models have been adopted based on the product characteristics and the client's credit behavior.

Under IFRS (9) all credit exposures and debt instruments that are listed under stage (1), are assigned a 1-year Probability of default. As for the credit exposures under Stage 2, the probability of default on a credit exposures is taken into consideration over the lifetime of the exposure.

b. Loss given default

When calculating the loss given default (LGD), the collaterals pledged against granting the credit exposure are evaluated. Moreover, only collaterals classified as risk mitigants are taken into account (legally documented within credit contracts, while nothing precludes the bank from reaching the collateral) for the purpose of calculating the repayable amount of the credit exposure after applying haircuts as stipulated in CBJ Debt Classification Instructions No. (47/2009). In addition, LGDs are applied on the uncovered portion of the credit exposure. The LGD estimates are based on historical data related to recoveries upon liquidation and or and cash collection from borrowers or guarantors.

c. Eexposure at default

When calculating Exposure at Default (EAD), the outstanding amount and type of debt instrument will be taken into consideration when arriving to the EAD. EAD coefficients are applied to outstanding exposures andis defined as the expected decrease in current outstanding exposure (of non-revolving loans) between the observation date (reporting date) and time of default (within the next 12 months). It is estimated by analyzing the historical nonperforming accounts' exposure against their exposure 12 months prior to default.

Furthermore, indirect credit exposures (non-financed) are considered on-balance credit exposures on which expected credit loss is calculated. Their probability of default is calculated as well based on historical default.

d. Time value of money

The expected credit loss is calculated by using the time value and Effective interest rate (EIR) as a discounting factor.

Governance of applying the requirements of the International Financial Reporting Standard, including the responsibilities of management and executive management, to ensure compliance with the regulatory requirements and applying the international standard.

The board of directors:

The Board of Directors ("BOD") plays an oversight role in the IFRS9 Policy and Process. The BOD is responsible for overseeing the establishment, approval, implementation and annual review of the IFRS9 Policy. To fulfil their responsibilities, the board instruct senior management to develop and maintain appropriate processes, which should be systematic and consistently applied, to determine appropriate provision. The board should also require senior management to report periodically the results of the credit risk assessment and measurement processes, including estimates of its ECL allowances.

Risk committee

The Risk Committee also plays a supervisory role in the IFRS9 Process. The Risk Committee will continue to supervise the inherit risks of the loan and investment portfolio. The risk committee shall insure that:

- The business pricing strategy is commensurate with the costs of impairment from IFRS9.
- Provisioning sufficiently covers the expected credit losses.
- Capital is maintained above the threshold levels and remediation plans are in place

Audit committee

The provision calculation results according to the international standard are submitted to the Audit Committee, which verifies the adequacy of the bank's coverage of the expected credit loss in all of the bank's financial statements.

Executive management

Senior management should be able to demonstrate an understanding of the inherit risks when pricing exposures and managing Client Relationships. Pricing should to a certain extent reflect the inherit risk in transactions and compensate for booked ECL.

Senior management is is also responsible for implementing the credit risk strategy approved by the board and developing the aforementioned policies and processes.

Furthermore, Executive Management is responsible for implementing the reliable credit risk strategies approved by the Board of Directors and for developing the policies and procedures stated above.

Risk management department

The Risk Management Department ensures that the provisions adequately cover credit exposures. Ensure that the process and outputs of the system are fairly presented. The results are presented to the Board of Directors, the Risk Committee and Executive Management.

Rescheduled loans

These represent loans previously classified under within Stage (3) in accordance with rescheduling principles. These loans amounted to JOD 64,407,911 as of December 31, 2020 (JOD 55,449,888 as of December 31, 2019).

Restructured loans

Restructuring is the rearranging credit obligations in terms of adjusting installments, extending the tenor of the facility, postponing installments, or extending the grace period. These loans amounted to JOD 427,941,610 during the year 2020 (JOD 186,968,155 during the year 2019).

Debt securities and treasury bills:

The Schedule below shows the distribution of bonds according to the rating agencies classification:

Rating grade	Rating Institution	Within financial assets at fair value through P&L 2020	Within financial assets amortized cost 2020	Total 2020	Total 2019
		JOD	JOD	JOD	JOD
AAA	S&P	-	-	-	2,067,415
AA+	S&P	-	21,208,246	21,208,246	23,333,825
AA	S&P	-	5,211,915	5,211,915	-
AA-	S&P	-	2,435,866	2,435,866	5,631,351
A+	S&P	-	7,055,917	7,055,917	3,111,225
A	S&P	-	27,590,520	27,590,520	7,861,781
A-	S&P	-	4,181,356	4,181,356	16,706,376
BBB+	S&P	-	4,540,053	4,540,053	7,476,330
BBB	S&P	-	7,905,575	7,905,575	1,512,680
BBB-	S&P	-	13,179,971	13,179,971	11,174,092
BB+	S&P	-	5,653,921	5,653,921	4,263,321
BB	S&P	-	-	-	-
BB-	S&P	-	3,943,196	3,943,196	-
B+	S&P	232,408	7,174,178	7,406,586	11,515,001
B	S&P	-	2,697,758	2,697,758	-
B-	S&P	-	-	-	611,756
Un-rated	S&P	1,309,210	35,332,186	36,641,396	41,031,127
Governmental	S&P	-	755,892,776	755,892,776	632,888,591
Total		1,541,618	904,003,434	905,545,052	769,184,871

All the above bonds are classified under the stage 1, excluding a bond of JOD 1,429,344, which has a risk rating of (b) and is classified under stage 2 and an Unrated bond of JOD 250,000, classified under the 3 stage

B. Market risk

Market risk is defined as the risk arising from changes in interest rates, exchange rates, securities prices, and any other instrument held by the bank, such as minerals, which leads the bank to bear losses as a result of any financial positions inside or outside the budget.

The bank adopts a conservative policy in managing these risks where limits for the exposure for each of these risks are defined taking into account the prevailing volatility of each.

Interest rate risk

They represent losses arising from fluctuations in interest rates in the markets or resulting from changes in product prices arising from the change in interest rates and it has a negative impact on the bank's revenues and its equity.

These risks may also arise from the mismatch in the re-pricing dates of assets and liabilities in a manner that may result in a decrease in the group's revenues as a result of the timing difference in re-pricing.

Interest rate risk lies in debt instruments and derivatives that include debt instruments in addition to other derivatives whose value is linked to market prices.

In general, the value of long-term instruments is more sensitive to interest rate risk than the value of short-term instruments

Interest rate risks are managed by the Risk Management department. The asset liability management provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

1. Credit exposures distributions

For the year ended December 31, 2020

Internal Rating for the bank Performing exposures	Category Classification According to (47/2009)	Total Exposure Value	Expected Credit Loss	Probability of Default	Exposure when Default (in Millions)	Average Loss on Default
		JOD	JOD	%	JOD	%
1	Performing	140,277,160	3,932	(0.96%) - (11%)	125	60.9%
2	Performing	209,224,122	188,027	(0.06%) - (100%)	180	50.9%
3	Performing	266,111,032	899,753	(0.32%) - (100%)	193	51.7%
4	Performing	651,870,549	3,771,301	(0.32%) - (100%)	502	51.5%
5	Performing	659,901,582	8,198,367	(0.32%) - (100%)	525	50.7%
6	Performing	394,294,571	14,915,550	(0.32%) - (100%)	310	50.5%
7	Performing	229,396,546	16,172,469	(0.32%) - (85%)	194	50.3%
Unclassified	Performing	3,388,279,237	8,998,423	(0.32%) - (100%)	2,043	60.6%
Total		5,939,354,799	53,147,822		4,071	
Nonperforming exposures						
8	Non - performing	56,632,676	31,835,816	100%	48	96.0%
Unclassified	Non - performing	63,647,939	40,325,777	100%	54	81.0%
Total		120,280,615	72,161,593		102	
Grand Total		6,059,635,414	125,309,415		4,174	

2. Credit risk according to economic sectors:

a. Distributions according to financial instruments exposure:

	Financial	Industrial	Trading	Real Estate	Agriculture	Shares	Individuals	Government and Public	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash at central banks	620,008,775	-	-	-	-	-	-	-	-	620,008,775
Balances at banks and financial institutions	397,084,528	-	-	-	-	-	-	-	-	397,084,528
Deposits at banks and financial institutions	4,448,457	-	-	-	-	-	-	-	-	4,448,457
Direct credit facilities and financing	6,789,397	331,431,767	507,534,073	765,863,450	45,292,739	124,762,763	574,926,893	212,514,816	382,512,235	2,951,628,133
Treasury, bills and Bonds and as follows:	100,940,569	7,347,433	8,050,558	-	-	-	-	789,206,492	-	905,545,052
Within: Financial assets at fair value through statement of profit and loss	1,463,324	-	-	-	-	-	-	78,294	-	1,541,618
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	99,477,245	7,347,433	8,050,558	-	-	-	-	789,128,198	-	904,003,434
Other Assets	2,556,572	1,087,628	11,626,000	417,379	167,419	10,069	554,526	8,007,775	23,874,850	48,302,218
Total	1,131,828,298	339,866,828	527,210,631	766,280,829	45,460,158	124,772,832	575,481,419	1,009,729,083	406,387,085	4,927,017,163
Financial guarantees	31,192,525	19,891,041	43,772,865	5,258,531	145,311	1,052,006	12,973,518	-	92,021,939	206,307,736
Letter of credit and acceptances	9,818,554	22,027,245	89,991,041	-	54,800,637	258,604	39,649,036	-	36,910,774	253,455,891
Other Liabilities	20,942,636	141,769,423	152,469,291	6,236,714	11,030,550	6,736,418	52,584,831	-	138,780,105	530,549,968
Total 2020	1,193,782,013	523,554,537	813,443,828	777,776,074	111,436,656	132,819,860	680,688,804	1,009,729,083	674,099,903	5,917,330,758
Total 2019	985,135,976	477,214,192	752,342,522	728,998,931	98,499,911	84,847,095	573,123,850	778,731,709	758,295,177	5,237,189,363

b. Distribution of exposure according to staging (IFRS 9)

	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Financial	1,178,189,546	25,752	15,566,695	-	20	1,193,782,013
Industrial	470,744,040	4,083,259	47,015,159	669,056	1,043,023	523,554,537
Trading	716,540,494	14,635,042	66,314,100	6,412,547	9,541,645	813,443,828
Real Estates	348,755,100	320,689,520	84,586,510	14,165,914	9,579,030	777,776,074
Agriculture	83,564,255	-	27,781,091	-	91,310	111,436,656
Shares	29,545,690	99,949,446	1,474,212	1,051,559	798,953	132,819,860
Individual	528,575,136	125,908,531	19,704,129	2,622,181	3,878,827	680,688,804
Government and public sector	1,009,729,083	-	-	-	-	1,009,729,083
Other	553,727,466	6,449,006	102,071,457	5,651,001	6,190,973	674,089,903
Total 2020	4,919,370,810	571,740,556	364,513,353	30,572,258	31,123,781	5,917,320,758
Total 2019	4,403,021,942	442,649,288	333,358,536	31,085,167	27,074,430	5,237,189,363

3. Exposure according to geographical distribution

a. Total exposure distribution according to the geographical regions - net:

December 31,2020	Inside Jordan	Other Middle East Countries	Europe	Asia *	Africa	America	Other Countries	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at CBJ	620,008,775	-	-	-	-	-	-	620,008,775
Balances at banks and financial institutions	20,623,596	107,962,794	149,188,107	53,972,083	-	64,703,015	634,933	397,084,528
Deposits at banks and financial institutions	3,000,000	-	1,448,457	-	-	-	-	4,448,457
Direct credit facilities and financing	2,951,628,133	-	-	-	-	-	-	2,951,628,133
Treasury Bills and Bonds are as follows:	778,913,449	64,860,112	23,951,768	991,842	-	34,713,185	2,114,696	905,545,052
Within: Financial assets at fair value through statement of profit and loss	-	1,463,324	-	-	-	78,294	-	1,541,618
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	778,913,449	63,396,788	23,951,768	991,842	-	34,634,891	2,114,696	904,003,434
Other Assets	48,302,218	-	-	-	-	-	-	48,302,218
Total	4,422,476,171	172,822,906	174,588,332	54,963,925	-	99,416,200	2,749,629	4,927,017,163
Financial guarantees	206,307,736	-	-	-	-	-	-	206,307,736
Letter of credit and acceptances	246,099,810	7,356,081	-	-	-	-	-	253,455,891
Other Liabilities	530,549,968	-	-	-	-	-	-	530,549,968
Total 2020	5,405,433,685	180,178,987	174,588,332	54,963,925	-	99,416,200	2,749,629	5,917,330,758
Total 2019	4,778,201,176	197,408,866	121,183,462	60,136,769	-	80,114,318	144,772	5,237,189,363

b. Exposure distribution according to staging (IFRS 9)

December 31,2020	Stage (1)		Stage (2)		Stage (3)	Total
	Individual	Collective	Individual	Collective		
	JOD	JOD	JOD	JOD	JOD	JOD
Inside Jordan	4,408,871,167	571,740,556	363,125,923	30,572,258	31,123,781	5,405,433,685
Other Middle East countries	180,178,987	-	-	-	-	180,178,987
Europe	173,200,902	-	1,387,430	-	-	174,588,332
Asia	54,963,925	-	-	-	-	54,963,925
Africa	-	-	-	-	-	-
America	99,416,200	-	-	-	-	99,416,200
Other Countries	2,749,629	-	-	-	-	2,749,629
Total 2020	4,919,380,810	571,740,556	364,513,353	30,572,258	31,123,781	5,917,330,758
Total 2019	4,403,021,942	442,649,288	333,358,536	31,085,167	27,074,430	5,237,189,363

4. Credit exposures that have been reclassified

a. Total credit exposures that have been reclassified

December 31,2020	Stage (2)		Stage (3)		Total Exposure that have been Reclassified	Percentage of Exposure that have been Reclassified
	Total Exposure Amount	Exposure that have been Reclassified	Total Exposure Amount	Exposure that have been Reclassified		
	JOD	JOD	JOD	JOD	JOD	%
Cash and balances at central banks	-	-	-	-	-	0.00%
Balances at banks and financial institutions	-	-	-	-	-	0.00%
Deposits at banks and financial institutions	-	-	-	-	-	0.00%
Direct credit facilities and financing	373,343,013	126,681,037	118,245,398	24,292,588	150,973,625	4.89%
Treasury Bills and Bonds are as follows:	-	-	250,000	-	-	0.00%
Within: Financial assets at fair value through statement of profit and loss	-	-	-	-	-	0.00%
Within: Financial assets at fair value through statement of other comprehensive income	-	-	250,000	-	-	0.00%
Within: Financial assets at amortized cost	-	-	-	-	-	0.00%
Derivatives	-	-	-	-	-	0.00%
Mortgaged financial assets (debt instruments)	-	-	-	-	-	0.00%
Other Assets	-	-	-	-	-	0.00%
Total	373,343,013	126,681,037	118,495,398	24,292,588	150,973,625	4.89%
Financial guarantees	22,818,742	581,483	1,785,217	2,055,294	2,636,777	1.28%
Letter of credit and acceptances	15,584,347	-	-	-	-	0.00%
Other Liabilities	11,543,057	4,851,274	-	-	4,851,274	0.91%
Grand Total	423,289,159	132,113,794	120,280,615	26,347,882	158,461,676	4.14%

Credit exposures that have been reclassified

b. Expected credit loss for exposures that have been reclassified

December 31,2020	Exposures that have been reclassified			Expected credit loss due to reclassified exposures				
	Exposure Reclassified from Stage (2)	Exposure Reclassified from Stage (3)	Total Exposures Reclassified	Stage (2) - Individual	Stage (2) - Collective	Stage (3) - Individual	Stage (3) - Collective	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-
Direct credit facilities and financing	126,681,037	24,292,588	150,973,625	125,142	91,434	837,727	61,521	1,115,824
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through statement of profit and loss	-	-	-	-	-	-	-	-
Within: Financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-
Within: Financial assets at amortized cost	-	-	-	-	-	-	-	-
Derivatives	-	-	-	-	-	-	-	-
Mortgaged financial assets (debt instruments)	-	-	-	-	-	-	-	-
Other Assets	-	-	-	-	-	-	-	-
Total	126,681,037	24,292,588	150,973,625	125,142	91,434	837,727	61,521	1,115,824
Financial guarantees	581,483	2,055,294	2,636,777	2,681	-	36,166	-	38,847
Letter of credit and acceptances	-	-	-	2,763	-	-	-	2,763
Other Liabilities	4,851,274	-	4,851,274	69,344	-	-	-	69,344
Grand Total	132,113,794	26,347,882	158,461,676	199,930	91,434	873,893	61,521	1,226,778

5 - Credit risk exposures (after provision for impairment, outstanding interest and returns, and before collateral and other risk mitigators:

	December 31,	
	2020	2019
	JOD	JOD
Items inside Consolidated Financial Position		
Balances at central banks	620,008,775	503,730,148
Balances at banks and financial institutions	397,084,528	330,805,729
Deposits at banks and financial institutions	4,448,457	3,000,000
Direct Credit Facilities and Financing - Net:		
Individual	679,248,343	546,325,189
Real estate mortgages	765,863,450	721,045,576
Corporates:		
Large corporates	1,107,406,817	1,112,591,393
SME's	186,594,707	148,998,985
Government and Public Sector	212,514,816	106,890,228
Total	2,951,628,133	2,635,851,371
Treasury Bills and Bonds:		
Within financial assets at fair value through statement of profit and loss	1,541,618	3,610,938
Within financial assets at amortized cost	904,003,434	765,573,933
Other assets	48,302,218	51,153,359
Total On-Consolidated Financial Position Items	4,927,017,163	4,293,725,478
Off- Consolidated Financial Position Items		
Letter of guarantees	206,307,736	212,812,759
Letter of credits	157,989,274	179,142,122
Acceptances	95,466,617	101,656,906
Un-utilized facilities ceilings	530,549,968	449,852,098
Total Off-Consolidated Financial Position Items	990,313,595	943,463,885
Total On- and Off - Consolidated Financial Position Items	5,917,330,758	5,237,189,363

- The above table represents the bank's maximum credit exposure as of December 31, 2020 and 2019 without taking into account collaterals or other credit risk mitigators.

6. Expected credit losses as of December 31, 2020:

Description	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	189,682	-	-	-	-	189,682
Deposits at bank and financial institutions	611	-	-	-	-	611
Direct credit facilities and financing	17,865,958	891,869	28,807,402	154,124	71,763,261	119,482,614
Debt instruments within portfolio of the financial assets at amortized costs	451,976	-	41,914	-	250,000	743,890
Debt instruments within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-
Financial guarantees	523,285	-	202,467	-	148,332	874,084
Un-utilized facilities ceilings	3,257,282	-	393,476	-	-	3,650,758
Letter of credit and acceptances	334,267	-	33,509	-	-	367,776

Expected credit losses as of December 31, 2019

	Stage (1) - Individual	Stage (1) - Collective	Stage (2) - Individual	Stage (2) - Collective	Stage (3)	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Cash and balances at central banks	-	-	-	-	-	-
Balances and deposits at banks and financial institutions	211,356	-	-	-	-	211,356
Direct credit facilities and financing	12,061,543	288,324	10,513,762	311,412	73,841,760	97,016,801
Debt instruments within portfolio of the financial assets at amortized costs	528,640	-	-	-	250,000	778,640
Debt instruments within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-
Financial guarantees	285,113	-	91,012	-	63,171	439,296
Un-utilized facilities ceilings	1,370,441	-	150,754	-	-	1,521,195
Letter of credit and acceptances	386,436	-	30,840	-	-	417,276

45. Sectoral analysis

A. Bank activities information:

For management purposes, the bank is organized into the following major business sectors based on the reports used by the chief operating decision maker:

- Individual accounts: This item includes following up on individual customer's deposits and granting them credit facilities, credit cards and other services.
- Small and Medium Enterprises: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the granted deposits and facilities according to the bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Large Companies' Accounts: This item includes following up on the client's deposits and credit facilities. Moreover, these clients are classified based on the volume of the granted deposits and facilities according to the bank's instructions and principles and in compliance with the regulatory bodies' instructions.
- Treasury: This item includes providing treasury and trading services and managing the bank's funds and long-term investments at amortized costs, which are maintained to collect the contractual cash flows.
- Investments and Foreign Currencies Management: This item includes the bank's local and foreign investments which are recorded at fair value, in addition to the foreign currencies trading\ services.
- Others: This sector includes all the accounts not listed within the sectors mentioned above, such as shareholder's rights, investments in associates, property and equipment, general management, support management, and the treasury.

The following table represents information on the bank's sectors according to activities:

Description	Individual	Corporates	Treasury	Other	Total	
					For the Year Ended December 31,	
					2020	2019
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	103,480,985	129,739,798	53,135,053	1,963,294	288,319,130	289,500,189
(Provision) for direct customers' credit facilities and financing loss	(11,387,102)	(18,924,444)	96,386	(9,960,274)	(40,175,434)	(17,306,333)
Segments' results	33,689,324	60,808,005	47,880,381	1,963,294	144,341,004	154,906,291
Unallocated expenses					(97,439,704)	(93,547,607)
Operating income before tax					46,901,300	61,358,684
bank's share of profit from investments in associates					5,485	(12,596)
Income before tax					46,906,785	61,371,280
Income tax					(16,862,741)	(23,329,865)
Income for the Year					30,044,044	38,016,223
Capital Expenditures					13,677,453	13,466,932
Depreciation and Amortization					14,163,978	12,620,578

Other Information					December 31,	
					2020	2019
					JOD	JOD
Segment Assets	1,217,333,113	1,730,381,608	1,715,890,889	-	4,663,605,610	4,061,304,156
Undistributed assets	-	-	-	610,099,386	610,099,386	518,371,829
Total Assets	1,217,333,113	1,730,381,608	1,715,890,889	610,099,386	5,273,704,996	4,579,675,985
Segment Liabilities	2,869,784,043	1,364,991,141	405,784,911	-	4,640,560,095	3,963,750,786
Undistributed liabilities	-	-	-	126,741,559	126,741,559	136,681,086
Total Liabilities	2,869,784,043	1,364,991,141	405,784,911	126,741,559	4,767,301,654	4,100,431,872

B. Geographical information

This sector represents the geographical distribution of the bank operations. The bank performs its operations mainly inside the Kingdom, and these operations represent the local operations.

The following table shows the distribution of the bank's operating income and capital expenditure by geographical segment:

	Inside Jordan		Outside Jordan		Total	
	2020	2019	2020	2019	2020	2019
	JOD	JOD	JOD	JOD	JOD	JOD
Total Income	280,967,575	282,092,148	7,351,555	7,408,041	288,319,130	289,500,189
Capital Expenditure	13,677,453	13,466,932	-	-	13,677,453	13,466,932

	Inside Jordan		Outside Jordan		Total	
	December 31,		December 31,		December 31,	
	2020	2019	2020	2019	2020	2019
Total Assets	4,776,254,004	4,141,081,853	497,450,992	438,594,132	5,273,704,996	4,579,675,985

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2020										
Balances at central banks	620,008,775	-	-	-	-	-	-	-	620,008,775	-
Balances at banks and financial institutions	397,274,210	-	-	-	-	-	-	-	397,274,210	189,682
Deposits at banks and financial institutions	4,449,068	-	-	-	-	-	3,000,000	3,000,000	1,449,068	611
Credit and Financing Facilities :	-	-	-	-	-	-	-	-	-	-
Individual	708,769,983	22,305,200	907,062	-	23,881,649	168,411,728	189,392	215,695,031	493,074,952	25,401,230
Real estate mortgages	783,136,250	10,226,617	-	-	547,525,659	49,794,059	2,044,190	609,590,525	173,545,725	14,336,802
Large corporates	1,182,132,275	66,630,885	12,406,137	280,000	223,269,806	10,198,348	113,806,245	426,591,421	755,540,854	67,069,526
SME's	201,552,664	16,353,219	737,501	435,663	77,229,122	4,437,199	55,132,560	154,325,264	47,227,400	12,675,056
Government and Public Sector	212,514,816	-	-	-	-	-	-	-	212,514,816	-
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-	-	-
Within Financial assets at fair value through statement of profit and loss	1,541,618	-	-	-	-	-	-	-	1,541,618	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	904,747,324	-	-	-	-	-	-	-	904,747,324	743,890
Other assets	48,302,218	-	-	-	-	-	-	-	48,302,218	-
Total	5,064,429,201	115,515,921	14,050,700	715,663	871,906,236	232,841,334	174,172,387	1,409,202,241	3,655,226,960	120,416,797
Financial guarantees	207,181,818	27,700,699	53,726	8,114	18,509,555	3,234,450	15,519,541	65,026,085	142,155,733	874,082
Letter of credit and acceptances	253,823,669	40,371,078	-	-	4,142,771	-	3,616,387	48,130,236	205,693,433	367,778
Other liabilities	534,200,726	384,000	-	-	993,275	-	10,955,000	12,332,275	521,868,451	3,650,758
Grand Total	6,059,635,414	183,971,698	14,104,426	723,777	895,551,837	236,075,784	204,263,315	1,534,690,837	4,524,944,577	125,309,415

- The bank maintains collateral or other credit enhancements to mitigate credit risk associated with financial assets. The Group maintains financial instruments amounting to JOD 1,743,384,772 as of December 31, 2020 (compared to JOD 1,627,882,577 as of December 2019) with

- a loss allowance for it due to guarantees at the end of the reporting period.

- The estimated value of collateral, which is not recognized, held at the end of the reporting period is JOD 1,212,868,176 as of December 31, 2020 (compared to JOD 1,188,357,950 as of December 31, 2019. The value of collateral is not considered except to the extent that mitigates

- credit risk. There was no change in the bank's collateral policy during the current year. The following are the main types of collateral and associated asset types.

Financial Assets	Related collaterals
Real estate loans	Real estate guarantees, advance trusts and personal guarantees
Personal loans	The portfolio consists of personal loans and credit cards and is linked to guarantees such as salary transfer, personal guarantees, cash insurance, cars
Corporate Loans	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
SME's	Real estate, equity shares, cash guarantees, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies, cars and machinery
Government and public sector	-
Deposits with banks and banking institutions	Cash Margin
guarantees	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Documentary credits and acceptances	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies
Other Liabilities	Real estate, cash insurances, personal guarantees, bank guarantees, transfer of dues from government and private agencies, insurance policies

The distribution of the collaterals' fair value against the total credit exposures is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2019										
Balances at central banks	503,730,148	-	-	-	-	-	-	-	503,730,148	-
Balances at banks and financial institutions	331,017,085	-	-	-	-	-	-	-	331,017,085	211,356
Deposits at banks and financial institutions	3,000,000	-	-	-	-	-	3,000,000	3,000,000	-	-
Credit and Financing Facilities :										
Individual	566,371,619	16,765,789	809,448	-	27,968,656	154,915,270	122,664	200,581,827	365,789,792	16,806,351
Real estate mortgages	731,907,486	16,224,662	-	-	611,920,404	50,072,909	2,979,150	681,197,125	50,710,361	8,438,426
Large corporates	1,183,967,589	34,012,940	7,010,383	280,100	305,654,303	10,938,346	98,835,617	456,731,689	727,235,900	61,873,990
SME's	160,414,291	21,588,123	745,913	397,430	80,750,442	5,570,808	27,511,432	136,564,148	23,850,143	9,708,250
Government and Public Sector	106,890,228	-	-	-	-	-	-	-	106,890,228	189,784
Treasury Bills and Bonds are as follows:										
Within Financial assets at fair value through statement of profit and loss	3,610,938	-	-	-	-	-	-	-	3,610,938	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	766,352,573	-	-	-	-	-	-	-	766,352,573	778,640
Other assets	51,153,359	-	-	-	-	-	-	-	51,153,359	-
Total	4,408,415,316	88,591,514	8,565,744	677,530	1,026,293,805	221,497,333	132,448,863	1,478,074,789	2,930,340,527	98,006,797
Financial guarantees	213,252,055	9,734,322	-	-	19,905,440	3,231,650	3,395,213	36,266,625	176,985,430	439,296
Letter of credit and acceptances	281,216,304	36,698,761	-	2,092,738	4,897,988	2,800	14,223,167	57,915,454	223,300,850	417,276
Other liabilities	451,373,293	100,000	-	-	555,000	-	477,000	1,132,000	450,241,293	1,521,195
Grand Total	5,354,256,968	135,124,597	8,565,744	2,770,268	1,051,652,232	224,731,783	150,544,244	1,573,388,868	3,780,868,100	100,384,564

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2020										
Balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct Credit Facilities and Financing	-	-	-	-	-	-	-	-	-	-
Individual	28,323,459	47,406	-	-	2,560,801	5,453,686	46,944	8,108,837	20,214,622	20,113,075
Real estate mortgages	18,460,780	-	-	-	11,155,108	172,190	556,850	11,884,148	6,576,632	5,945,750
Large corporates	53,292,394	3,000	-	-	12,092,026	2,615,407	7,367,565	22,077,998	31,214,396	36,743,565
SME's	18,168,765	458,724	-	-	6,101,236	616,990	5,342,292	12,519,242	5,649,523	8,960,871
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	250,000	-	-	-	-	-	-	-	250,000	250,000
Other assets	-	-	-	-	-	-	-	-	-	-
Total	118,495,398	509,130	-	-	31,909,171	8,858,273	13,313,651	54,590,225	63,905,173	72,013,261
Financial guarantees	1,785,217	304,103	-	-	75,000	-	87,840	466,943	1,318,274	148,332
Letter of credit and acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	120,280,615	813,233	-	-	31,984,171	8,858,273	13,401,491	55,057,168	65,223,447	72,161,593

The distribution of the collaterals' fair value against the total credit exposures within stage (3) is as follows:

Description	Total Exposure	Collaterals' Fair Value							Net Exposures after the Collaterals	Expected Credit Loss
		Cash Margin	Trading Shares	Accepted bank Guarantees	Real Estates	Vehicles and Equipment	Other	Total Collaterals		
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
2019										
Balances at central banks	-	-	-	-	-	-	-	-	-	-
Balances at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Deposits at banks and financial institutions	-	-	-	-	-	-	-	-	-	-
Direct Credit Facilities and Financing	-	-	-	-	-	-	-	-	-	-
Individual	20,328,578	45,876	-	-	2,619,001	4,619,901	25,000	7,309,778	13,018,800	14,786,867
Real estate mortgages	17,042,952	175,803	-	-	6,056,438	-	240,300	6,472,541	10,570,411	5,134,012
Large corporates	61,610,235	106,018	-	-	10,263,766	29,100	4,193,465	14,592,349	47,017,886	45,459,194
SME's	17,468,861	802,746	-	-	5,398,040	347,950	3,806,864	10,355,600	7,113,261	8,461,687
Government and Public Sector	-	-	-	-	-	-	-	-	-	-
Treasury Bills and Bonds are as follows:									-	
Within financial assets at fair value through statement profit of and loss	-	-	-	-	-	-	-	-	-	-
Within financial assets at fair value through statement of other comprehensive income	-	-	-	-	-	-	-	-	-	-
Within financial assets at amortized cost	250,000	-	-	-	-	-	-	-	250,000	250,000
Other assets	-	-	-	-	-	-	-	-	-	-
Total	116,700,626	1,130,443	-	-	24,337,245	4,996,951	8,265,629	38,730,268	77,970,358	74,091,760
Financial guarantees	1,211,776	-	-	-	-	-	-	-	1,211,776	63,171
Letter of credit and acceptances	-	-	-	-	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-	-	-	-	-
Grand Total	117,912,402	1,130,443	-	-	24,337,245	4,996,951	8,265,629	38,730,268	79,182,134	74,154,931

B. Market risks

Market risks are defined as those risks resulting from price fluctuations in a way that affects the bank's profit or owners' equity. This definition includes the change in the currencies exchange rates, stocks prices, and interest rates.

The bank uses a conservative policy to manage market risk. Moreover, these risks are controlled through the adoption of clear policies in this regard and establishing risk limits for each risk type. Our policy aims to reduce minimize these risks.

1. Interest rate risks:

A conservative policy is adopted to manage interest rate risks, whereby most of the bank's assets and liabilities are re-priced in the short term. This limits the effect of interest rate fluctuations on the bank's profitability and the price of its assets and investments.

Interest rate risks are managed by the Risk Management department. The asset liability management provided with regular gap reports on interest rates re-pricing, in addition to sensitivity reports related to interest rate price changes per currency. These reports show that interest rate risks are within the lowest range.

For the Year 2020			
Currency	Increase in Interest Rate	Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
		JOD	JOD
Jordanian Dinar	1%	5,963	5,963
US Dollar	1%	2,337	2,337
Euro	1%	198	198
GBP	1%	39	39
Japanese Yen	1%	729	729
Other Currencies	1%	(179)	(179)

For the Year 2019			
Currency	Increase in Interest Rate	Sensitivity of Net Interest Income (Gains/ Losses) in (Thousands)	Sensitivity on Equity
		JOD	JOD
Jordanian Dinar	1%	5,126	5,126
US Dollar	1%	1,630	1,630
Euro	1%	146	146
GBP	1%	(2)	(2)
Japanese Yen	1%	341	341
Other Currencies	1%	(18)	(18)

In case of a negative change in the interest rate, then the effect will be the same as the change in the above-mentioned table with an opposite sign.

2. Currency risks:

The bank's policy is to fully hedge the currency risk by limiting open positions in foreign currencies only within the limits set and according to a clear policy which reduces the sensitivity of the bank's profitability to currency price changes. Ceilings are placed for open positions for each currency and total currencies, and daily evaluations of these positions are made to reduce the risks of currency exchange rates to the minimum.

Currency	change in Currency Exchange Rate	Effect on Profits and Losses	Effect on Equity
For the Year 2020		JOD	JOD
US Dollar	1%	34,091	18,737
Euro	1%	(18,055)	-
GBP	1%	(2,905)	-
Japanese Yen	1%	224,651	-
Other Currencies	1%	(7,523)	-
For the Year 2019			
US Dollar	1%	265,506	47,348
Euro	1%	(115,506)	-
GBP	1%	(49,483)	-
Japanese Yen	1%	274,953	-
Other Currencies	1%	(112,598)	-

In case of a 1% decrease in the currency exchange rate, the effect will be the same as the financial effect mentioned in the tables above with an opposite sign.

3. Change in stock price risks:

Trading portfolio risk management depends on a policy that is based on diversification of investments, where investments are distributed on a sectoral basis, within the most stable sectors, and across several financial markets to reduce risks to acceptable levels. Regular monitoring of risks is also conducted through:

- Determining the different investments ceilings
- Determining limits to stop losses per investment coupled with daily monitoring
- Regularly assessing the investment portfolio by an independent body (intermediary office)
- Performing sensitivity analysis to measure the extent to which these investments may be impacted in case the markets invested in drop, so as to maintain risks within levels acceptable to the bank These risks are managed by the Risks Management Department in cooperation with the Treasury Department.

Moreover, their recommendations are submitted to the Assets and Liabilities Management Committee.

Market	Change in Market Index	Effect on profits and losses	Effect on Equity
For the Year 2020:		JOD	JOD
Amman Stock Exchange	5%	261,755	352,361
Al-Quds Stock Exchange (Palestine)	5%	-	655,802
FTSE 100	5%	9,893	-
Hang Seng Index	5%	-	1,079
Borsa Italian	5%	-	-
Swiss Market index (SMI)	5%	11,728	-
For the Year 2019:			
Amman Stock Exchange	5%	280,584	357,781
Al-Quds Stock Exchange (Palestine)	5%	-	788,722
FTSE 100	5%	-	-
Hang Seng Index	5%	-	-
Borsa Italian	5%	-	-
Swiss Market index (SMI)	5%	-	-

c. Liquidity risks

The bank has a liquidity strategy to manage liquidity risk in accordance with the risk tolerance and to ensure that the bank maintains sufficient liquidity all times and in times of stress. The bank continuously expands its depositors' base and diversifies the sources of its funds with the aim of maintaining its stability. In this respect, the bank maintains its liquidity level within risk appetite limits.

Bank's liquidity risk management policy ensures that the bank maintains liquidity limits at the corresponding banks to ensure easy access to high quality liquid assets at can be liquidated at reasonable cost and time in case of an unexpected demand.

To measure the bank's liquidity levels, a schedule is prepared periodically to verify that liquidity is within the acceptable levels. In addition, the Legal liquidity ratio is calculated on daily basis to ensure compliance with the regulatory requirements and internal policies.

Various stress scenarios' identified and measured to ensure the bank's ability to withstand any changes that might take place in the financial markets.

The Treasury Department manages funds in line with the bank's liquidity policy endorsed by the Assets and Liabilities Management Committee and submits regular reports to the Committee. Moreover, the Risk Management Department monitors the liquidity levels and ensures adherence to the bank's internal policies.

(44/c) Liquidity risks:

The following table illustrates the distribution of the liabilities (un-discounted) on the basis of the remaining period from the date of the consolidated financial statements until the date of contractual maturity.

As of December 31, 2020:	Less than a Month	1-3 Months	3-6 Months	More than 6 Months	1-3 Years	More than 3 Years	No Specific Maturity	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Liabilities:								
Banks and financial institution deposits	240,771,673	30,213,393	-	3,049,042	7,090,000	-	-	281,124,108
Customers' deposits	1,339,621,088	782,982,819	649,293,913	966,397,456	316,134,445	-	-	4,054,429,720
Margin accounts	37,825,666	20,270,957	21,427,391	17,030,912	34,471,735	126,037,767	-	257,064,428
Borrowed Funds	-	160,227	394,746	5,507,610	49,725,381	37,228,274	-	93,016,238
Subordinated loans	-	-	-	-	-	25,465,405	-	25,465,405
Sundry provisions	-	-	-	-	-	-	1,333,898	1,333,898
Income tax liabilities	-	-	-	-	-	-	24,680,734	24,680,734
Leasing liabilities	639,886	235,494	572,401	1,072,850	5,388,811	24,078,754	-	31,988,195
Other liabilities	-	-	-	-	-	-	68,379,574	68,379,574
Total	1,618,858,313	833,862,889	671,688,451	993,057,870	412,810,371	212,810,200	94,394,206	4,837,482,300
Total assets (according to expected maturities)	1,260,252,236	298,068,393	365,040,111	327,798,123	991,993,077	1,758,624,406	271,928,649	5,273,704,996
As of December 31, 2019:								
Liabilities:								
Banks and financial institution deposits	85,184,014	41,604,084	1,000,000	6,610,146	16,125,000	-	-	150,523,244
Customers' deposits	1,119,552,449	663,993,336	649,739,788	882,935,963	306,832,799	-	-	3,623,054,335
Margin accounts	42,314,149	9,820,712	16,266,853	12,880,583	25,670,757	85,752,828	-	192,705,882
Borrowed Funds	12,318,385	6,774	12,422,069	11,675,656	13,049,471	18,094,607	-	67,566,962
Sundry provisions	-	-	-	-	-	-	930,224	930,224
Income tax liabilities	-	-	-	-	-	-	20,634,229	20,634,229
Leasing liabilities	407,129	331,861	561,672	964,480	6,960,120	21,588,470	-	30,813,732
Other liabilities	-	-	-	-	-	-	76,583,458	76,583,458
Total	1,259,776,126	715,756,767	679,990,382	915,066,828	368,638,147	125,435,905	98,147,911	4,162,812,066
Total assets (according to expected maturities)	1,024,534,478	220,749,470	308,198,654	311,388,786	820,445,710	1,642,735,773	251,623,114	4,579,675,985

Interest Rate Re-Pricing Gap:

Classification is based on interest re-pricing or maturing, whichever is closer.

Interests rates sensitivity is as follows:

As of December 31, 2020	Less than 1 Month	From 1 Month to 3 Months	More than 3 Months to 6 Months	More than 6 Months to 1 Year	From 1-3 Years	More than 3 Years	Bearing Non-interest	Total
	JOD	JOD	JOD	JOD	JOD	JOD	JOD	JOD
Assets								
Balances at central banks	165,000,000	-	-	-	-	-	556,060,432	721,060,432
Balances at banks and financial institutions	324,436,400	26,548,006	-	-	-	-	46,100,122	397,084,528
Deposits at banks and financial institutions	-	-	1,449,068	3,000,000	-	-	(611)	4,448,457
Financial assets at fair value through statement of profit and loss	-	-	-	-	-	1,541,618	13,678,278	15,219,896
Direct credit facilities and financing - net	45,854,818	97,263,524	1,887,911,326	135,774,617	334,917,955	468,138,350	(18,232,457)	2,951,628,133
Financial assets at fair value through statement other comprehensive income	-	-	-	-	-	-	31,654,110	31,654,110
Financial assets at amortized cost	-	51,789,532	61,213,891	71,662,069	305,032,371	415,049,461	(743,890)	904,003,434
Investments in associates	-	-	-	-	-	-	349,507	349,507
Right of use assets	-	-	-	-	-	-	27,031,520	27,031,520
Property and equipment	-	-	-	-	-	-	68,782,265	68,782,265
Intangible assets	-	-	-	-	-	-	27,046,436	27,046,436
Deferred tax assets	-	-	-	-	-	-	25,652,474	25,652,474
Other assets	4,470,202	10,571,616	6,951,890	2,315,507	125,601	-	75,308,988	99,743,804
Total Assets	539,761,420	186,172,678	1,957,526,175	212,752,193	640,075,927	884,729,429	852,687,174	5,273,704,996
Liabilities								
Banks and financial institution deposits	88,917,663	38,427,479	13,335,000	14,793,125	7,090,000	-	118,124,778	280,688,045
Customers' deposits	1,303,160,041	588,452,303	481,477,032	785,292,324	54,582,506	-	790,046,786	4,003,010,992
Margin accounts	140,232,106	5,401,864	1,726,000	1,000,767	-	-	102,941,721	251,302,459
Borrowed Funds	-	159,824	392,538	5,037,645	26,066,318	28,759,232	29,736,446	90,152,003
Subordinated Loans	-	-	-	-	-	21,300,000	-	21,300,000
Sundry provisions	-	-	-	-	-	-	1,333,898	1,333,898
Income tax provision	-	-	-	-	-	-	24,680,734	24,680,734
Leasing liabilities	-	-	-	-	-	-	26,453,949	26,453,949
Other liabilities	-	-	-	-	-	-	68,379,574	68,379,574
Total Liabilities	1,532,309,810	632,441,470	496,930,570	806,123,861	87,738,824	50,059,232	1,161,697,886	4,767,301,654
Interest Rate Re- Pricing Gap	(992,548,390)	(446,268,792)	1,460,595,605	(593,371,668)	552,337,103	834,670,197	(309,010,712)	506,403,342
As of December 31, 2019								
Total Assets	439,007,674	126,154,113	1,808,535,653	167,290,209	617,718,910	672,510,017	748,459,409	4,579,675,985
Total Liabilities	1,278,281,842	533,481,701	517,085,357	743,961,878	118,683,389	16,946,607	891,991,098	4,100,431,872
Interest Rate Re- Pricing Gap	(839,274,168)	(407,327,588)	1,291,450,296	(576,671,669)	499,035,521	655,563,410	(143,531,689)	479,244,113

Concentration in currency risk:

As of December 31, 2020	USD	Euro	GBP	Japanese Yen	Other	Total
	JOD	JOD	JOD	JOD	JOD	JOD
Assets						
Balances at CBJ	89,837,459	23,839,836	1,412,197	-	21,343,385	136,432,877
Balances at banks and financial institutions	316,489,560	37,705,030	11,032,024	1,584,385	10,042,731	376,853,730
Deposits at banks and financial institutions	-	-	1,449,068	-	-	1,449,068
Financial assets at fair value through statement of profit and loss	6,313,490	3,721,165	-	-	-	10,034,655
Direct credit and financing facilities- net	268,036,040	294,178	21,352	87,475,450	-	355,827,020
Financial assets at fair value through other comprehensive income	10,317,675	-	-	-	-	10,317,675
Financial assets at amortized cost	272,283,075	14,816,477	1,940,262	-	-	289,039,814
Other assets	14,155,824	233,953	12,356	9,894	12,805	14,424,832
Total Assets	977,433,123	80,610,639	15,867,259	89,069,729	31,398,921	1,194,379,671
Liabilities						
Banks and financial institution deposits	75,957,775	3,544,536	2,772	66,515,881	5,524,189	151,545,153
Customers' deposits	832,715,279	68,956,106	14,907,992	113,552	22,730,503	939,423,432
Margin accounts	65,479,707	7,035,992	1,305,020	-	3,871,820	77,692,539
Other liabilities	(128,767)	2,879,553	(58,013)	(24,839)	24,752	2,692,686
Total Liabilities	974,023,994	82,416,187	16,157,771	66,604,594	32,151,264	1,171,353,810
Net concentration in the Consolidated Statement of Financial Position	3,409,129	(1,805,548)	(290,512)	22,465,135	(752,343)	23,025,861
Contingent Liabilities Off - Consolidated Statement of Financial Position	448,040,815	52,774,209	6,864,780	41,419,805	52,968,982	602,068,591
As of December 31, 2019						
Total Assets	858,935,463	74,219,447	11,330,235	42,533,670	15,114,805	1,002,133,620
Total Liabilities	832,384,906	85,770,075	16,278,578	15,038,367	26,374,619	975,846,545
Net concentration in the Consolidated Statement of Financial Position	26,550,557	(11,550,628)	(4,948,343)	27,495,303	(11,259,814)	26,287,075
Contingent Liabilities Off - Consolidated Statement of Financial Position	438,821,692	83,965,916	12,337,702	6,962,675	56,315,453	598,403,438

Secondly: Off- Consolidated of Financial Position Items:

As of December 31, 2020	Up to 1 Year	1 - 5 Years	Over 5 Years	Total
	JOD	JOD	JOD	JOD
Letters of credit and acceptances	274,044,140	12,319,776	-	286,363,916
Un-utilized ceilings	534,200,726	-	-	534,200,726
Letters of guarantee	188,373,141	18,784,377	24,300	207,181,818
Total	996,618,007	31,104,153	24,300	1,027,746,460
As of December 31, 2019				
Letters of credit and acceptances	304,804,181	5,780,416	-	310,584,597
Un-utilized ceilings	451,373,293	-	-	451,373,293
Letters of guarantee	178,495,386	34,503,257	253,412	213,252,055
Total	934,672,860	40,283,673	253,412	975,209,945

46. Capital management

a. The capital adequacy ratio as of December 31, 2020 and 2019 was calculated based on Basel III Instructions, and the bank's regulatory capital consists of a primary capital representing ordinary shares (CET1) and a supplementary capital, in addition to Tier

b. The regulatory bodies' requirements related to the ordinary shares capital

The Central bank of Jordan's instructions require that minimum regulatory capital be (12.375%) of assets and off-balance sheet items weighted by risks, market risks, and operational risks. This percentage represents the minimum, as the bank adheres to maintaining, at all times, an adequate ratio that exceeds the minimum by an appropriate margin in line with Basel III requirements.

c. Manner of achieving capital management objectives

Capital management represents the optimal employment of the sources of funds to achieve the highest return on capital within the acceptable risk limits approved by the Board of Directors. In addition, capital management endeavors to maintain the minimum capital prescribed by the laws and regulations in force. In this regard, the bank adopts a policy that aims to minimize the costs of funds as much as possible through obtaining funds from low-cost sources, expanding the customers' base, and optimally employing these sources within acceptable risk limits to achieve the highest possible return on capital.

d. Capital Adequacy

In addition to subscribed capital, capital includes the statutory reserve, voluntary reserve, share premium, retained earnings, cumulative change in fair value, general banking risk reserve and treasury stocks.

The bank is committed to applying the requirements set forth by regulators concerning capital, as follows:

1. The Central bank of Jordan's instructions that capital adequacy ratio should not go below 12.375%.
2. Compliance with the minimum limit set for the paid capital of Jordanian banks, which is JOD 100 million.
3. The bank's investments in stocks and shares should not exceed 50% of subscribed capital.
4. The ratio of credit limits (credit concentration) to regulatory capital.
5. Banks and Companies' laws related to the deduction of the legal reserve at a rate of 10% of the bank's profit before tax.

	December 31,	
	2020	2019
	JOD	JOD
Common Equity Shareholders Rights		
Paid-up capital	160,000,000	160,000,000
Retained earnings after deduction of the expected distributions	51,518,099	51,596,833
The cumulative change in fair value	(2,609,036)	372,413
Share premium	80,213,173	80,213,173
Statuary reserve	61,004,473	56,257,522
Voluntary reserve	41,829,012	38,833,125
Recognizable non controlling shareholders	40,043,180	38,036,041
Interim profit (losses) after tax and deduction of the expected distributions	-	-
Total Common Equity Tire 1 before regulatory adjustments	**431,998,901**	**425,309,107**
Regulatory Adjustments (Propositions of the Capital)		
Goodwill and intangible assets	(27,046,436)	(24,409,882)
10%) Deferred tax assets resulting from investments within Tier 1	(25,652,474)	(12,891,744)
Total Tier 1 capital	**379,299,991**	**388,007,481**
Additional capital		
Recognizable minority rights	7,066,444	6,712,243
Total Capital (Tier 1)	**386,366,435**	**394,719,723**
Tier 2 Capital		
General Banking risk reserve		-
Provision for debts tools listed in Tier 1	18,083,875	12,593,424
Recognizable non-controlling shareholders	9,421,925	8,949,657
Financial tools issued by the bank that bear supporting capital	21,300,000	-
Total Supporting Capital	**48,805,800**	**21,543,081**
Total Regulatory Capital	**435,172,235**	**416,262,804**
Total Risk Weighted Assets	**3,005,394,577**	**2,975,004,022**
Capital Adequacy Ratio (CET 1) (%)	%14.48	%13.99
Primary Capital Ratio (%)	%12.62	%13.04
Supporting Capital Ratio (%)	%1.62	%0.72

	2020	2019
	JOD	JOD
Financial leverage rate		
Tier 1 Capital	386,366,435	394,719,723
Total assets in and out of the financial positions after removing deductible items from Tier 1	5,837,745,385	5,124,324,785
Financial leverage rate	6.62%	7.70%

Capital adequacy was calculated on December 31, 2020 and December 31, 2020 based on the instruction of Basel Committee III.

47. Analysis of the maturities of assets and liabilities

The following table illustrates the assets and liabilities according to the expected maturity periods:

December 31, 2020	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets			
Cash and balances at CBJ	721,060,432	-	721,060,432
Balances at banks and financial institutions	397,084,528	-	397,084,528
Deposits at banks and financial institutions	4,448,457	-	4,448,457
Direct credit facilities and financing - net	938,446,727	2,013,181,406	2,951,628,133
Financial assets at fair value through statement of profit or loss	15,219,896	-	15,219,896
Financial assets at fair value through statement of other comprehensive income	-	31,654,110	31,654,110
Financial assets at amortized cost	184,665,492	719,337,942	904,003,434
Right of use assets	2,339,774	24,691,746	27,031,520
Investments in associates	349,507	-	349,507
Property and equipment	-	68,782,265	68,782,265
Intangible assets	-	27,046,436	27,046,436
Deferred tax assets	25,652,474	-	25,652,474
Other assets	99,626,821	116,983	99,743,804
Total Assets	2,388,894,108	2,884,810,888	5,273,704,996
Liabilities:			
Banks and financial institutions deposits	280,688,045	-	280,688,045
Customers' deposits	3,925,943,711	77,067,281	4,003,010,992
Margin accounts	91,152,443	160,150,016	251,302,459
Borrowed funds	5,487,509	84,664,494	90,152,003
Subordinated loan	-	21,300,000	21,300,000
Sundry provisions	1,333,898	-	1,333,898
Income tax provision	24,680,734	-	24,680,734
Leasing liabilities	1,936,804	24,517,145	26,453,949
Other liabilities	65,836,022	2,543,552	68,379,574
Total Liabilities	**4,397,059,166**	**370,242,488**	**4,767,301,654**
Net	**(2,008,165,058)**	**2,514,568,400**	**506,403,342**

December 31, 2019	Up to 1 Year	Over 1 Year	Total
	JOD	JOD	JOD
Assets			
Cash and balances at CBJ	563,867,223	-	563,867,223
Balances at banks and financial institutions	330,805,729	-	330,805,729
Deposits at banks and financial institutions	3,000,000	-	3,000,000
Financial assets for trade	-	-	-
Direct credit facilities and financing - net	844,227,278	1,791,624,093	2,635,851,371
Financial assets at fair value through statement of profit or loss	16,535,618	-	16,535,618
Financial assets at fair value through statement of other comprehensive income	-	32,313,468	32,313,468
Financial assets at amortized cost	107,761,733	657,812,200	765,573,933
Right of use assets	3,356,546	23,161,327	26,517,873
Investments in associates	354,022	-	354,022
Property and equipment	-	72,138,592	72,138,592
Intangible assets	-	24,409,882	24,409,882
Deferred tax assets	12,891,744	-	12,891,744
Other assets	95,290,569	125,961	95,416,530
Total Assets	1,978,090,462	2,601,585,523	4,579,675,985
Liabilities:			
Banks and financial institutions deposits	149,997,070	-	149,997,070
Customers' deposits	3,495,107,638	80,859,823	3,575,967,461
Margin accounts	77,624,162	108,073,862	185,698,024
Borrowed funds	35,947,833	29,222,072	65,169,905
Sundry provisions	930,224	-	930,224
Income tax provision	20,634,229	-	20,634,229
Leasing liabilities	1,652,520	23,798,981	25,451,501
Other liabilities	74,039,906	2,543,552	76,583,458
Total Liabilities	**3,855,933,582**	**244,498,290**	**4,100,431,872**
Net	**(1,877,843,120)**	**2,357,087,233**	**479,244,113**

48. Contingent liabilites and commitments

a. Credit liabilities and commitments:

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Letters of credit	190,879,149	208,781,007
Acceptances	95,484,767	101,803,590
Letters of guarantee:		
Payments	55,636,201	53,600,584
Performance	75,015,534	85,107,403
Other	76,530,083	74,544,068
Futures contracts	147,721,448	86,991,299
Interest swap contracts	-	18,434,000
Unused Limits of Credit Facilities and Financing	534,200,726	451,373,293
Total	1,175,467,908	1,080,635,244

b. Contractual obligations:

The details of this item are as follows:

	December 31,	
	2020	2019
	JOD	JOD
Property and equipment purchase contracts	729,786	1,501,970
Intangible assets purchase contracts	1,646,644	1,003,102

49. Lawsuits against the bank

Lawsuits against the bank amounted to JOD 1,202,731 as of December 31, 2020 (JOD 1,403,344 as of December 31, 2019), and the related provisions to JOD 531,021 as of December 31, 2020 (JOD 535,159 as of December 31, 2019). In the opinion of the bank's management and its legal counsel, the said provisions are adequate.

50. Compartive figures

Some Compartive Figures for the year 2019 have been reclassified to match the year 2020 figures, and have had no impact on the consolidated statement of profit or loss and equity for 2019, as follows:

a. Requlatory capital

	December 31, 2019	
	After reclassification	Before reclassification
	JOD	JOD
Regulatory capital*	416,262,804	400,262,804
Regular Shareholder Capital Adequacy Ratio (CET1) (%)	13,04%	12,50%
Capital adequacy ratio (CET1)(%	13,27%	12,73%
Regulatory capital adequacy ratio (%)	13,99%	13,45%

* According to the Circular of the Central bank of Jordan No. 1/1/4693 issued on April 9, 2020 and to hedge the negative effects of the Virus Corona event (Covid 19), it was decided to postpone the distribution of dividends to the shareholders by Jordanian licensed banks for the year 2019 and the amount that was recorded during 2019 was released.

b. The stamtement of cash flows

Some cash flow statement items have been reclassified, resulting in a change in net cash flows or uses from operational, investment and financing activities as follows:

	December 31, 2019	
	After reclassification	Before reclassification
	JOD	JOD
Net cash (used in) investment	(15,217,404)	(19,370,191)
Net cash (used in) financing	(51,508,149)	(47,355,361)

51. Impact of covid - 19

The coronavirus ("COVID – 19") pandemic has spread across various geographies globally, causing disruption to business and economic activities. COVID – 19 has brought about uncertainties in the global economic environment.

The bank is closely monitoring the situation and has activated its business continuity planning and other risk management practices to manage the potential business disruption the COVID – 19 outbreak may have one its operations and financial performance.

The bank has performed an assessment of COVID – 19 pandemic which has resulted in the following changes to the expected credit loss methodology and valuation estimates and judgements as at and for the year ended December 31, 2020:

a. Expected credit losses

The uncertainties caused by COVID – 19, have required the bank to update the inputs and assumptions used for the determination of ECLs as at December 31, 2020. ECLs were estimated based on a range of forecast economic conditions as at that date and considering that the situation is fast evolving, the bank has considered the impact of higher volatility in the forward-looking macro-economic factors, when determining the severity and likelihood of economic scenarios for ECL determination.

This volatility has been reflected through adjustment in the methods of scenario construction and the underlying weightages assigned to these scenarios. The forward-looking factor (here Credit Index or CI) used is determined from the observed historical credit index. The credit index is used to forecast expected probability of defaults for the credit portfolio of the bank.

In addition to the assumptions outlined above, the bank has given specific consideration to the relevant impact of COVID – 19 on the qualitative and quantitative factors when determining the significant increase in credit risk and assessing the indicators of impairment for the exposures in potentially affected sectors and reflecting the bank's management estimates (Management Overlay) in evaluating the impact on certain sectors or specific customers based on studying each sector or customers separately.

b. Valuation estimates and judgements

The bank has also considered potential impacts of the current economic volatility in determination of the reported amounts of the bank's financial and non-financial assets and these are considered to represent management's best assessment based on available or observable information.

c. Deferred installments and customer credit ratings

Based on the Central bank of Jordan Circular number 10/3/4375 and 10/3/14960 issued on March 15, 2020 and November 22, 2020 to the banks operating in Jordan, the bank postponed the installments due or that would be due on some customers without considering this as a restructuring and without affecting the customer credit rating, the postponed installments amounted to around JOD 324 million during the year 2020.

52. Fair value hierarchy

A. The fair value of financial assets and financial liabilities of the bank specified at fair value on an ongoing basis:

Some financial assets and liabilities of the bank are evaluated at fair value at the end of each fiscal period. The following table shows the information about how to determine the fair value of these financial assets and liabilities (evaluation methods and inputs used).

FINANCIAL ASSETS	Fair Value, December 31		The Level of Fair Value	Evaluation Method and Inputs used	Important Intangible Inputs	Relation between the Fair Value and the Important Intangible Inputs
	2020	2019				
	JOD	JOD				
Financial Assets at Fair Value						
Financial Assets at Fair Value through statement of Profit or Loss:						
Government bonds listed on financial markets	78,294	74,800	Level 1	Quoted prices in financial markets	N/A	N/A
Companies bonds listed on financial markets	1,463,324	3,536,138	Level 1	Quoted prices in financial markets	N/A	N/A
Companies shares listed on financial market	5,667,508	5,611,686	Level 1	Quoted prices in financial markets	N/A	N/A
Investments Funds	8,010,770	7,312,994	Level 2	The treasury manager evaluation of fair value	N/A	N/A
Total	**15,219,896**	**16,535,618**				
Financial Assets at Fair Value through Other Comprehensive Income:						
Quoted Shares in active markets	20,184,837	22,930,050	Level 1	Quoted prices in financial markets	N/A	N/A
investment fund	1,732,795	-	level 2	The treasury manager evaluation of fair value	N/A	N/A
Unquoted Shares in active markets	9,736,478	9,383,418	Level 3	Through using equity method and based on the latest available financial information	N/A	N/A
Total	**31,654,110**	**32,313,468**				
Total Financial Assets at Fair Value	**46,874,010**	**48,849,086**				

There were no transfers between level 1 and level 2 during the year ended December 31, 2020 and 2019.

The movement financial assets classification fair value through (level 3):

	For the year ended, December 31	
	2020	2019
	JOD	JOD
Beginning balance	9,383,418	6,492,405
Additional	1,122,336	3,170,988
Disposal	(85,004)	(9)
Change in fair value	(684,272)	(279,976)
	9,736,478	9,383,408

B. The fair value of the financial assets and financial liabilities of the bank (non-specific fair value on an ongoing basis:

Except for what is set out in the table below, we believe that the carrying amount of financial assets and liabilities shown in the consolidated financial statements of the bank approximates their fair value:

	December 31, 2020		December 31, 2019		The level of Fair Value
	Book value	Fair value	Book value	Fair value	
	JOD	JOD	JOD	JOD	
Financial Assets of Non-specified Fair Value					
Term deposits, and certificate of deposits at the Central Bank	165,000,000	165,009,041	86,700,000	86,705,118	Level 2
Current accounts, and balances at Banks and Financial Institutions	401,532,985	401,646,486	333,805,729	334,007,648	Level 2
Direct credit facilities at amortized costs	2,951,628,133	2,955,472,848	2,635,851,371	2,641,471,297	Level 2
Other financial assets at amortized costs	904,003,434	914,246,887	765,573,933	775,252,780	Level 1 and 2
Total Financial Assets of Non-specified Fair Value	4,422,164,552	4,436,375,262	3,821,931,033	3,837,436,843	
Financial Liabilities of Non-specified Fair Value					
Banks' and Financial Institutions' deposits	280,688,045	281,019,540	149,997,070	150,319,722	Level 2
Customers' deposits	4,003,010,992	4,026,685,059	3,575,967,461	3,610,746,013	Level 2
Cash margin	251,302,459	251,414,819	185,698,024	185,779,644	Level 2
Borrowed funds	90,152,003	90,356,837	65,169,905	65,728,525	Level 2
Subordinated loans	21,300,000	21,626,896	-	-	
Total Financial Liabilities of Non-specified Fair Value	4,646,453,499	4,671,103,150	3,976,832,460	4,012,573,904	

The fair value of the financial assets and liabilities for level 2 was determined in accordance with agreed pricing models, which reflect the credit risk of the parties dealt with.

Network of branches, subsidiaries and exchange offices

in the Hashemite Kingdom of Jordan

Amman branches:

Shmeisani
Abdel-Rahim Al Wakid St.

Jabal amman
Ibn Khaldoun St. (Al-Khalidi)

Dabuq
Jumaa Shibli St., Building 6

Gardens
Wasf Al-Tall St., Al-Baraka Commercial Complex

Sweifieh
Ali Nasouh Al Taher St., Adel Hajarat Complex

Mecca street
Mecca Street, Nassim Dada Complex

Jubaiha
Yajouz St., Al Manhal Trafc Light

City mall
City Mall, King Abdullah II Street

Dahiyat al yasmin
Badia St., Asmaa Complex

Marj al-hamam
Al Nahar Complex, Dallah Circle

Wasat al-balad
Rida St.

Wihdat
Abbad bin Bishr St., Abu Abdo Commercial Complex

Marka al-shamaliyeh
King Abdullah I St., Tayyara Circle

Taj mall
Taj Mall, Saad Abdo Shammout St.

Abdoun
Salman Al Gdah, opposite Crumz

North abdoun
Ali Sido Al Kurdi, Al Fayez Commercial Complex

Um uthaina
Samatra St., Karam Imseeh Complex

JoPark
Princess Tagreed St., Sweifeyyeh

Jabal al hussein
Jamal Eddin al Afaghani St., opposite C-Town

Rainbow street
Jabal Amman, Rainbow St.

Bayader
Jamal Qaitouqa, Al Amani Complex

Rabieh
Siqilieh st.

Khalda
Wasfi Al Tal St., Nicola Jreisat Complex

Sahab
Industrial City, Sahab

Tabarbour
Thumana bin Al Yamani St., near Carrefour

Al-hashimi al-shamali
Bathaa St., near Tuffaha Bakery

Dahiyat al-rasheed
Akef Al Fayiz St., near Umaima Housing

Sweileh
Princess Raya Bint Al Hussein St., MaJODalani Complex

Abdali mall

New Abdali Mall

Moqabalein

Radio and Television Street, opposite wholesale markets

Highway mall

Highway Mall, Zarqa Autostrad

Abu-Alanda

Al Hezam St., Al-Nahar Market

King hussein business park

King Hussein Business Park

Sports city

Al-Shaheed St., near Total Gas Station

Shafa badran

Amman, next to Lijam Hotel, near Applied Science University

Sweifieh village mall

Sweifieh, Sweifieh Village Mall

Dabuq new branch - hilda complex

Dabuq, intersection of Al-Ekram Street and Saleh Al-Nuaimat Street

Mobile office of shmeisani branch

Shmeisani - Abdel-Rahim Al Wakid St.

Branches in other governorates:

Madaba

Yarmouk St.

Zarqa

Saadeh St.

New zarqa

Makka Mukarrama St., Kurdi Plaza

Zarqa free zone

Main entrance to the Zarqa Free Zone

Ramtha

Khatt Al Sham St.

Irbid

Al Husn St.

Huson

King Talal St.

Jerash

Amman Gate, near the second traffic light

Aqaba

Alssada St.

Mahes

Municipality St., Hussein Sheyab Building

Amman center/irbid

New Amman Center St., Al Saydawi Building

Mafreq

Jerash St., opposite Khairat Al Shamal Poultry and Feeds Company

Salt

Salt, Salt Gate, Dababneh Complex

Karak

Karak, Karak Governorate Gate, Al-Thaniyyah, Madanat Complex

Irbid - yarmouk university st.

Irbid, Yarmouk University St. opposite Faculty of Economics and Administrative Sciences gate, Nmeir Badr Complex

Exchange unit:

Central exchange unit – shmeisani/amman

Abdel-Rahim Al Wakid St.

Bonded: bonded warehouses

Amman Industrial City, Sahab

Subsidiaries:

Etihad financial brokerage company

Housing bank Complex

Islamic investment company

Abdel-Rahim Al Wakid St.

Etihad leasing company

Mecca St., Al Ghaith Complex

Etihad financial technology company

King Hussein Business Park

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